

Vijaya Diagnost. (VIJAYA)

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Call: Aug 2022

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August 17, 2022

To, To,

Listing Department The Corporate Relations Department

National Stock Exchange of India Limited, BSE Limited,

Exchange Plaza, Phiroz Jeejeebhoy Towers,

Bandra Kurla Complex, 25th Floor, Dalal Street

Bandra (East), Mumbai- 400 051 Mumbai- 400 001

Company Code No. VIJAYA Company Code No. 543350

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on August 10, 2022.

We are enclosing herewith the 'Transcript' of Earnings Conference Call organized on August 10, 2022 post declaration of un-audited financial results of the Company for the quarter ended June 30, 2022.

Please take the information on record.

Thanking you,

Yours faithfully,

For Vijaya Diagnostic Centre Limited

Khor? Anusha Kanumuru

Company Secretary

Encl.: As above

Vijaya Diagnostic Centre Limited (Formerly known as Vijaya Diagnostic Centre Pvt. Ltd.),

3-6-16 & 17, Street # 19, Himayath Nagar, Hyderabad-29, Telangana

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Vijaya Diagnostic Centre Limited (VDCL)

Q1 FY23 Earnings Conference Call

August 10, 2022

Moderator

Devrishi Singh:

Suprita Reddy: Ladies and gentlemen, good day and welcome to the earnings conference call of Vijaya Diagnostic Centre Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you, and over to you, sir.

Good afternoon, everyone and a very warm welcome to Vijaya Diagnostic Centre's Q1 FY'23 earnings conference call. We have with us, Ms. Suprita Reddy, Chief Executive Officer; Mr. Sunil Chandra, Executive Director; Mr. Narasimha Raju, Chief Financial Officer and Mr. Siva Rama Raju, Head - Strategy of the Company. We will begin the call with opening remarks from the management followed by an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call, maybe forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Ms. Suprita Reddy to make her opening remarks. Thank you, and over to you, ma'am.

Good afternoon, everyone. On behalf of the management team of Vijaya Diagnostic Centre Limited, I welcome you all this call.

I would like to share key highlights for the period, following which Mr. Narasimha Raju will take you through the operational and the financial highlights of the quarter-ended 30th June 2022.

I am pleased to share that the Company commenced the new fiscal on a positive note. With a significant decline in the Omicron variant, we witnessed a healthy recovery in-demand from customers for the stable non-COVID business. A notable month-on-month improvement across some of our other key business parameters was witnessed during the Q1 FY'23. Additionally, the Company was able to enhance

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its network and make considerable progress on its calibrated expansion plans during this period.

Our Wellness business, which was impacted during the pandemic period registered a positive uptick during the Q1 FY'23. The Wellness share which used to be around 10% during the pre-pandemic phase, stood close to an average of only around 6% during the pandemic period for around 2 years. So, during the Q1 FY'23, the Wellness segment managed to reach its pre-COVID level by contributing 9.6% to our revenues. Goi

ng ahead, we anticipate our Wellness business to continue gaining traction.

I am also happy to share that Vijaya achieved a significant milestone of opening its 100th center by adding five new facilities during Q1 FY'23. Our new 10,000 square feet state-of-the-art hub at Rajahmundry is scheduled to be inaugurated tomorrow. This facility which is well equipped with advanced radiology equipment would offer a wide range of integrated diagnostic services to our customers across this region of Godavari.

Additionally, we remain excited for upcoming Punjagutta center. This would be the first diagnostic center in South India, to have advanced radiology modalities. To name a few like a 204 Channel MRI, and a Dual-source Cardiac CT. Also, the facility will be well equipped with other advanced radiology equipment's like a PET-CT and a gamma camera. Following the commissioning of this facility, we would like to invite you all to visit and have a firsthand visual experience of this world-class facility, which we believe would certainly be one of the best in the country. Overall, Vijaya's expansion plan remains well on track, and it remains confident to achieve its target to open over 15 centers in FY'23.

Over the last few months, there have been a lot of discussions on the increasing competitive intensity in the diagnostic industry. With regards to this, I would like to state that we at Vijaya are confident about our inherent strengths, and we do not see any major long-term impact on the growth of our well-established business. We believe that the new entrants would in fact largely take share from the unorganized diagnostic players, whose customers could be price sensitive. The aggressive pricing strategy adopted by some of these new entrants could have some impact over the short-term; however, we don't expect this strategy to work in the long-term.

I would also like to add that Vijaya's integrated business provides a significant edge over the competition, as its labs become a one-stop shop for patients looking for a wide array of testing comprising of both radiology and pathology testing.

Additionally, Vijaya is able to differentiate itself from competition by having a favorable revenue mix skewed towards high margin radiology and B2C business. In fact, during the year of FY'23, quarter 1, the Company managed to derive 95% of its

Narasimha Raju: VIJAYA

DIAGNOSTIC

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revenues from B2C business, which unlike B2B business is not only margin accretive, but it is also relatively less price sensitive and has a high-brand recall virtue.

Having said that, we are closely monitoring the on-ground industry trends and aspire to swiftly take necessary initiatives towards the evolving market dynamics, going ahead. We are confident that the trust which Vijaya Diagnostics has been able to build with its customers over the last 40 years and the inherent strengths of Vijaya, makes it well-placed to manage uncertainties and register positive growth. To conclude, I am confident that the internal and the external factors bode well for VDCL's growth. Today, there are multiple tailwinds which we believe would enable the Indian diagnostic industry to maintain a steady and consistent growth. The Company's growth plan remains well intact as it aspires to expand its potential in tier-2 and tier-3 cities of its core as well as adjacent geographies, which are untapped. This coupled with our strong balance sheet and continued free cash flow generation would also continue to support our business. We therefore remain confident that our strategic initiatives will enable us to provide high quality growth and strengthen our leadership position, going ahead.

With this, I would now like to hand over to Mr. Narasimha Raju, our CFO who will take us to the operational and the financial highlights for the quarter-ended 30th

June '22. And thank you all.
Good

afternoon and warm welcome to everyone joining us on the call today. I will briefly take you through the Company's operating and financial performance for the quarter ended 30th June 2022.

As briefly indicated by our CEO, Q1 FY'23 witnessed a transition in the revenue mix profile from COVID to non-COVID. There was month-on-month improvement in the non-COVID business during this quarter. For example, the non-COVID test volumes which stood at 0.68 million in April, increased 0.73 million in May, and also to 0.76 million in June 2022.

Overall, the number of footfalls stood at 0.75 million, as compared to 0.94 million in Q1 FY'22. The number of tests registered a marginally year-on-year increase of 2% from 2.18 million to 2.23 million. The revenue per test was Rs. 469 and revenue per footfall was Rs. 1,395 during the current quarter Q1 FY'23.

The consolidated revenue for the quarter stood at Rs. 104 crore as against Rs. 123 crore in Q1 of last year. This decline was largely on account of decrease registered in the COVID business. The non-COVID business revenues stood at Rs. 101 crore, comprising 97% of our revenue share as against 74% revenue share in Q1 of last financial year. Overall, our non-COVID business registered a growth of 12% while COVID revenues registered a decline of 90% on a year-on-year basis.

Transcript of VDCL Q1 FY23 Earnings Call Page 3 of 17

Moderator:

Aashita Jain:

Narasimha Raju:

Aashita Jain:

Narasimha Raju:

Aashita Jain:

Narasimha Raju: VIJAYA

DIAGNOSTIC

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Also, the radiology business stood higher at approximately 36% as against 32% in the last year Q1.

EBITDA for the current quarter was Rs. 40 crore as against Rs. 57 crore in the corresponding previous period. EBITDA margin stood at 38.2% as against 46.3% in the last year Q1. Lower Q1 revenues coupled with incremental expenses for the upcoming facilities largely impacted our margin performance. We are confident that our EBITDA margins would certainly rebound in the upcoming quarters once these new centers attain maturity.

The Profit after tax for the quarter stood at Rs. 17 crore and the Cash and cash equivalents stood at Rs. 235 crore at the end of June 2022.

In conclusion, I would like to say that while overall things are moving in the right direction and the Company remains confident of delivering consistent performance going forward.

This brings me to the end of my address. I would now expect moderator to open the line for the Q&A session. Thank you.

Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Aashita Jain from Edelweiss. Please go ahead.

So, I was just saying, you just mentioned that our business is growing on a month-on-month basis. So, how are things looking in July and August?

I think Aashita, what I could hear is that the increase that we have noticed month-on-month in the current quarter, is it observed in subsequent months, am I correct? Yes. Are we seeing that month-on-month improvement in July and August as well, how are things improving?

Yes, fortunately, we have seen that month-on-month increase noticed even in the month of July and also August, we have seen that improvement in the business. And do we still maintain that, in the next two years we can still grow at around say 13% to 15% growth, is that doable?

Aashita, as you know, for our business, the growth predominantly comes from opening of the new hub centers, and then adding the spokes once they stabilize. So, what we have mentioned that in the current year, we are opening two state-of-the-art facilities, one in Rajahmundry and one in Punjagutta. We expect significant revenues coming up from these centers for a period of two to three years. So, apart from that, almost like 11 spoke centers, and the 4-hub centers that we promised in

Aashita Jain:

Sunil Chandra

:

Moderator:

Prakash Kapadia:

Siva Rama Raju: VIJAYA

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the current year would be operational. So, considering all these centers in pipeline, we expect that the growth in the non-COVID business, double-digit growth, we strongly believe that it will continue.

My second question is on the margin. So, given the competition that this industry is facing, we may be required to invest more. So, do you still see our margins moving back to the guided range of 40% to 41% in the near term?

Aashita as | think, Raju just mentioned we are expanding. So, in fact, in Q1 itself we had five new centers which have opened, and these new centers, usually what happens is that, even before they open, staffing, and all the fixed costs are going to still hit our P&L, right. So, as they open and start contributing, you will see that the revenues improve. And when you have a lot of new centers, which are being opened, that has a maybe a temporary effect, the operational expenses tend to slightly hit your EBITDA margins and this is something that we expect that it will normalize, especially because this year we are again, we are going to open at least those four or five hubs and over 10 to 11 spokes, many of them are already in progress, Rajahmundry is being inaugurated tomorrow. Punjagutta again this center is fully ready, equipped staffed, it is just not open yet. So, these are some factors which are going to impact the EBITDA.

Now, if you look at competition, you know there are two aspects to it. One is that unorganized competition is not new, it has always been there. Recently, we have seen some of these maybe digital platforms, but what we have seen is that they are doing some deep discount strategies where maybe that is the kind of nature of their business. They look at it as a customer acquisition cost. They are not looking at the cost of the test, they are just saying we will give some discount and try to get business. But in Healthcare, we have always felt that this is not a very sustainable strategy. Because end of the day, the quality of services and the trust of the patient, this is what drives the long-term growth. So, we feel these will be short-term in nature. And over the next year or two, you will see that, we are quite confident that our growth plans and our strategy will continue to be profitable.

Thank you. We will move to the next question that is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited. Please go ahead.

Couple of questions from my end. Wellness business has increased to 9.6% as compared to 4%. So, is it by design or it is by default. And also if you could give me some understanding what is the ARPU in this segment? What kind of packages we have starting range to the high-end range?

So, Prakash this is not designed, we are getting this revenue from the packages that were available in the Company from long time. So, pre-COVID, we were at 10% of our revenues from Wellness. And during COVID of Q1 FY'22, it was 4% but otherwise

Suprita Reddy:

Prakash Kapadia:

Suprita Reddy:

Prakash Kapadia:

Suprita Reddy:

Prakash Kapadia: VIJAYA

DIAGNOSTIC

[wisava] | CENTRE

it was roughly around 6%. So, majority of these packages are from Retail and Corporate, majority of it is again from Retail, and we have packages starting from Rs. 900 in our out station centres. And we have a wide variety of packages, right from something like diabetic package, cardiac package to the high-end whole-body package.

And Prakash, like its mentioned earlier, the uniqueness of these packages and why this Wellness business is the key differentiator is because all of our packages have a mix of both Imaging and pathology. So, if there is only a bunch of lab tests, it's not going to be holistic in nature. So, everything starting from Rs. 900 to Rs. 9,900 will

have a mix of some amount of Imagi

ng, Cardiology and pathology.

And do we have some tie-ups with, say doctors where post the wellness report or the package, a doctor is assigned to the retail customer, where he shows the report or there is feedback or some further process or we are not thinking of that?

So Prakash, in some of our large centers, like our flagship centers which are hubs, where the package load is quite high, we have an in-house doctor who visits only for one hour or two hours. So, basically, it's a free service that is provided by Vijaya Diagnostics. This is only to give some amount of guidance on what these tests mean, by getting a package done. But there is no arrangement where we send these patients to any doctors, or we as consultants sitting within Vijaya Diagnostic refer these cases elsewhere. Because we are doing a whole-body package, it is only to basically check reports and guide them and let them know, give them some wellness and lifestyle changes require nothing more than that. And that is also available only in our flagship centers.

And in the packages, have we seen any price cuts or more discounting happening at our end or prices have remained stable for us given a lot of guys are now focusing on this business to scale?

So, Prakash there has absolutely been no change in our pricing when it comes to Wellness packages. But like Sunil mentioned a lot of competitive intensity in a lot of online aggregators and all that. But the Wellness bit like Siva mentioned, the packages remain same, and even the mixture of the test has not been changed. So, there is not much of, and that's also why | in fact stressed in my opening speech that we grew, and we are at a 9.6% which is a good signal to say that we are headed in the right direction without any of these changes being made at all.

Understood. And also, can you help me understand, say in a normal year, | am not talking of non-COVID or COVID kind of revenues, generally Q1 is the weakest quarter for us. Is there some seasonality for us where Q1 typically tends to be lower than the whole year average. How is the seasonality bit for us in our operations?

Transcript of VDCL Q1 FY23 Earnings Call Page 6 of 17

Suprita Reddy:

Prakash Kapadia:

Siva Rama Raju:

Prakash Kapadia:

Siva Rama Raju:

Prakash Kapadia:

Siva Rama Raju:

Prakash Kapadia: VIJAYA

DIAGNOSTIC

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Prakash historically also, we have typically seen that Q1 is a weaker quarter for us, probably even the past years, we have seen that. And that's also a reason why, again we stressed, and in fact, even in our presentation, | think in slide 9 we have shown that it's actually showing, it's a good signal to see a month-on-month growth happening. But Q1 is a little slow season when it comes to our business in our geographies.

So, it will be what, around 20% of our annual kind of sales, is that a broad set of number to look at?

Around 20% to 22% of our annual sales.

And lastly from my side, most of the reports and you know media reports, diagnostic industry is expected to grow 13% CAGR in the next few years. From our scale perspective, what will it take for us to grow, say 15% - 17%, is it just going to be deeper dive in Telangana and Andhra Pradesh, going to interiors? And what could be the rural contribution or interior contribution from these core geographies for us, if you can help me understand that would be very helpful?

So Prakash, currently, as you know that we are getting 83% of our revenue from Hyderabad. And definitely if you see the hubs that are coming up in the current year, they are more in tier-2, tier-3 and also some in adjacent and East India. So, definitely in next two to three years, the contribution from these locations will increase. And also as you said to grow better than the industry, we are trying our best, that is the reason even we are saying that instead of four hubs, we are even trying to get another three hubs, which were actually planned for

FY'24. Our project

team is extensively working to open these centers in the current year itself. If that

happens, yeah, definitely in next two to three years, we will see a better growth, will grow better than industry.

And any sense you could give from rural or interiors of AP and Telangana, what would be say a percentage contribution on an annual basis if you have that number ready?

See, currently, it's about 14% of our revenues coming from Tier-2 and Tier-3. And like tomorrow we are opening one center in another Tier-2 location called Rajahmundry where we are going to build a big network over the next two to three years. So, per se we cannot give you any percentage, but definitely over a three to four years' time you may see something more than 20% coming from these locations.

Understood, that is very clear. And lastly, how many reference labs do we have in Telangana and Andhra Pradesh as of date?

Transcript of VDCL Q1 FY23 Earnings Call Page 7 of 17

Siva Rama Raju:

Moderator:

Vinay Bafna:

Narasimha Raju:

Vinay Bafna:

Narasimha Raju:

Vinay Bafna:

Narasimha Raju: VIJAYA

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So, as on date, see as on 30th June, we have total of 13 labs out of which 11 are from Telangana and Andhra Pradesh.

Thank you. The next question is from the line of Vinay Bafna from ICICI Securities.

Please go ahead.

I have a couple of questions. So, first of all I want to understand, this quarter we have benefited from higher percentage of revenue from radiology packages etc. Is that the reason why our gross margins improved significantly? And would this be the norm going ahead or do you expect this to reverse once things normalize and your revenue from the radiology also dips back? Any views on that.

Yes, there is an improvement in the gross profit by almost like 5% year-on-year that is because of a couple of reasons, one is the COVID revenue has decreased by almost like 90%. Generally, the material consumption in case of COVID business is almost double than the non-COVID business, that is one. And second thing is share of revenue from the radiology has increased in overall pile. So, material consumption radiology is generally lower as compared to the pathology. So, that's the reason why you see 5% benefit at the gross profit margin level. Going forward on a non-COVID, fully non-COVID business what we expect is that the material consumption ranges between 12% to 14% depending upon the revenue mix profile between the radiology and pathology. What we expect broadly is that this number of material consumption will be in the range of 12% to 14%.

Second thing is that we are opening two flagship centers, and we are incurring costs without any revenue. When do you think the revenues for these two centers will start accruing for the Company and some operating revenues start flowing?

For these two centers, one is a Rajahmundry center, will be commencing from tomorrow. And the one more state-of-the-art facility in Panjagutta, which is above 16,000 square feet facility, this is also almost the facility is ready. We expect that it will get commissioned by the end of this month or the first week of September. The final activities are going on, pre-commencement activities. So, the full-fledged revenue will come in from the Q3 quarter from these two centers.

Another question would be that generally such large centers, what are the breakeven timelines at the EBITDA level in six months, twelve months, what has historically been our trend?

Historically, if you look at it our EBITDA breakeven for large centers and also for the spokes center, small centers also, within the first six months period itself, what we have seen is the P&L EBITDA breakeven happening. So, even at these large centers, we expect the P&L EBITDA breakeven happens in the first six months itself. But only thing is that the reason for establishing such a large infrastructure hubs at these

Transcript of

VDCL Q1 FY23 Earnings Call Page 8 of 17

Vinay Bafna:

Sunil Chandra:

Vinay Bafna:

Sunil Chandra:

Vinay Bafna: VIJAYA

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places like Rajahmundry, it has a potential to cater to almost like 150-kilometer radius, and where there is a potential to add almost like around 10 spokes, once these hubs stabilize. So, that's the reason why we are investing such a capex at these types of planned locations.

Right. But generally, I mean, I understand for the spokes it would be hubs also I can understand the timeline, generally, for such large centers is what I want to understand. I mean, say for example Q3 we begin, so should we expect the margins to be under pressure for six months, twelve months, that is what I really want to understand, because if I look at your cost levels, they have gone up substantially over the past two quarters. Obviously, this will have some opex related to your these two centers which are not accruing any revenue. So, that's the reason what I was trying to get a handle on it.

So, I think what Raju also mentioned is that the centers, before they are opened also we are incurring opex, including the fixed expenses and salaries. Rajahmundry, when once it opens tomorrow, and the other center opens probably in the next month, revenue, once it kicks in, the pressure on margins will ease for sure. And the further improvement will come as the ramp up happens and spokes once they are added, of course, the spokes are usually more profitable than the hubs, if you look at a cluster. But this particular quarter, what you are seeing is that the center is not open, but there is still fixed expense. So, that has put some pressure on them, EBITDA, which is temporary.

Despite very high competition in the regions you operate specifically radiology, we have given a good number in the segment, in terms of revenues. So, are we seeing that the competition is not having any effect or is that that we are also offering discount but that is being offset by volumes which we are accruing in that particular segment? I mean is it because the competition is trying to give a very steep discount but despite that our radiology revenues are sequentially better, that's what I want to understand.

So, as of now, I think Suprita mentioned earlier, we have not really made any changes to pricing, whether it's on packages or radiology. And we have not seen any real need also, our business and if you see our non-COVID business, the growth is quite healthy. We are seeing it continuing going forward also. So, we have not really felt that there is a pressure on pricing or that is affecting our business, as of now, yet.

I understand that it's very difficult for you to break it down in terms of volume, but if it's possible, could you give me a trend as to what has been the trend when it comes to standalone radiology tests prescriptions and not packages, if that has gone up sequentially or month-on-month, if you have any idea on that?

Transcript of VDCL Q1 FY23 Earnings Call Page 9 of 17

Siva Rama Raju:

Vinay Bafna:

Siva Rama Raju:

Vinay Bafna:

Siva Rama Raju:

Moderator:

Sayantan Maji:

Siva Rama Raju: VIJAYA

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So, the growth that we are showing month-on-month is from both radiology and pathology. I will tell you, for example, if you take from March till June, in the four months, every month radiology and pathology were in the range of that 65%, the contribution is in the range of 65% from pathology and 35% from radiology. So, we are seeing the demand coming from both the modalities, both from pathology and radiology.

And my last question is this monthly rate which you have shown in the presentation, June roughly about 0.76 million, what would that be as a percentage for normal June quarter pre-COVID? I mean, would it be like 80%, 90%? I mean, how close are we at pre-pandemic levels?

So, again, it would be like little bit judgmental. So, because t

he last two Q1's were

not the correct Q1's to compare, because we had this wave-1 for first Q1 and wave-2 in Q1 of FY'22. But if you compare from FY'20, so we grew at a three-year CAGR is somewhere around 9% on the total test volume. If you take only non-COVID, we are roughly around 8%. So, what we feel is still there is potential to grow anything between 15% to 20%, ideally, we may be down by 15% to 17%, is what we think, but again, it's like little bit, the internal review that we have, and it's like very judgmental, if we don't have anything in hand to say that we are currently at 80%, or something like that. But what we feel is definitely there is scope of the increase another 15% with the existing branches. Because that we have already seen in June, for example, if you see the moment from April to June, it was almost about 12% increase in test volume.

So, the test per patient is close to 3x in this particular quarter. And historically, also pre-pandemic, I think we used to be in the range of 2.7 to 2.8 odd, so is it yet the normal trend going ahead, or do you think it's a bit high in this particular quarter and it should normally going ahead?

So, we expect it to be anything in the range of 2.75 to 2.9.

Thank you. The next question is from the line of Sayantan Maji from Credit Suisse. Please go ahead.

So, the first question is, again, on the test volume, so the reduction that we saw in 1Q FY'23 versus say 2Q, 3Q or 4Q of last year which were relatively less affected due to COVID. So, is it entirely attributable to seasonality? Or do you think this quarter had an impact on the pathology segment due to the competition?

So, I would not say impact, so if you say that was what I was mentioning in the last answer also, like we have seen volumes growing both from pathology and radiology. So, as such, you know it's not that pathology which got affected.

Transcript of VDCL Q1 FY23 Earnings Call Page 10 of 17

Sayantan Maji:

Siva Rama Raju:

Sayantan Maji:

Narasimha Raju:

Sayantan Maji:

Suprita Reddy:

Moderator:

Girish Bakhru:

Siva Rama Raju:

Girish Bakhru:

Siva Rama Raju: VIJAYA

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So, from 4Q to 1Q, pathology volumes did not get impacted apart from the seasonality that you see.

So, 4th quarter is not an ideal quarter, so we can consider this with 3rd quarter because 4th quarter is again, more of Omicron right. So, if you see that, in April, both the modalities got hit, and by June both the modalities got recovered.

And second question is on your costs. So, has there been any increase in the discretionary costs like consumer outreach or say expanding your sales force to reach out to doctors. I understand there has been some increase in cost due to opening of new centers, but apart from that, has there been any other increase from the usual levels that we see?

No such increase in any discretionary expenses, specifically on account of any marketing efforts, the usual costs are there with the annual increases. But there are no one-off expenses for any such marketing activities as such.

And my last question is on, would you have any like data or anything, which basically tells you how much percentage of revenues do you get from repeat patients and how much do you get from new patients, in, say, an existing center?

No, we will not be able to have that data because typically what happens is, we are not a hospital, so you don't have unique ID number. So, every time they come in, their name could be spelled differently, and it's a very difficult task. So, we will not be able to get that data for you at the moment.

Thank you. The next question is from the line of Girish Bakhru from OrbiMed. Please go ahead.

Just trying to still understand this seasonality which you say Q1 is probably 20% to 22%. I am assuming generally if you have to compare lower volumes, I can just see

the footfalls so, what was the number, if you can give for Q1 last year excluding CO

VID, if you have that, for footfalls?

So footfall would be difficult, Girish, because it will be a mix of COVID and non-COVID. What we can give is the test volume, excluding COVID. So, that is like roughly we had something like seventeen lakh thirty thousand tests from non-COVID last year.

And so this is basically just behavior wise, seasonality, right, less visible to this quarter?

Yes correct.

Transcript of VDCL Q1 FY23 Earnings Call Page 11 of 17

Girish Bakhru:

Siva Rama Raju:

Girish Bakhru:

Suprita Reddy:

Siva Rama Raju:

Girish Bakhru:

Siva Rama Raju:

Suprita Reddy: VIJAYA

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And this is not specific to | would say Hyderabad or outside Hyderabad, this is overall in the network.

So, Girish, because like see, except two centers, all of our centers are within Andhra and Telangana, and this behavior is across these two states.

And just on the two centers, Rajahmundry and Panjagutta, actually, | am just trying to assess the revenue contribution, you said that they will actually have a significant role in next two, three years. So, | mean, if | go back to what you had commented in the past few quarters, hub would typically do about, maybe | mean, Rs. 16 crore to Rs. 20 crore roughly, correct me if | am wrong. And when you have, let's say, something like PET in Panjagutta, | am assuming that revenue number will go reasonably higher. So, | mean, roughly, would it be fair to say that these two centers alone can give about maybe 8% to 10% jump in FY'24, when they are fully running from current base?

If you look at Panjagutta center itself, Girish, you will have to look at it like | had mentioned, it would be one of its kind in the country. See that like a fully AI based, it's a biometric MR, and the CT is a walk-in and walk-out kind of a cardiac machine. So, like Sunil mentioned, centers like this why they are staffed earlier is a lot of training that goes in. These are highly specialized machines. As of today, if we look at our Himayat Nagar center, the wait for a PET-CT, close to about 6 to 7 days. So, keeping that in mind if | say Panjagutta opens at the earliest, it is actually catering to what you have as a demand today, not even looking at probably getting in new cases for that. And the MR itself probably to clock in terms of 2024, Panjagutta, yes, probably about 4% to 5% increase there would come in right.

So, Girish, what we are expecting is next in 3 to 4 years, we expect something like Rs. 40 crore of revenue contribution from Panjagutta which will be about 10% of our current revenues.

So, this Rs. 40 crore you said from Panjagutta alone, is it?

Yes.

Girish, Panjagutta center has to be looked at as a center which is one of its kind like | am telling you the PET, the MR and the CT are probably maybe two or three in the entire country today. And the speed of these systems, the kinds of cases that we can do in these systems when we say that you Dual-Source CT is a walk-in, walk-out kind of a cardiac. So, even if somebody is not cooperating that case typically today in any center, in an imaging center, if a patient doesn't cooperate, we cannot test the patient, this is going to be different. Any case can be performed. So, that case is happening that is what is coming in Panjagutta. So, we look at Panjagutta ramping up and giving this kind of revenue in probably three years of time.

Transcript of VDCL Q1 FY23 Earnings Call Page 12 of 17

Siva Rama Raju:

Suprita Reddy:

Girish Bakhru:

Suprita Reddy:

Girish Bakhru:

Suprita Reddy:
Siva Rama Raju:
Girish Bakhru:
Suprita Reddy:
Girish Bakhru:
Siva Rama Raju:
Moderator: VIJAYA
DIAGNOSTIC

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So, Girish if you currently see Himayat Nagar is somewhere around Rs. 60 crore of revenue per year. And also, we have the second center Dilsukhnagar which generates about Rs. 25 crore to Rs. 27 crore. So, this Panjagutta will be, in between this Himayat Nagar and Dilsukhnagar.
And

even distance wise and the kinds of clientele it caters to, it will be a little different. And when we come to Rajahmundry, also Girish, we do not have a center presence in this geography 200 kilometers in and around. This is completely new geography in fact, that also is a reason why I have been sitting here and doing this call from Rajahmundry today. And it's an important center for us, if this center stabilizes faster, the incremental growth will actually happen faster, because the more number of spokes will open. And I do not have any centers in about 180 to 200 kilometers here.

And just if I want a clarification, so you have two PETs now and is it fair to assume you are the only one doing PETs in this region?

No, we do not have a PET in Rajahmundry. We have a gamma camera in Rajahmundry.

Yeah, no PET in Panjagutta and PET in the main Himayat Nagar Center, right. So, there are two PETs already in the network now.

In my networks, there are other PETs also available.

So, Girish, we have PETs, like I would say there are PETs in hospitals. But in diagnostics like other than that I think there is only one or two PETs in the diagnostic center, other than Vijaya.

When you say the wait is around five, six days, I am assuming wait is similar outside as well.

But again, we come back to our philosophy here, Girish, as we keep the best at, maybe the lowest and the most affordable price so if a PET is priced at about Rs. 16,000 in Vijaya, Hyderabad, the competitor pricing would be around Rs. 22,000 to Rs. 26,000.

And do you take typically any price hikes in this advanced radiology side?

Well, last year, we did not have any price hike in PET, Girish, it's more on volume. We used to do about 17 per day, now we are doing about 20 per day on one machine.

Thank you. The next question is from the line of Rahul Jeewani from IIFL. Please go ahead.

Transcript of VDCL Q1 FY23 Earnings Call Page 13 of 17

Rahul Jeewani:
Siva Rama Raju:
Rahul Jeewani:
Siva Rama Raju:
Rahul Jeewani:
Siva Rama Raju:
Rahul Jeewani:
Siva Rama Raju:
Rahul Jeewani:
Suprita Reddy:
Sunil Chandra: VIJAYA

DIAGNOSTIC
[wisava] | CENTRE

You indicated that the non-COVID volume growth for us on a three-year CAGR basis is around 8% to 9%. So, did you refer to that for the June month? Or that is the run rate which we saw for the entire first quarter?

That is for the entire first quarter. I don't have the June number handy, but it will be more than 10% for June.

And on the realization, so if we see pre-COVID our realizations on a per patient basis, used to be around Rs. 1,200 to Rs. 1,250 and now we are at around almost

Rs. 1,400. Obviously, this quarter, we would have benefited from higher share of the radiology business. But where do you think our realizations can sustain over the next three to four quarters?

So, Rahul, there are two reasons for the realization to be at Rs. 1,300 because if you see the number of tests per footfall, I mean during the current quarter, it was around 2.98, which was highest, right, previously pre-COVID we were around something like 2.7, 2.75. And also radiology, in the current quarter was around 35.7%. That was the reason you are seeing that highest realization. Whereas in Q4 if you see, average test per footfall was just only 2.3 because of Omicron, that was the reason it was at Rs. 1,200. But if you ask me for the future, it will be anything in the range of Rs. 1,250 to Rs. 1,300.

So, Rs. 1,250 to Rs. 1,300 looks like a more sustainable number for you.

Yes, correct.

And just one last question on this revenue potential, which you spoke about from the Panjagutta center. So, you are looking at a revenue of Rs. 40 crore over the three year period, as an annualized revenue contribution.

Correct.

And just one clarification, so you said Himayat Nagar, which is the flagship center for us, is now annualizing at a Rs. 60 crore kind of revenue run rate. And obviously, that center has been i

n operation for almost, let's say, a decade. So, do you think that Panjagutta center can hit that Rs. 40 crore kind of revenue run rate within the first three years itself?

Yes, we are pretty confident on that, in fact, because of reasons I had mentioned, because of our own wait times, not being able to cater, and at the same time being affordable with the best quality, we still see that going and we are pretty confident on achieving that.

Also, Rahul, the center is located close to a very large institute it's called the Nizam's Institute of Medical Sciences, kind of like a AIIMS in Delhi, it's the largest

Transcript of VDCL Q1 FY23 Earnings Call Page 14 of 17

Rahul Jeewani:

Sunil Chandra:

Moderator:

Cyndrella Carvalho:

Sunil Chandra:

Suprita Reddy:

Cyndrella Carvalho: VIJAYA

DIAGNOSTIC

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Government hospital in our city. So, this center is located right next to this institute. And a lot of the services which are not available in that institute will also flow to the center.

Would you have any sense right now where these volumes from NIMS would be flowing into as in, because there are no alternative options available as of now?

So, I think right now, of course, whatever is not available is probably, being shared or distributed across many centers, including maybe we also get some small part of it, but there is no center, which is right next to this institute. This center that we are opening is firstly, the closest in distance terms. Secondly, the equipment that we are bringing in, is I think, as Suprita mentioned, a Dual-Source CT, this would be one of the first, two or three installations in the country. Similarly, the kind of PET, the kinds of MRI which are being installed, are almost like research level equipment.

So, I don't think any of the other centers will even be able to offer some of the kinds of tests or services that this center will be able to do.

Thank you. The next question is in the line of Cyndrella Carvalho from JM Financial.

Please go ahead.

I just wanted to understand you spelled out in terms of, Panjagutta, how much of revenue potential we could see, what is the number that we are seeing for Rajahmundry, overcoming two to three years?

I think, even during our IPO and the roadshow, we had indicated that in our business model, typically, we look at hub centers, once they stabilize, they can contribute a minimum of our Rs. 12 to 13 crore. That's the broad business model. Of course, when you have some hubs like Panjagutta, Panjagutta is actually I would say is unique, it is almost comparable to our flagship center it's one of a kind. But Rajahmundry is a more typical hub. So, we would expect that it will behave in that same model. Typically, where hub stabilizes, depending on the equipment level, like

if you have a PET-CT, it could be more if not, typically like other hubs historically have stabilized entire two locations at about Rs. 12 crore, Rs. 14 crore, Rs. 15 crore. So, we expect it could be around that range, we can't really give you a number on that.

But like | told you with no presence in about 150 to 180 kilometers here and this stabilizing, if you are asking me at the end of fourth year, | would very confidently say that we would be able to achieve a revenue of close to Rs. 20 crore.

And just wanted your sense around, how are we seeing the competitive intensity outside Hyderabad City and within Hyderabad City? If there are any recent trends that you have seen lately, wherein you're seeing any normalization, and the intensity, which you would like to share with us?

Transcript of VDCL Q1 FY23 Earnings Call Page 15 of 17

Suprita Reddy:

Moderator:

Priya Harwani:

Suprita Reddy:

Moderator:

Sunil Chandra: VIJAYA

DIAGNOSTIC

[wisava] | CENTRE

Especially in Hyderabad, what we see is we see more of the aggregator and the digital kind of competition coming in, that is a different kind of competition. But especially where we hav

e been putting our focus in growing all the Tier-2 and Tier-3 locations, these are locations where there are a lot of unorganized players, smaller nursing homes, and | don't think these places have still caught up to a fact where they will probably be looking at prices and doing home collection. So, they are still a little more conservative. And the kind of competition is completely different in both of these areas. And that's also a reason why when we do centers like the inauguration tomorrow in Rajahmundry, our focus is more in terms of trying to invite people to see the facility, to differentiate between a center that is like Vijaya and all the unorganized and smaller chains. | think the conversation that we have with the customer in these tier-2 and tier-3 towns is what is built that entire brand recall for Vijaya over the last 40 years. So what's the plan for these centers is doing more health camps, health awareness, showing them the facility. And again, like | told you, we have these lifestyle guides who basically give them small tips on their lifestyle changes, wellness bit. So, this has been the activity. This is not something that we do a lot in the city as of now. City is in terms of more in terms of an entire health package getting done. But all of our tier-2 and tier-3 places are more conservative in nature, they want to be spoken to, they want to be, actually they love seeing the facility. So, if tomorrow is our launch, we have already had close to about 50 people visit the site today, just to see whether it's the center from Hyderabad and how was it, and is it well-equipped, so that's like a very positive factor.

Thank you. We will move on to the next question. That is from the line of Priya Harwani from Perpetuity Ventures. Please go ahead.

So, | have one doubt, you said that you will be adding 15 centers every year. So, how many centers you are planning to expand out of Andhra Pradesh and Telangana?

The majority of these centers are outside of Hyderabad. So, there is a mixture of centers coming up in Andhra and in Tier-2 regions of Telangana, exact number | might not have now, but the combination still remains the same of three to four hubs versus 10 to 11 spokes coming up. And like Siva had mentioned just to actually perform better, the project team is extensively working, probably we will try to open a few extra hubs, so that incremental growth of spokes also comes in next year early.

Thank you. As there are no further questions, | will now hand the conference over to the management for the closing comments.

So, on behalf of Vijaya Diagnostic and the Management, | would like to thank everyone for attending this call, and for showing interest in our Company. | hope

Transcript of VDCL Q1 FY23 Earnings Call Page 16 of 17

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we have been able to answer all your questions, and should you need any further information or clarifications or would like to know more about the Company, please feel free to reach out to us or to CDR India, I think we can provide answers to your queries or any information needed. And thank you once again for taking time to join this call. And we hope to see you all next quarter. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Vijaya Diagnostic Centre Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Transcript of VDCL Q1 FY23 Earnings Call Page 17 of 17

Call: Nov 2022

November 18, 2022

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on November 11 , 2022.

We are enclosing herewith the 'Transcript' of Earnings Conference Call organized on November 11 , 2022 post declaration of un-audited financial results of the Company for the second quarter and half year ended September 30, 2022 .

Please take the information on record.

Thanking you,

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Anusha Kanumuru
Company Secretary

Encl.: As above

To,
Listing Department
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Company Code No. VIJAYA To,
The Corporate Relations Department
BSE Limited,
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street
Mumbai - 400 001
Company Code No. 543350

Transcript of VDCL Q 2 FY23 Earnings Call Page 1 of 13

Vijaya Diagnostic Centre Limited
Q2 FY 2023 Earnings Conference Call Transcript
November 11 , 2022

Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of Vijaya Diagnostic Centre Limited. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you.

Anoop Poojari: Thank you. Good afternoon everyone, and a very warm welcome to Vijaya Diagnostic Centers Q2 and FY '23 earnings conference call. We have with us, Ms. Suprita Reddy, Chief Executive Officer; Mr. Sunil Chandra, Executive Director; Mr. Narasimha Raju, Chief Financial Officer and Mr. Siva Rama Raju, Head - Strategy of the Company.

We will like to begin the call with opening remarks from the management followed by an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call, may be forward-looking in nature, and a disclaimer to this effect has

been included in the earnings presentation shared with you earlier.

I would now like to invite Ms. Suprita Reddy to make her opening remarks.

Suprita Reddy: Thank you. Good afternoon everyone. I'd like to take this opportunity today to welcome each one of you to this forum, on behalf of the management team of Vijaya Diagnostic Center Limited.

I will first present the key highlights for the period after which Mr. Narasimha Raju will take you through the operational and financial highlights of the quarter and half year ended 30th September, 2022.

The second quarter saw a healthy improvement in the demand for Non-COVID business across all segments. The Company managed to enhance its network and make considerable progress on its calibrated expansion plan. The Wellness business is showing positive results and the Company continues to increase its revenue share from this segment. During Q2 FY '23, the Wellness segment recorded its highest ever contribution to revenues at 12.4%. This being the case, we are quite sure that the integrated diagnostic

Transcript of VDCL Q 2 FY23 Earnings Call Page 2 of 13

service providers derived major business from B2C will not be influenced by competition of different formats.

I'm glad to announce the commencement of operations of a one of its kind center Panjagutta. This center is spread across 16,000 square feet. The facility is the first in South India to introduce a walk-in, walk-out dual source cardiac CT, and a biometric three tesla MRI apart from advanced imaging equipment such as a PET CT and Gamma camera. During Q2FY23, we successfully commissioned one hub at Rajahmundry and 12 new spoke centers. A few of these spoke centers were set up to capture upcoming pockets across Hyderabad. This helped us ease up existing centers in the region, facing capacity constraints. These spoke centers also strengthened our hubs and contributed to positive growth in volumes. These small sized spoke centers are over and above our initial plan of expanding by 15 more centers in FY23.

I'm also happy to share that we have recently migrated all our centers and labs across the network to a more efficient, robust, and comprehensive ERP that will enhance operational efficiency, enable construction of useful and informative analytics, facilitate and interactive customer interface, help engage the customer and make the entire experience more complete and wholesome.

We are determined to stay committed to our systematically planned strategy and the business initiatives, which we believe will enable us to grow and strengthen our brand in our key markets. We will continue to intelligently expand into profitable tier 2 and tier 3 cities, across home markets and untapped edges in geographies. The promising dynamics of the Indian diagnostic sector coupled with our innate capabilities and that of being a trusted brand of choice will surely enable us to maintain steady growth in time to come. With this, I would like to hand over to our CFO, Mr. Narasimha Raju, who will take us through the operational and financial highlights for the period. Thank you.

Narasimha Raju: Thank you madam. Good afternoon and warm welcome to everyone joining us on the call today. I will briefly take you through the Company's operating and financial performance for the quarter and half year ended 30th September, 2022.

The consolidated revenue for the quarter stood at INR 121 crore as against INR 113 crore in Q2FY22. During the current quarter, the Company continued to witness month on month improvement in Non-COVID test volumes.

Also, the transition in the revenue mix profile from COVID to Non-COVID continued in the current quarter as well. The Non-COVID business revenues stood at INR 117 crore comprising 97% of our revenue share as against 90% revenue share in Q2FY22. Overall, our Non-COVID business registered a growth of 15.1% year on year while COVID revenues registered a decline of 67.6% on a year on year basis. The number of footfall stood 0.85 million as compared to 0.87 million in Q2FY22. The number of tests registered a year-on-year increase of 11% from 2.36 million to 2.63 million. The number of tests per footfall has also increased to 3.09 in the current quarter from 2.72 in the last year Q2. The revenue per test was INR 459 and revenue per footfall was INR 1,418 during the current quarter.

Transcript of VDCL Q 2 FY23 Earnings Call Page 3 of 13

EBITDA for the current quarter was at INR 49 crore as against INR 51 crore in the corresponding previous period. EBITDA margin stood healthy at 40.4%. Higher Non-COVID revenues, the test volumes coupled with the operating labor assisted us to achieve EBITDA margin above 40% despite the cost incurred due to this recently commissioned centers.

The profit after tax for the current quarter stood at INR 23 crore and the surplus cash balance amounted to INR 249 crore as of September 2022.

I will now summarize our performance for the

he half year ended September 2022.

Consolidated revenue stood at INR 225 crore as against INR 235 crore in H1FY22. The Non-COVID business comprised 97% of our revenue share as against 82% revenue sharing in H1FY22. Our B2C share stood healthy at 94% in H1FY23. EBITDA stood at INR 89 crore as against INR 108 crore in the corresponding previous year. EBITDA margin stood at 39.4% and the profit of tax was INR 41 crore.

In conclusion, I would like to say that both the internal and external factors both well for Vijaya's growth and we remain confident of delivering consistent performance going forward.

This brings me to end of my address, I would now request the moderator to open the line for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press * and 1 on touchtone phone. If you wish to remove yourself from question line you may press * and 2. Participants are requested to use handsets while asking a question. We have a first question from the line of Aashita Jain from Nuvama. Please go ahead.

Aashita Jain: I have three questions. Firstly Raju could you help me with the growth rate three year CAGR for this quarter i.e from Q2FY20 to Q2FY23 on the Non-COVID side?

Siva Rama Raju: So Aashita may be we roughly grew at a CAGR of 8.5%. But that's not the correct number to see because in 2020, specifically in Q2, there was a dengue outbreak in Hyderabad. That particular year, you know, in just Q2 itself, we roughly did about Rs. 90 crore of revenue, which was a high on dengue and you know, malaria testing. That point in time, we roughly got about, say, Rs. 10 crore of revenue from this segment, which is not the case in the current year. So even with that, if you see we've probably grown at 8% to 8.5% CAGR.

Aashita Jain: And since we're already in the month of November, and you've mentioned that we are growing month on month. Just wanted to understand your take on the seasonality of the Q2 and how the volumes picking up in October month?

Suprita Reddy: For this particular geography, Q2 and Q4 are pretty seasonal in nature, Aashita. So typically we do see that Q1 and Q3 are more healthier quarters down here and looking at the, actually, if we do see Q2, we've seen lot of fever packages and a lot of more of basic radiology, wellness business do well. So that's a good sign. But we should always keep in mind that Q3 is going to be seasonally a little probably a lower quarter and Q4 can be a better quarter for us.

Transcript of VDCL Q 2 FY23 Earnings Call Page 4 of 13

Aashita Jain: Secondly on the Panjagutta and Rajahmundry, I think it's commenced both the centers now, and I understand your peak revenues will take time say two, three years, but your fixed cost is already hitting the P&L. Is it possible, could you quantify the opex from just these two facilities, which is currently in our P&L this quarter?

Narasimha Raju: So Aashita as we mentioned earlier the large format centers, have commenced now, both the Rajahmundry and Panjagutta like Rajahmundry commissioned in August and then Panjagutta recently. But from last five to six months few of their costs are sitting in the P&L. So if you come to a number roughly like 0.9% to 1% of the EBITDA is impacted because of these cost coming from these two major centers and also couple of smaller format centers also. But these two centers form the major number of the total fixed cost sitting to the P&L.

Suprita Reddy: Just to add to that, it's also because of the advanced and very high-end center, we also do that, because we invest in people. You're getting the best in class technology, but you also want to make sure that they're trained and the centers are ready to take on a load. And keeping that point in mind, we still say that normally the breakeven happens

as per three

quarters is what we say, but we also make sure that we keep in mind that this cost is there for about four, five months, six months in advance because this is what is going to drive the volumes in these centers going forward. And it's just, in fact, today's the exact third month anniversary of Rajahmundry. So one quarter completed there and Panjagutta has just opened very large center with very advanced technology so training is a crucial part there.

Aashita Jain: Thank you. And lastly on your app. So any update on your digital app and the digital initiatives?

Suprita Reddy: Yes, Aashita like I mentioned in the speech, the lab information software and the ERP have just gone live on 1st of November, so they are in a state of stabilization at the moment. In fact, we did it all together in one go. So probably give it a month's time for the links to settle in and then we release the app. The app is absolutely ready at the backend. And the app and the website will both be in line once we release the app, probably December 2nd week or so.

Moderator: Thank you. We have a next question from the line of Prakash Kapadia from Anived Portfolio

Managers. Please go ahead.

Prakash Kapadia: Yes, thanks for the opportunity. As we are adding 15 locations and you know, we are trying to move beyond greater Hyderabad, could you give us some sense, you know, what could be the pricing difference in these smaller towns versus a local player by us? And down the line, is the strategy to get basic pathology services first in some of these tier two, three towns and then get them to move to radiology and ensure stickiness? Is that the plan in tier two, tier three, or it is just a pathology focus, which is enough for us to grow?

Suprita Reddy: So like we've mentioned earlier, we normally go with the concept of going in with a large format hub first. So it's never this pathology, in fact, it's a large size center, about 6,000 to 10,000 square feet with both pathology and radiology. And once that stabilizes, then we start adding this spoke. It's never been a strategy to go with only pathology or a B2B kind of a business model into any geography that we go to. And the second thing is definitely

Transcript of VDCL Q 2 FY23 Earnings Call Page 5 of 13

there is a pricing decrease in these tier two and tier three places. I think it should be about 10 to 15% lower than what would be the charge that we do in the core Hyderabad market.

Prakash Kapadia: And the pricing in these, you know, smaller towns and cities, how would they compare it with, say, a local player?

Suprita Reddy: It would be comparable, and that is why it's about 10 to 15% lower. Because in fact, in Hyderabad itself we are pretty affordable, and we are more or less priced at the unorganized sector level. So that is why you're seeing only a 10 to 15% lower gap there in tier two and tier three.

Prakash Kapadia: Understood. In Hyderabad, what is the sense you are getting from new age players? I was trying to understand about, you know, competitive pricing in Hyderabad. So you know, is pricing pressure increased from new edge players? Is it same? Is it decreased? What is the sense, you know, pricing in the Hyderabad market?

Siva Rama Raju: So Prakash, if you see the average revenue per test in the quarter two also, right, so we are on track. So as of now, we have not reduced the price because we are not seeing the pressure and today in Hyderabad if you see still the revenue that we get from online players is like less than 1% of our revenue. So in fact, in Q2, because like when you have this seasonality effect, so we have seen lot of testing in the basic and in the routine testing also coming back to us. So as of now we are not seeing any pressure on pricing.

Prakash Kapadia: If I look at the first half results, you know, our PAT is down roughly INR 20 crore or around 32%.

You did mention, you know, some of the front ending of the expenses. So if I were to just try quantify the same, you know, front ending expenses in terms of employees, opex and your incremental depreciation on some of the newer, large centers, so would, would that all amount to INR 10 crore of the INR 20 crore kind of fall? Is that a fair understanding?

Narasimha Raju: Prakash, I'll just explain this. If you look at the numbers, try, you might see that the half-year PAT, there's a dip from around INR 60 crore to INR 40 crore. Because of the preoperative expenses that I was talking, which is just like a 0.9% to 1% impact on EBITDA. The main reason is, as you know, last year was like a COVID year. In Q1, almost we did INR 30 crore revenue in the last year Q1 and also in the last year Q2, approximately like a INR 10 crore. So there is a reason why your EBITDA margin was sitting at almost close to 45.9% in the last year. As we highlighted in a general Non-COVID scenario, we expect a regular EBITDA margin of 39% to 40%, what we achieved in the current quarter. So if you see that clearly there is 6% to 6.2% margin difference is there from the last year first half to the current year first half, which boiled down to PAT level, apart from the below EBITDA, there is also increase the depreciation, interest because of the new centers that we added. So last year, post September, 2021, we added almost close to 10 new centers. And also in the current six months we added almost close to like 18 centers. So because of that the interest in depreciation because of India's 116 national numbers also have gone, which impacted in the PAT from 26% to almost close to 18% to 19%. But broadly the 6% gap is mainly coming from EBITDA margin level, which was due to the COVID season in the last first half.

Prakash Kapadia: Yes. So if I add all these notional and the depreciation, it should come to INR 8 crore to INR 9 crore roughly, if not INR 10 crore, is what I was trying to understand. And lastly, from my

Transcript of VDCL Q 2 FY23 Earnings Call Page 6 of 13

side, you know, after four quarters we've seen a sequential improvement in Sales and PAT. So you know, going forward for the balance of the year in the coming quarters, what are we doing to ensure this trend continues for us and you know, we continue to grow on a sequential basis.

Siva Rama Raju: So Prakash, our efforts are always there and we are on track on opening our new centers

where we are also going to come up with new hubs in the tier two, tier three towns where you'll get the fresh revenue. Apart from that, you know, the focus on the wellness and also with the few digital initiatives, you know, we can increase the efficiencies at our current centers where we are facing the capacity constraints. So I think like for the current year, like as we were indicating earlier also because the transition from COVID to Non- COVID is happening. So we would be in that, 13% to 15% year-on-year growth on Non- COVID for the current year. And going forward, we are sticking to our 15% growth.

Moderator: We have a next question from the line of Aneesh Deora from Nomura Holdings. Please go ahead.

Aneesh Deora: Yes, hi thanks for taking my question. So I have just one question about like six months back one of the organized retail pharmacy chains had announced the opening of a full fledged diagnostic center in Hyderabad, which is one of your core markets, I mean, which is your core market in fact. So just wanted your comments around whether you consider such opening as a potential threat or your views about how the competitive intensity is going to play out going forward?

Siva Rama Raju: So in fact, see Vijaya being a 40 year old player in the market and being the market leader, we are still say we would be like having less than 20% of the market share today because for every price there exists a market and

and these models are not new. Even previously also like we were having other players offering services at different prices. I think in healthcare it's you know, more than pricing it's about the trust and also the quality of diagnostics, etc. So we have a different kind of clientele and we believe that, we will not neither venture into these models nor these models will affect our business.

Moderator: Thank you. We have a next question from the line of Aditya Khandelwal from Securities Investment Management. Please go ahead.

Aditya Khandelwal: Hi. Thanks for the opportunity. I just wanted to understand do we have a very good doctor connect in Hyderabad who refer the patients to Vijaya? The reason why I'm asking this question is to just understand will it be difficult for the new player to take you know take market share away from us because of the relations we have developed with doctors over the years? Or is there any other reason you think it will be difficult for other players, you know, to take to take the market share away from us in Hyderabad?

Suprita Reddy: So I think it's not about a relation with the doctor. Like we mentioned earlier, see there are two people that we treat as customers. The first one is the customer's walking into our center, and the second one who's the doctor who's actually referring that patient without certain clinical history and a diagnosis is going to be not complete and holistic in nature. Being in the market for 40 years has created trust is not in the customer, but also in the doctors. And like we mentioned earlier, there's a lot of work that we do that we have made our standards, gold standards, like in Epilepsy's and PET CT and Oncology

Transcript of VDCL Q 2 FY23 Earnings Call Page 7 of 13

imaging, we have more than 120 full-time radiology consultants sitting here and it's like a tertiary care center. So we do make sure that we, like Siva mentioned earlier, it's about quality and we never compromise on that. And if we talk about Panjagutta centre today, a diagnostic center bringing in a walk-in, walk-out dual source CT is the second in India as of today. That's also because of the kind of work we do and the kind of consultants that we have with us. So we do have a relationship both with our doctors and customers. That is only because without a proper history, however, even going to report a case which is probably not possible on an inferior quality of technology or a lesser experienced kind of consultants sitting in one of the more unorganized or cost competitive kind of centre.

Aditya Khandelwal: Right, okay. And are there any plans open more centers in Hyderabad or we have reached the saturation point over there?

Suprita Reddy: I would not say we reached a saturation, but our concentration is to actually move into remote areas into Andhra and Telangana, Tier 3 and adjacent geographies where we do see scope in Hyderabad, we will continue to put up smaller format centers. We are not looking at adding any more large hub centers immediately in the near future until and unless we see a capacity constraint. So whatever new hub, large format centers will come, will be in West Bengal, the adjacent geographies and in rest of Andhra, and rest of Telangana market.

Aditya Khandelwal: Right, we have been seeing and increasing in the share of our wellness testing for, and this trend has been in our peers as well. So just wanted to know from you, what do you think is driving the increase in wellness testing?

Suprita Reddy: So there are two things here. One thing I would definitely say is COVID has brought a lot of change in the mindset of the people itself. That itself is when driving for just not for us, for the entire industry. They've become healthier, they're thinking better. So that's one. And the second thing that we like to see is not just us, if you look at even our peers, you

've

seen an improve ment in this line. Even though we always keep talking about aggregators coming in, you still see that customers prefer to walk into centers where they can put a face , whe re they can talk to a consultant. And this is actually driving the business. In fact, this was a segment where I think in the Q1 call we had mentioned that we will have to see how this sector will take off. It's actually doing better. We are seeing more walk -ins come in for this wellness. And we are also seeing that we have a larger footfall in this sector because we are integrat ed, we have both radiology and pathology and that's giving a more holistic and a full checkup. So we in fact see this growing given coming in near future with the app releasing in December. So we'll just have to wait and see. But we're very confident of this sector growing.

Aditya Khandelwal : Right. And ma'am, what are the economics like for this bundle packaging? Does it m ake Company level margins or lower margins? Because if the share of th is increases, how will the margin profile change for the C ompany ?

Suprita Reddy: I would not say that the margins would be same. They'll be slightly lower, but it would not make a large difference in the overall EBITDA going forward. Probably the pricing would be about 10%, 15% lower, not greater than that.

Transcript of VDCL Q 2 FY23 Earnings Call Page 8 of 13

Moderator: Thank you. We have a next question from the line of Girish Bakhru from OrbiMed. Please go ahead.

Girish Bakhru: Yes, hi actually going back to same question that probably has been asked before in previous calls that with these two centers now firing, and overall momentum in radiology pretty good, what is the mix that we will see, let's say two, three years down the line , pathology versus radiology?

Siva Rama Raju: So Girish, at a networ k level there may not be a big shift, you know, depending on season to season you'll see like 1% to 2%, you know here and there because last quarter you've seen radiology 66 and in the current quality of seen pathology at 66 , right. But coming to Panjagutt a and Rajahmundry generally hubs are like radiology heavy, and spokes are where, you know, where you get a higher amount from pathology. So definitely in center like Panjagutta, so you'll be seeing about, you know, 50, 55% of revenue coming from radiology. But again, we have to wait and watch. Right. And you know, 40, 45% of revenue coming from pathology because they have all the modalities like PET -CT, gamma camera and the high -end MRI and CT.

Girish Bakhru: But realization or general value of radiology is higher. Assuming that, so I mean, what you were saying, if the mix is same , growth in pathology volumes ALSO is very strong, is that the correct way?

Suprita Reddy: Growth in pathology is strong , Girish . In fact, even if you look at number of tests going up now in wellness will also be a greater mix of pathology, right . So overall on a Company level with a few more hubs adding also, we would still say that it'd be very good if that ratio gets maintained at that 65 -35, two to three years down the lane b ecause you'll still see new hubs coming up in new geographies and they take another one year for spokes to come up and to maintain that ratio of 65 -35 is what we try to achieve.

Girish Bakhru: Okay. And just on related to this, I mean given that looking at this quarter and good to see that revenue per footfall is largely to those previous levels before COVID , but revenue per tests is still lower. How should one read that then?

Siva Rama Raju: No, it's not actually lower. So if you see we were at , Non-COVID revenue per test is about 470. In this last quarter we were at you know, 460. Its because you've seen the pathology revenue growing in that quarter because of the seasonality effect you know, pathology was about 67% of the revenue. That's the reason. A nd also

the other fact is that even in

radiology, because we have opened more and more spoke s in the last one, one and a half year, you've got lots of contribution from basic radiology where the average revenue per test is low, it's more of a mixed change and where you have seen the 2% change on the average revenue per test.

Girish Bakhru: And just lastly, when you said you open more spokes, these are new spokes largely around these two new hubs, right?

Suprita Reddy: Not these two , Girish . So they wou ld be around more of the newer hubs that you 're seeing, like the Rajahmundry hubs, the ones that are coming up in future, I don 't know if you told them already, the edges in geographies, the Gulbarga , those are the areas that you'll be seeing a lot more sp okes add up. Like I told you, we see that when there's an expansion of

Transcript of VDCL Q 2 FY23 Earnings Call Page 9 of 13

geography and Hyderabad or there's a capacity constraint, only then do we add the spoke in the existing geography.

Siva Rama Raju: So in the last one and a half years, the spokes were opened, you know, closer to our existing hubs.

Suprita Reddy: Yes. In rest of Telangana.

Moderator: Thank you. We have a next question from the line of Priya Harwani from Perpetuity Venture LLP. Please go ahead.

Priya Harwani: Thanks for the opportunity ma'am. So I have couple of questions firstly on your plan regarding addition of labs for the next two to three years, like you have already mentioned in last two to three quarters that you'll be adding 15 labs per annum. So is this plan like are you targeting the same this time also?

Suprita Reddy: So Priya, 15 centers is combination of three to four hubs versus rest of them being spokes. So the plan is to continue that and the plan is to continue to open these hubs in the rest of Andhra, Telangana and adjacent geographies and West Bengal. And we are I think going as per plan on that.

Priya Harwani: Understood. And what would be the capex for our second half of FY '23?

Narasimha Raju: So Priya, as we indicated this year is a different financial year with large hub like Panjagutta and Rajahmundry. So that is why we estimated, in the previous quarter that this financial year capex will be somewhere around INR 110 crore to INR 115 crore because of Panjagutta and other large hubs. So already for the first half the capex was approximately INR 89 crore to INR 90 crore. So as per the target, we need to open one more hub and three to four more spokes, which will add up to the guidance of INR 110 crore to INR 115 crore for this current financial year. But I will just add one more point. So we are targeting other hubs like as we mentioned, like Kolkata, Gulbarga, Tirupati which are planned for the next financial year. The work is already going on at these centers in case successfully, we complete these two or three hubs in the last quarter of this financial year for accounting purpose that capitalization might come and sit in this financial year. But that will be good to us because the revenue also will start. So otherwise for the current year guidance of 15 centers, including 4 hubs and 11 spokes, the capex for the current financial year will be around like INR 110 crore to INR 115 crore.

Priya Harwani: Understood. Just one clarification on the guidance part, I think you mentioned 13 to 15% growth going forward, is it?

Narasimha Raju: Yes. On the Non-COVID revenue.

Priya Harwani: Understood. Just one last question, like just sort of curiosity on your Panjagutta and Rajahmundry, how you are seeing demand from the last month in these two facilities?

Siva Rama Raju: So Priya, Panjagutta, we just launched about eight days. And then, Rajahmundry we just completed the third month and the numbers are in....

Transcript of VDCL Q 2 FY23 Earnings Call Page 10 of 13

Suprita Reddy: Line with what we had projected

ected and in fact there's a lot of demand for high -end testing which we did not expect to see so fast. So I think Rajahmundry is definitely given us good vibes and it's in line with what we've projected and Panjagutta, like we've mentioned, it's just been eight days, probably I'll be able to give you a better picture, but we are very confident about Panjagutta's growth also.

Moderator: Thank you. We have a next question from the line of Namit Mehta from KC Capital. Please go ahead.

Namit Mehta: Hi. Congratulations on this quarter. Just one question that I had. When you look at opening new hubs how large must the population be of that town or city for it to be viable? Have you done some sort of calculation around that? Just curious to get a rough sense of that?

Suprita Reddy: Namit thank you so much. And I would say that probably we don't have a formula or we don't look at going to a market with that kind of strategy. But we do look at towns where we see that they're more like district headquarters or there's a Government medical college where you have about 200, 150 kilometers of population coming into that town or a smaller kind of city. So if you look at Kurnool per se, we did not look at Kurnool population wise, but we looked at Kurnool into how much of feeding comes into Kurnool. So we normally look at those, the dense, probably the housing, the affordability of the population in that area, and availability of say two or three medical Government hospitals and one medical college. This is something that helps us understand the market and decide whether a hub is feasible there.

Namit Mehta: Understood. And so just to take Rajahmundry as an example. Can that market take multiple hubs over a period of time? You know, can that scale up to two or three hubs within Rajahmundry or is sort of one hub the max that you can go to in a town?

Suprita Reddy: I would not say that it would take up three hubs as of today, but at the pace at which Rajahmundry is growing, probably it will take up two more hubs going forward. But it has capacity to take in a lot of spokes and the affordability is very high in that particular geography. And we don't have a Vijaya center in a vicinity of 200 kilometers. And the

technology that is there is something that patients were traveling all the way to a Vijayawada to Hyderabad to get that kind of testing done. And that is why we see that the center is ramping up well already, and then you have in a close proximity of Rajahmundry about five medical colleges. That is the basic out view of Rajahmundry, but if you ask me, ma'am, will you add one more up in the next one year ; no, we will give some time for this to actually stabilize and then probably look at adding one more.

Namit Mehta: Understood. Thanks. Thanks so much. That's all from my side .

Moderator: Thank you. We have a next question from the line of Sud hir an individual investor. Please go ahead.

Sudhir : Hi. So my questions are mostly answered, but I have a couple of questions. Say, considering the EBITDA margins moderating now close to the pre COVID level s of around 37% to 40%, can th is be consider ed a sustainable level or do you think this 40% to 44% that we've seen in the last two years is still let's say given on a long term basis? What I'm trying to understand is the cyclicity of the margins. Is this a common phenomenon here?

Transcript of VDCL Q 2 FY23 Earnings Call Page 11 of 13

Narasimha Raju: So as we informed in the earlier communications, we are quite confident on 39% to 40% sustainable margins, in the long run on Non-COVID revenues. So that's what we are confident. And if you talk about, in the short term, there might be a fe w percentage of drag might be there because currently we are expanding with large center formats i n and around Hyderabad, like Gulbarga , Tirupati, Kolkata and also the revenue transition is happening fro

m COVID to Non-COVID. So because of these couple of p oints in the short term quarter on quarter, there might be a drag of few basis points. But what we are confident is this 39% to 40% sustainable margins on Non-COVID revenues going forward.

Sudhir : So, another question is on , do we have the franchising m odel already or we are yet to have that kind of a model? I'm assuming that we have mostly owner operated model at this point.

Suprita Reddy: So Sudhir, we've done a lot of brainstorming on the franchisee model, but keeping this integrated kind of model with both radiology and pathology and radiology being a lot in terms of an opinion that we give rather than something that we get like in your lab, we decided to make sure we maintain this quality and have all Company owned centers, but saying that we are not saying we are absolutely averse to that, but immediately in near future, we've not planned anything and all of the centers that you see today are Company own ed centers.

Sudhir : I'm asking this question because the presentation you said you'll be lev eraging the, this owner and franchisee model.

Suprita Reddy: Like I told you Sudhir , it is not that we are not planning to do it, but immediately in the near future there's enough and more than growth that we see for the Company to start center s. So, we've not , we don't have anything concrete in plan, but if there's something that comes up, it will surely do it.

Sudhir : Yes. So another question pertaining to this, I just wanted to understand how does this auger for the current business in terms of mar gins, assuming your focus, maybe at a later point regarding franchise model.

Narasimha Raju: Currently, what we are expecting, assuming that all the centers are owned by the Company , that on 40% on a sustainable basis. But once we get into a franchisee m odel, you need to leave something on the table for the other partner. And generally what we have seen is that okay, there will be a revenue share mechanism. Something like 20% to 25% and then 70% to 75 . So, if you go with this model, for the centers under franchising model the re will be dip in the EDITDA margins to th at exten t. But the object of doing that is to ramp up the revenue in those new markets quick and also you need not have that management bandwidth in those small format centers. You need not sp end a lot of time there, but you can quickly ramp up in those areas if you go with this kind of model.

Sudhir : So, one last question. This is regarding the new equipment, the dual source CT and the PET CT, MRI, which you already launched it here in Panj agutta branch . So, I just wanted to understand having this high -end equipment, will it add to the topline considering the pricing should be at a premium?

Transcript of VDCL Q 2 FY23 Earnings Call Page 12 of 13

Siva Rama Raju: See we are not going to charge anything premium on the price except for few high en d tests which are not available in the current network. So , on the topline, yes, definitely, Panjagutta is going to contribute a good chunk of revenue in the coming years in the span of next three to four years. But on the pricing front only few tests are where we have the , we are going to have a differential pricing, but all other regular tests will be like normal,

like any other branch.

Sudhir : Okay, so will this new equipment, this high -end equipment will be eventually rolled out into the other reference or hub labs eventually. Is there any exclusivity to Panjagutta branch , since the cost of equipment and probably the rentals should also be on the higher side?

Siva Rama Raju: So as now Sudhir it is only for Panjagutta branch. See, because first of all, Hyderabad itself has got that equipment today, right . And the best part of this equipment is the number of scans, the throughput of this machine is high. For example, if you're doing say something

like 10, 15, 20 scans on a regular machine, you'll be able to do perform the scans quicker with 35 scans per day where the revenue output for each mission, you know, there's a lot of difference.

Suprita Reddy: Also more than that, it's the safety of the patient. This dual source walk -in, walk -out CT basically CT scan is known for little amount of radiation. This is very, very negligible radiation to the patient. So in terms of safety, this is the best equipment that you can have as of today.

Moderator: We have a next question from the line of Aneesh Deora from Nomura. Please go ahead.

Aneesh Deora: Yes. Thanks for allowing the follow up. So I see the revenue per test is around INR 460. I just wanted a sense about how this varies for the radiology and the pathology segment separately ?

Siva Rama Raju: So generally, revenue per pathology test would be in the range of say INR 330 to INR 350 and for Radiology it will be something like INR 1,150 to INR 1,200.

Aneesh Deora: Understood. Okay. And could you just also give a sense on the, how the EBITDA margins vary between these two segments?

Suprita Reddy: Don't look at the center like that Aneesh at all. For us, it is one center, one customer, one prescription. So we've not been able to do a differentiation on EBITDA margins because it's all shared costs. When a customer walks and it's the same biller who will be billing both of pathology, radiology, it'll be the same staff nurse being utilized for both and centre overheads are all shared. So it's difficult to give you on EBITDA margins in that format.

Moderator: Thank you. As there are no further questions, I now hand the conference over to management for closing comments.

Suprita Reddy: I would like to thank everyone for attending this call and showing interest in Vijaya Diagnostics. I hope we were able to answer all of your questions. Should you need any further clarification or seek to know more about the Company , please feel free to reach out to us or to CDR India. Thank you all once again and I hope to see you next quarter.

Transcript of VDCL Q 2 FY23 Earnings Call Page 13 of 13

Moderator: Thank you. On behalf of Vijaya Diagnostic Center Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

Call: Feb 2023

February 20, 2023

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on February 14, 2023.
We are enclosing herewith the 'Transcript' of Earnings Conference Call organized on February 14, 2023 post declaration of unaudited financial results of the Company for the third quarter and nine months ended December 31, 2022.

Please take the information on record.

Thanking you,

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary
M.N o.F11438

Encl.: As above

To,
Listing Department
National Stock Exchange of India Limited ,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
NSE Symbol . VIJAYA To,
The Corporate Relations Department
BSE Limited ,
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street
Mumbai - 400 001
BSE Scrip code . 543350
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Transcript of VDCL Q 3 FY23 Earnings Call Page 1 of 15

Vijaya Diagnostic Centre Limited
Q3 FY 2023 Earnings Conference Call Transcript
February 14, 2023

Moderator Ladies and gentlemen , good day and welcome to the earnings conference call of Vijaya Diagnostic Centre Limited (VDCL) . As a reminder , all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you, and over to you, sir.

Devrishi Singh Thank you. Good morning, everyone, and a very warm welcome to Vijaya Diagnostic Centre 's Q3 and 9M FY'23 earnings conference call. We have with us, Ms. Suprita Reddy – Chief Executive Officer; Mr. Sunil Chandra – Executive Director; Mr. Narasimha Raju – Chief Financial Officer and Mr. Siva Rama Raju – Head Strategy of the Company.
We would like to begin the call with opening remarks from the management

followed by an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Ms. Suprita Reddy to make her opening remarks. Thank you and over to you, ma'am.

Suprita Reddy Good morning everyone. On behalf of the management team of Vijaya Diagnostic Centre, I welcome you all to this forum. I would like to first share the key highlights for the period, following which Mr. Narasimha Raju will take you through the operational and financial highlights of the quarter and nine months ended 31st December 2022.

We are pleased to report that we witnessed steady performance in a quarter that is usually considered dull for the healthcare sector. October and November saw muted volume trends owing to the festive season. This, however, was made up by a significant surge in volumes in the month of December. The third quarter also experienced healthy growth in demand for non-COVID business and we are confident that this trend will continue into the next quarter. Business from Wellness packages has seen a steady growth and it's contributing significantly to the overall

Transcript of VDCL Q 3 FY23 Earnings Call Page 2 of 15

revenues. The segment recorded its highest ever contribution in the previous quarter and did even better in Q3 FY '23, with the contribution of 12.9% of the overall revenue.

This quarter marked the opening of five new centres with the one of its kind Punjagutta facility starting fully-fledged operations from mid-November. This

is

massive centre spanning all of 16,000 square feet, gained good response from the initial days of operations. The newly operational state-of-the-art facility at Rajahmundry also managed to take off and stabilize well and has been receiving good and positive customer feedback.

As mentioned in the previous earnings call, we have transitioned into a comprehensive ERP system that is more efficient and robust. I would like to mention that the transition was successful and has stabilized throughout our network across all centres.

We are undeterred in our resolve to expand to Tier-II and Tier-III cities, in our co-geographies and into untapped neighboring regions. Both internal and external factors were congenial for positive growth, and we stay as committed to our strategy initiated that will propel us to achieve sustainable growth in times to come. In conclusion, I would like to say that with the combination of well-planned strategic initiative and robust inherent strength, we are confident that we are equipped to take advantage of the opportunity for growth and the ever-going demand in the diagnostic sector.

I would now like to invite Mr. Narasimha Raju – CFO who will take us through the operational and financial highlights for the period. Thank you.

Narasimha Raju Good morning and warm welcome to everyone joining us on the call today. I will briefly take you through the Company's operating and financial performance for the quarter and nine months ended 31st, December 2022.

The consolidated revenue for the quarter stood at Rs. 113 crore as against Rs. 111 crore in Q3 FY '22. This quarter being a low quarter for the industry, the Company saw a decrease in its non-COVID test volumes during the months of October and November. However, a strong recovery was observed in the volumes, in the month of December. For example, the non-COVID test volumes, which stood at 0.8 million in October and November increased to 0.88 million in December 2022. Additionally, the shift in the revenue mix from COVID to non-COVID continued in the current quarter. The non-COVID business revenues stood healthy at Rs. 112 crore comprising 99% of our revenue share as against 92% revenue share in Q3

Transcript of VDCL Q 3 FY23 Earnings Call Page 3 of 15

of the last year. Overall, our non-COVID business registered a healthy growth of 9.8% while COVID revenue registered a decline of 89.2% year-on-year basis.

Our Radiology business stood at 36% in the current quarter. The number of footfalls stood at 0.77 million as compared to 0.85 million in the last year, Q3. The number of tests registered a year-on-year increase of 7.3% from 2.32 million to 2.49 million.

The number of tests per footfall has increased from 2.73 to 3.22. The revenue per test was 454 and revenue per footfall was 1,464 during the current quarter.

EBITDA for the current quarter was at Rs. 44 crore as against Rs. 48 crore in the

corresponding previous period. EBITDA margins stood at 39.1% as against 43.2% in last year Q3. Healthy non-COVID revenue coupled with the operating leverage assisted with margin performance despite cost on account of new centres. The Profit After Tax for the current quarter stood at Rs. 16.4 crore, being 14.5%. Here I would like to mention one thing - the PAT percentage is lower in the current quarter as compared to the previous quarter mainly because of two reasons. I) The first one being increase in the depreciation, based on the WDV method on account of newly commissioned large hub centres like Punjagutta and Rajahmundry, during the second half of Q2. Full three months depreciation impact was there in the current quarter. II) And the second reason being the notional interest and depreciation as per Ind AS 116 leases on account of new centres added in this year. H

However, please note that the cash PAT percentage consistently remained healthy at 28% levels.

I will now summarize our performance for the nine-month period ended December 2022. Consolidated revenue stood at Rs. 338 crore as against Rs. 346 crore in nine months FY'22. Non-COVID business increased from Rs. 295 crore to Rs. 331 crore resulting in 12.2% year-on-year non-COVID growth. The non-COVID business comprises 98% of our revenue share as against 85% revenue share in nine months FY'22. Our B2C share stood healthy at 95%. EBITDA stood at Rs. 133 crore as against Rs. 156 crore in the corresponding previous year. EBITDA margin stood at 39.3% and the Profit After Tax was Rs. 57 crore.

In conclusion, I would like to say that overall things are moving in the right direction and the Company remains confident of delivering consistent performance going forward. This brings me to the end of my address; I would now request the moderator to open the line for the Q&A session. Thank you.

Moderator Thank you very much. Ladies and gentlemen we will now begin the question-and-answer session. The first question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Transcript of VDCL Q3 FY23 Earnings Call Page 4 of 15

Rishi Mody So, I have few questions; first one is on the Tirupati hub that you all are putting up, just trying to gauge the market how these opportunities are based, I know you had spoke there, so what sort of metrics you are looking at? And which sort of thresholds did it cross while you all are investing in a hub now? Secondly, how big is the market obviously there, who is the incumbent players that we will be facing and what is our strategy?

Siva Rama Raju Yes, Rishi, we got your question but not in full, there was some disturbance in your voice. But coming to Tirupati, this would be our first centre, right.

Suprita Reddy It's a new geography, Rishi, we do not have a spoke centre in Tirupati, in fact it's a new district. Tirupati is a new district now, initially it was part of Chittoor district.

So, it's a new geography. This will be a flagship centre for that particular area. And again in our model, as this hub stabilizes probably in a year, year and a half, we will look at adding more spokes there. When it comes to the size of the centre, it will be about 15,000 square feet, it has everything from basic pathology to nuclear medicine and a CT and an MRI. The market itself is a huge market, but we will not have an exact number because this district has not been reported, but the unorganized sector is huge. And in terms of organized players, there is no one there, except for the B2B players. And rest of the question we couldn't hear, if you could repeat it, probably I will give you some clarity on that.

Rishi Mody Yes so, the rest of the question was basically what metrics do we track before deciding to enter a new geography, like what gives us the confidence of entering a new geography?

Siva Rama Raju So, Rishi, basically what we see is, the potential for the medical market when we say potential right, the availability of doctors, because for a diagnostic player to go into any market first of all you should have a treating doctor right. So, today if you see Tirupati, you have many players and you also have Oncologists practicing in that market. And that players will not only cater to Tirupati, but it will also cater to nearby districts like Chittoor and I think roughly the population size putting all these two to three districts it should be somewhere around 30 lakhs to 40 lakhs. Apart from that, Rishi what's also happening is you see a drain out from Tirupati to Chennai, but if you have a high-end diagnostic facility, because now you also have treating doctors available, I think we can start

op the leakage and we can capture that market.

Suprita Reddy So, Rishi, the go-to market strategy has always been the population, the affordability, the number of medical colleges, the primary healthcare centres. So, if you look at this district, there are two large medical colleges that have been old Sri Venkateswara Institute of Medical Sciences goes back a very long time. And there is also Tata Medical there. So, we look at those and mainly the affordability and the kind of clientele, so this is what drives us to select a geography and this is something

Transcript of VDCL Q 3 FY23 Earnings Call Page 5 of 15

that we have been looking for quite some time. And usually to find the right place in the right district is a challenge and we did, so we immediately grabbed that and the centre is almost ready. In fact, we would probably see it start off in the early next month.

Rishi Mody So, coming on to our importance of doctor's right, so one proposition where we attract doctors is our capability of having super specialist radiologist on our book.

So, in the last one year what are new specialties have we entered into and what hiring's have we done in this super specialist, radiologist based on, how have we gone and marketed that to our connections?

Suprita Reddy So, Rishi, the talent pool that we have in fact are all there, so if you look at the radiologist today of more than a 120 of them, both part-time and full-time consultants, each one would be specialized in certain fields. In fact, recently one of our radiologist was appointed as the President of the Head and Neck for all over India, because she is a Head and Neck Radiologist. Same way we also have Pediatric Cardiology, Pediatric Radiology. So, wherever we do, because of the tele network that we have, these radiologists pick up the pool of cases irrespective of the geography, these are the consultants who report those cases. That itself is marketing because they are actually specializing in that field and reporting that case irrespective of the geography which has actually made the business grow in radiology. And we have multiple doctors like this who sub-specialize in different fields.

Siva Rama Raju And Rishi, I think the strategy going forward is anyways we would be adding some test year-on-year, but more than that we are introducing the same expertise that we were giving to Hyderabad market to newer markets now, like for example Rajahmundry now, Tirupati and next is Gulbarga and few areas of Kolkata. So, it's really the same of what we are doing now to a newer geography.

Moderator Thank you. We will take our next question from the line of Prakash Kapadia from Anived Portfolio Managers. Please go ahead.

Prakash Kapadia could you share the three-year non-COVID CAGR for the quarter or year-to-date basis, do you have that handy?

Siva Rama Raju Yes, Prakash. So, see at a quarter level if you take 3 year CAGR on non-COVID revenue, we are roughly around 8.5%, but the encouraging thing is that if you actually see December to December, right that is December 2019 to 2022, so the growth was around roughly 11.5%. I think that is something encouraging, and we are seeing the traction after December also.

Prakash Kapadia And what do you think will drive higher growth, because as you have said the December quarter is 8.5 and year-to-date if you take the three-year view it is 11.5%.

Transcript of VDCL Q 3 FY23 Earnings Call Page 6 of 15

So, from our perspective it's going to be illness segment, wellness segment, cross-selling to existing customers, going more deeper in our core markets or East being larger, so what actually will get us to that 12% to 14% kind of revenue growth on a steady

state basis or on a sustainable basis.

Siva Rama Raju So, I think Prakash, it's a mix of multiple things, so if you actually see, in the last three financial years from FY'21, FY'22 and FY'23, due to COVID the Centre addition didn't happen as per our plan because of COVID. And in our business the addition of centres is also important for the revenue growth. So, if you see the maximum CAPEX that we deployed happened during some Q3 of FY'22 to FY'23 that is like last one year.

So, I think with this, this also add for our revenue growth in the coming year apart from that the focus on wellness, and the focus on the newer geographies and also addition of tests and modalities. For example, we used to have only one PET-CT in Hyderabad, where there was a long wait time, but now we added the second PET-CT and it is doing well. I think the addition of these modalities with new geographies and with whatever Centre addition that we are doing, I think will help us grow.

Sunil Chandra So, if you look at where we started, at the time of IPO we were at probably about 86 to 87 centres and very rapidly we have now got to a number of about 117

centres, we have 27 hubs, 90 spokes as of now. Obviously this was done during a period of COVID transition so some of these centres have been setup in the last 12 months. So, really what is happening right now is, we are seeing this completion of non-COVID kind of phasing out, non-COVID is coming back to normal. Same time you are seeing a lot of these new centres that are still in the initial ramp up phase, they have been opened in the last six, eight, nine months. And some of the large hubs obviously have been opened in less than three, four months ago, Punjagutta and Rajahmundry also opened, again less than six months. So, I think maybe Q4 will give you a better idea, but I think going forward next financial year we are quite confident that growth coming from new centres as well as even the normalization of existing centres. So, I think growth will get back to more traditional growth rates, which are higher.

Prakash Kapadia Higher than what we have seen in the quarter.

Prakash Kapadia And you know any change in consumer behavior post-COVID, we have seen in terms of fatigue coming in because I would guess consumers who would be more aware, post-COVID, but that doesn't seem to be translating for not only us but across players in the diagnostic business. So, what is actually hitting revenue growth?

Sunil Chandra So, we have seen a little increase in wellness, as I think Suprita mentioned that's directly a function of more people staying a little more health conscious. Now beyond that of course again, our business model, we have integrated our test menu

Transcript of VDCL Q 3 FY23 Earnings Call Page 7 of 15

goes both pathology, radiology we do high-end imaging. So, we are not so dependent only on wellness, but I would say, yes as of now we have also seen a slight increase in wellness which is a function of maybe post-COVID.

Prakash Kapadia And you see changes in competitive landscape or pricing which we have seen, is it gone worse, is it better, is it same from a competitive landscape perspective, any thoughts of any price changes at our end? And what has been the technology spends in the last 12 months for us?

Sunil Chandra Okay, two questions, on competition obviously there has been some amount of competition, lot of players coming in, in the unorganized sector also, maybe due to COVID related, they saw an opportunity there. However, they are not really having significant impact, I think some of them may not be able to sustain longer term, but in the shorter term yes there is some, little bit of competitive intensity and that is across the country, I mean it's not just in our markets.

Prakash Kapadia

But shouldn't that you know, it's like counterintuitive, that should stop with growth rates slowing down, that should start hitting them right, because if they have come in a period where growth was super normal and now that super normal growth has gone up, so they should feel the pressure, right.

Suprita Reddy It is showing Prakash, but probably it will take some time for that to come to light, right, it's only been a year since probably COVID is done and you saw mushrooming of hundreds of unorganized players putting in CT scans, in fact some of the houses became CT centres. But we are gradually seeing in fact, especially from the equipment companies, when we see the number of refurbished machines up for sale, it basically signals that that many number of centres are also not doing well. But it is probably not just going to happen in one year, but over a period of say a couple of years. And this is both right in terms of both pathology and radiology, so we will just have to probably wait it out and see. And to answer your second question in terms of IT costs, I think Raju will answer that.

Narasimha Raju Prakash, as you know in the current year, we implemented the new ERP billing software. And also, in the next few weeks we will be rolling out the mobile app also. With this type of initiatives approximately like a Rs. 2 crore CAPEX was incurred on these type of initiatives, on the IT initiative.

Sunil Chandra And just to add, we did not change our pricing, so

Prakash Kapadia I was saying on the pricing point, we have not changed the pricing, but have we seen an increase in competitive intensity or the noise levels remaining same or increasing or decreasing by new age players or competition?

Transcript of VDCL Q 3 FY23 Earnings Call Page 8 of 15

Suprita Reddy Prakash, I have answered this even in the previous call, so there is a certain clientele especially in all geographies that's completely price sensitive. Now if you ask me was that our clientele, I will probably say they would have never been our clientele, because we were all of about 15% market share, even in our geography where we are in Andhra, Telangana, and that's a long way for us to go and that price sensitive clientele is always going to be price sensitive. So, there is a different segment so we

have not seen big noise in terms of price per se, because of the quality and the service and the entire experience that we give. But like I told you, there is a lot of unorganized sector competition there and we will have to wait it out and see, but we have not changed our strategy or pricing. And we will continue to do the same for the next few quarters.

Moderator Thank you. Our next question is from the line of Cyndrella Carvalho from JM Financials. Please go ahead.

Cyndrella Carvalho So, ma'am just wanted to understand if we look at last 24 months growth, excluding the new centres versus mature centres and a three-year CAGR if we have that available with us.

Siva Rama Raju So, I think Cyndrella the best way to see is three years CAGR which I have just told, so it's close to about 8.5% on a quarter level versus almost 11.5% from December to December. Because, with the centres that have opened in last 24 months because of COVID, non-COVID mix multiple times, you know the entire revenue at the Centre change. So, hence it would not be correct to compare at this point in time.

Cyndrella Carvalho So, excluding the last 24 months, new centres which we have opened, if we exclude that then what is the mature or the earlier centre growth, I mean if we have ...

Siva Rama Raju So, Cyndrella, so if I just take on non-COVID to non-COVID, so roughly about 5% to 6% of revenue, when I say same store sales growth we have to only consider centres that have opened like one year, before December

31st, 2021, right. So, these centres

gave us a growth of 7%, and the remaining 3% growth that we got was from the centres that we have opened in last one year.

Cyndrella Carvalho And coming to the non-Hyderabad market, how are we seeing this, is there any update in terms of demand, are we seeing the same kind of footfall in terms of our newer centres and extended market, can you help us provide some color on the same?

Siva Rama Raju So, Cyndrella, we are currently at the same levels, because Rajahmundry like centre that we opened just three months back and investments that we are making into Vizag, Tirupati, all this is going to come up now. I think we will be seeing improvement from the next financial year onwards, but currently the centres in

Transcript of VDCL Q 3 FY23 Earnings Call Page 9 of 15

Hyderabad and also outside Hyderabad, they are growing at the same pace. So, hence we are not seeing any big change in a mix because like previously also 83% of revenue was coming from Hyderabad, even now we are getting 83% of revenue from Hyderabad. Maybe in the years ...

Suprita Reddy You know that's the percentage, Cyndrella in 2022 vs. a year till now in fact has been a little like a rollercoaster, it's not normal. So, probably the COVID, non-COVID, quarter-to-quarter, so we are waiting for some amount of normalization, post-COVID. And like Siva said, Rajahmundry is the only hub centre that we started, it's about four or five months old. And it's behaving in a way it should and we are seeing growth happen, but I will probably be able to give you a better picture in the next call that we will be meeting, in terms of trend.

Cyndrella Carvalho And any color in terms of the all these new additions where should we see a full ramp-up, the ideal timeline should be 18 to 24 months is the correct way to look at, in terms of full ramp-up of these newer centres coming up?

Narasimha Raju So, Cyndrella, as we mention ed, for the spokes you need entry like one to one and a half year, to look at the full ramp-up revenue. And for the hub centres typically you need at least like a two year, but for hub specifically like Punjagutta and Rajahmundry, it will take slightly more time like at least like a three years to three and a half years' time. And if you look at the performance of the centre that we opened in the Q1, whatever centres that we opened, it's like six months old right now, so all of them achieved the P&L, EBITDA breakeven as per our expectation. And coming to the centres...

Cyndrella Carvalho We are tracking well...

Narasimha Raju Yes, so the Q1 centres whatever we opened they are six months old now. So, as per our expectation, the P&L positive EBITDA is achieved already. And even for the second quarter whatever we opened, right, so the bigger centres like Rajahmundry and Punjagutta, those are also going as per the expectation, like Rajahmundry, it will take one more quarter for achieving the positive EBITDA, and also for Punjagutta, I think it will take two more quarters, to achieve the positive EBITDA. Other than that, even the spokes and the mini spokes, what we opened in the Q2, already we are seeing a positive EBITDA.

Moderator Thank you. The next question is from the line of Rishi Mody from Marcellus

Investments. Please go ahead.

Rishi Mody So, I will just continue on my question that I asked, so I just wanted to know what sort of new test additions that we have done, right, basically, any new field that we have entered into in the last one year?

Transcript of VDCL Q 3 FY23 Earnings Call Page 10 of 15

Suprita Reddy Yes, Rishi, so in terms of new test addition, we have added a lot of immunohistochemistry markers and flow cytometry

entry is something that we are

concentrating on. And also in the Department of Nuclear Medicine and PET-CT we have started high-dose therapy, and we have also added PSMA in a variety of scans now. So, again, it's something that just started about a month, month and a half back, and we have seen good numbers coming in from there too. So, these are some of the super specialized tests that we have added, other than normal specialized test, about 15 to 20 test gets added in the entire test menu, almost every quarter.

Rishi Mody And what sort of hiring have we done on the radiologist front to support these new test menus or is our current base capable of providing that specialized ...

Suprita Reddy No, the current base is capable of doing that, but also we do keep hiring the pool of radiologists because like we said more centres have ultrasound in it, so as and when we find good talent we add them to the pool so that there is extended hours of service in these smaller spokes.

Rishi Mody Understood. And I saw that we closed one centre in this quarter. So, which centre was this and what was the reason like?

Suprita Reddy This centre was Somajiguda and the decision to do that was because Panjagutta opened and this is just 100 meters from there. So, it did not make sense in having one very large 16,000 square feet flagship centre and a smaller centre like Somajiguda. So, we closed that centre and the equipment from that centre was shifted to one of the existing centres.

Rishi Mody And that centre was I am guessing not, below par performance, right.

Suprita Reddy Yes, moderately well, but it's pretty close to the centre.

Rishi Mody Yes, last on the mobile app right, we have been hearing for the past few quarters and it's still not out. So, what's leading to these hiccups and getting delayed, because I think we are the last ones in the incumbent players to come out with a customer-centric app.

Suprita Reddy Rishi now there are two ways of looking at it, we could just roll out any app and say we do have an app, we are in terms of perfectionist when it comes to certain things that we do. And look at all the other players probably we are the highest B2C Company with 95%. So, the moment we are going to release that app and I am going to say you can view your reports, you are looking at suddenly 10,000 people downloading and trying to use it. So, the first thing was the backend ERP stabilizing which happened probably in the last 15 to 20 days. And then we have been testing this app extensively. Like I told you, for us, just the existing customer base downloading it itself is a huge number. And radiology is something that we will have

Transcript of VDCL Q 3 FY23 Earnings Call Page 11 of 15

to integrate. So, the others will only have a pure pathology, they can view it. Now there is a concern of showing a DICOM image to a customer, I cannot say I will only showcase the pathology reports to them. So, we said let's go all out 100% when we are very confident. So, probably 2 weeks from now, we will see that.

Moderator Thank you. Our next question is from the line of Aashita Jain from Nuvama Group. Please go ahead.

Aashita Jain My first question is, how are the trends looking in January right now? And are you still maintaining your revenue guidance of 14% to 15%?

Narasimha Raju So, Aashita if you look at the 9 month's growth on the non-COVID, it is in the range of like 12.2%. And the current month, last month performance was good as we explained, even though October and November was low; the December uptick was there, like 0.8 million to 0.88 million we have seen the growth in the non-COVID volume. We expect the similar trend will continue in the Q4, but since this is the last quarter, I don't think it will be right to comment on the exact guidance for the

he

Q4, being this financial year closure. But we expect the growth momentum that's happening in the December will continue till March. And also, we expect in the month of March a good volume from the health and wellness segment also generally that's what we have seen during the first end of March.

Aashita Jain Secondly when I look at your centre addition, so we are already tracking way ahead

from what we had guided earlier. So, how are you looking at your expansion plan say for the next 2 years?

Narasimha Raju So, for the coming year Aashita, as we gave the guidance, we are targeting for the 4 hubs and 11 spokes. Again, out of these 4 hubs, as we mentioned already, the work is progressing at the Kolkata, Gulbarga. And Tirupati anyhow we are opening it in the current financial year itself, in fact in this month itself which is planned for the next financial year. One more hub need to be finalized and then we will be opening 10 to 11 spokes. So, for the next two financial years, we should be targeting in the same way 15 centres each year. Again, when I am opening the spokes, depending upon the requirement we might open like the mini spokes that we opened in the current financial year which will in fact in a span of like 1 to 2 years, depending upon the requirement, we will upgrade them with the entire basic radiology equipment like with ultra sound so that they will work as a full-fledged spoke centre.

Aashita Jain And what is your geographical focus area, it will be AP, Telangana mostly or you are going to go deeper in West Bengal?

Suprita Reddy So, Andhra is going to be the core focus, in fact you have seen all these hubs coming up also Rajahmundry is Andhra, Tirupati, so even the rest of the lineup is in adjacent

Transcript of VDCL Q 3 FY23 Earnings Call Page 12 of 15

geographies Gulbarga comes under Karnataka. So, the focus is going to be on adjacent geographies and Andhra. And like we have mentioned earlier Kolkata is getting ready once that flagship is ready we would be adding a lot more spokes in and around that centre. So, the focus is basically Andhra and East India and adjacent geographies and of course Hyderabad our core markets wherever we see opportunity we will be adding incremental centres in this geography also.

Moderator Thank you. Our next question is from the line of Aditya Khandelwal from Securities Investment Management. Please go ahead.

Aditya Khandelwal So, if you could just help us understand about the customer cycle of the people in a base market in Hyderabad or South of India. So, are the people over there more brand conscious and will continue to visit Vijaya or any other south based player which are known here? Or they are more price conscious and will look at try out new players who might provide test at a cheaper rate?

Siva Rama Raju So, I think Aditya every market will have customers with different choices, there will be price conscious customers at the same time, there will be brand conscious customers right. For example, when we are going into new geographies something like Rajahmundry that we have gone, so the initial ramp up was very good, maybe for an unorganized player if they go into that geography the ramp up would be something different, right, it's because not only the patients but also doctors are sometimes quality conscious. The brand in healthcare is nothing but quality, right. So, I think not only South anywhere I think in India, you have multiple clientele who are both price and then quality conscious. And the second thing is in healthcare today even in India 90% of the healthcare testing happens on need based. I think when a person is in need, quality plays over the price.

Suprita Reddy Quality and also trust, Aditya because when probably you are lined up for a surgery, the time when I don't think

that person would be looking at discounted players on who would give you test, rather than go to the best, because anyway your focus is on getting operated. So, it's both trust and quality, I think that will be sustainable and grow the business in the long run. In fact, if you look at Vijaya going into these Tier-II towns, the strategy has always been to have a standardized report, whether it is in pathology or radiology. So, irrespective of a customer getting an MRI done or a CBP done in Rajahmundry versus getting it done in Hyderabad, it could be one and the same. So, it does not mean that we would offer different services or standardization or quality of report is varying in different geographies. And that has been the strongest factor for growth of Vijaya.

Aditya Khandelwal No, the main reason for asking the question was are the people in South since the literacy rate or the income level will be different from North, so is there any pattern that we have witnessed that they are more brand conscious, the people in South are more brand conscious than people in the North?

Transcript of VDCL Q 3 FY23 Earnings Call Page 13 of 15

Sunil Chandra Not really Aditya, I don't think there is any data to suggest anything of that sort. And if you look at of course, business model we are integrated, but if you take other chains, the pathology chains, everybody is from a different region. But usually, this business has always seen that the organized players have certain markets where

they are quite strongly, you know the brand is recognized more strongly and you kind of look at that as their home market. So, the diagnostic sector itself has seen that different chains have their own home markets.

Suprita Reddy And strengths there.

Sunil Chandra And these are not just South, there are people from the South, North, West, East so I don't think there is any such difference in how people behave.

Aditya Khandelwal Secondly, if I look at the growth rate in your total number of centres, they have grown over a 31% year-on-year, but when I look at your non-COVID revenue growth the same has been lower at around 10% to 11%. So, I know this new centre takes time to ramp up, but just wanted to know from you, revenue growth in the new centre as per our expectations or do you think that the competition or some other factors, the growth has been slower.

Siva Rama Raju So, the growth in new centres is as per our expectation Aditya, but the thing is like majority of these centres were opened in last one year, means I would say majority of the CAPEX, because in the numbers you may see some number coming in the last year also, but if you see considerable centres had opened in the current financial year and mostly in the last two quarters. So, this will take some time to add up. We hope all these centres would add up to the business in the coming years.

Aditya Khandelwal Last question, there has been a decrease in the revenue per test QoQ, even though our share of radiology has increased. So, any particular reason for the same?

Siva Rama Raju So, it's basically because of the increase in the wellness, if you see the wellness revenue from Q2 to Q3, in Q2 it was roughly around 12.2% or 12.3% versus 12.9% now. So, it's because of the increase in wellness, the average realization per test decreased by Rs. 6 quarter-on-quarter.

Moderator Thank you. Our next question is from the line of Anubhav Sahu from MC Research. Please go ahead.

Anubhav Sahu I am just trying to delve in a little more in the pricing front. So, just want to understand that the new centres typically in the Tier-II cities and all could be discount say compared to what we offer in Hyderabad.

Siva Rama Raju Yes, there will be a discount of say 10% to 15% depending upon the geography.

Transcript of VDCL Q 3

FY23 Earnings Call Page 14 of 15

Anubhav Sahu And if we look at a mature centre, let's talk about Hyderabad are there any categories in which we are able to increase price, either in radiology or pathology or is it the case that we are waiting pricing to stabilize and focus more on volumes.

Siva Rama Raju So, first thing, Anubhav, so it's basically like the policy of Vijaya basically is that we want to, if you see our vision and mission statement itself, is that we want to get the healthcare at affordable price at the same time we don't compromise on the quality. So, if you see not now, even in the last 5 to 6 years I think the pricing increase we did was whenever there were some increase in the reagent cost or other input cost is when we increase the prices. Generally, we don't take a price increase year-on-year across the test menu, but there were times in the last one or two years also whenever some input price, for example, if you take MRI, so 3 years back MRI was at Rs. 7,000 now we are charging Rs. 7,500. So, whenever we see the input price rising, we will not do a larger increase, it will be something like in the range of 3% to 5% on that particular test. But at a Company it would be around say 1% to 2% is what we have seen in the last 3 to 4 years.

Anubhav Sahu I got it, I think largely it compensates for the input cost pressure. And will it be possible for you to get a breakup for the wellness packages in terms of both pricing and volume, the growth which we are having in this category.

Siva Rama Raju See basically if you see our Wellness, none of our packages have only pathology, it's a mix of both pathology and radiology that's the reason even our ticket size is large.

So, roughly we get about Rs. 2,700 per package. So, we have packages starting from say Rs. 1,200 to Rs. 1,300 till Rs. 11,000 to Rs. 12,000 so on an average we get about Rs. 2,700.

Anubhav Sahu Secondly on the CAPEX front, I think we have CAPEX outlay for Rs. 115 crore. Is that outlay for fiscal '23 been revised upward because the Tirupati hub centre is coming up. How are we on that part?

Narasimha Raju So, Anubhav, we have mentioned earlier that Rs. 115 crore CAPEX is required for 4 hubs and the 11 spokes and also considering the mini spokes. And that to, this year we opened Punjagutta and Rajahmundry. So, the guidance for this type of network addition is Rs. 115 crore. So, apart from that Anubhav what we have done at few select locations wherever there is a good demand for the radiology business, either like a basic radiology like an ultrasound, x-ray or in one location, one MRI or a CT, we add it at a few select locations, okay, depending upon the business requirement

so that estimate is approximately like a Rs. 14 to Rs. 15 crore. So, apart from the Rs. 115 crore CAPEX estimate for the new centres that are planned, another Rs. 15 crore for the radiology equipment that we have been buying for the existing network. So, this is the CAPEX for the current financial year. And out of the CAPEX for the next financial year, out of the Rs. 80 crore expected CAPEX for the next financial year, Tirupati centre, fortunately it is getting launched in this current

Transcript of VDCL Q 3 FY23 Earnings Call Page 15 of 15

month. So, that CAPEX would be, that should be considered as part of the next year CAPEX. And also, one more point to just add, this entire CAPEX is getting funded through the internal cash accruals. And if you look at overall the cash balance that is healthy at Rs. 240 crore plus levels in spite of this Rs. 115 crore CAPEX estimate for the current network expansion.

Anubhav Sahu And can you just remind me, how much of our CAPEX accrued for the equipment, I think a bit

of it is for equipment, but what is the total percentage?

Narasimha Raju Significant amount will be towards the radiology equipment. Say for example, if we are doing like a Rs. 15 crore CAPEX for a centre, almost close to like Rs. 12 crore to Rs. 12.5 crore is towards the equipment.

Moderator Thank you. As there are no further questions from the participants, I now hand the conference back to the management for closing comments.

Suprita Reddy I would like to thank everyone for attending this call and for showing interest in Vijaya Diagnostic Centre Limited. I hope we have been able to answer all your questions. Should you need any further clarification or would you like to know more about the Company, please feel free to reach out to us or to CDR India. Thank you once again for taking time to join the call and see you all next quarter.

Moderator Thank you. On behalf of Vijaya Diagnostic Centre Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jun 2023

06th June 2023

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on May 30, 2023 .

We are enclosing herewith the Transcript of the Earnings Conference Call organized on May 30, 2023 post declaration of audited financial results of the Company for the fourth quarter and financial year March 31, 2023 .

Please take the information on record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: As above

To,
Listing Department
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Exchange Plaza,
Bandra Kurla Complex,
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Transcript of VDCL Q 4 FY23 Earnings Call Page 1 of 20

Vijaya Diagnostic Centre Limited
Q4 & FY 2023 Earnings Conference Call Transcript
May 30, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Vijaya Diagnostic Centre Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, Mr. Poojari.

Anoop Poojari: Thank you. Good morning, everyone, and a very warm welcome to Vijaya Diagnostic Centre's Q4 and FY23 earnings conference call. We have with us Ms. Suprita Reddy – Chief Executive Officer, Mr. Sunil Chandra – Executive Director, Mr. Narasimha Raju – Chief Financial Officer, and Mr. Siva Rama Raju – Head Strategy of the Company.

We will begin the call with opening remarks from the management, followed by an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has

been included in the earnings presentation shared with you earlier.

I would now like to invite Ms. Suprita Reddy to make her opening remarks.

Suprita Reddy: Thank you, Anoop. Good afternoon, everyone. On behalf of the management team of Vijaya Diagnostic Centre, I welcome you all to this forum. I would like to first share the key highlights for the period, following which Mr. Narasimha Raju will take you through the operational and financial highlights of the quarter and year ended 31st March 2023.

I am extremely happy to announce that the fourth quarter was characterized by outstanding performance, recording the highest-ever revenue from the Non-COVID business. We have witnessed a significant year-on-year increase in demand for the Non-COVID business across both radiology and pathology segments, reinforcing the strength of our integrated model.

Revenue through B2C business was 95% during the Q4 FY23. And we firmly believe that at the

Transcript of VDCL Q 4 FY23 Earnings Call Page 2 of 20

B2C model has played a major role in enabling us to sustain our margins in spite of opening large hubs this year. Moreover, a leading position in the B2C market has enabled us to surmount challenges with ease and leveraged the benefits of our well-established brand. Business from the wellness segment was consistent in its growth trajectory, recording positive results all throughout. The quarter witnessed the highest ever contribution of 13.4% to our revenues from wellness.

I am indeed glad to announce that the quarter marked the inauguration of the state-of-the-art hub in Tirupati, Andhra Pradesh. Spanning over 10,000 square feet, the centre is equipped

to perform advanced radiology investigations and has top-class equipment such as the 3 Tesla MRI, CT scan, Gamma Camera and a fully automated lab. Despite it being a relatively new location, we are glad to share that the customer response and the acceptance of our brand has been phenomenal.

Our hub centres at Punjagutta and Rajahmundry have successfully garnered the trust and the loyalty of customers in a very short span of time and have demonstrated consistent month-on-month growth even in the midst of all this competition. I am extremely happy to announce that both these centres have achieved the breakeven in a very short span. Rajahmundry in nine months and Punjagutta in six months from the commencement of operations. This achievement reaffirms the effectiveness of our strategic plan for business expansion, which we will continue to follow in the years to come.

In terms of digital initiatives, the comprehensive LIMS that we implemented recently has completely blended into our system of operations and is being used without hassle across all our centres. With the fulfilment of this major milestone, we have streamlined operations and enhanced efficiency that much more throughout our vast network of centres.

Advancing steadily towards our undeterred aim to offering patient convenience and a holistic patient experience, we successfully developed and launched a very robust and easy-to-use mobile app that provides an enhanced patient experience. This one-of-a-kind mobile app is available for every investigation, both in radiology and pathology alike, making it unique in the diagnostic space. Moreover, we have completed a successful rollout of a fully functional e-commerce website.

Guided by a well-thought-out expansion strategy, Vijaya has significantly strengthened its footprint in FY 2023, successfully surpassing the target of the 15 centres for the year. Our business strategy is backed by the idea of setting up large-sized hubs supported by smaller-margin accretive centres to ensure profitable business and better operational and financial performance in the years to come.

Transcript of VDCL Q 4 FY23 Earnings Call Page 3 of 20

Our well-planned strategic initiatives of the digital transformation of business operations and patient service, opportunity study-backed approach for expansion into newer geographies and consistent concentration of efforts towards effective enhancement of the overall footprint will pave the way for achievements and a sustainable growth in the years to come. Our resolve to never lower the bar on the standards of quality and to offer the best possible customer experience while adopting the most advanced technology at all times will strengthen our capability of capitalizing on the immense opportunity for growth in the diagnostic space.

I would like to invite Mr. Narasimha Raju, our CFO, who will take us through the operational and the financial highlights for this period. And thank you all.

Narasimha Raju: Thank you, madam. Good afternoon, and warm welcome to everyone joining us on the call today. Before taking up the specific operating and financial performance, I would like to share a few updates about Q4 and also FY23.

I am very happy to inform you that we achieved highest-ever Non-COVID revenue growth of 22.4% year-on-year for Q4 and 14.7% for FY23. And again, this growth was driven by volumes. We maintained healthy EBITDA margin performance in the range of 40%, despite opening large hubs in this financial year. We crossed key milestones of processing more than 1 crore number of tests in this financial year.

Now I'll briefly take you through the specific operating and financial performance for the quarter and year ended 31st March 2023. The overall consolidated revenue for the quarter stood at INR 121 crore as against INR 116 crore in Q4FY22. The non-COVID business revenue stood at INR 120

crore, comprising 99% of our revenues as against 85% in Q4FY22.

Our radiology business stood at 36% in Q4FY23.

During the current quarter, the Company witnessed year-on-year as well as quarter-on-quarter growth in the non-COVID test volumes. The number of tests registered a year-on-year increase of 11% from 2.45 million to 2.71 million. And further, the number of test per footfall has also increased from 2.55 in Q4FY22 to 3.37 in the current quarter. The revenue per test was INR 447 and the revenue per patient footfall was INR 1,504 during Q4. EBITDA for the current quarter stood at INR 49 crore compared to INR 48 crore in the corresponding previous period. The EBITDA margin was 40.6% in Q4FY23.

The profit after tax for the current quarter stood at INR 27 crore. Here, I would like to inform you that with effect from 1st January 2023, the Company has changed its method of depreciation on all property, plant and equipment from WDV method to straight-line method, after evaluating the usage pattern of our equipment and also considering industry practice in healthcare, more precisely hospitals and diagnostics, which use radiology equipment. Due to this change, the depreciation expense is lower by INR 90.4 million and

Transcript of VDCL Q 4 FY23 Earnings Call Page 4 of 20

PAT is higher by INR 67.7 million for the quarter ended and year ended 31st March 2023.

Please note that there has been no change in the depreciation expense already recognized up to the period ended December 31, 2022.

Cash and cash equivalents stood at INR 255 crore as against INR 247 crore as of the end of March 2022.

I will now summarize our performance for the twelve months period ended March 2023 :

The Company has recorded year-on-year non-COVID revenue growth of 14.7% in FY23, which was again mainly driven by volumes. The total consolidated revenue stood at INR 459 crore as against INR 462 crore in FY22. The contribution from COVID and COVID-allied tests has come down from approximately 15% of revenue in FY22 to just 2% of revenues in this current financial year. Our B2C share stood healthy at 95%. EBITDA for this year stood at INR 182 crore as against INR 204 crore in the corresponding previous year. EBITDA margin stood at 39.6%, and profit after tax was INR 85 crore.

I am happy to inform you that the Board has recommended a dividend of INR 1 per equity share of INR 1 each, that is 100% dividend for the current financial year 2022-2023, subject to approval of the shareholders in the coming AGM.

To conclude, I would like to say that the Company is optimistic about the ongoing progress and remains confident in delivering consistent performance in the future. This brings me to the end of my address.

I would now request the operator to open the line for the Q&A session. Thank you.

Moderator: Thank you very much. The first question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: My main question is the depreciation methodology change. What is the logic behind changing the depreciation methodology?

Narasimha Raju: Rishi, I'll explain this. As you know, in the current year, we have added many centres, like almost close to like five hubs, with state-of-the-art facilities where a large capex is involved.

So in the current year, almost close to like INR 135 crore capex was involved, and then we added almost close to like 28 centres. And just like any financial year, at the end of the financial year, we need to evaluate the significant accounting estimates and consider significant capex and adding of the new centres across the geographies, we have evaluated the depreciation policy, and we felt that the straight-line method is more appropriate to follow.

So I'll just explain the rationale as well. As you know, in our business, radiology equipment

Transcript of VDCL Q 4 FY23 Earnings

Call Page 5 of 20

forms part of the majority of the capex that is involved. And this radiology equipment, be it like an MRI or a CT or an ultrasound, basic radiology equipment, the ability to do the scanning remains the same across the useful life of 10 to 13 years. So generally, this radiology equipment, more like the entire diagnostic equipment, the useful life is almost close to 13 years. If you are following the WDV method, the rate that we are applying is 20.5%. So, in just the first three years itself, you will end up depreciating 50% of the asset value. But we know that the useful life is 13 years, and the consumption pattern from these assets is linear. That is what I mean to say is you'll be able to perform similar number of scans across the entire useful life, be it like in the first year or be it like at 10th year. So that's the reason why we felt that it's more appropriate to go and choose a straight-line method depreciation where the depreciation rate is 7.3% as compared to 20.5% in case of WDV. Okay, say, for example, at the end of 6th and 7th year, you would have depreciated 50% on a straight line, which is like 50% of the useful life is completed. But under WDV, within just three years, we are ending up depreciating 50% of the useful life, which is not correctly reflecting the pattern in the P&L.

And second thing is, we also analyze the industry practice in healthcare, particularly in hospitals and also the diagnostics which are focused in radiology, okay the capex; they are all following the straight-line method depreciation. But the diagnostic companies who are focused on pathology, where there is no significant capex is involved, WDV method is being followed.

Suprita Reddy: Also Rishi in the past, what we used to do is we used to swap the equipment under buybacks after six to seven years to introduce the latest technology. But since it's all very high-end equipment and a capital intensive, the OEMs come up with latest technologies where there's an option to upgrade to a new technology without changing the equipment. So, we have upgraded a couple of centres in the last two years. That's also the reason why the team felt that this was the right thing to do at the moment.

Rishi Mody: Yes. But I am sure this phenomenon is not new, right? You all have been using WDV for since inception. And Narasimha, you have been at Vijaya for over five years now. So why change it in this quarter? Like why. ...

Narasimha Raju: I'll explain that, Rishi.

Rishi Mody: The timing seems a bit off.

Narasimha Raju: Yes, sure, I'll explain that. So as I informed, this is the first year where we incurred almost close to about INR 100 crore capex. In the previous years, if you look at, okay, less than INR 25 crore to INR 30 crore capex was involved and not a very large facilities like your Punjagutta, Rajahmundry, etcetera. So, we re-evaluated the current accounting policy of the depreciation. And then considering these many hubs that are coming in this current

Transcript of VDCL Q 4 FY23 Earnings Call Page 6 of 20

financial year and also the plan is to open, I think, like 14 to 15 centres, and all these centres will have both the pathology and the radiology equipment, considering that we have changed this method from WDV to straight-line method. And also, during the year end that anyhow we have to evaluate the accounting policy. So that's the reason why it was done in Q4. And whatever was already accounted in the first three quarters, that was not changed. Since it is a change in accounting estimate, it is done under prospectively. So that means that it's done from 1st January 2023.

Rishi Mody: Okay. Alright Narasimha, I'll reach out to you later ...

Narasimha Raju: Sure Rishi.

Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.

Cyndrella Carvalho:

Thanks for the opportunity and congratulations on a great set of numbers. Ma'am what will be our vision now going ahead in these coming two years? What are the hubs that we intend to open? Because we have the success of Punjagutta and Rajahmundry with us now, and it is in the numbers, and we should see increasing contribution from these new centres also. But what is the thought process in terms of expansion over FY24 -FY25? If you can help us understand.

Suprita Reddy: I think the guidance does not change like we've been saying that the strategy is to open those 15 centres. It's only the mix that changes between the hub and spoke. So last year saw five hubs coming in, I think, instead of four. And going forward also, we would be doing about four to five large hubs, again, in newer geographies like Rajahmundry. We would be

probably looking at Kolkata as our major expansion plan strategy for the next year and the year after that. And following that is when the spokes do come in. So now after Rajahmundry is stabilizing now, probably you'll see a few more midsized mini-spokes or spokes coming up in that area. Kolkata will also see the hub come in. And about two quarters later, the spokes will start coming in. So the mix remains the same, four to five large hubs, and the rest of them being spokes. And in terms of guidance, we've said that we normally grow at a rate at around 15%, which we would stick to. We'd love to overachieve, but 15% is what we would like to commit on.

Cyndrella Carvalho: Yes, thank you so much for that and specifically, from the new centres, how is the new geographies like Tirupati, as you mentioned in your presentation, so what is our experience? You did highlight that it is overwhelming being a new geography. So, can you share some instances in terms of how is this new market for us and what are the key trends in these markets that we see?

Transcript of VDCL Q 4 FY23 Earnings Call Page 7 of 20

Siva Rama Raju: So Cyndrella, we launched Tirupati in the month of February, but the full-fledged operations started very recently, almost from May 1st. And the initial trends that we are seeing are very encouraging. So, we expect even this centre to breakeven even more faster than Rajahmundry.

Suprita Reddy: What is expected, yes.

Siva Rama Raju: Yes. So, the initial response is very encouraging. When compared to Rajahmundry, it is doing even more better. So, we are expecting it to break even maybe in the coming quarter.

Cyndrella Carvalho: That is encouraging to know. And what kind of grossing this Tirupati centre at the annual level we should expect, ma'am?

Suprita Reddy: For Tirupati, similar to...

Siva Rama Raju: So it will be similar to Rajahmundry. So maybe at maturity, which is like four years from now, you should expect something between INR 17 crore to INR 20 crore kind of revenue coming from that centre, annual basis.

Cyndrella Carvalho: Okay. Thank you. I have more questions, I'll fall back in the queue.

Moderator: Next question is from the line of Saloni Bavishi from Val-Q Investment Advisors. Please go ahead.

Saloni Bavishi: Ma'am, my question was about the capex. Could you please guide us about the capex for the coming year?

Suprita Reddy: Sure, Saloni. I'll let Raju take that.

Narasimha Raju: So the capex for the coming year, since we are having the plans to open 15 new centres every year, we are expecting the capex will be in the range of INR 75 crore to INR 80 crore for this, including INR 2 crore to INR 3 crore we are budgeting for the digital initiatives like, okay, we are planning to revamp our existing radiology PACS software. We are trying to centralize the CRM software. So, all this put together, we are expecting in the range of INR 75 crore to INR 80 crore capex for the next year for adding up these new centres. Apart from that, what we are currently planning

is that, as you know, Vizag is an important

cluster for us, and we are already having 3 hubs and 3 spokes there with a very good network. And we are planning additionally a PET-CT equipment there, which will cost INR 8 crore to INR 8.5 crore. So, this is the capex expectation for the next financial year.

Saloni Bavishi: Okay. Sir, also about EBITDA margin, will it sustain? Or what will be it like the next year and the coming years?

Transcript of VDCL Q 4 FY23 Earnings Call Page 8 of 20

Narasimha Raju: So, in the current year, we achieved 40% EBITDA margins. So, what we expect is that even in the coming financial years, we remain confident that we'll achieve this 40% EBITDA margin. There are two things because one is when you are adding the new centres, like a hub centre, there might be a certain drag on the P&L because of the preoperative expenses. But what we're trying to do is to minimize such preoperative expenses to the extent possible, by scheduling properly the entire operational plan.

And second thing is these spokes. What we observed in the current financial year is that the mini-spokes and the spokes, some of them outperformed, and those margins slightly offset the drag coming from the hub centres. So that's the reason why we are fairly confident about this 40% EBITDA margin even in the coming years.

Moderator: The next question is from the line of Girish Bakhru from OrbiMed Advisors. Please go ahead.

Girish Bakhru: Just wanted to get an update on the number of tests right now in the offering. Last, I remember, it was 2,100. What is the number now? And if you can give the breakup across specialized pathology and specialized radiology?

Suprita Reddy: Girish, so that 2,100 probably is around 2,700. And in terms of specialized pathology, see we look at our pathology as just pathology, we don't do basic pathology and advanced pathology. So, the radiology number and that probably would be around 900. 900 out of the 2,700 is the test menu for the radiology.

Siva Rama Raju: Just to add, Girish, because these definitions change from player to player, so that's the reason we don't track specialized versus regular. But however, in radiology, out of the 36% revenue we get, 20% is from advanced radiology and 15% is from basic radiology.

Suprita Reddy: Yes, basic radiology.

Girish Bakhru: So this basically, I mean I am just trying to relate with new technologies you're putting in, CT, MRI, gamma camera. Are you kind of linking some test to those new equipment's that you are installing there?

Suprita Reddy: Definitely, Girish, that's also why you see the per prescription revenue is the highest, right, because there's always a mix of both radiology and pathology. And it can also be a follow-up, so it could be a basic pathology test with a combination of multiple tests following that in the coming weeks for the same UHID.

Girish Bakhru: And ma'am, can you comment on like, I mean we know that you've been advancing the specialized radiology piece pretty strongly. What is the competitive intensity right now around this incrementally, particularly in the last two, three quarters?

Transcript of VDCL Q 4 FY23 Earnings Call Page 9 of 20

Suprita Reddy: In advanced radiology, I would say it's very, very low, in fact, in advanced radiology, it's just not a technology like I voiced it out. It's both the talent that comes in, the team and the correlation between both this advanced radiology and pathology. So definitely, the competition in that sector is very, very low.

Girish Bakhru: Just on the guidance of 15% growth, I mean I am just assuming that if you do not add any centres even from this level, considering 122 centres with 29 sort of hubs, I am assuming, I mean about 95 or 92 -odd spokes, I mean those centres itself should be able to give you 15% growth itself, right? Is there like a conservatively low guidance or how should we read it?

Siva Rama Raju: So Girish, I think with the current network that we have, right, so for one, two years in short term, so what we can expect is, it will help us in growing. Maybe for the next year, it will help us in growing by a lower double digit, which is in the range of, say, 10% to 11%. So, like ma'am said in the previous thing that it's something which we are confident about. So, without investing further, we can give you a growth of maybe 10% to 11% with the existing network.

Suprita Reddy: And the newer centres and keeping it maybe a little conservatively, yes, I would say, 14% to 15% is the guidance that we would like to commit on.

Girish Bakhru: And do you also kind of tie it with, I mean I know you had mentioned last time you don't really measure footfall separately that closely, but we have been seeing this 0.8 million kind of a number, for a while now. I mean, is there a reason to believe that this will go higher significantly next year?

Siva Rama Raju: Definitely, yes, Girish, because last time if you see, average test per footfall we're lower because many of the footfalls have one single test called COVID RT-PCR. So that was the reason you are not able to see the growth in footfall. But however, now over the last three, four quarters are more or less non-COVID. So, you'll see footfalls going up from now, from the 0.8 million mark.

Suprita Reddy: That's also a good sign that the non-COVID business has come back now, Girish. So that's when probably we expect that the test mix also goes up from now on.

Moderator: The next question is from the line of Aashita Jain from Nuvama. Please go ahead.

Aashita Jain: My first question was on your Kolkata market. So, when you will be planning to open a hub in Kolkata? Also, we are seeing one more brand there, which is Medinova. So what are our plans, how do you plan to go ahead in this market?

Transcript of VDCL Q 4 FY23 Earnings Call Page 10 of 20

Suprita Reddy: So, Vijaya Centre in Kolkata will probably open in the next couple of months, it's more or less done. Because it's a high-end hub, the advanced radiology equipment is all getting installed. And like we mentioned earlier, Medinova is also a brand that we have from about

2014 -2015, but it is in South Kolkata, and it's a single centre . And the centre that Vijaya is coming up is in the northern side of Kolkata. And the strategic plan for growth of Kolkata has been to grow in the northern side. And also, the Board would probably take a call on whether we would be doing co-branding or using both the brands or a single brand, but we would not want to eat into each other's geography. So , we have kept it different by North and South . And we are very confident about this very huge centre , one -of-its-kind centre doing well in Kolkata. And it's going to open in a couple of months from now.

Aashita Jain: Fair enough. And secondly, have we done any study or any checks around the Kolkata market, say, other cities in the West Bengal region, which could be significant for us?

Suprita Reddy: Aashita, we've basically been part of West Bengal for quite some time. Like I mentioned, we've been there for about almost for a decade and a half now there. So we know the market well enough, and the priority was to first open and make the market ready as a next market of interest for the next five to seven years. So , Kolkata is the only place that we've been looking at, no other regions in the Eastern region, if you are asking.

Aashita Jain: Okay. And just last one from my side. Is there any percentage of patients who would be opting for, say, both radiology and pathology?

Suprita Reddy: Sorry, we didn't get that.

Aashita Jain: So, is there any percentage that we track ballpark number, that's the percentage of the patients who would be opting for, say, both radiology and pathology?

Siva Rama R

aju : So, it's very difficult, Aashita, because, again, we have to wait for some more time because now we have come onto a new LIMS. Maybe we'll take another two to three quarters to do that analysis to see if the same patient is coming for pathology or radiology. But however, almost close to 30%, 35% of the patients come for radiology service. They may have pathology, or they may not have pathology.

Moderator: Thank you. Next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Ma'am, any chance for the mix to change between radiology and pathology as you grow and expand?

Narasimha Raju: So since we are adding centres , with both radiology and pathology, and again, adding like three to four hub centres and 10 to 11 spoke centres , as in the past, we expect that 65% -

Transcript of VDCL Q 4 FY23 Earnings Call Page 11 of 20

35% ratio might continue. But if we are opening more hubs, then naturally the radiology mix goes up...

Suprita Reddy: The radiology mix goes up.

Narasimha Raju: If you're adding more spokes, then the pathology revenue might go up. But as of now, since we are opening like four to five hubs and then 10 to 11 spokes, we expect that if we're continuing the similar trend of opening the centres , that 65 -35 might remain the same.

Suprita Reddy: It depends on also the mix as we go.

Pritesh Chheda: But as of now, from a next two three years perspective, based on your expansion plan, this mix should not change drastically, right?

Suprita Reddy: This mix should not change, yes.

Pritesh Chheda: Okay. My second question is in the AP, Telangana market, which is obviously your main market , we have given the size of the market, about INR 12,000 crore . For a diagnostic chain like us, what kind of centre or what kind of network is possible in such a market you would have mapped it? And when you go to these newer cities to open hub or a spoke, what is the metrics that we usually look at?

Sunil Chandra: So basically, if you look at the number that you mentioned, INR 12,000 crore is actually including hospital diagnostics also. And we are really focusing on the outpatient diagnostic market, which is a little bit lower. The number would be probably about INR 6,000 crore or so. And even during earlier, I guess, calls, we have mentioned that our market share is still at less than 10% of that overall aggregate market. So that gives us a lot of headroom to grow. That's the opportunity we are looking at, and that's why we are also targeting a lot of the Tier 2 towns where we are opening new hubs, which will then be followed by adding spokes around those hubs.

Pritesh Chheda: At the INR 6,000 crore market, any centre network that you think you have mapped out in terms of numbers?

Sunil Chandra: Yes. We have studied the market, and we have a number of locations which we think are potential locations for us. And if you look at our expansion as we roll out centres , that is happening as per that plan.

Suprita Reddy: So also, that's the reason why you see Rajahmundry where we don't have a presence of centre present in 200 kilometres in Andhra, we said we would take that up as one and Tirupati, which is on the opposite side again. And as Rajahmundry would mature and is

doing well, now we'll see a lot of spokes coming up. So that's also the reason why you'll see

Transcript of VDCL Q 4 FY23 Earnings Call Page 12 of 20

that ratio doesn't change because Rajahmundry remains the hub and more of spokes coming in around that area.

Pritesh Chheda: So, the question was from a 5 -year perspective, can you have a 300 -odd network possible in this two S tates?

Sunil Chandra: So, I think we have always indicated that our growth number has been about 15 centres here. And probably as we grow, maybe that number might increase. That 15 also is a mix of hub and spokes. So , if

you were to extrapolate over five years, I am not sure if yo u will reach 300, but definitely, we will add about maybe 80 to 90 centres for sure.

Moderator: Thank you. Next question is from the line of Rahul Jeewani from IIFL Institutional Equities. Please go ahead.

Rahul Jeewani: Ma'am, this year, we added around 2 5 new centres , but 2/3rd of those centres came in our core Hyderabad market, while our centre additions in markets outside the Hyderabad still remains on a lower side. So , do you think this proportion would change going forward in terms of these 15 new centres which we are talking about for FY24?

Suprita Reddy: Definitely, it would change. And also out of the se centres , the total number of centres that came out, there were a lot of mini -spokes that were added. So , if you look at the total 15 count, there were only two hubs that came out in Hyderabad, and the rest of the three hubs came out of Hyderabad. So , they're not part of Hyderabad. And the spokes were only six in Hyderabad and three outside. So , I would see t hat number definitely increasing in the next few years to come.

Rahul Jeewani: So going forward, majority of the capex will be outside...

Suprita Reddy: Outside of Hyderabad, yes. And like I mentioned, the 10 mini -spokes were opened just to make sure that we decongested the very busy centres in Hyderabad without adding too much of capex at the same time not losing out on that clientele. So that's why you see the number the total account to be 28, but 10 of those centres are very small mini -spoke centres that were just basically added for patient convenience.

Rahul Jeewani: Sure, ma'am. And these four to five new hub centres , which we are targeting for FY24, one of those would be in Kolkata. Can you call out the location?

Suprita Reddy: So, two of them would be in Kolkata and one would be in Gulbarga and the other one is Mahbubnagar . Mahbubnagar is again in Telangana, outside of Hyderabad .

Rahul Jeewani: Okay. And in terms of this 15% revenue growth guidance which you gave for the year, can you split it out between volume growth and realizations? I know it will largely be driven by

Transcript of VDCL Q 4 FY23 Earnings Call Page 13 of 20

volume growth. But just anything which you can comment in terms of your ove rall realizations as well?

Siva Rama Raju : So Rahul, it will be majorly driven by volume growth . So the other thing is, if you see in the last two years, we did not actually take any price cuts. So , our base is intact. So , we have increased prices of a few tests, but that will add up maybe to 1% of the total revenues. So out of this 15%, at least you can expect 13% to 13.5% from volume growth.

Rahul Jeewani: Okay. Sir, and this recent price increase which you have taken, on what portion of the portfolio wou ld you have taken these price increases? And what was the quantum?

Siva Rama Raju : So hardly, it's on like some 40, 50 tests, not across locations, in few of the geographies. So , all this put together, we'll maybe add up to some 0.8% to 1% of the revenue b ased on the current volumes we are doing.

Rahul Jeewani: Sure. So, anything you are seeing changing in terms of the pricing dynamics for the industry? Because some of your peers did talk about taking price increases this quarter after a very long time. So , have you also seen similar trends? And do you think that the component of price increases or price realization growth for the industry could accelerate going forward?

Sunil Chandra: So Rahul, actually, I think the competitive environment ensures that nobo dy is just taking price increases across the entire test menu. But at the same time, post -COVID, you have seen also with currency issues , some of the cost of equipment as well as cost of your reagents or other consumables has gone up in some cases. So, across the industry, I think most people are basically saying that we canno

t absorb some of those input costs, input increases, so they are really selectively prices. But across the board, rising prices, I can't

comment about competitors, but we have no plans of doing any such price increase across the test menu.

Rahul Jeewani: Sure, sir. And one last question from my end. So, can you also comment in terms of your depreciation number for next year, FY24? So, what should we be pencilling, around INR 55 crore to INR 60 crore for the full year?

Narasimha Raju: So, Rahul, if you look at the current quarter, so the current quarter depreciation is approximately INR 11 crore, so approximately like INR 44 crore an extrapolated number. But again, centres like Tirupathi got commissioned in the mid of February, so you might expect an additional depreciation on account of that. So, it will be in the range of approximately like INR 50 crore for the current block. And again, for the new capex of INR 75 crore to INR 80 crore, that will be an additional depreciation, depending upon the centre launch dates. So otherwise, for the existing block, it will be in the range of INR 50 crore depreciation for the next financial year.

Transcript of VDCL Q 4 FY23 Earnings Call Page 14 of 20

Moderator: Thank you. Next question is from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: I just had one question. As we expand into Kolkata, could you give us some thoughts in terms of the market landscape there? Is the competitive intensity, lower or higher versus our core market in Hyderabad? And is there like more unorganized competition? Just wanted to get some sense as we go into this new market. Like do we think the market is more lucrative or more attractive versus our current core markets because given we are planning to invest here from a 5 to 7 year horizon?

Siva Rama Raju: So if you see Kolkata today, so I think there is only one organized player in the integrated space and there is one smaller player. But the thing is like the centre that we are going to come up on the VIP road, so we are introducing a 3 Tesla MRI and a cardiac CT. If you just take 10-kilometer radius from that centre, so none of the diagnostic centres have a 3 Tesla MRI or a cardiac CT. It's more in hospitals. So that's something new that we are introducing in that area. Also even in terms of lab, if you see, so Medinova has one lab on the Southern part, and we are going to have one more lab on the North side of Kolkata. So, when we add spokes, the TAT also gets faster because currently, whatever change that are present in Kolkata, they have only one central processing lab. So, I think these are two different things that we are going to introduce into the market.

And the other thing also, is that there's a lot of medical tourism that happens from Kolkata to Hyderabad, even today, for the hospitalization, etcetera. And Vijaya is a fairly known brand there. Even the doctors who are sending cases to Medinova today, they knew that it's been reported by a Vijaya doctor because even though they're on the Medinova payroll, but the doctors are recruited and properly addressed and is purely run by Vijaya. So, I think this introduction of new technology will make us a differentiated player in that market, and it will enable us to ramp up the footfall faster.

Suprita Reddy: Madhav, to answer your question, probably compared to Andhra and Telangana, West Bengal basically does, it is a different kind of an architectural structure there. And there are definitely a lot more unorganized players, standalone players, and independent-run centres. There is also a lot of inflow that comes into Kolkata from the Northeast region. So that is also the reason why we saw a lot of growth potential there. Not keeping competition in mind but taking the model that we've tried and tested over the last 40 years, and what we are good at

the B2C model and the patient-centric model, the wellness bid taking the high-end technology all integrated into one. And like we mentioned, we said we will not ramp it up at a pace that we would do in Andhra, Telangana, which are our home markets. We are getting that market ready for the next five to seven years. We will slowly start growing that market, and we will try to create a dense network like we have done in Andhra and Telangana over the next few years.

Transcript of VDCL Q 4 FY23 Earnings Call Page 15 of 20

Moderator: Thank you. Next question is from the line of Aditya Khandelwal from SIMPL. Please go ahead.

Aditya Khandelwal: So, I think we have answered this question previously, but still I just wanted to get a better understanding. Regarding why as far as patient volumes, seeing a decrease year-on-year, even though our number of centres have been increasing.

Siva Rama Raju: So many of the footfalls have one single test called COVID RT-PCR. If you actually see tests per footfall, right, I think last year, Q4, because of Omicron, we used to test almost close

to 6,000 to 7,000 RT -PCR samples per day in the month of January . So, we used to see around 11,000, 12,000 kind of footfall in day, but many of those footfall was just for RT -PCR, right . If you actually see today, the number of tests have gone up, but the number of footfalls have come down. So, we cannot take the last year as a base. So , what's more important is the growth of tests. So , if you see that the tests have grown in double digits, so 22% kind of increase in non -COVID revenue, this was by 24% increase in test volume. So, from going forward, you will see the number going up from current 0.8 million per quarter.

Aditya Khandelwal : Okay. Just one more question. So , this number of increase in tests, so one contributing factor would be the increase in the share of wellness tests as well, right?

Siva Rama Raju : Correct, true, Aditya. So , wellness last year if you see in Q4, we were at something like 8% versus 13.4% in the current year Q4. But if you remove the wellness portion and if you see our test per footfall, we'll be closely around , I think last quarter, it was about 3.37 tests per footfall. If you remove wellness share and if you see that, it's close to 2.95 per footfall.

Aditya Khandelwal : Okay. And the final question, so I just wanted to know what is the amount of fixed cost we incur while setting up a spoke and while setting up a hub. If you could just bifurcate between employee costs and rent.

Narasimha Raju: So what happens, Aditya, coming to the cost for setting up these centres , like for a spoke centre , you need a capex of approximately INR 1 crore to INR 1.1 crore . And there, coming to the operational cost, coming to the employees, as you know, these are not the small collection centres , you need at least like 10 to 12 people are required . So where you incur approximately like INR 2.5 crore to INR 2.8 crore on the manpower cost every month. But whereas if it comes to like a hub centre , where the capex is like INR 12 crore to INR 14 crore up to an MRI/CT facility with like 1.5 Tesla MR, 32 slice CT with a large 10,000 square feet facility, there, you need at least like INR 12 crore to INR 14 crore capex. But if you look at the manpower over there, since it's a bigger facility, including advanced radiology and all, you need at least like 40 to 50 manpower is required . And then there, you need at least like an INR 10 lakh of salary cost . A facility like a Rajahmundry, you need at least like an INR 10 lakh for employee cost over there. And for these type of hubs, you need at least like to get

Transcript of VDCL Q 4 FY23 Earnings Call Page 16 of 20

a breakeven, I am talking about like INR 44 lakhs to INR 48 lakhs of the revenue is needed to get an operational breakeven at these hub centres , I am talking about, the big ones.

Moderator: Thank you. Next question is from the line of Namit Mehta from KC Capital. Please go ahead.

Namit Mehta: If you can just explain what's happening with the newer hubs and why they're breaking even faster. And in addition to that, if you can talk a little bit about the spoke strategy as well, given the hub performance , whether Rajahmundry or Punjagutta or newer hubs, how quickly will we ramp up on the spokes around the hubs as well?

Siva Rama Raju : I think, Namit, the first thing is if you basically see that because whenever we're going to a new geography, we are going up with a hub where we have both pathology and radiology, right, generally if you see these two businesses separately. So , in terms of pathology, what generally happens is even if you go to micro market and, say, if we don't have the capability to test, still we can take the sample and then send the sample to a reference lab. But whereas in radiology, you have to provide service there, right . So, one major advantage for Vijaya is that whenever we go into these Tier 2 geographies, we are taking something new to the geography in terms of radiology. Obviously, yes, pathology, we are also putting a local automated lab where the TAT is faster. Maybe the other diagnostic centres , they still being sample and send it to maybe Hyderabad or some other geography , the B2B mode. In terms of radiology, clear cut, we have a very large advantage because you have to provide the service to the patient at the centre . So, when you take this high -end 3 Tesla MR and CT, and there will be some other MR and CT's in the market, but the thing is all the standalone centre is run by one or two radiologists. They may have expertise in something like neuro reporting or a cardiac reporting, but not into all reporting. But whereas for Vijaya, because of the radiology doctor network that we have, right, the talent that we have, we are able to take all the tests. There is nothing in Vijaya that you go to a Tier 2 location and you ask for and we say that's not available with us in terms of radiology and pathology.

In addition to that, we are also setting up nuclear medicine in many of these centres , like Rajahmundry and Tirupati. So because of the brand, the quality of the reporting, and apart from that, what we also have realized, right, when we market , when we do the branding is that we also try to highlight the convenience for the customer because they're coming to one single centre getting all their tests done. And in Tier 2 locations like Tirupati, even parking is a major issue today, even we are trying to highlight those.

I am not saying because of the patient is coming, but all this will make some change. The word of mouth is very faster. We are trying to conduct camps, showcase our facility, and we are doing doctor engagements to CMEs. All these are helping us to break even faster. It's a simple thing, it's about the volume. We are able to ramp up the footfall faster, hence

Transcript of VDCL Q 4 FY23 Earnings Call Page 17 of 20

we are getting the breakeven.

Namit Mehta: Understood. Given the success of the new hubs that you are opening and the timeline that is taking to breakeven, what prevents you from going out and saying, next year, let's put up 7, 8, 10, 12 hubs and a lot more spokes? What is the constraint there? Because clearly, it's not capital, and it looks like it's not really the breakeven period either. So, what sort of prevents that strategy?

Sunil Chandra: So Namit, again, we have spoken about this in earlier calls. So, our industry itself, I think the constraint has never been capital. We will have that expansion as a whole. You are looking at identifying locations, build out equipment and most importantly, getting the right staff, including your doctors, consultants in place. So, the combination of all of those is what constrains anybody and results in a number.

If it was just capital, yes, I think you

could even do 50 centres. But unfortunately, operational issues like getting the trained manpower, technicians, doctors and also getting the facility completely built out, MRIs and other equipment there, when the...

Suprita Reddy: But at the end of the day, it's also an experience that we are selling, right? So, a customer walks in, I don't think the customer is ever going to say how qualified is your consultant who's sitting with you. It's the entire experience. That's also a reason that a lot of effort goes into what Sunil mentioned, the location itself, the kind of people who are there to receive you, how convenient it was, how quick it was and how accurate it was and the trust that you build. So that takes time. And that's also the reason why we choose these hubs, the locations in areas where there's scope, there's basic scope to again create a lot more spokes. You have to create it to be dense again.

Sunil Chandra: Yes, because the cluster profitability is what is attractive when you have a hub and then build the spokes around it, that's when the profitability, the blended profitability of the cluster looks like what we are reporting. So, we have to balance both the number of hubs versus the spokes, which are being added for the existing hubs.

Moderator: Next follow-up question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.

Cyndrella Carvalho: If we just look at the new centre additions in FY23 and FY24 and FY25, by what level will our coverage outside Hyderabad is going up? Do you have that number off like on your mind or would you be able to share?

Siva Rama Raju: So we can comment on this more qualitatively. So, as we told, majority of the capex in FY24 and FY25 is going to be out of Hyderabad. But in terms of...

Suprita Reddy: Cyndrella, I wouldn't have the exact number, but if you say 15 centres come up, probably,

Transcript of VDCL Q 4 FY23 Earnings Call Page 18 of 20

I would say, 12 centres would be out of Hyderabad in all the years to come from now on.

So those are in our adjacent geographies and the geographies of our interest of Andhra and West Bengal.

Cyndrella Carvalho: Okay. Just looking for any coverage number that we have in mind, but this is helpful. The second thing is on the inorganic acquisition side, how is the market presently? Do you see any change there? Are we evaluating in terms of valuation? How is the market? And what is our strategy going ahead on the inorganic side?

Sunil Chandra: So Cyndrella, I think as you know, we have always been open to looking at opportunities.

The last couple of years, we have seen valuations being a little a bit of a challenge. However, we continue to actually be constantly looking at different opportunities. Even today, we are engaged in some discussions. But until we reach maybe a more concrete stage where we are proceeding to do a due diligence or something of that nature, we can't really comment on that. But valuations, in general, may be a little bit of correction has happened, which is making things a little more attractive now. So hopefully, we will look at doing something in this space in the next couple of quarters.

Moderator: Thank you. Next question is from the line of Srirama, an individual investor.

Srirama: In your Slide number 24, you have given revenue and EBITDA per footfall. Can you break it down to the two segments, radiology and pathology?

Narasimha Raju: We can't bifurcate that between these two segments because we are an integrated

business model, right . But the revenue in the sense per test, we have the data ; per pathology test and per radiology test. Like per pathology, I remember, it's around INR 335 approximately. And for radiology, it is INR 1,130 . So at these test level, we have.

Srirama : Okay. So basically, you don't disclose the margins for those two segments, that's what

you're saying?

Narasimha Raju: First of all, we are not able to arrive at that margin. At the gross margin level, we can easily find out the segment-wise , like we have a higher gross margin in case of radiology because there the cost of goods sold is approximately on a single digit, whereas on the pathology, it's a low single -digit number. So at the gross margin level, we can find out. But at the EBITDA margin level, we are not able to do because many common centre overheads are there because the centre is providing both the services, you have the common staff there, common housekeeping, security, building staff, the common rent, power and electricity, etcetera. Even though there are certain costs which are specific to each segment, like you have radiology costs or radiology doctor's costs for radiology segment, you have a pathologist costs for the pathology segment, but we're not able to come to an exact number because of this allocation issue at the EBITDA margin level.

Transcript of VDCL Q 4 FY23 Earnings Call Page 19 of 20

Srirama : Okay, understood. So , can you put some number to that gross margin which you mentioned, like some rough range?

Narasimha Raju: So, at the gross margin level for the radiology, we are enjoying almost close to like 90%, 91% gross margin because there the material consumption is roughly like a 9% range, 8% to 9%. And in case of pathology, the material consumption is somewhere like, okay, around 15%. So , we are enjoying there 85% gross margin. Again, this is slightly better than other peer group because we are enjoying 95% of revenue coming from B2C segment. That's why the gross margins are also higher even on the pathology segment.

Moderator: Thank you. Next question is from the line of Neelam Punjabi from Perpetuity Ventures. Please go ahead.

Neelam Punjabi: So, if I look at your last three years, the number of tests have grown at a CAGR of about 8% despite us opening almost around 48 new centres over the last three years. So , what would you attribute this muted volume growth to and what gives us the confidence of growing at more than 15% or about 15% going forward?

Siva Rama Raju : So, Neelam, when you say 3 -years CAGR , what's the time period that you've considered?

Neelam Punjabi: Financial year '20 to financial year '23.

Siva Rama Raju : So Neelam, see, one thing in our business is we have to open centres every year to get the growth. So previously, you may have seen higher in number, but if you see the capex, the majority of the centres that we opened are spokes. And out of which, the 28 centres are part of the current year, right . So, we have to give some time for the centres to grow. Because generally when you say we grow at 15% CAGR , it's basically a mix of contribution coming from the existing centres about, say, 9% to 10% and 4% to 5% from the newer centres . But between two years, because of COVID, we were not able to open the centres . We hardly opened like some six, seven centres , which are again spokes, right . So, a majority of these centres are opened in the last only one, two years. You will see these centres coming to their maturity stage in next two to three years. That's one of the reasons you see a muted CAGR. But however, if you see year -on-year from now onwards, even if you see Q4 to Q4 or Q3 to Q3, it's in the double digit.

Moderator: Thank you. I now hand the conference over to the management for closing comments.

Sunil Chandra: I would like to thank everyone for attending this call and for showing interest in Vijaya Diagnostic Centre Limited. I hope we have been able to answer all your questions. Should you need any further clarifications or like any other information about the Company , please feel free to reach out to us or to CDR India. And thank you once again for taking time to join the call and see you all next quarter.

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script of VDCL Q 4 FY23 Earnings Call Page 20 of 20

Moderator: Thank you very much. On behalf of Vijaya Diagnostic Centre Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Disclaimer : This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

Call: Aug 2023

August 18, 2023

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on August 10 , 2023 .

We are enclosing herewith the Transcript of the Earnings Conference Call organized on August 10 , 2023 post declaration of unaudited financial results of the Company for the first quarter ended June 30 , 2023 .

Please take the information on record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: As above

To,
Listing Department
National Stock Exchange of India Limited ,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
NSE Symbol. VIJAYA To,
The Corporate Relations Department
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25th Floor, Dalal Street
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HANSRAJ SINGH Date: 2023.08.18 12:33:03 +05'30'
Page 1 of 11

Vijaya Diagnostic Centre Limited
Q1 FY'24 Earnings Conference Call
Held on August 10, 2023

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VIJAYA DIAGNOSTIC
CENTRE LIMITED
MR. NARASIMHA RAJU KA – CHIEF FINANCIAL
OFFICER – VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. SIVARAMARAJU – HEAD STRATEGY AND
INVESTOR RELATIONS – VIJAYA DIAGNOSTIC CENTRE
LIMITED

MODERATOR : MS. CYNDRELLA CARVALHO – JM FINANCIAL

Vijaya Diagnostic Centre Limited
August 10, 2023

Page 2 of 11

Moderator: Ladies and gentlemen, good day and welcome to the Vijaya Diagnostic Centre Limited Q1 FY '24 Earnings Conference Call, hosted by JM Financial. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Cyndrella Carvalho from JM Financial.

Thank you, and over to you, ma'am.

Cyndrella Carvalho: Thanks Carol. Good afternoon, everyone. I, Cyndrella Carvalho, on behalf of JM Financial, welcome you all on the Q1 FY '24 Earnings Conference Call of Vijaya Diagnostic s. At the outset, I thank the management of Vijaya for giving us this opportunity to host the conference call. I'm looking forward to have an insightful interaction on the quarterly earnings and the outlook here onwards. Today, from the management team, we have with us Ms. Suprita Reddy, Managing Director and CEO; Mr. Narasimha Raju, Chief Financial Officer; Mr. Sivaramaraju, Head Strategy and IR.

I now hand over the call to management for their opening remarks.

Suprita Reddy: Good afternoon, everyone. On behalf of the management team of Vijaya Diagnostic Centre Limited, I welcome you all to this forum. I would like to first share the key highlights for the period, following which Mr. Narasimha Raju will take you through the operational and the financial highlights of the quarter ended 30 June 2023.

I am very happy to share that we witnessed a healthy first quarter of the fiscal. We recorded a 19.2% year-on-year non-COVID revenue growth, supported both by contribution from new centres and improved performance in existing centres. Business from the wellness segment grew to 12.4% from 9.6% of the revenue in comparison to the same period last year. The B2C segment continues to stand strong at 95%.

Moving a step ahead towards our resolve for continued strategic expansion, we inaugurated an advanced and futuristic hub centre in Kolkata, West Bengal in July 2023, marking the achievement of a major milestone in our growth journey. The mammoth facility has a fully automated laboratory and houses the best of equipment, such as 3 Tesla MRI and 128 slice cardiac CT, apart from the range of other sophisticated equipment. Vijaya is the first to introduce such high-end services in the whole of North Kolkata. We are all geared up to make the most of this opportunity that the Kolkata market holds in store for us.

Another noteworthy achievement during the period was the accomplishment of an operational breakeven of our hub at Tirupati in this 3 month from the commencement of a full-fledged operations. This stands testimony to the fact that the market presents huge demand for quality diagnostics. It also reinforces that, as a brand, we were able to gain the trust and belief of our Vijaya Diagnostic Centre Limited

August 10, 2023

Page 3 of 11

customers over the years, which in turn is enabling us to perform successfully even in new geographies. Our recently launched hubs in Punjagutta and Rajahmundry have sustained growth and improved over the months in terms of business performance in providing superior diagnostic services and then consistently offering an enhanced customized experience. As an organization, we believe that skilled resources play a major role in sharing business and the p

rocesses in the right direction. And therefore, we always ensure we hired suitable resources much ahead of time. In the light of our extensive expansion plans from time to time and to further strengthen the leadership team, we have appointed Mr. Sheshadri Vasan as Chief Operating Officer, who brings with him vast experience of heading businesses across various verticals, especially health care.

In conclusion, I would like to reaffirm that our expansion efforts will be guided by intelligent research and identification of potential markets. We will continue to expand sustainably in years to come. With over 4 decades of expertise in the diagnostics space, we trust that we, as a brand, have all it takes to cash in on the opportunities that lie ahead and use it to create lasting

value to all of our stakeholders.

I would now like to invite Mr. Narasimha Raju, our CFO, who will take us through the operational and the financial highlights for this period.

Narasimha Raju: Thanks, Madam. Good afternoon, and warm welcome to everyone joining us on the call today. I will briefly take you through the specific operating and financial performance for the quarter ended June 2023.

The consolidated revenue for the quarter stood at INR121 crores as against INR104 crores in the corresponding quarter of the last year, achieving an overall year-on-year growth rate of 16%. And when it comes to the non-COVID revenues, I'm happy to share that it has grown at year-on-year growth rate of 19% from INR101 crores in Q1 of last year to INR121 crores in the current quarter. This non-COVID revenue growth was entirely driven by volume growth of 20% year-on-year. That is an increase from 21.76 million tests to 26.18 million tests. This significant growth in non-COVID business revenues was driven by both radiology and pathology segments, underscoring the robustness of our B2C focused integrated business model.

The B2C revenue share, just like every quarter, stood healthy at 95%. Our radiology business stood higher at 37% as compared to 36% in Q1 of last year. The revenue per test was INR461, and revenue per footfall was INR1,540 during this current quarter. EBITDA for the current quarter was INR48 crores compared to INR40 crores in the corresponding previous period, registering a year-on-year growth of around 20%.

The EBITDA margin was healthy at around 40% in the current quarter. The profit after tax, the PAT, for the current quarter stood at INR26.4 crores, and the PAT margin was also healthy at 22%. The cash and cash equivalent as of the quarter end was INR280 crores as against INR256 crores as of the end of March 2023.

Vijaya Diagnostic Centre Limited
August 10, 2023

Page 4 of 11

To conclude, I'd like to say that the company is optimistic about the ongoing progress and remain confident in delivering consistent performance in the future. This brings me to the end of my address. I would now request the moderator to open the line for the Q&A session.

Moderator: The first question is from the line of Prakash Kapadia from Anived Portfolio Managers.

Prakash Kapadia: A couple of questions from my end. Wellness share has been inching up for us. Is that a conscious strategy at our end? Or is it customer requirements, which have changed? And in the wellness side, what is the range of products we have in terms of packages, in terms of pricing? And also, are these repeat customers who do these wellness tests from time to time, is now the app walk-in or these are centre walk-in, if you could give us some sense on the wellness side? Secondly, on the Kolkata market, what is the revenue we are targeting in the next 2, 3 years? And who would be the top 1 or 2 players there? And thirdly, had the depreciation policy not been changed, the PAT would have been more like INR 20.5 crores, right? These were my 3 questions.

Suprita Reddy: So Prakash, like we've mentioned earlier

, the concept of Vijaya was an integrated centre from its birth in '81 to have both radiology and pathology, everything under one roof. And from the early 80s itself is when we have packages, wellness packages. So Dr. Reddy's always believed that prevention is better than cure, and we've been having this from the early 80s. Over time, it has evolved, it's changed, and it's more organized probably for lifestyle diseases below 45 years. There are various kinds of packages now.

But if you ask me, the trend of the package growing is also because of the thought process and the clientele, the age group, the education level, a lot of things adding to that. So especially after COVID, we've seen an increase in number of people coming in for regular health checks. And when it comes to pricing, we have packages starting from as low as INR450 going up all the way to about INR18,000.

And everything starting even from your INR450 will have a combination of both pathology and radiology, which is the beauty of the integrated model itself. And the dense network created in this home market is what is driving these customers to walk in and get these packages done. And that's also been a go-to-market strategy that wherever we see a dense housing coming up, that's where we open up spoke centres. And those spoke centres are actually acting as the centres that are generating this wellness business coming in.

And to answer your second question. Kolkata, like I mentioned earlier, is a market that we are looking at to make it as a home market in the next 4 to 5 years to come. There's a lot of room for us to grow in these home markets of AP and Telangana for the rest of the 3 to 4 years. Simultaneously, we wanted to create a stronger base in a second market, which is why we started the first centre in Kolkata now, which will slowly grow. And obviously, after probably 5 to 6 years, I would love to say that we would want to be #1, but that's not something that I

can comment on right now.

And when it comes to PAT, I would like Raju to explain that to you, please.

Vijaya Diagnostic Centre Limited

August 10, 2023

Page 5 of 11

Narasimha Raju: Prakash, the current profit after tax is approximately like INR 26.5 crores. If you would like to do an apple-to-apple comparison by replacing the SLM method of depreciation with WDV method of depreciation, the adjustment is approximately like INR 5.9 crores. The number you told INR 20.5 crores is approximately that's the number that we will get. So that we get translated into almost close to like a 16% to 17% year-on-year growth in the profit after tax. But I would like to highlight one point, in the last year Q1, the major hubs, like Tirupati, Rajahmundry and Punjagutta, were not there. Whereas in the current quarter, these 3 hubs are there. Because of the integrated model, we have seen a faster ramp-up at these centres and then we achieved an operational breakeven.

So in this current quarter, the EBITDA is at a breakeven at these 3 centres. So when you look at the PAT level, if you consider the WDV depreciation, it will be again, that will be impacted there on the PAT. So if you exclude the WDV impact of these 3 major hubs in the current quarter, the year-on-year growth on the PAT level, it will be approximately like 30% to 31%.

Prakash Kapadia: And just a small clarification on the Calcutta foray. Historically, we've seen companies operating south try to go west or companies operating west trying to go south. There is already a leader, #2 player, #3 player in most of the markets. It's very difficult to make some meaningful sales or dislodge the #1, 2 or 3 players in that market. So on the Calcutta market, what gives us the hope or belief we'll be the #1 player? What is the thought process there, if you could just highlight?

Siva Rama Raju: So Prakash, if you actually see Kolkata is also a large metro, just like any other market. If I

have to just take example of Hyderabad, right, Vijaya being for 40 years now and say being leader in this market. But under Vijaya, you still have so many other integrated players, who are about 1/5 or 1/6 of our size, right? So this itself shows that there will be a room for a new player to grow in any of the markets.

But what differently we will take is the technology and the medical skill where we are banking on. So for a player like Vijaya, obviously, yes, in a given time, what we believe is that we'll slowly start inching the market share, and our target is to become a leader of that market at some point. So that's the target. But yes, it will take some time and there is a fair possibility to reach to the target.

Moderator: The next question is from the line of Jainil Shah from JM Financial.

Jainil Shah: My first question is on the centres that you have opened this quarter, can you please quantify it? And which other hubs are we planning to open now? We have Gulbarga in mind, and we had one more planned hub. So if you can call out?

Suprita Reddy: So the upcoming hubs Mr. Shah would be Mahabubnagar and Gulbarga, and there would be a few more coming up, and those leases are signed. We will be probably in a better position to give you those names in the next earnings call.

Jainil Shah: So those hubs will come in FY '25 or FY '24 and once we have clarity?

Vijaya Diagnostic Centre Limited

August 10, 2023

Page 6 of 11

Narasimha Raju : In FY '24.

Suprita Reddy: In FY '24.

Siva Rama Raju: So Jainil, we just launched one of the hub in Kolkata, and we are going to launch Gulbarga and Mahabubnagar in next 2 to 3 months, right? So and if you see the plan was to open, I mean, 4 hubs a year. So we are on track for that plan.

Jainil Shah: Okay. And just that, we've been guiding for mid-teens growth consistently. Last quarter, you were in our 20%. This time around, it's around 19.2%. So is the current exceptional growth rate coming from the Punjagutta, Rajahmundry and once they're in the base that growth will kind of slowdown or your guidance is conservative?

Suprita Reddy: For the guidance, we would say we would grow in line with the market. But Mr. Shah, what happened was last year, we also opened close to about 29 centres. You are also seeing a lot of ramp-up happening from all of those centres plus existing mature centres. And of course, Punjagutta, is a state-of-the-art futuristic centre probably doing a little better than the other hub because of the technology itself. But that is also what we would be seeing in the centres that are yet to open.

So Gulbarga is going to also be a very high-end centre for that geography, and Mahabubnagar

would not have a state-of-the-art centre like Vijaya in the nearby vicinity at all. So keeping that in mind and the 15-center growth that we say with a combination of both the hub and spoke and growth coming in from the new centres and existing centres, we would definitely grow in line with what we have committed earlier.

Moderator: The next question is from the line of Rahul Jeewani from IIFL Institutional Equities.

Rahul Jeewani: The growth, which we have seen on volume side this quarter, which is around 20%, that seems to be the growth on test volumes and given the increasing share of wellness business as well as our integrated model, our number of tests per patient would continue to inch up. So can you also quantify the non-COVID volume growth in terms of patient volumes?

Siva Rama Raju: So, Rahul, so I think roughly last Q1 of FY '23, we had about 50,000 footfalls, who have just come for COVID tests alone, right. If we just exclude that from the base, I think the growth of footfall is also in double digits. Just to tell you, see in a B2C business, obviously, you're seeing that revenue, the driver of the revenue is the test volume growth. And obviously, in a B2C business, this test volume in turn will be driven by the footfall. But just because we're

comparing the wrong bases, it looks like a little low. But otherwise, if you exclude this COVID effect, it's in double-digit growth is what we had in footfall.

And the other one more point to mention is that the digital initiatives we have taken. So there were a few inefficiencies when coming to sending a patient to 1 to 2 different centres for different services then. But now in the new software, we are able to do single bill to a patient, and you can still go to 2 to 3 centres and get different services then.

Vijaya Diagnostic Centre Limited

August 10, 2023

Page 7 of 11

For example, somebody has a bunch of blood tests, which he has to you have to give in passing and also, say, advanced radiology test, you can still get a single bill done at the spoke, give his blood test and then go to a hub for his MRI scan. So with all this, the volumes look a little low. But otherwise, it's in a high double-digit growth.

Rahul Jeewani: Okay. So last year, the number was 50,000 on COVID patient volumes. So what would be the number for this quarter because this quarter, and I know this quarter, the number would be low, but if you can just call that out as well?

Siva Rama Raju: After netting off that, it is close to 49,000 to 50,000. So this quarter, it was about close to 5,000, but not all these patients are just who have come for RT-PCR. So if you actually see, the net effect is 50,000.

Rahul Jeewani: Okay. Y-o-Y is 50,000. And ma'am, on this Tirupati centre, which we added, we seem to have achieved EBITDA breakeven quite quickly as compared to what played out in Rajahmundry and Punjagutta. Rajahmundry and Punjagutta took us 2 to 3 quarters to achieve EBITDA breakeven. So what has helped us in the Tirupati market, that the breakeven was achieved so quickly?

Suprita Reddy: Rahul, we cannot compare a Punjagutta to Tirupati because it's not apple-to-apple. See the technology and the equipment and the facilities that have gone into both of these centres are absolutely different. And those are decided and dependent on what that particular geography requires. So Tirupati is a centre, which has only a gamma camera and no PET-CT and you see a high-end PET-CT sitting in Punjagutta. So probably the ramp-up time is a little higher, but Punjagutta is equally, I think, doing very well in terms of its footfalls and numbers.

And Tirupati, of course, there is, I do not know if we shared it with you the last time. It is a very, very high-end Tesla MRI we took to that region, just like Rajahmundry and we clocked in doing very high-end cases and all of the cases that come in are specialized cases. And this is where our backbone of our 120 consultants sitting across geographies, reporting these cases ramped up and accelerated that growth. So case that was having to travel all the way to Chennai is now getting tested in Tirupati itself. And the system has actually flown in well and that region is now ready to take on a couple of spokes in the coming quarters.

Rahul Jeewani: Okay. So ma'am, any plans in terms of number of spokes, which you intend to add?

Suprita Reddy: So Rahul, like we mentioned earlier, the 15 centres annually what we had planned is in line and will happen this year, too. It is just that it might vary in time in terms of quarter-to-quarter, the number of hubs versus number of spokes, but 15 centres is well planned out for and that will be done by the end of this year itself.

Rahul Jeewani: Sure. And ma'am, last question from my end would be on your Kolkata centre, which you put up. So can you call out in terms of what are the initial sense which you are seeing in that market, let's say, in terms of patient feedback and the number of spokes, which you now intend to add around that large hub centre in Kolkata and the time which it would take for that

centre

to achieve EBITDA breakeven.

Suprita Reddy: I would say that we just opened it in July end, Rahul, so it's pretty quick probably to comment on the newest baby to the entrance, but the response has been extremely good, in fact, then what I would have expected for first Vijaya centre in West Bengal. And normally, whatever we look at as a breakeven in our home market, I would say, being a region outside of the home market, we would have to give it a quarter or 2 extra for a breakeven to happen. And in terms of response, it's doing well in line with what we had expected, probably I would not like to comment on the numbers right now.

Rahul Jeewani: Sure. So then at Kolkata as well, you will be targeting EBITDA breakeven within a 12-month speed...

Suprita Reddy: Yes, absolutely.

Moderator: The next question is from the line of Aashita Jain from Nuvama.

Aashita Jain: So I have just one question on the Kolkata. So ma'am you mentioned Vijaya is the first one to introduce such high-end technologies in whole of North Kolkata. So could you please talk a bit about your competitors in Kolkata in terms of these technologies, their size and organized market play just to understand this market better?

Suprita Reddy: It is a metro, Aashita. So there are a lot of integrated players now and pure path players for pure radiology players. But like I mentioned, in North Kolkata where we chose, we are an independent diagnostic centre with no other centre offering a 128 cardiac CT, digital mammogram, a 3 Tesla in-bore experience, wide variety, there are about 36 coils that the machine has. So again, what we look at is doing more specialized work, the backbone of the company, again, the teleradiology playing in and the high-quality reporting.

So that's a differentiator. When we do go to a new geography, we go in with the best, and we definitely say quality is what we bank on. And it's a market where we want to grow slowly. It's not that we are saying we will open 10 to 15 centres in Kolkata alone. It's a market that we plan to make it ready after the next 3 to 4 years and by which time we get a strong brand recall, like we do have in Andhra and Telangana now.

Aashita Jain: And how has been the response from the doctors?

Moderator: Excuse me ma'am. I'm so sorry to interrupt. May I please request you to speak a bit louder. Your audio is not clearly audible.

Aashita Jain: Yes. So just the last one, how has been the initial response from the doctor's side?

Suprita Reddy: Until now whatever we have done, the feedback has been absolutely wonderful, Aashita. Any new centre that comes up, initially, we do see that it is a little radiology high in terms of high-end investigations coming in. So we've had absolutely wonderful feedback, and that is also reason why we feel that the operational breakeven will happen in the first 12 months itself.

Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial.

Vijaya Diagnostic Centre Limited
August 10, 2023

Cyndrella Carvalho: Ma'am, if we look at our ramp-up of the newer hubs, what is the vision in your mind to take these going ahead? Because even if we target 4 to 5 hubs a year, we have bunched up a lot of hubs recently and in our earlier discussion, I highlighted that the way we the hubs -- so the growth on this remains to be in the double-digit -- high double digit because it would change...

Siva Rama Raju: Cyndrella, there is some disturbance in your voice. We are not able to hear you.

Suprita Reddy: We're not able to hear you.

Moderator: Ma'am, may I please request you to use the handset. I'm sorry, ma'am, your audio is not clear. The next question is from the line of Saloni from Val-Q Investment.

Saloni: So my first question is, ma'am, we recently opened 3 hubs in the past 2,

3 quarters. So can you

just help me with the sequential growth from new centres?

Siva Rama Raju: So Saloni, if you actually see all these centres are ramping up month on month. But if you see last year to current year, if you take all the centres that we opened in the last financial year, I think out of the 19% growth roughly around 7% to 8% growth was from the centres that opened in the last 1, 1.5 year and the rest 11% to 12% was from the older centres.

Moderator: We'll take the question again from the line of Cyndrella Carvalho from JM Financial.

Cyndrella Carvalho: Hope I'm audible now. So if I see our hub centres, like we have done a bunch of hub centres in the last year, and now we have a plan of 4 to 5 more hub centres coming in this year. So if we see this, the spokes that will follow these hub centres should drive double-digit, high double-digit growth for us. Is this understanding clear or you see any changes to this thought? Can you help me understand this?

Siva Rama Raju: So Cyndrella, yes, as you rightly said, year -on-year, this will help us in growing. But the other thing to note is, obviously, the base also will be going up, and we are a B2C diagnostic chain. So as wh at we are confident is delivering that 14% to 15% kind of double -digit growth at least for the near future.

Cyndrella Carvalho: But in the near term, it should be slightly faster and before it settles to the mid -double digit, that's what you're trying to say?

Siva Rama Raju: So it may change quarter -to-quarter Cyndrella . So one quarter, you may see a little higher, one quarter you may see almost in line with what we are guiding.

Cyndrella Carvalho: Okay. Okay. And ma'am, you said that now being on the Kolkata side, you were giving us some color of the market. But we understand that this market is not new to us and you being there for a very long time. So what do you expect in terms of overall size th at you can or a portion that you can achieve of this market over 2 to 3 years' time, not something immediately, not from a starting perspective. But what is your thought process of this market specifically, the Kolkata market .

Suprita Reddy: The thought pr ocess or the vision on that market, Cyndrella, is to make it as large as the home markets of AP and Telangana over the years to come because we probably would have, say, Vijaya Diagnostic Centr e Limited

August 10, 2023

Page 10 of 11

another 3 years of time to take over Andhra and the rest of Telangana and the adjacent geographies by which time we would like West Bengal as the region to be ready for us to create a dense network like how we have created here.

So probably I would not have a number right away to give you in terms of centres , but as and when we see opportunit y in this region, we'll continue to grow. And this is something that we're getting ready as a Phase 2 for growth of the company over the next few years.

Cyndrella Carvalho: That's really helpful. And any plans on the inorganic side? Are we evaluating any thing? What is the sense with the new...

Suprita Reddy: No, like we mentioned earlier, we've always been evaluating. We never let go of an opportunity, but there are certain things we do look at in terms of value, brand recall, quality of the asset, a lot of things and most importantly, not being unreasonable in terms of valuation. Until and unless it makes some sense to us, and it's meaningful, probably we would definitely do it. Right now, I do not have anything concrete that I could comment on, but we ar e definitely always open to looking at opportunities.

Cyndrella Carvalho: Very helpful, ma'am. One last one from my end, and that is how is the local if we look at our strong hub Hyderabad and the AP, Telangana market, what is the competitive scenario that you are seeing right now versus the last year, if you could just give us some color?

Suprita Reddy: Competitive scen

ario has always been the noise. It's always been the same on ground, like I mentioned earlier, so it hasn't made much of a difference. So I really don't have anything concrete to say that there is a new competitor. The market is same. The unorganized players have not increased probably but are all scattered. It's all there. A lot more noise than what is actually on ground level. We've not tak en any price cuts. We've not taken any increase in pricing. Nothing has changed.

Cyndrella Carvalho: And just a follow -up, do we envisage to take some of the price increases at least in the specialized tests that you do? Do you see the scope for that?

Supr ita Reddy: There's always an addition of test that happens. It's not something that is planned. As and when there's a requirement, it's always been that about 20 to 25 tests on an average get added every quarter. So this is need -based and the categorizatio n of normal to specialization is a very -- I don't know a subject where there's no clarity on.

So if you look at the test menu, it continuously keeps growing, and that is what is making the company do that combination of tests, right? It's not just the rou tine work coming in. So I would not be able to quantify it, but there is an addition of test that happens almost every quarter.

Moderator: The next question is from the line of Rahul Jeewani from IIFL Institutional Equities.

Rahul Jeewani: Ma'am, can you h ighlight what are you seeing in terms of competitive intensity from the online space, so also, we don't get impacted much because of an integrated model of radiology, but anything which you can call out in terms of online competition. And some of our peers have Vijaya Diagnostic Centr e Limited

August 10, 2023

Page 11 of 11

taken price increases towards the beginning of this year. So had we also taken price inc reases on our portfolio?

Siva Rama Raju: So Rahul, yes, we have taken price increases on few tests, but I think that will only contribute to 1% of our revenue. So we have done on very few tests.

Suprita Reddy: That is because of the input costs increasing. That is why you see that 1% increase, Rahul. And in terms of online aggregators, they have never created an impact, hardly contribute to less than about 1% of our revenues coming in from them. There's a lot more noise than what happens actually on ground zero.

It's not because we are integrated, but also because I think patients or customers prefer having that feel, health care, that personal touch, the customer experience, and that's also the reason why you see that strong brand recall in the home markets is because they are visiting centres. Home collection per say during COVID did about 3% at its peak. Whereas even though today we try to push our customer base in our home markets, home collection hardly contributes about 1%, 1.2% of the revenue.

So that gives you a clear example to say that they prefer coming to a centre, they do like coming to a centre, the personal touch. They have a favourite who'd like they would probably want them to collect the sample on, and that's been a strong, I think, acceleration for us to open more spokes in this market. So definitely not too much to think about aggregators from our point of view at this time.

Rahul Jeewani: Sure, ma'am. And ma'am, one of the pharmacy players in the Hyderabad market also was trying to scale up their radiology model on back of aggressive discounting. So has that player seen any significant action to have impacted our business in any meaningful way?

Suprita Reddy: I would say that none of those competitors have probably dented anything that is coming to us because we've seen a healthy growth probably, I would not be able to comment on the model of their business, but we're definitely not -- just not from him, from any of the aggregator or an unorganized player, we've not seen too much happening in this space.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for closing comments.

Suprita Reddy: I would like to thank everyone for attending this call and for showing interest in Vijaya Diagnostic Centre Limited. I hope we've been able to answer all of your questions. Should you need any further clarifications, please feel free to reach out to us. Thank you once again for taking time to join the call and see you all next quarter.

Siva Rama Raju: Thank you.

Moderator: Thank you. On behalf of JM Financial, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

November 16, 2023

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on November 08, 2023 .

We are enclosing herewith the Transcript of the Earnings Conference Call organized on November 08, 2023 post declaration of unaudited financial results of the Company for the second quarter and half year ended September 30, 2023 .

Please take the information on record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: As above

To,
Listing Department
National Stock Exchange of India Limited ,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
NSE Symbol. VIJAYA To,
The Corporate Relations Department
BSE Limited ,
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street
Mumbai - 400 001
BSE Scrip code. 543350

Page 1 of 14

Vijaya Diagnostic Centre Limited

Q2 FY'24 Earnings Conference Call

Held on November 08 , 2023

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER - VIJAYA DIAGNOSTIC CENTRE
LIMITED
MR. SUNIL CHANDRA – EXECUTIVE DIRECTOR - VIJAYA
DIAGNOSTIC CENTRE LIMITED
MR. NARASIMHA RAJU K.A. - CHIEF FINANCIAL OFFICER -

VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. SIVARAMA RAJU VEGESNA – HEAD, STRATEGY &
INVESTOR RELATIONS - VIJAYA DIAGNOSTIC CENTRE
LIMITED

MODERATOR : MR. BHAVESH GANDHI – YES SECURITIES

Vijaya Diagnostic Centre Limited
November 08 , 2023

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Vi jaya Diagnostic Centre Limited hosted by YES Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Bhavesh Gandhi from YES Securities. Thank you and over to you , Mr. Gandhi.

Bhavesh Gandhi: Thanks, Michelle. Good morning, everyone . Bhavesh here . On behalf of YES Securities, I welcome you all on the Q2 FY24 Earnings Call of Vijay a Diagnostic Centre Limited.

Firstly, I would like to thank the management of Vijaya for giving us this opportunity to host the call.

Today, from the management team, we have with us , Ms. Suprita Reddy, Managing Director and CEO ; Mr. Sunil Chandra, Executive Director; Mr. Narasimha Raju K.A, Chief Financial Officer and Mr. Sivarama Raju Vegesna , Head -Strategy and Investor Relations .

I would now han d over the call to Ms. Suprita Reddy for her opening remarks . Over to you, ma'am.

Suprita Reddy: Thank you, Bhavesh. Good morning, everyone.

On behalf of the management team of Vijaya Diagnostic Centre Limited, I welcome you all to this forum. I would like to first share the "Key Highlights for the Period ," following which Mr. Narasimha Raju – our CFO , will take you through the "Operational and Financial Highlights of the Quarter ended 30th September 2023. "

I'm glad to announce th at we were able to maintain a healthy business performance this quarter along with a steady 18% year -on-year non COVID revenue growth , we also recorded a 15% quarter -on-quarter growth, demonstrating the strengthening of our core business. The Wellness segm ent maintained the contribution of 13% , while the B2C segment continued to stay strong, contributing 95% to the total revenue.

Completing three months of successful business operations , our hub centre in Kolkata has gathered notable business traction, bri nging to light the fact that Vijaya is a brand with successful in establishing its presence in West Bengal , the new geography we set put into , that to the very first time that we launched out under the Vijaya br and. We remain confident that at the current pace of progress, we will be able to achieve the operational breakeven as guided earlier .

Making progress in line with our plan for strategic expansion, particularly into the Tier-2 city , we have recently come up with one of its kind hub at Vijaya Diagnostic Centre Limited
November 08 , 2023

Mahbubnagar where formal operations started in October 2023. The centre is equipped to offer a comprehensive range of diagnostic services, both in pathology and radiology right up to MRI and an automated lab.

We consistently strive to strengthen our expansion efforts with thorough market study and research and to extend all under one -roof comprehensive model of business even to Tier-2 cities and new geographies .

Our objective is to address the customers need, position ourselves as the customers brand and stand out in the diagnostic space as one of a kind in every region, geography. This approach has always resulted in a generous acceptance of our brands and consistent progress in our business performance wherever we expanded, and we believe that it will continue to be so in the days to come .

I would now like to invite Narasimha Raju , our CFO , who will take us through the Operational and Financial Highlights for this Period. Thank you.

Narasimha Raju K.A: Thank you. Good morning and warm welcome to everyone joining us on the call today.

I will briefly take you through the specific financial performance and key developments for the current quarter ended and a Iso half year ended 30th September 2023. The consolidated revenue for the current quarter stood at **■139 crore s** as against **■121 crore s** in the corresponding quarter of the last year, registering an overall year-on-year growth rate of 15% .

When it comes to t he Non-COVID business, I'm delighted to inform that it has grown at year -on-year growth rate of 18% , i.e. from **■117 crore s** to **■139 crore s** in the current quarter. This robust revenue growth was largely driven by volume growth. This significant growth in the business was driven by both radiology and pathology segments, underscoring the robustness of our B2C focus integrated business model. Th e B2C revenue share, just like every quarter , stood healthy at 95% . Our radiology business stood higher at 36% as compared to 33% in Q2 of last year.

The revenue per test was **■459** and revenue per footfall was **■1,525** during this current quarter.

EBITDA fo r the current quarter stood at **■57 crores** as compared to **■49 crores** in the corresponding previous quarter, registering a year -on-year growth rate of 18%. The EBITDA margin was healthy at 41.3% in the current quarter, marking a year-on-year increase of 90 b asis points . The faster ramp up and early break even at major hubs like Rajahmundry and Tirupati and the opening operating leverage due to fixed costs have contributed for this improvement in the margins on year-on-year basis . The profit after tax for the current quarter stood at **■33 crores** and the PAT margin was also healthy at 24%.

Coming to the update on the capital investments for the current quarter, as you are aware , we have successfully launched our Kolkata Hub Centre and in addition to this, we have upgraded our main hub facility in Vizag by adding a PET-CT. And we have added First Open MRI in our Hyderabad network at Vijaya Diagnostic Centre Limited
November 08 , 2023

an existing hub centre . With this open MRI, customers with claustrophobia or kids and elders can get a comfortable MRI scan.

As part of the digital initiatives , already in the last quarter, we have launched mobile apps, e -commerce, web portal and WhatsApp Chat bot , etc. , we are currently working on few more digital initiatives like AI -enabled radiology reporting software, comprehensive CRM software for better customer

engagement.

I will now summarize our performance for the half year ended September 2023. The consolidated revenue is ₹260 crore s as against ₹225 crore s in H1 of last year, marking a year -on-year growth rate of 15% on total revenue , and when it comes to the Non-COVID , it is 19% year -on-year growth. EBITDA stood at ₹105 crore s as against ₹89 crores in the corresponding half year, registering a year-on-year growth of 19%. EBITDA margin stood healthy at 40.6% and the profit after tax was ₹60 crores with margin of 23 %.

To conclude, I would like to say that the balance sheet of the company remains healthy and robust, with surplus cash reserves of ₹288 crore s and impressive return ratios as well.

This brings me to the end of my address. I would now request the moderator to open the line for the Q&A session. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Abdul kader Puran wala from ICICI Securities. Please go ahead.

A Puranwala : Just wanted to understand the broader split of growth in this particular quarter, sir? So, is it fair to assume that your radiology business this quarter will have grown upwards of 25%?

Narasimha Raju K.A: It's the range of between 20 % to 25 %.

A Puranwala: If we break in that particular number, the pathology growth didn't stand between somewhere between 10 % and 15%. So , is there any reason for this lower

grow th in the pathology as compared to radiology ? And if you also could share some bit of a color on how the margins are panning out in both of these segments would be helpful?

Narasimha Raju K.A: So, Abdul, last year Q2 if you see 67% of revenue came from pathology and 33% from radiology , out of that 67 % close to 3% is from COVID. So , if you remove that COVID base and see even pathology grew more than 15%, right, but yes , definitely. Radiology grew at a faster pace because of the additional hubs that we launched in the last year , but otherwise both the segments grew at a healthy rate . And coming to margins , again, yes, definitely at a gross margin level because radiology will have some advantage , but otherwise, at EBITDA margin, more or less 1% change in revenue mix will not change the needle by much.

A Puranwala: Secondly, then on the cash accumulation which is happening on ₹288 crores. So, are we evaluating any M&A here and how do we plan to deploy this capital?

Vijaya Diagnostic Centre Limited
November 08 , 2023

Page 5 of 14

Sunil Chandra : Abdul, this is Sunil here. We've been getting this question every quarter and right from in fact our probably IPO roadshow time. So yes, the company is debt-free, we have cash on the books, and we have aggressively been looking at many M&A opportunities , but PDR remains the same , one, that they are aligned with our business model, which is integrated B2C kind of a business , not B2B ; and two , valuation multiples need to be reasonable. We have seen that there is a moderation in this valuation in fact in recent times. So , I think we might have more positive news in the shorter term now, maybe a year ago , the valuations were not looking so attractive because of COVID. But now I think things are looking a little more attractive , so we are very, very keen to do some M &A based on the quality of the assets that are available.

A Puranwala: We called out that Kolkata is on track for breaking up the expectation. So , in the current quarter would it be possible to call out the overhead cost which

will be sitting of this facility ? As well as if you could give some color on the Tirupati venture what we had done few quarters ago, I mean , what is the progress there as well?

Narasimha Raju K.A: So, Abdul, your question is not fully clear. Can you repeat it once again, please?

A Puranwala: So, my question was into two parts. First is on the Kolkata hub centre . So, what would be the operational cost for this quarter? And secondly, on the Tirupati facility, what we had ventured a couple of quarters ago, how is the traction there and what's the plan ahead in terms of the network expansion and s pokes for that?

Narasim ha Raju K.A : So, Abdul, as you know, the Kolkata centre was just launched, okay, i t is just like a three month s old centre . So, for a hub centre like this size with 3T MRI, 128 Slice CT, you need to give at l east like three more quarters, ok , to achieve an operational break even . As you know in case of Rajahmundry in a couple of quarters, we achieved break even and in case of T irupati surprised everyone that in the first quarter itself we could achieve the break even. But Kolkata being a new market for us , we expect another couple of quarters to achieve this operation break even . And coming to the operational expenditure on the Kolkata front for the current quarter, it's not a material number. The impact on the EBITDA will be hardly like a 0.2% or 0.25%.

Moderator: We'll take the next question from the line of Rishi Modi from Marcellus Investment Manage rs, Please go ahead.

Rishi Modi: Just picking up on the previous participant 's questions , so could you just give me some light on how Kolkata is progressing like in terms of productivity versus say if you had opened the hub in Hyderabad, how far ahead o r behind is Kolkata?

Supri

ta Reddy: Rishi, I ike I've mentioned earlier, W est Bengal being a new geography and Vijaya going in with almost about two decades of experience with Medinova we still went in with the Vijaya brand itself and chose to go into the northern side of Kolkata and mentioned earlier that we would give it a year to break even whereas we would say normally nine months in the home markets of Andhra and Telangana . Saying that , I think it's on track, it's doing well and Vijaya Diagnostic Centre Limited
November 08 , 2023

Page 6 of 14

we're very, very confident that we'll see an operational breakeven in the 11th or the 12th month as guided earlier. And when it comes to expansion there, we're also looking at putting in a few more hubs because it's a larger city and until and unless there is a base, we cannot start opening up of your spoke centre s, keeping the TAT in mind and keeping the advanced radi ology . So probably we will also be able to give you more light in the next quarter when the next two or three hubs coming up in Kolkata itself.

Rishi Modi: So, you're going to put up these hubs before achieving break even on the first half?

Sunil Chandra : Rishi. Sunil here. So, if I understand your question correctly, you are trying to ask us what happens when we go to a new geography and do the same kind of fast operational break -even numbers work. You have to understand we are not new in Kolkata . We've already had that M edinova centre , we were doing ■12 to ■13 crores and it was a profitable centre . The new centre is under the Vijaya brand of course. But m ost of the patients and doctors already know the brand , we are not new in Kolkata . We are being a little conservative in guiding for K olkata, because we don't want people to say like Tirupati in one quarter, you have achieved the breakeven and.....

Suprita Reddy: And why not Kolkata ? So, I was just being a little conservative by saying we'll take an ext ra quarter and that's the reason why we said a year instead of

the normal nine months in the home market.

Rishi Modi: You also mentioned you all opened up in Mahbubnagar which is the Tier-2 town. So how is that shaping up versus say Kolkata or Hyderabad -- are they on similar lines, if you just set a timeline on how your hubs function in cost of these versus Tier-2?

Suprita Reddy: Mahbubnagar and Kolkata are not comparable both in terms of size, equipment, technology and a lot of size of market. Mahbubnagar is a Tier-2 town in Telangana where we have a basic automated lab and the CT and then MRI, which is a typical small hub in a Tier-2 city versus you have the best of the class technology in Kolkata with a 3 T wide bore and a 128 cardiac CT at 10,000 square feet centre versus about a 4,500 square feet hub that we're talking in Mahbubnagar. And it's opened only in October, so it's been just about 15 -days since it's opened. So, we'll probably have to give it some time to give some light on the numbers.

Rishi Modi: Finally, just you all have opened two centres in H1. Are you still guiding for the 15 centres addition for the full year or are you revising that?

Suprita Reddy: Yes. So, we would stay with the 15-centre number by the end of the year. Lot of hubs opening up delays and certain things, but we will stay with the 15 centres by the year-end, Q4.

Narasimha Raju K.A: Just to add to that, Rishi, the plan is to open like four hubs in this current year. Out of that, we already opened Kolkata, Mahbubnagar, Gulbarga is just like one or two weeks away from now and then the fourth Hub again in the Tier-2 location in AP, we are expecting some time in the end of Q4 this financial year.

Vijaya Diagnostic Centre Limited
November 08, 2023

Page 7 of 14

Moderator: We'll take the next question from the line of Bhavesh Gandhi from YES Securities. Please go ahead.

Bhavesh Gandhi : So just continuing

on the Kolkata hub discussion, so we understand you have given a timeline of break even, which is longer than some of your other hubs, but stretching this over, say a longer horizon let's say over three years, what sort of margin levers can we bring to the table vis-à-vis say somebody like say Suraksha, which we understand does a certain level of margin, and if indeed we have to cross that number at maturity, then what additional we need to do in Kolkata as in a wider test menu vis-à-vis competition, so just wanted to understand something on that?

Sunil Chandra : Bhavesh, just one question. Firstly, if you compare our profitability versus Suraksha, you will find that we are significantly higher. So, I'm not sure what the question is about. Are you expecting us to lower our margins or ?

Bhavesh Gandhi: I believe in Kolkata in the first year we might be break even, but the expectation that we should set is will Kolkata be similar to your company level margins in say three years' time?

Sivaramaraju : Basically, if you see Kolkata today, right, so the costing there is much higher than what we have in Hyderabad, at the same time, if you see the revenue that we get for each of these except MRI barring MRI, any of the tests you can also check on our website, they are much higher than compared to Hyderabad. And second thing is, I think more than comparing it to peers, the way we operate is a little bit different, the synergies that we get is a little bit different and it's the first hub and the minute we start opening more and more hubs and the spokes, I think operating leverage is going to play out in any of these areas. So, Hyderabad is not different from these markets, it's how we operate and the costing structure that we have. So, for Vijaya, if you see the model the uniqueness is, it's all about introducing high end technology,

recruiting good doctors and giving the services at affordable price and then thereby building volumes. I think that's the volume that's going to make the difference.

Sunil Chandra : And also , if you look at how we have always generated these high margins, it is through this hub -and-spoke model. So , in Kolkata , we have two hubs now, maybe we will plan one or two more, but we have not fully added spokes yet. So, over the next maybe a year or two as you see, the smaller spoke centres being opened, what will happen as the cluster? The profitability will definitely kind of be similar to what you see with any of our other locations , that's our business model , that's what we have always believed in and that's what will happen even in Kolkata.

Moderator: The next question is from the line of Sashwat Jalan from Purnatha Investment Advisors, Please go ahead.

Sashwat Jalan : I just have one regarding the doctors connect program, Sir, just to know how are we shaping that up in the newer geography, be it Kolkata or any of the Tier-2 towns like are we having any advantages or on the contrary any challenges , would like to know your thoughts on that ?

Vijaya Diagnostic Centre Limited
November 08 , 2023

Page 8 of 14

Sivaramaraju : Just like the way that we are doing in Hyderabad, if you basically see Tier-2, like if you see the slide doctors connect, we have also put few pictures relating to Nellore, right , and Vizag. So , I think this is a different way of connecting. So , there are CMEs, where multiple players will conduct, but what differently that we do is if you follow any of our social media handle, it's a continuous program, so every week you'll see some webinars happening and this is across geographies, not just in Hyderabad. Likewise, we also started doing in Kolkata and it's not very challenging to do in Tier-2. I think one way to engage the doctors is to take the technology and collaborate with those doctors and try to publish something in terms of research papers, collaborate with them and

and do on some research work and publish it in RSMA or EU Congress, etc., like that. So that's been something that we were doing in all the geographies that we are present.

Sashwat Jalan: Does this create some kind of a network that helps in other geographies like our connect program in Hyderabad also helping us?

Suprita Reddy: More than network, what is with our team of more than 200 + doctors, radiology especially specialized in different modalities , so like we mentioned earlier, we have cardiac radiologists, pediatric radiologists and we are connected through Tele across the network . The kind of the work that we would see from 0.3 Tesla to a 3.0 Tesla MRI in a unique case, which is a case study, is the interest for most consultants, whether it is Tier-2 or whether it is city or whether it is Kolkata. That's also a reason because of the kind of cases that data bank that we have is that we are able to retain and keep these 200 + doctors engaged with us. So , this is something that we do to probably share, discuss, impart , present papers, multiple things. So , there is a particular set of doctors that is very keen on academic sessions , so that is where the CMEs and the doctors connect come into play.

Moderator: The next question is from the line of Tanmay Gandhi from Investec. Please go ahead.

Tanmay Gandhi : My first question is on the Wellness contribution. So again, given our integrated presence of what kind of numbers is more realistic in the medium term, do you have any target?

Sivaramaraju : So, I think with the digital initiatives that we started doing with the app and also the digital marketing that we just recently started somewhere , I think in the medium say maybe one to two years of time ... so I would say that

something we're expecting in the range of 15% , currently we are 12.7 % to 13%, 15% is something that we're expecting. Just to add, these are purely , purely wellness packages and not the bundled test.

Tanmay Gandhi : What would be the average realizations for the wellness test if you can share them?

Sivaramaraju : As of now, it's in the range of ₹2,400 to ₹2,500. So, we have a package right starting from ₹1,000 till ₹12,000, ₹13,000. So, the average realization across the markets put together is about ₹2,400 to ₹2,500.

Tanmay Gandhi: How many of those tests which are done would have an element of radiology?

Vijaya Diagnostic Centre Limited
November 08 , 2023

Page 9 of 14

Sivaramaraju : All of them , there is no package in which has only a pathology test.

Tanmay Gandhi: Again, just a clarity on the Non-COVID performance . So, if you have to break up that 18% growth, so how much of that would have been driven by realizations and how much would have been driven by a patient growth?

Sivaramaraju : Again, there are two things here. So, first thing is because the quarters that we're comparing last year to current year, there's some amount of COVID element because almost close to 50,000 foot falls last year was just because of the single test COVID . So, in terms of tests you're seeing that the revenue was largely driven by test volume , very little bit of the realization going up. But if you remove the COVID effect and see the patients footfall, roughly around 13.5 % to 14% is basically because of the patient growth and the rest is because of your case mix and also the change of the radiology and pathology mix.

Tanmay Gandhi: Going forward, do you think that this 4%, 5% kind of realization growth can continue, or you believe that it will be largely be driven by a patient growth?

Sivaramaraju : It would be largely delivered by patient growth. If you see quarter -on-quarter , right , from Q1 to Q2, when we delivered 15% growth, if you see the patient's volume, it's purely backed up by patient volume of 15% growth.

Moderator: The next question is from the line of Bhavesh Gandhi from YES S

ecurities.

Please go ahead.

Bhavesh Gandhi : Coming back to your opening remarks, you had mentioned about M&A where valuations may have become palatable this year. So , just wanted to know what sort of the acquisition that we might do -- does it have to have radiology /pathology both and it has to operate in similar way that we do company -owned centres and hub and spoke model or you're open to assessing other business models also in diagnostics ?

Sunil Chandra : When we talked about M&A also and this has been something consistently that we have said , we are not insisting that a centre do everything integrated , but as a B2C player, we are looking at assets where they are also B2C , they are focused on walk-in patients and there is some kind of a brand recall that they have built. If they have not built much radiology, we can always add radiology or add pathology that is not an issue . But what we are against looking at is the kind of maybe B2B kind of model which doesn't fit with what we do. So , the model has to be aligned with our model . Beyond that.....

Suprita Reddy: It can be either pathology or radiology. I think what we're looking at is the quality of the asset, quality of the promoters and the strong brand recall in that particular geography. So , if that fits in, then I think definitely we'll be able to evaluate.

Sunil Chandra : Valuation is a separate issue that you know better than us , you're all investors
So, end of the day, valuation has to be something which has to reflect the reasonableness of the business itself and also in terms of profitability, we had a situation two years ago where very small assets were coming and asking for a valuation of the top player in the country. And that was not going to make
Vijaya Diagnostic Centre Limited
November 08 , 2023

Page 10 of 14

sense ... it's not going to help the company or the shareholders of our company. Today , we are seeing a little bit moderation. We are talking to many different options. So , let's see what happens. Maybe we'll have some news for you.

Moderator: The next question is from the line of Aditya from Securities Investment Management Company. Please go ahead.

Aditya: So, I just wanted to understand how do the mature centres behave , so see a centre which is five to six years old, our volume growth wouldn't be that much in that centre , while our cost would grow at normal inflation levels , so what helps us maintain our margins in the se centre s? So, one lever which we could think of is price hikes, but in this industry, peers generally don't take any price hikes , so, if you just help us understand what helps us maintain margins in these centre s?

Sivaramaraju : It differs from centre -to-centre . For example , if you take a centre , a spoke which has hit about 130-140 footfall per day , it depends on multiple scenarios because if you see the recent spokes that we have put , we sometimes try to convert even the rooms that are not being used properly for some other modality into a modality which is generating a business to us . To a certain extent, even if the centre hits the maturity, depending on that mix change within the centre , we can try to build that revenue to a certain extent. But , at some point in time, if it hits the peak, we'll have to add one smaller mini spoke like we've done in the last year near to the centre . But this is a business in any retail business I think, Aditya, one thing is there is a certain amount of growth that would be coming from the existing centre In that again if you take different brackets, the high-end mature centres may only grow at 1 % or 2% whatever is the price hike that we take, right , and some growth coming from the new centre I think the scenario is going to continue. But if today if you see in Vijaya 's network , I would say at least 70 % , 75% of the centre s still have the cap

acity to build the revenue .

Aditya: Sir, in our presentation we used to give one slide regarding the number of flagship centres, hubs and spokes. So , if you just let us know the centres of around 123 , what is the bifurcation between all these three?

Sivaramaraju : Currently, the flagship is one centre in Himayatnagar and then we have 29 other hubs, so the total hubs including flagship is about 30 and the rest are all spokes .

Aditya: Any large lab?

Sivaramaraju : Yes, so we've added one lab in Kolkata in the last quarter , 18 labs.

Moderator: We'll take the next question from the line of Bhavesh Gandhi from YES Securities. Please go ahead.

Bhavesh Gandhi: So, one question on your Q2 revenue kind of break up. So , how would that be between let's say hubs opened two years ago and the newly opened hubs , so, in a way I'm trying to get the same -store sales growth ? Also, secondly, the split how would that be between say, Hyderabad, your core market and the
Vijaya Diagnostic Centre Limited
November 08 , 2023

Page 11 of 14

neighboring hubs, say Tirupati and so on , I believe Kolkata is still, but how would that split be?

Sivaramaraju : So, the way we see is that any centre that was opened last one year we separate that, but we don't have the number handy for the two years old hubs. So, basically, if you see the growth of 18%, roughly around 7.5% of the growth has come from the centres that were opened in last one year and the rest 10.5 % to 11% from the existing centres and if you basically see the mix between Hyderabad and other areas , last year, I think in Q2 Hyderabad was generating about 83% of the total revenue versus this Q2 it's roughly around 80% of the total revenue. But , at the same time, if you see the growth between the markets, Hyderabad grew at 15% Non-COVID or COVID front, whereas obviously rest of Hyderabad because of the investments we made like Rajahmundry and Tripathi grew at a much faster pace something like 40%. So , that's the reason you're seeing that 18 % growth. But one thing to note is Hyderabad is still growing at a 15% rate.

Bhavesh Gandhi: Competition has kind of indeed taken a step back at least from the aggregators and some of the incumbent's perspective. But we do keep hearing at least one of your peers trying to get into radiology , one of large Mumbai -based chain kind of trying to get into radiology and they also have presence in Chennai. So , how do you read this situation and does new competition in radiology affect the vertical in the same way we have seen in pathology , in the sense , routine tests get commoditized, and then will a similar road map can unfold in radiology if we see rising competition in that segment ?

Sunil Chandra : We can't comment about our competitors, what we can assure you is that our business plan, we are very confident about continuing to grow , and also if you look at this integrated model, our founder Dr. Surendra nath Reddy started in 1981 , we were integrated radiology , pathology from the last 42 - years , and we have today so many centres in these two locations where over the last few years maybe people like you would question saying if you go to a new geography, what is going to happen to you . And we have opened these hubs , we have opened these spokes, and these centres are performing, and the margins are being maintained and the growth is being maintained . So, if somebody wants to compete, I think the market is very large ... the opportunity is very large. As you know, unorganized diagnostic segment in India is about almost 80%. So , anybody can go and open new centres and I'm sure there's opportunity. We can't comment on how they will do, but we are very sure about our growth plans.

Sivaramaraju : And just to add what Sunil sir mentioned, I think Vijaya being in this business for 40 -years, at least what we have realized unlike many

any other

sectors this is a sector where you need not to act on every change that a competitor or a new player gets into the market. Because unlike other sectors, it's not the product or something that you are selling here, it's more about trust, the trust that you're going to create with the patient and also with the clinician. I think what's more important is that to build this business for Vijaya at least , the main pillars were like introducing new technology, we were always on the forefront to introduce new technology , we were always on the forefront to get the best medical talent and non -medical talent and also you see the centres, the kind of infrastructure we have, and we churn out the Vijaya Diagnostic Centre Limited

November 08 , 2023

Page 12 of 14

quality reports at a much faster TAT . I think this is something which has made us have the dominant position in Hyderabad and that's a good spot to be in. I think as long as we maintain that

Suprita Reddy: In any geography that we go to, I think , we would be very confident on whatever we've guided on our growth plan.

Bhavesh Gandhi: One follow up to that . You have always highlighted technology on the

radiology side in terms of 3.0 Tesla machine and so on. So, wanted to know on the pathology side on the specialized test, what additions can we expect say on the oncology side over the next one year or so, because I believe this specific segment has seen a lot of action in recent times in terms of new kind of tests being offered, so anything on the specialized test front we are looking to add over next one year or so to broaden our test menu?

Sunil Chandra : We are integrated, but at the same time if you look at our pathology business, we have a very deep test menu. So, we do a lot of specialized tests, and we keep adding every Year. I'm assuming you're referring to things like onco genomics or sequencing like that. There are somewhere we are investing already in launching those tests and some we already offer.

Suprita Reddy: It's also that histo pathology basically was also part of our test menu from the early 90s itself. So, we do a constructive large amount of histopathology work, just not in the flagship centre, but also in two other centres where a centre of excellence for skin biopsies and renal biopsies, we have specialized talent for that. I would n't know an exact number, but a lot of IHC markers as of today like Sunil mentioned, sequence is something that we are actually getting in probably the next two quarters, there will be a new lab setup for that particular department. And in terms of numbers, every quarter there's almost about a 2% to 5% increase across the test menu, across all of the departments, just not in histo, onco, but also in terms of your molecular pathology, your serology, microbiology, across all of them. So, I think probably the test menu that we do offer today is deep enough to cater to all the requirements that we are getting as of today.

Bhavesh Gandhi: One question on wellness part. So, do we have any specific kind of numbers in mind about wellness being so much of our business or we think that it can continue on its own because there are some nuances involved here, I mean, the number of tests might go up, but from our business premise perspective of being more focused on sickness and kind of relying on patients who have acute need for testing vis-à-vis wellness, which at least ourselves is more discretionary in nature and which is more prone to competition. So, is there any specific thought process on wellness as part of your business -- you want to cap it or how should we look at it?

Sunil Chandra : I should congratulate you that you've realized. If you look at wellness and if you look at any of our listed peers also, I don't think anybody will have more than maybe 12%, 13% contribution coming from well

ness. And when I say wellness, I'm talking about the packages, whatever health tests. Now, do we not do this? No, we also do it. Everybody does it. It's one part of our business. We obviously offer a lot more than just wellness. Wellness is the one segment where, yes, there is some pressure on pricing because you have these aggregators; you have third parties trying to focus on this. But, as a
Vijaya Diagnostic Centre Limited
November 08, 2023

Page 13 of 14

percentage of the total revenue, it is not so huge for any of the large players including us. We are not going to stop doing it. We are going to keep growing that business. But if your question was wellness profitability margins are more under pressure than actually doing something more advanced or doing some other individual tests, then, yes, that is true.

Moderator: The next question is from the line of Bhavesh Gandhi from YES Securities. Please go ahead.

Bhavesh Gandhi : In terms of hub additions over the next 12 months, how should we look at it? I know we are coming off from a large CAPEX program last year and we are kind of more focused on monetizing it. But if I have to kind of focus on what next apart from the one which you opened in October '23 in Mahbubnagar, which are the geographies can we look up?

Sivaramaraju : So, there is one centre that's coming in Karnataka which is Gulbarga in the

next one to two weeks, right? Apart from that like we said in FY24 and '25 put together we will be opening eight hubs, out of which it will be a mix of Kolkata and rest of Andhra and Telangana in our core geographies.

Moderator: We'll take the next question from the line of Rishi Modi from Marcellus Investment Management, Please go ahead.

Rishi Modi: Siva, you mentioned that we are expanding in Karnataka, opening up a hub in Gulbarga. If I remember correctly, we had tried a foray in Karnataka in the past as well. So just wanted to understand what have been our learnings from that experience, what are we doing differently this time around?

Suprita Reddy: Like you said, there was a small foray in to Karnataka a few years back. Like we've been mentioning, there's a lot of inflow of patients who come in from our adjacent geography. Gulbarga may be in Karnataka, but it's bordering the Telangana state border. So that was the reason why we chose Gulbarga because most of the Gulbarga work does come into Hyderabad as of today. So, the centre that you would be seeing in Gulbarga again would be a larger hub around 8,000 to 10,000 square feet with a fully automated lab and a very high-end MRI, but a low-end CT. So, we did see a requirement for that. So that is an adjacent geography that happens to be in the state of Karnataka.

Rishi Modi: Our medical talent will go from Telangana to Karnataka, or we are going to hire local talent?

Suprita Reddy: In any new geography it's partly both. Some of our core team members do go there for a certain time and stay and some of them are local and most of the advanced radiology is anyway done through the entire network through the teleradiology. So, it will be the same model that we have taken up in both Tirupati, Rajahmundry and Kolkata kind of centre.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Suprita Reddy: I'd like to thank all of you for your interest in Vijaya and for taking time out to attend this call. I'd also like to thank YES securities for hosting the call.
Vijaya Diagnostic Centre Limited
November 08, 2023

Page 14 of 14

Should you need any further clarifications or seek to know more about the company, please feel free to reach out to us.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of YES Securities, that concludes this conference.

We thank you for joining us
and you may now disconnect your lines.

Call: Feb 2024

February 12 , 2024

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on February 06, 2024

We are enclosing herewith the Transcript of the Earnings Conference Call organized on February 06, 2024, post declaration of unaudited financial results of the Company for the third quarter and nine months ended December 31 , 2023 .

Please take the information on record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: As above

To,
Listing Department
National Stock Exchange of India Limited ,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
NSE Symbol. VIJAYA To,
The Corporate Relations Department
BSE Limited ,
Phiroz Jeejeebhoy Towers,
25th Floor, Dalal Street
Mumbai - 400 001
BSE Scrip code. 543350

Page 1 of 14

"Vijaya Diagnostic Centre Limited's Q3 FY'24
Earnings Conference Call "

February 06, 2024

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , VIJAYA DIAGNOSTIC CENTRE

LIMITED

MR. NARASIMHA RAJU – CHIEF FINANCIAL OFFICER ,
VIJAYA DIAGNOSTIC CENTRE LIMITED

MR. SIVARAMA RAJU – HEAD (STRATEGY & INVESTOR
RELATIONS), VIJAYA DIAGNOSTIC CENTRE LIMITED

MODERATOR : MR. BHAVESH GANDHI – YES SECURITIES (INDIA) LIMITED

Vijaya Diagnostic Centre Limited
February 06, 2024

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to Vijaya Diagnostic's Q3 FY'24 Earnings Conference Call hosted by YES Securities .

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavesh Gandhi from YES Securities (India) Limited.

Thank you, and over to you, sir.

Bhavesh Gandhi: Thanks, Viren. Good morning, everyone. This is Bhavesh here from YES Securities . I welcome you all on the Third Quarter FY'24 Earnings Conference Call of Vijaya Diagnostic Centre Limited.

First of all, I would like to thank the Management for giving us this opportunity to host the call. Today, from the Management Team , we have with us, Ms. Suprita Reddy – Managing Director and CEO; Mr. Narasimha Raju – Chief Financial Officer and Mr. Sivarama Raju – Head (Strategy and Investor Relations).

I would now like to hand over the call to Ms. Suprita Reddy for her Opening Remarks. Over to you, ma'am.

Suprita Reddy: Thank you, Bhavesh. Good morning, everyone. I on behalf of the management team of Vijaya Diagnostic Centre Limited take this opportunity to welcome you to this forum. I will first now present the "Key Highlights for the Period" after which "Mr. Narasimha Raju will take us through the Operational and Financial Highlights of the Quarter -ended 31st December 2023."

I'm joyful in announcing that this quarter too witnessed healthy business performance with our core business firming up further, recording an 18% year -on-year non -COVID revenue growth. The Wellness business stood strong at 12%. Maintaining a steady contribution to the overall revenue, the B2C segment was up 94%. The expansion of Vijaya's footprint and the demonstration of consistently successful business performance, clearly shows a steady progress in line with the four -pronged strategic approach. We have been talking from the time of our initial listing. Aligning with our strategy of growing stronger and deeper in our home markets, we established hub centers at Tirupati, Rajahmundry and our close at Panjagutta, Hyderabad. Added to a warm and spontaneous reception of our brand by our customers, all these hubs have been able to perform really well breaking even in a record timeline. The three months old hub at Mahbubnagar followed the same positive trend and as anticipated we should be able to break even in the next quarter.

Guided by this strategy of expanding to the adjacent geographies, we set up a hub center in Gulbarga in the state of Karnataka in the month of November 2023. The center can offer a

Vijaya Diagnostic Centre Limited
February 06, 2024

Page 3 of 14

comprehensive range of diagnostics right up to MRI, CT and houses a fully automated lab. Foraying into Karnataka, we believe that we'll be able to sufficiently identify and address the market need and swiftly expand the footprint thereto.

We took steps towards expansion to Eastern India by setting up a one of its kind hub in Kolkata. Commencing business operations in July 2023, the progress has been quite promising and we can expect a break even within the anticipated timeline. We made a good headway into identifying strategic locations for expansion into the West Bengal and expect to close in on a couple of locations in time to come.

Striving to achieve inorganic growth, we acquired PH, renowned and a well -established B2C integrated diagnostic chain in Pune in the month of December 2023. Ever since, we've seen a rapid ramp up of things and expect to fully integrate to the parent company in the next two quarters.

Along with Dr. Hemant from

PH, our colleague Mr. Kamlesh, who was with Vijaya for the last five years, is working to effectively capture the market in this region. We plan to present a detailed update on the progress and the future expansion plans very soon.

Apart from the progress in line with the predefined strategy, we lay utmost importance to ensuring our practices follow the best standards of quality. A testimony to this has always been that our labs being NABL accredited, even the recently established ones at Rajahmundry and Tirupati. The hub at Kolkata is slated for an NABL accreditation in a month from now. Furthermore, the NABL shows our Kolkata lab for a joint assessment alongside (APAC) Asian Pacific Accreditation Board, an organization providing accreditation guidelines to NABL. This prestigious assessment is generally extended only to the top labs in the country. Added to this, a part of our initiative for doctor engagement and connect, we've held the highest number of CMEs in this quarter. We partner and consult with expert clinicians in the industry to hold webinars on various complex topics and medical conditions on a continued basis. It is also our conscious effort to attract and retain talent. The doctor base at Vijaya has now increased significantly from 200-plus to over 250-plus doctors. We were able to demonstrate that we stood true to our commitment to abide by our well thought out expansion strategy playing at most importance to the needs of our customers, a winning stance that made us come this far, enabling us to add value to our stakeholders while standing out as a brand of choice. While conforming to this approach always, we will strive hard to improve and upgrade along the way. I'd like to invite Mr. Narasimha Raju – our CFO, to present to us the "Operational and the Financial Highlights" for this period. Thank you.

Vijaya Diagnostic Centre Limited
February 06, 2024

Page 4 of 14

Narasimha Raju: Thank you, madam. Good morning and a warm welcome to everyone joining us on the call today.

Before I take you through the "Financial Performance" of the current quarter, I would like to update you that the recently acquired subsidiary, PH Diagnostic, Pune is consolidated with effect from its date of acquisition, that is 21st December 2023. Accordingly, the financial numbers and also the operational metrics given in the investor PPT include the corresponding numbers of PH as well. The revenue from PH for this period of 11-days in this current quarter is approximately 1.29 crore with similar EBITDA margins of Vijaya.

Now, I will briefly take you through the "Financial Performance and Key Developments for the Current Quarter ended December 2023":

The consolidated revenue for the current quarter stood at Rs.133 crores as against Rs.113 crores in the corresponding quarter of the last year, registering an overall year-on-year growth rate of 17%.

When it comes to the non-COVID business, I'm happy to inform that it has grown at year-on-year growth rate of 18%, that is from Rs.112 crores to Rs.132 crores in the current quarter. Please note that even without considering the revenue from PH, the non-COVID year-on-year growth rate is impressive at 17%. I'm glad that this significant revenue growth of 17% was largely driven by volume growth of 15%. Like the previous quarter, this growth in the business was again driven by both radiology & pathology segments underscoring the robustness of our B2C focus integrated business model. The B2C revenue share stood healthy at 94%.

Our radiology business stood at 36%, similar to Q3 of last year. The revenue per test was Rs.459 and the revenue per patient footfall was Rs.1,511 during this current quarter.

EBITDA for the current quarter stood at 52 crores as compared to 44 crores in the corresponding previous quarter, registering a year-on-year growth rate of 18%. The EBITDA margin was healthy at 39.4% in the current quarter,

marking a year-on-year increase of 30 basis points.

Few factors that have helped the company to maintain this industry-leading margins are, impressive growth of 17% in the top line, 94% of revenues coming from B2C segment, the cost structure of the integrated business model, and a close monitoring of the operating cost. The profit after tax for the current quarter stood at 26 crores and the PAT margin was also healthy at 21% excluding the recent M&A cost.

Coming to the update on the CAPEX investments in the new centers for the current quarter:

As part of Tier-2 cities expansion strategy, we have successfully launched our hub center at Mahabubnagar, and as part of adjacent geography strategy, we have commenced the hub center at Gulbarga in the state of Karnataka, and also, we have added two spokes in Hyderabad network.

Vijaya Diagnostic Centre Limited

February 06, 2024

Page 5 of 14

Coming to the update on the investments and cash reserves, as informed in the earlier discussions:

The transaction value for 100% stake of PH Diagnostics is 147.50 crores, which is entirely funded through the existing cash reserve. The cash reserve as at the beginning of this quarter

were Rs.298 crores. And after this acquisition and also after payment of 100% dividend to the shareholders in the current quarter, the closing balance of cash reserve is Rs.158 crores.

I will now summarize our Performance for the Nine Months ended December 2023 :

The consolidated revenue is Rs.393 crores as against Rs.338 crores in the corresponding nine months of the last year, marking a year -on-year growth rate of 16% on total revenue, and when it comes to non -COVID, it is 19% year -on-year growth. EBITDA stood at Rs.158 crores as against Rs.133 crores in the corresponding nine months period, registering a year -on-year growth rate of 19%. EBITDA margins stood healthy at 40.2% and the profit after tax was 86 crores with impressive margin of 22%.

To conclude , I would like to say that the company is expanding into new geographies as per well thought out and careful expansion strategy. And with the recent acquisition of PH in Pune, we are very close to 150 centers milestone. Spread across 23 cities and five states, we continue to hold our position as the largest B2C integrated diagnostic chain supported by healthy balance sheet and robust cash surplus available for our future expansion strategy.

This brings me to the end of my address. I would now request the moderator to open the line for the Q&A session. Thank you.

Moderator: We will now begin the question -and-answer session. We have our first question from the line of Bhavesh Gandhi from YES Securities . Please go ahead.

Bhavesh Gandhi: One question is on Gulbarga. Can you dwell upon the market size, how does it compare to some of the other hubs that we have opened recently and how do you think of this hub addition?

Sivarama Raju : Bhavesh, so more than the numbers, I will qualitatively explain you. So, if you see the market, it is larger than Rajahmundry and Tirupati in terms of size, availability of doctors, availability of medical colleges and hospitals. So Gulbarga is a district headquarter and it has about three medical colleges present in that region. And in terms of diagnostics, again very limited play in terms of integrated, you have pathology only players, but in terms of integrated play, you have only three or four local players. So, we see an ample opportunity. In fact, you have many of the doctors for oncology setting up their clinics in Gulbarga now. Once the center stabilizes, maybe two, three years down the line if we find that market to be suitable, we may also add some other modalities in that market. Otherwise, there's a huge opportunity in that market.

Vijaya Diagnostic Centre Limited

February 06, 2024

Page 6 of 14

Bhavesh Gandhi: Second question from my side is on the Pune acquisition. So, in

terms of integration challenges

or integration efforts that are required in terms of front end sample collection, the back end testing as well as report generation, so how do we see the progress on those parameters because I think from whatever we have seen in other M&As within diagnostics, those kind of challenges have proved to be quite time -consuming, So, any thoughts on those points?

Suprita Reddy: Yes, Bhavesh. So like you mentioned, they are time -consuming and challenging, but they have to be done , that's also a reason why I said in the next two quarters . In fact, if you ask me in the next couple of months itself, we'll get the front end aligned to the parent company and the back end processes will probably take another couple of months from there in terms of your HR, procurement, store. But the front end will be with the parent company probably two months' time to come from now.

Narasimha Raju : And also, Bhavesh, we're trying to integrate the accounts ERP of the parent company and also the front -end Sufalam software like madam told also the efforts are on the way to get them implemented in the month of April including all the major departments like HR policies, procurement, finance. In fact, recently we have recruited one dedicated finance head in Hyderabad to oversee the entire Pune finance function as well. So in another couple of months we're trying to align most of the parent company policies and procedures over there.

Bhavesh Gandhi: In your opening remarks, you had mentioned about looking for hubs in West Bengal. So what is the plan here in terms of what is the nature of hubs that we are going to open and how would this stand vis -à-vis our Kolkata hub in terms of CAPEX, in terms of the offerings across radiology, any indication here?

Suprita Reddy: Bhavesh, irrespective of geography, the hub remains the same for us, whether it is a metro or a Tier-2. Hub specifically is sometimes with a fully automated lab, otherwise with the CT and MR and every other modality like a BMD, TMT, 2D Echo, Mammography where entire health checkup can be done. So hubs are the same. They differ sometimes in terms of size availability on property in that particular area, but the hub definition remains to be the same. So in Kolkata, the first of its kind hub was opened in VIP Road with the 3 Tesla and a Cardiac CT. Because it was the first center that we opened. Now the second hub that will come probably will not have a cardiac CT, but will still be able to do an entire health checkup in the hub itself, which is probably close to opening in the next say two to four months depending on when the property is handed over to us. Like we mentioned in the earlier calls, West Bengal is a market we want to grow organically, we would want to take it slow, get it ready to be a market that we would want

to add lot more spokes in the years to come, that is in the next two to three years. To get that market ready for that, we started with our first of its kind hub slowly adding a few centers, but the entire concentration now is probably in taking over Pune, integrating it, looking at that market, getting us some insight into that, and parallelly doing the adjacent geography, Hyderabad market, Pune Market and Kolkata market. So, in terms of how many centers, Kolkata will be a

Vijaya Diagnostic Centre Limited
February 06, 2024

Page 7 of 14

little slow compared to these markets because we want to have it as a long -term plan in the coming years to come.

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

A Puranwala : First question is on this 18% volume growth. So 1% we understand that it's coming from the PH acquisition and the balance 17%, could you help us understand, what is driving this kind of growth, how much of this would be coming from Kolkata, your other new centers and how your older centers are doing?

ng?

Sivarama Raju : So like you rightly said, out of this 18% 17% of the non -COVID revenue growth was driven by the parent company and only 1% of it coming from PH. So, when we break it down into volumes, right, I think this 18% growth was led by about 16% growth in test volume , and basically it's a mix of all the four things, right, the existing centers growing in Kolkata and the new centers also taking up. So today, if you exclude PH, still we get about 80% of our revenue from core geographies and 3.5% of revenue from Kolkata. So if you break down this into same -store sales growth versus new centers growth and then we consider any center that's opened like one year and above has same -store sales growth because they're also part of last year. So roughly around 11.5% to 11.7% of revenue growth was from same -store and about 4% to 5% coming from these new centers . So same if you translate this into volume, 10 bps here and there, even the volumes will follow the same trend.

A Puranwala: Secondly, on the PH acquisition, you mentioned you have done close to Rs.1.29 crores of the 11-days integration what has happened. So I mean going ahead, how should we look at PH, I mean, would this be an annual revenue generator anywhere between 35 to 40 crores or you can use to scale up the business in the next one or two years?

Sivarama Raju : So if you actually see FY23 itself, PH closed around Rs.42 crores of revenue . Definitely you'll see some improvement in FY24 happening, right . So apart from that, yes, the whole idea is to grow that geography. There's a lot of potential in that market. But coming to detailed plans, even we are also prioritizing few things internally. Maybe in next one, two months we'll be able to present you a detailed plan. But yes, you can expect some good growth coming from that market.

A Puranwala: And just finally on the sequential dip in your margins, just wanted to understand, is it entirely because of the seasonality on quarter -on-quarter basis or anything further to read into this?

Narasimha Raju: Mainly because of the seasonality. But if you see quarter -on-quarter, there is a 4% decrease in the revenues, right? So due to which the margin slightly dropped from 41% levels to 39.4% or 39.5%.

Moderator: The next question is from the line of Anuj Suneja from ICICI Prudential. Please go ahead.

Vijaya Diagnostic Centre Limited
February 06, 2024

Page 8 of 14

Anuj Suneja: So some of my questions have been answered on PH and I'll just ask the rest. So essentially on basically the realization per patient front, while we are seeing expansion of AR PPs from other players and growth has been anywhere between 6% to 10% in the last one year. But for us, the growth seems to be slightly delayed. Could you tell the reason for this or are we not really taking price hike and how should I be looking at the ARPP numbers going forward.

Sivarama Raju : So Anuj, even in the last four or five years and also in the current year, if you generally see the price impact, right, generally we don't have any annual price hike across the test like whenever we see some input cost increasing for a particular test, we increase the price of that particular test. So more or less it will be like 1% or 1.5% of our total revenue coming from price hike. This is something where we are trying to build more on volumes because still we are in that growth phase, right, including in Hyderabad. You've seen the kind of setups we have done in the last one year. So we want to follow that route for at least next one, two years. So you will not see anything big coming in front in terms of price increase, but you may still see ARPP going up because it all depends on how Pune, Kolkata, because the current average realizations in Pune and Kolkata a little better when compared to this Tier -2, Tier -3 market. So you may see more of a mix change but not actually ARPP change because of the

price hike at least for the next one, two years.

Anuj Suneja: Secondly, I wanted to ask, so in the expansion plans in your PPT of the slide #22, you also mentioned Gurugram and I have asked this question before as well, is something happening there right now or we have just receded from that market?

Sivarama Raju: Basically Gurugram, we have a location already present there. So that is the reason we mapped there, but we did not mention anything about North India strategy. If you see that slide, it talks about East India, adjacent geographies west and core geographies. But as of now. -

Suprita Reddy: Anuj, Gurugram is an old center set up for a wellness center, basically. So it's almost been... I don't know the exact number of years, but it's a single standalone unit, caters mostly to the corporate and the wellness sector. And in terms of strategy there, we've not thought about anything, no plans on Gurugram yet.

Anuj Suneja: And finally, from the growth perspective, so we have done like 15% of volume growth. Going forward, say if I were to visualize your company say about three to five years down the line, do you have a strategy in place or could you help me visualize like how much growth would be coming from which geography, be it Telangana, Andhra going forward into western and eastern geographies and it will be helpful if I can like get a slight volume breakdown in terms of how are you looking at volumes going forward and what percentage of volumes will be coming from which part of the country?

Sivarama Raju: Maybe we'll not be able to break it down to that level. But if you ask us, see, the idea is to grow all the geographies including Hyderabad because we've made significant investments in last one year like Panjagutta, etc., and also obviously we're taking steps in the eastern India and now in Vijaya Diagnostic Centre Limited

February 06, 2024

Page 9 of 14

Pune also, right. But what we foresee or what we believe is that Hyderabad, which is a significant portion of our current revenue will still tend to grow at that higher double digits, and with the growth coming from the rest of the geographies like Tier -2, Tier-3. East India and Pune, right, so the contribution see today, I think 80% of the revenue is coming from Hyderabad, maybe that will come down to say somewhere in the range of 70% to 75%. But the idea is to grow all the markets. So specifically, to guide us -

Suprita Reddy: If you want an answer there, probably it looks Hyderabad dipping a little, Andhra increasing, followed by Pune, then followed by eastern India. In terms of exact breakdown, probably we're not enough because we've just taken over PH in the month of December, I think we need a little more time to come back to you on a more detailed breakdown in terms of numbers.

Narasimha Raju: So that's on geography side. Coming to the split, the growth that what we're expecting is 14% to 15% growth, that will be predominantly coming from the volume growth. As you have seen now, the entire growth is driven by 15% of the test volume. So, what we expect that is irrespective to the geography, the growth will be driven mainly because of the volume growth.

Moderator: The next question is from the line of Ashita Jain from Nuvama Institutional Equities. Please go ahead.

Aashita Jain: So most of the questions have been answered. A couple of questions more. Firstly, excluding the PH diagnostic, is your 15-center opening annual plan intact? And what are the other areas you're looking to open your hubs going forward, any color on that?

Suprita Reddy: So the 15 centers probably are in pipeline. but due to some delays from the lesser than the landlords, probably they would not be able to come in this financial year alone, would get carried forward to the next quarter. In terms of the plan of opening these 12 to 15 centers in one year, is very much intact and is in place. And in terms of the hubs

coming up now, probably the plan

will change a little in terms of two or three hubs coming up in the Pune region because of the PH acquisition. So, probably in terms of number, we might not be able to show it to you in Q4, but it will get carried over to the next year. And I think already we opened three hubs already.

Narasimha Raju: And also, Ashita, just to add one more point, these things might spill over to over the next financial year, but if you look at the last 12 months, we opened almost close to like a 12 center. And in these two financial years, we opened almost close to 35 centers in a span of just 24 months again with a combination of eight major hubs.

Suprita Reddy: Sometimes what happens is like Barasat has been a location that was finalized quite some time back in Kolkata. So, we're just waiting for a handover to happen even though it's part of the plan.

So, sometimes there are unforeseen delays that happen because of the large sized places that we require perhaps. And that's certainly causes certain amount of delay, probably which will spill over to the next quarter.

Vijaya Diagnostic Centre Limited

February 06, 2024

Page 10 of 14

Aashita Jain: So my question was not from FY24 perspective, but go from next two to three years?

Suprita Reddy: Absolutely. The 15 centers will remain steady as is, but in terms of where these are going to come, we'll need a little more time to come back to you on the breakdown of how many hubs, how many spokes, which geography.

Sivarama Raju : That will be upcoming.

Aashita Jain: My second question is on Kolkata. You mentioned that you are on track to break even within the guided timeline. But could you give us some color on the monthly revenue run rate and what level it should reach to attain that kind of breakeven ? And also what is the peak potential that you expect from this at this stage, any color on that?

Sivarama Raju : Like guided over the last calls also, since it's a first center on the name of Vijaya in Kolkata, the timeline that we thought is like four quarters of break even. So, we just completed two quarters, right? So month -on-month we are seeing the good ramp up in revenue and in terms of volume also, right. So generally the center to break even would require something like about close to including... when we say break even, we always say including rent, right, so it will require something around say 65 lakhs to 70 lakhs run rate for us to break even in that particular center. So still we have six months of time, but if you ask us, we believe that we may break even before July of this year.

Aashita Jain: And what is the peak potential that we can expect from this center at this stage in the next three or four years?

Sivarama Raju : See, this center is basically built keeping the view that at least we do about 18 crores to 20 crores kind of a revenue at maturity, which will generally take 4, 4.5 years for you to reach to the maturity in a hub like this.

Aashita Jain: Last one is on Gulbarga. What are your break even expectations timeline for this center? and within Karnataka, as you are foraying into this new state, what are the other like cities you plan to go, is Bangalore also in your list?

Suprita Reddy: This strategy of going into Gulbarga was predominantly because it was an existing geography to us and not because we wanted to foray into Bangalore or Karnataka as a state. Like we mentioned earlier, Hyderabad being the oldest home market, we were getting in a lot of patients from Nanded from Maharashtra, Gulbarga, Karnataka, and what happened is these became very dense hyper local markets, like Siva mentioned, there are multiple oncologists practicing out of Gulbarga. So we said, it's time for us to go to Gulbarga. Customer is not going to travel all the way. And that was the main key strategy to go and open up one of its kind center in Gulbarga, all integrated. And if you ask us

right now, with our hands full with PH at the moment and West

Bengal, we've not thought about anything foraying into Karnataka at the moment. But if there's an opportunity, we'll definitely not miss out on that.

Vijaya Diagnostic Centre Limited

February 06, 2024

Page 11 of 14

Moderator: The next question is from the line of Samir Jain from Marcellus Investment Managers. Please go.

Rishi: Hi, Rishi here from Marcellus on behalf of Samir. So, Suprita, in the last quarter you mentioned you'll have plans of expanding into Kolkata. You in fact signed up two, three leases for hubs.

Just trying to understand, in this call, you said that Kolkata, we're going to delay a bit, in Pune, we are going to prioritize over Kolkata. So, has something gone wrong in Kolkata or what's the -?

Suprita Reddy: Absolutely not, Rishi. When we say slowdown in Kolkata, doesn't mean that I will go and open seven spokes in Kolkata with one hub center. Like I mentioned earlier, we still have about two to three hubs coming up. See, the hub -and-spoke model works beautifully only when we build a hub, create a network, then I can build on the spokes. We only have a single standalone center in VIP Road and if I do two more spokes, that is when we give room for the spokes to grow. That plan is intact as is. Doesn't mean that we open seven spokes in Kolkata versus what we would do in an Andhra market or Telangana market, because we have more than headroom to grow here for the next two to three years. When we say we go slow, we open one hub every two quarters in Kolkata, build a base for the years to come where we can expand on the spokes which will feed into the hubs. And in the meanwhile PH happened, so we will also have to look at CAPEX allocation and be stringent in what we are trying to do, right, we will have to grow both the markets. It doesn't mean that we slowdown in Kolkata. Kolkata has always been an organic Greenfield way Looking at the future of what after five years. And PH has happened. Now probably we will allocate almost half of our budget now to the Pune region because we will have to build on, we will have to create probably same kind of network as what we have done in Hyderabad for Pune if we see a lot more opportunity immediately.

Sivarama Raju : And Rishi, basically, I think rather than saying it's not about slowing down in Kolkata, we will speed up in Pune, maybe I'll put it the other way because see like in our earlier calls and discussions also we were telling that maybe in next two, three years we'll have three or four hubs coming in Kolkata. That was the guidance that we were giving from before. Since Pune, it's an

acquisition, we have a setup which is already ready with say the three hubs and then already three spokes and some 12 collection centers. Since there is a network that's already ready, it will be easy for us to -

Suprita Reddy: Ramp it up faster.

Rishi: Second, I see that your wellness segment has only grown by 9%, right? And we're seeing this across the board where wellness has kind of slowed down to say 10%, 12% across players. So, just trying to understand, is there some sort of over testing that happened in the wellness segment last year and that's the base effect that's coming into play and hence there would be some operating leverage for you or there was some one-off in this quarter, which is to a near 9% growth?

Vijaya Diagnostic Centre Limited

February 06, 2024

Page 12 of 14

Sivarama Raju : It's more or less one-off, Rishi, because if you actually see in the previous quarters of the Q2 and Q1, we were growing at double digit only, right. See, there are two things that happened in the last year Q3. Generally what we see is from Q2 to Q3, right, when you see dip in revenue, you see dip in both radiology and pathology volumes. But in last year Q3, we have done higher wellness and higher radiology and the actual drop happened only in p

athology segment. That

was like one-off which happened in last year. Because of that base, this year, whatever you're seeing that 17% growth, if you break it down to radiology and pathology, it looks like you got a lot of growth from pathology, limited growth from packages and radiology, it's more of like one-off.

Rishi: So, like what's explaining this one-off because I'm just trying to understand because Q2 also you all grew by 20% year-on-year.... I'm talking about year-on-year. Pre that you had almost 50% - plus growth trajectory. So just trying to understand is this like now the fad has gone off wellness testing or something that's -?

Sivarama Raju : No, no. So if you actually say the percentage of revenue, it has not come down. So if you actually go to that decimals, right, it's about 0.5% difference, that's all. See, that fluctuation of 0.5%, you may see in any quarter; in one quarter you are seeing 13.5, in one quarter 13, in one quarter 12.5 between that 0.5% quarter-to-quarter. Otherwise, it's not a big drop.

Narasimha Raju : In the last four quarters, Rishi, almost it remained in the range of 12.5% to 13% always consistently in the last four quarters.

Rishi: Finally, you said your pricing strategy is cost plus basically whatever inflation comes into your raw materials or whatever you pass it on, accordingly, you price your test. So, just trying to understand like this strategy, right, if let's say tomorrow there is some supply chain crunch and given most of our consumables are imported or even say dollar appreciate, so how will we deal with this volatility, do we have some mechanisms in place to crunch costing, so if you just give us an understanding on how you work around this piece cost, purchases basically?

Narasimha Raju : So Rishi, if you look at the P&L, the material consumption is the reagents. So there we have something like a long-term contract. The prices of all these major reagents are fixed either with the Siemens, the Beckman Coulter or Abbott, example PH has got with Abbott. So all these are long-term contracts. There are scenarios where sometimes these vendors came forward... even though there is a long term agreed contract, they might come back and say, okay, it was the last three it was like a Rs.78/ USD and now it is Rs.83, 84, can you do something? So those negotiations happen in spite of having a long term firm contract for the next three to four years. So that's the comfort that we have. But in those cases, there were instances where we increase, for example, 1% or 2%, it is not like a major increase never happened, primarily because we firm up this prices through a long term contract, that is one. Second thing, if you look at in the P&L, since we're in radiology, there is a CMC cost which is significant, right? So there also what we do is since we procure most of the radiology equipment in the country, either MRI, CT, ultrasound, so for example, we got close to 90 -100 ultrasounds more than 100 x-rays, etc., So

Vijaya Diagnostic Centre Limited

February 06, 2024

Page 13 of 14

we freeze the CMC contracts for next five years or something like that, then we agree for a fixed escalation of 5% per annum. There were instances from these players like Affiliante. GE, etc., that because of USD/INR stuff having that 5% what was there in the contract can be increased by 8% or 9%. That was a rate scenario.

Suprita Reddy: All this put together adds up to that 1% to 1.5% increase you're seeing in the price of the test,

Rishi. This is a one-off test, some of those more specialized tests. Until and unless there's even a 5% to 8% dollar fluctuation, nobody comes up for a price increase from these companies.

Rishi: So dollar appreciation plus this 5% is basically what you all convert to 1% price hike?

Narasimha Raju : 1% or 2% correct.

Moderator: The next question is from the line of Bhavesh Gandhi from YES Securities . Please go ahead.

Bhavesh Gandhi: Just one question is on Pune. So you've talked about strengthening the acquired brand and expansion in the neighboring markets. So a), does this mean increased investments on the brand as such further fortifying it? How should we look at advertisement and promotion expenses in the acquired brand? And also expansion anything apart from Pune within Maharashtra state?

Sivarama Raju : Bhavesh, on the advertising front, like we told you, we'll take one or two more months to come back to you with the actual plan because how we are going to brand, whether we're going to co-brand it, etc., all these decisions we are taking internally.

Suprita Reddy: Bhavesh, now, as we took it in December, it stays as is. We did not want to make major changes to a brand that's been running, we wanted to get some clearer understanding. So probably whatever changes we do will be effective from the next financial year, April is when we'll take a call on that. Definitely, for the first quarter when we do that, you will see an increased cost in advertisement rebranding, co-branding, all this will only happen in that particular year, the first quarter. And in terms of Maharashtra, we've definitely not even thought about it. Our interest is immediately that we look into Pune, build up because they have 3 hubs and they have lot of possibilities of adding a lot more spokes there. So, our focus is on understanding that market it, mapping it and that's also the reason why we are not giving guidance on how many centers we will open. We would like a clearer understanding and then we will give. Until and unless Pune as a market is stabilized and we have control, then probably we look at more geographies into Maharashtra. But the core focus is now on Pune immediately.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Just one question is around Hyderabad. So that's around 400 -odd crores revenue for you and you're fairly confident of growing it may be in line with the company of around 15% growth. So just wondering, when do you see a situation where you sort of hit a ceiling as far as the expansion goes -- would it be like three years, five years down the line?

Vijaya Diagnostic Centre Limited
February 06, 2024

Page 14 of 14

Sivarama Raju : So Kunal, to be very transparent and to be frank and right, so Hyderabad is a city which always surprises us, right, for healthcare that too particularly, right, because this is one market both in terms of diagnostics and hospitals where we always think of saturation but you still see the city growing and the market growing. So, although we cannot guide you on the exact number of years, but at least for the next three to four years, we still see the market growing at this pace with whatever on-ground developments that are happening in the city and the way the city is expanding. So, at least for the next 2 -3 years, I think, we'll be comfortable. Beyond three years, maybe at this point in time we will also not be able to guide you.

Kunal Randeria: Of your expansion plans, how many hubs and spokes have you mapped out that you would add in Hyderabad in the next maybe five years?

Sivarama Raju : So coming to Hyderabad, you may not see more hubs coming in. So if you see we have added spokes in the recent one year in the upcoming areas of Hyderabad. Maybe two, three years down the line if these areas reach to that potential, maybe you'll see us adding hub then, but nothing immediate in terms of hub in Hyderabad. But spokes, yes, whenever we see a new pocket opening up, we will add spoke.

Kunal Randeria: Can you quantify?

Sivarama Raju : So you will not see much numbers coming in Hyderabad, Kunal. Though we will not be able to give you the exact number, maybe every year out of the 15 centers, you may see some two or three centers coming in Hyderabad, but majority of the ce

nters will be outside Hyderabad for at least next the two, three years.

Kunal Randeria: You said, you have been positively surprised by Hyderabad. So is it a market that has done just as well or have you sort of taken more market share in Hyderabad?

Sivarama Raju : So it's a mix of both, right, because we have seen multiple players coming into Hyderabad, multiple brands expanding, right. Definitely, as the market is expanding, along with the market, we would be inching market share year-on-year.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments. Over to you.

Suprita Reddy: I would like to thank everyone for attending this call. I hope we've been able to answer all your questions. Should you need any further clarifications or like any other information about the company, please feel free to reach out to us. Thank you.

Moderator : On behalf of YES Securities , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

May 16, 2024

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on May 09, 2024

We are enclosing herewith the Transcript of the Earnings Conference Call organized on May 09, 2024, post declaration of the Audited Financial Results of the Company for the fourth quarter and year ended March 31, 2024.

Please take the information on record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: As above

To,
Listing Department
National Stock Exchange of India Limited ,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai- 400 051
NSE Symbol. VIJAYA To,
The Corporate Relations Department
BSE Limited ,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street
Mumbai- 400 001
BSE Scrip code. 543350
Page 1 of 18

"Vijaya Diagnostic Centre Limited
Q4 FY'24 Earnings Conference Call"
May 09, 2024

MANAGEMENT : MS. SUPRITA REDDY - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VIJAYA DIAGNOSTIC
CENTRE LIMITED
M R. SUNIL CHANDRA - EXECUTIVE DIRECTOR –
VIJAYA DIAGNOSTIC CENTRE LIMITED
M R. NARASIMHA RAJU - CHIEF FINANCIAL OFFICER –
VIJAYA DIAGNOSTIC CENTRE LIMITED
M R. SIVARAMARAJU - HEAD, STRATEGY AND
INVESTOR RELATIONS – VIJAYA DIAGNOSTIC CENTRE
LIMITED

MODERATOR : MR. BHAVESH GANDHI - YES SECURITIES LIMITED

Vijaya Diagnostic Centre Limited
May 09, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 Earnings Conference Call of Vijaya Diagnostic Centre Limited, hosted by YES Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavesh Gandhi from YES Securities Limited. Thank you, and over to you, sir.

Bhavesh Gandhi: Thank you. Good morning, everyone. Bhavesh here from YES Securities. I welcome you all on the Q4 FY '24 Earnings Conference Call of Vijaya Diagnostics. At the outset, I would like to thank the management for giving us this opportunity to host the call. Today, from the management team, we have with us Ms. Suprita Reddy, Managing Director and CEO; Mr. Sunil Chandra, Executive Director; Mr. Narasimha Raju, Chief Financial Officer; and Mr. Sivaramaraju, Head – Strategy and Investor Relations.

I would now like to hand over the call to Ms. Suprita Reddy for her opening remarks. Over to you, ma'am.

Suprita Reddy: Thank you, Bhavesh, for hosting the call. A very good morning and a warm welcome to everyone present on the call. I will first now present the key highlights for the period. After which, we will take you through the operational and the financial highlights for the quarter ended 31st March 2024. I'm delighted to announce that this quarter, too, witnessed robust business performance with a remarkable year-on-year growth of 28.3%. Of which, an impressive 18.5% growth was achieved organically. This growth was primarily fueled by both footfall and debt volume. This quarter also marked a notable milestone with the wellness segment contributing 14% of the revenue. This is partly attributed to the recent partnerships with a few large corporates for the employee health checks.

Completing 6 months of successful business operations, our hub center in Tier 2 geography, Mahabubnagar, has gained significant traction, achieving breakeven within 2 quarters. Once again, this emphasizes the need of a quality-oriented, integrated diagnostic chain and also validates our brand's ability to earn the trust and loyalty of our customers over time, empowering us to thrive in new markets. Speaking of our Kolkata hub, the month-on-month performance has been very promising, and we anticipate reaching a breakeven within the next 2 months. Additionally, we have recently finalized leases for 2 new hub locations. Regarding PH Pune, we have made substantial progress in integrating it with our parent company. We have successfully migrated all of PH's core ERP and other IT applications to the parent company's applications effective 1st of April 2024. I'm happy to announce that we have co-branded PH as Vijaya PH and the new co-branded logo has been presented in the earnings presentation.

I would now like to provide you a brief overview of the expansion plan for the next 2 years. Our primary focus will be in Pune, aiming to capitalize on the brand and the market potential, followed by the east and our core geographies. We have made good headway in identifying Vijaya Diagnostic Centre Limited

May 09, 2024

Page 3 of 18

strategic locations for expansions into Pune. Over the next 2 years, we have a clear visibility of 10 hub centers and a few spokes, out of which, 4 to 5 would be in Pune and the rest in the east and our core geographies. We have already finalized locations and signed leases for 6 hubs and would be closing a few more in a couple of months to come.

With this, I would like to hand over to Raju and take you through the operational and the financial highlights.

Narasimha Raju: Thank you, Madam. Go

od morning, and a warm welcome to everyone joining us on the call today. I'll briefly take you through the financial performance and key developments for the current quarter ended March 31, 2024. The consolidated revenue for the current quarter stood at INR155 crores as against INR121 crores in the corresponding quarter of the last year, delivering a robust year-on-year revenue growth rate of 28%.

I am delighted to inform you that the organic growth rate, excluding PH Pune, is impressive at 18.5% from INR121 crores to INR143 crores. And this robust revenue growth was again driven

by volume growth of 17% and footfall growth of 15%. Coming to PH Pune performance for the current quarter, the revenue is INR12 crores, which is in line with our expectations. As you know, the contribution from our home market Hyderabad was 82% in the last year. Due to the recent PH acquisition, now the contribution from Hyderabad is 72% in this current quarter and the rest of AP and Telangana is 17% and Pune is 8%.

Like the previous quarter, the revenue growth was driven by both radiology and pathology segments, underscoring the robustness of our B2C-focused integrated business model. The B2C revenue stood healthy again at 93%. Our radiology business stood at 37%, slightly higher than 36% in Q4 of last year. The revenue per test was INR462. And the revenue per footfall was INR1,589 during this current quarter. And we reached a key milestone of 1 million patient footfall in this current quarter.

EBITDA for the current quarter stood at INR63 crores as compared to INR49 crores in the corresponding previous quarter, registering a year-on-year growth rate of 28%, in line with revenue growth. Excluding PH Pune, the organic year-on-year growth rate in EBITDA is 18%, again, in line with the revenue growth. EBITDA margin was healthy at 40.7% in the coming quarter in spite of expansion activities going on at both organic and inorganic fronts.

A few factors that have helped the company to maintain this industry-leading margins are the impressive top line growth, strong focus on B2C segment and the cost structure of the integrated business model, and lastly, the margins of PH Pune are also at similar levels of Vijaya. Hence, there is no dilution at the margins level due to this acquisition. The profit after tax for the current quarter stood at INR34 crores, and the PAT margin was also healthy at 22%. And the surplus cash reserves at the end of this quarter are approximately INR184 crores.

I will now summarize our performance for the entire financial year 2024. The consolidated revenue is INR548 crores as against INR459 crores in the last year, marking a remarkable year-on-year growth rate of 19% on total revenue and 21% on non-COVID revenues. And organic growth rate excluding PH, is 18.3% of non-COVID base. EBITDA stood at INR221 crores as

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 4 of 18

against INR182 crores in the last year, registering a year-on-year growth rate of 21%, in line with the growth in revenue. EBITDA margin stood healthy at 40.3%, and the profit after tax was INR120 crores, with impressive PAT margin of 22%.

I'm happy to inform you that the Board has recommended a dividend of INR1 per equity share of INR1 each. That is 100% dividend for this financial year FY '24, subject to approval of the shareholders in the coming AGM. To conclude, I would like to say that the company is on track of creating dense network of integrated centers at the new geographies over a period through a careful expansion strategy, and this expansion will be funded from internal accruals and the existing cash reserves. And we continue to hold our position as the largest B2C integrated diagnostic chain, supported by healthy balance sheet and impressive written ratios. That's all from my side. I would now request the moderator to open the line for the Q&A. Thank you.

Moderator:

Thank you very much, we will now begin the Q&A session. Anyone who wishes to ask questions may press * and 1 on the telephone. If you wish to remove yourself from question queue you may press * and 2. Participants are requested to use handset while asking a question. Ladies and Gentlemen, we will wait for a moment while the question queue assembles

Moderator: The first question is from the line of Amey from JM Financial. Please go ahead

Amey: Yes. Thank you so much and congratulations to the management for the good set of numbers.

The first question I have is we have reported a strong volume growth this quarter. Is it possible for the management to give breakup at least in core regions, how has been the volume growth for Hyderabad, Andhra and Telangana?

Sivaramaraju: So Amey, it's basically across geographies. If you see, we did not do any price increase in the last year, hardly 1%, 2% is the price impact, right, and if you actually see on the other slide where we have given the revenue contribution from each of these geographies, Hyderabad grew at almost around 13.5% to 14% in Q4 year-on-year and across geographies, it's driven by volume. So if you see equivalent growth in footfall, for example, in Hyderabad when it is 13.5% in revenue, close to 11.5% to 12% is the volume growth. Likewise, in Tier 2 geographies where we have done the expansion, so the growth rates are much higher beyond 30% to 40% plus because of the capacity expansion. There even the volume growth is approximately about 35% to 38%. So it's across all geographies.

Amey: Sure, and do we expect to grow at similar double-digit rate in the core regions over the next 2 years?

Sivaramaraju: So, like we always say, we are confident that 1%, 2% whatever revenue growth that you see, right, 1%, 2% will be a price impact or the case mix. If we grow at 15%, say, roughly around

12% to 13% growth definitely will come from volumes.

Amey: Sure, sure. And the second question is on the Kolkata region. It's been a while we have entered that region. So what has been our learnings from that market? And how different the market is

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 5 of 18

compared to like, let's say, Hyderabad? And what are changes we expect to do in the strategy in expanding business in Kolkata? Any thoughts on Kolkata?

Suprita Reddy: So Amey, the Go-to-market strategy has always been the same, whether it's Kolkata or Pune or any of our core geographies. So we look at the affordability of the population. And Kolkata being a city itself, all this was then, like we've mentioned earlier, we entered Kolkata in the early 2000s with one of the hospitals then with Medinova getting acquired. And we know that market pretty well. And we feel that our differentiated model of a very highly integrated diagnostic chain with high-quality sophisticated equipment and top of the line consultants reporting is what is driving us to get to this double-digit growth and the same strategy will be followed in Kolkata. Like I mentioned in our speech, we've already signed leases for 2 more hubs and we will slowly, organically build that market out in the same way that we've grown in our core geographies of AP and Telangana. So I don't see any kind of a very differentiated look when it comes to the East.

And also looking at our center, which we've opened, I think, in the next 2 months, it will breakeven, and that's pretty promising. In fact, when we opened it, I said, we should give it an extra 6 months because it's far out geography, I would like to understand the market. But breaking even in the next 2 months has actually given us more confidence, and it's looking very promising, and we will definitely have a headway through there.

Amey: Okay. Just wanted to ask that the demand generation is similar. The activities we do in Kolkata compared to the Hyderabad region? Or you have to do some...

Suprita Reddy: All the activities

s across all geographies are very similar, probably a little bit of differentiation in the kind of reporting that we do the case mix that we do see. You look at geographies, you would see differentiated diseases also. We see a lot more gastro, body imaging, liver, all that kind of work coming in, in Kolkata. So that's an area where we are investing in. We are having consultants. We brought in a consultant from New Delhi with about 13-plus years experience on board in Kolkata. So that's something that's a new learning. We keep building on those. But definitely, I don't think there's anything that I would have to learn new to make that market grow.

Amey: Sure. Sure. And the last question is on the margins. What will be your thought process going ahead with the margin? Any incremental margins which will come in, would you like to reinvest in the growth or how that process is?

Narasimha Raju: Currently, if you look at the P&L, the EBITDA margins are at 40% level. If you see, okay, consistently, we have been achieving at 39% to 40% level. And as you know, as ma'am explained in the next couple of years, we are planning to add at least like 10 hubs, out of which, at least like 5 hubs, we'll be planning in the Pune region. So considering this expansion plan, as you know, it takes some time, right, for these hubs to ramp up, okay, breakeven in a couple of quarters are max like 3 quarters. So with this expansion plan, there might be like 1% here and there, in fact, might be there on the EBITDA margin. But on the core business, we are fairly confident of the 40% EBITDA margins.

Amey: Got it. Sure. Thank you so much.

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 6 of 18

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Yeah Sir, Thank you for this opportunity. Sir, just first question on this PH acquisition. So of the INR147.50 crores which you have paid for this acquisition, so can you provide us a split of how that will look on the balance sheet?

Narasimha Raju: Yes, Abdul. Abdul, this is considered like a business combination accounting under the IFRS under standard 103. So as per the standard, we need to do a fair valuation of all the assets and liabilities that we acquired on the acquisition date that was on December 21st. So we appointed a registered valuer to carry out the purchase price allocation, what it is called, is allocating this purchase price of INR147.50 crores, with regard to all the assets and liabilities, intangibles, brand, etc.

So out of this, if you see on the balance sheet, on 31st March, you see an increase in the goodwill number from existing INR5 crore of goodwill of Medinova to INR119 crore. So the movement

in the goodwill number that you see is INR114 crore is on account of this acquisition of PH, that is one. And there are 2 more intangibles that are recognized during this purchase price allocation, that was the valuer has allocated INR14 crore towards the brand and then towards the noncompete, as you know, we have 5 years of noncompete clause. As per the accounting standard, we need to recognize the value towards this noncompete, which was INR3 crores was recognized, which will be amortized over the period of that 5 years of non-compete fee, okay? So these are the 3 broad numbers that you see on the balance sheet because of the PH acquisition. Abdulkader Puranwala: Okay. And so the rest would be towards working capital on the gross lock. Is that correct? Narasimha Raju: Yes. Yes. Majorly the fixed assets and the net assets position, which will be approximately that INR16 to INR17 crores of assets minus liability. The net position I'm talking about, including working capital and everything.

Abdulkader Puranwala: Got it. Got it. Second question on the revenue split of PH. So would it be fair to assume that it will be more incl

ined towards the radiology business and the pathology in terms of integration would be a pretty small amount for I mean, I'm talking about the standalone revenues of PH. Sivaramaraju So in Q4 of the current financial year, they reported 60% revenue from pathology and 40% from radiology. Like if you see at Vijaya level 65-35. But at PH level, it varies between the range of 55 to 60 from pathology and the rest from radiology. I think 5% to 10% is the difference here. Abdulkader Puranwala : Understood sir, Thank you.

Moderator: Thank you. The next question comes from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead

Rishi Mody: Hi, Can you hear me?

Suprita Reddy: Yeah, Yeah Rishi, Good morning

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 7 of 18

Rishi Mody: Good morning Suprita, So congratulations on the good set of results. To start with, just need a clarification on the hubs announcement that you did. You're saying 10 hubs in the next couple of years, 6 of these you've signed leases for. And then you mentioned some 2 hubs that you signed leases for this. Could you clarify here?

Suprita Reddy: So we said in the next 2 years, we would be doing about 10 to 11 hubs with a few spokes, and about 5 would be in Pune, which are more or less in clear visibility, leases are signed because that's something that we've acquired. We need to capitalize on that. So 5 of those is signed. And when it comes to another 2, that was referred to the East, so close to about 6 to 7 are already signed and 2 more are in the pipeline.

Rishi Mody: Okay, So 2 are in Kolkata.

Suprita Reddy: Yes.

Sivaramaraju: When we say 6, it's across, Rishi, out of which, 2 are in Kolkata.

Rishi Mody: Okay. And any guidance on the numbers of spokes you are planning to put up like where and how many?

Suprita Reddy: So Rishi, I would probably be not be able to give you an exact split because we're trying to build out the hubs in this Pune region, which is new. And 3 of their centers have CT and MR, which are hubs according to our categorization. And they have 3 spokes. So until and unless I build out another 5 hubs in Pune, it does not give me headway into building out spokes because I cannot create that network.

So keeping that 2 or 3 years of visibility in mind, that's the reason why we went ahead and in fact, overstressed ourselves and closed off the 5 leases without any further delay. So even if these come up in about 3 or 4 quarters, that region alone would be ready to take up another 12 to 15 spokes, Pune. And coming to East, we have 1 center, so 2 more hubs will again give us headway to add more spokes there. Some spokes, you will be seeing about 5 to 6 coming up in our core geographies in the next few quarters.

Rishi Mody: Okay. Got it. All right. Second, I wanted to understand your -- you just mentioned that you hired a consultant from New Delhi to lead the Kolkata hub.

Suprita Reddy: Yes. He's a radiologist, Rishi. Like all of our other doctors who come under consultancy professional fee, we've brought in this person also all the way from New Delhi to report cases.

Rishi Mody: Got it. And finally, just a question for Narasimha. If you could give me the fair value assumptions that are going into the goodwill calculations, like what are the growth rates? What is the discount rate and terminal value and how terminal growth rate and after how many years are you putting those numbers in?

Narasimha Raju: So, Rishi, this is carried out based on the IND AS business combination accounting perspective, okay? So, what they do is, first they'll arrive at the existing numbers of the plant and machinery and other working capital numbers and then they will arrive at a brand and non-compete. And Vijaya Diagnostic Centre Limited

May 09, 2024

then the residual value is attributed to the goodwill. They will test for an im

pairment of this

goodwill. So you will not have a separate competition as such, but this will be out of the INR147.5 crores, once all the assets and liabilities are assigned a value, the residual value will be allocated to goodwill, which should be tested for impairment year-on-year based on the future projections.

So from an accounting perspective, when you take a projection, you might not consider a future capex, future revenue potential of these centers. So it's like, okay, currently, the valuer can consider only the 3 hubs and the 3 spokes, but as you know, we'll be adding 5 more hubs in the next couple of years from the Pune perspective. So that will not be captured in these projections because it's only for the goodwill impairment testing purpose.

Rishi Mody: Okay. So like what will trigger an impairment? Like when will you recognize an amortization on this goodwill?

Narasimha Raju: So Rishi, based on our internal assessment, I don't think there will be a chance for any impairment on the goodwill because even if you make projections on just 3 hubs and 3 spokes at the current revenue run rate of INR45 crore, you see in the financial year, it's INR45 crore. In this current quarter, we reported INR12 crore. So the annual run rate is between INR45 crores to INR48 crores run rate, with a 40% EBITDA margin. So without even further expansion, the goodwill is not going to be impacted to P&L by this impairment. But on top of that, what we're planning is we're trying to add 5 hubs, in the next couple of years. And so what I expect is that in the next 4 to 5 years, I see this revenue of INR45 to INR50 crores should at least triple the current number. There's no question of impairment on the current goodwill.

Rishi Mody: Okay, Alright. Got it. Thank you. That's it from my end

Narasimha Raju: Okay, Thanks Rishi.

Moderator: The next question is from the line of Jainil Shah from JM Financial. Please go ahead

Jainil Shah: Thank you for the opportunity. My question is on the capex outlay for the next 2 years.

Narasimha Raju: Hi Jainil, as we just discussed, okay, on the capex plan, we would like to add at least like 10 hubs in the next couple of years. Along with that, once these hubs are established, then we'll have opportunity to add spokes in these new geographies, that is Pune and Eastern geographies. So from capex requirement perspective, based on our internal estimates for the next 2 years, we expect around INR200 to INR220 crores of capex. Out of which, what we expect is, at least like a INR120 crores of capex for Pune region. So in Pune region, Jainil, out of these 5 hubs, what we expect is that one hub will be like a flagship hub with a PET CT, gamma camera just like how we added all the modalities in our recent Punjagutta center in 2022.

So like that, we would like to have all modalities. It should be like a flagship facility of Vijaya PH in Pune. So one centre will be state-of-the-art facility. Apart from this, even in our core geographies, Jainil, what we're trying to do is even in the existing network, we see in lot many centers, there is still potential to add further modalities. Like in few of the centers, what we have done is that if there's one ultrasound machine because of the patient footfall load, we added a Vijaya Diagnostic Centre Limited

May 09, 2024

second ultrasound machine. In this year, in one of the Tier 2 locations, okay, where the footfall in a hub, where the footfall is almost close like a 300, there's only currently one MRI machine, we are planning to add a second MRI machine over there in our network in Tier 2.

So considering these 10 hubs and also adding new modalities in the existing centers because of the higher footfall, we expect the total capex to be in the range of around INR220 crores for the next 2 years, out of which INR120 crores, we expect to be for the Pune region.

Jainil Sh

ah: Sure. And just a follow-up. So we're already generating about INR180-INR200 crores of cash.

And our capex is about INR100 crores, so we'll be adding another INR100 crores each in the next 2 years. So are we also looking at inorganic opportunities in out of our core region?

Sunil Chandra: Inorganic is always a question mark. So I think what I can only say is that if we find suitable opportunities, we will look at them. And the balance sheet supports us, I think. As you know and as you mentioned, the capex that Raju just mentioned is probably taken care of even by internal accruals. So inorganic growth is always depending on whether we find the right fit, right asset, right valuation. And we can't answer that question right now because we don't have anything to tell you about. But yes, we are open to that.

Jainil Shah: Sure. Got it. But just one for the -- I mean, where would you look at it? Would it be Mumbai? Would it be South? Or is there any chance for a North entry? I mean, just your thoughts.

Suprita Reddy: It's not about probably the state, Jainil it's about creating that network. So it's that hub and spokes. So down South towards the East is what is of our core interest. And West we already have Pune hands full, but if an opportunity that's something that is absolutely making sense to us even Mumbai, we would definitely look at it. There's no way that we will not. I do not have a geography to tell you, but definitely, we're not looking at something up North. Our core geographies are down South towards the East.

Jainil Shah: That's helpful, Thanks a lot

Suprita Reddy: Thank you

Moderator: Thank you, Ladies and Gentlemen, in order to ensure that management is able to address questions from all the participants in the conference please limit your questions to 2 questions per participants, should we have a follow up question we request you to rejoin the queue.

Moderator: The next question is from the line of Anshul Agrawal from Emkay Global Financial. Please go ahead

Anshul Agrawal: Hi, Thank you for the opportunity. So my question is on the hub additions. While we are saying that we plan to add 10 hubs in the next 2 years, we have already signed leases for almost say 6 hubs. Do we think that we can grow beyond this as well? Can we add more hubs beyond these numbers that we are quoting because we are seeing better traction or quicker traction in breaking even for hubs. So is there a reason why we or is there a chance that we can grow more aggressive?

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 10 of 18

Suprita Reddy: We can, Anshul. There is no end to that number, but the problem is we also -- it's just not about signing a lease or opening up a center, we also need the team, right, the talent, the pool, getting the staff ready, qualities, SOPs, processes, training. It's like a never-ending chapter. So it's a chain of -- so I think we -- normally we would do 4 hubs. We've gotten that to 5. Now we're saying 10.

So if we feel that we're able to maintain that credibility, the brand recall and give the same kind of customer experience and service without compromising on that, we would definitely do it.

But we are comfortable, at the moment, with this number, keeping these factors in mind where we actually give a good experience to our customer. It's the team that is difficult to build. It's not the capex or the treasury or the number of leases we'll be able to sign. So if we're comfortable with that, we will definitely go ahead and do that.

Sunil Chandra: Also, Anshul, the spokes are where we, you know -- the model is the hubs and spoke. So when we do hubs, we have to also plan for the spokes. So that is also a big number, right? When you do 10 hubs, you're looking at multiple of that in terms of spokes.

Anshul Agrawal: Yes. Just to follow-up on that. So typically, considering that these

are newer geographies or

non-core geographies, what kind of number of spokes are we envisaging for each hub in this

non-core geography?

Suprita Reddy: So it was never a ratio is 1:5 or 1:6. It's about the density, the population, the residential area and all that, that we take into account when we open hubs. Even if you look at our core geographies, there are certain hubs, which would cater to 13 spokes. And some would only cater to 3 spokes.

So it's not about the number. It's about the -- probably the -- you have to be right there in the middle of a residential area. So the density, the population is what we look at and map this out.

Anshul Agrawal: So, I believe, while sort of signing up leases for these hubs also, you would have done those studies too.

Suprita Reddy: The hubs are normally in areas where they will be in a very upmarket high-end street areas. So if you look at the Kolkata, it's right on the VIP road close to the airport. But the spokes are going to be in multiple inner geographies, right, Anshul. So the hubs are always on main street. We don't look at residential population, we look at residential population for spokes.

Anshul Agrawal: Got it. Thank you. My second question was on margins. Like obviously, the Kolkata hub has fared better than our earlier expectations. Do we foresee -- or just wanted to understand your thought process around margins going forward? As we mentioned, as Raju sir mentioned that you know core margins would continue to be around 40%. But the new centers would take some time for ramping up, which could impact margins, say, beyond FY '26, if currently in FY '25, we are going to add more hubs. So would margins get impacted in FY '26?

Sunil Chandra: I think Raju answered that. So because there is growth happening even in the existing centers as well as we are adding spokes around hubs that have been added earlier, the overall dilution, as he mentioned, will not be significant.

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 11 of 18

Suprita Reddy: Might be 1% or 2%, but that's also because of you building out the team and getting that market ready. So 2028 would look prettier, right?

Anshul Agrawal: Okay, just one small question. On the capex number of -- capex guidance of around INR200 crores to INR220 crores, bulk would be hub-and-spoke capex or are we also accounting for any other maintenance, IT upgradation kind of capex? Is that accounted for? Or will that be over and above this number?

Narasimha Raju: Bulk will be for 2 or 3 hub-and-spoke new center additions, okay, our new equipment that is getting added in an existing center. But there might be a replacement capex, okay, any old machinery getting replaced, etc. Generally, what we see, the trend is that between like INR10 to INR15 crores, we might need towards the replacement capex, but depends upon the future activity that is.

Anshul Agrawal: And that INR10 to INR15 crores would be included in this INR220 crores guidance. Correct?

Narasimha Raju: Currently for our digital, okay, we spend at least like INR2 crores to INR3 crores. It's not a significant number. From last couple of years, the capex in terms of digital initiatives, is around INR3 crores each year.

Anshul Agrawal: Got it, sir. This would be included in this INR220 crores guidance, right?

Narasimha Raju: Which one? The replacement capex you're talking?

Anshul Agrawal: The replacement capex.

Narasimha Raju: So that will be an additional number. I'm talking about INR220 crores towards the new centres.

Anshul Agarwal: Got it, very clear. Thank you so much.

Narasimha Raju: Thank you.

Moderator: The next question is from the line of Sumit Gupta from Centrum PMS. Please go ahead.

Sumit Gupta: Hi, good morning, thank you for the opportunity. Sir, majority of the questions have been answered. So I just want to understand about the debt structure going forward. So could you please t

hrow some light on that.

Suprita Reddy: Sorry, Sumit?

Sumit Gupta: Debt. So how much of net debt do you expect over the next 2 to 3 years?

Narasimha Raju: So as I mentioned, currently, we're having a treasury of almost close to INR185 crore and currently, the cash back is going to be at a 28% - 29% level. So you will be generating almost close to INR170 crores to INR190 crores of free cash flows every year. And so I don't think we need to take any debt because the next 2 years, the capex requirement is almost close to like INR220 crores for the new centres with the 28% of cash back coming in and with this INR185

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 12 of 18

crore, unless you do an inorganic acquisition, you don't need a debt. If you do any inorganic acquisition, then you might need to raise a debt.

Sumit Gupta: Understood. Thank you sir.

Narasimha Raju : Thank you

Moderator: The next question is from the line of Naman Bagrecha from IIFL Securities. Please go ahead

Naman Bagrecha: Hello

Suprita Reddy: Yes Naman, Good morning.

Naman Bagrecha: Good morning, Thanks for the opportunity and Congratulations on the good set of numbers. I just want to understand on the 5-hub expansion mainly that you are going to do, could you give us some guidance in terms of when can these hubs basically get breakeven in how many quarters once they are operationalized?

Sivaramaraju: So I think post acquisition, we are yet to start our first hub. So see the idea is like -- we expect these hubs to breakeven, maybe they may take one more quarter extra, right? Because PH is already known name in the market. It's not a new brand there. It's only a new hub addition. So we expect these hubs to breakeven within 1 year. But again, we'll have to wait and see because that's new for us. We have to at least see the results that the first hub is going to give us. But these locations are the locations that we have finalized. They are good locations with a lot of doctor network and hospitals being present there. So our guidance would be about close to 1 year.

Naman Bagrecha: One year. Okay. Got it. And the 5 hubs that you are looking at whether -- I mean, these will be -- I mean, majority of which will be in FY '25 or still or we are looking at, let's say, towards FY '26?

Sivaramaraju : I think 2 to 3 should come in FY '25. And maybe 2 more in either Q1 or Q2 of FY '26.

Naman Bagrecha: Alright. Okay. On the margin front, I just wanted to ask. In the quarter -- I mean, this quarter, if you look our wellness segment contribution had improved by almost 200 bps. So was it because of PH? Or was it because of, let's say, excluding PH business because PH, I believe has higher contribution towards wellness business versus our own wellness business. Is that understanding

correct?

Sivaramaraju: So it's a mix of both. Like you rightly said, PH has higher contribution from wellness. So basically, also we have seen increase in base wellness business here in Hyderabad, Andhra and Telangana. So it's a mix of both. Almost -- I think last year, we have closed around 13% from wellness. This year close to 13.5% for the Vijaya Diagnostics from wellness. And because of PH higher contribution from wellness, so at a company level it is now 14%.

Naman Bagrecha: Okay. So 13.5% would be from our existing business.

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 13 of 18

Suprita Reddy: 13.5%, we've always ranged between 12% to 13.5% like we've mentioned earlier. So it's also kind of a little seasonal, but 13.5% is from the core geographies and the Vijaya network and 0.5 got added because of the PH's new addition.

Sunil Chandra: PH is not very large in terms of the total size, right?

Naman Bagrecha: Yes. So I missed one comment. You said that the current revenues of PH, which is almost around INR45 - INR50 crores annualized run rate

. It will triple in how many years, you said?

Narasimha Raju: 4 to 5 years. Because at least it will take like these 5 hubs to commence in 2 years, then the full revenue potential, in our experience, we see like 3 to 4 years it will take to see the full revenue potential from a hub centre. So that's why, at least we'll have to give like 4 to 5 years' time to see that current run rate of INR45 to INR50 crores to at least like a triple from that number.

Naman Bagrecha: Okay. Okay. And I believe the new expansion that we are doing in Pune and other regions also, the asset turnover would be largely 1x, right?

Narasimha Raju: 1:1.

Naman Bagrecha: Yes, 1:1. Okay. And then one more question. I mean, could you give some time line in terms of when will Gulbarga get breakeven?

Sivaramaraju: I think it should breakeven in 3 quarters. We just completed 1 quarter. So I think it should breakeven in the next 2 quarters.

Naman Bagrecha: So in next 2 quarters, okay. And largely, if we see -- I mean, we have seen competitors increasing price hikes. What is stopping us from any price hikes in our core geographies?

Suprita Reddy: We normally -- like we said, the founder's vision was trying to keep prices affordable and get growth through volume and new customers. Until and unless, we see a significant increase in price and input costs, we do not pass it on to the customers. And for probably the volume and the growth, even we haven't seen a significant increase being asked by some of the vendors, and it's mostly been in very specialized setting, and that's why you're seeing a price hike of only 1% to 2% on the overall test menu. When we see that and there is an increase, definitely, we will make a change.

Naman Bagrecha: Alright. And just the last book-keeping question. Just wanted to know what would be the COVID, let's say, revenue, I believe, it will be very miniscule for the full year.

Narasimha Raju: Insignificant currently.

Sivaramaraju: Point -- 0.2% to 0.3% that's all.

Narasimha Raju: 0.2%, 0.3%.

Naman Bagrecha: So close to around INR1 crore?

Narasimha Raju: It is less than a crore.

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 14 of 18

Naman Bagrecha: Less than a crore. Okay. Got it. Thanks.

Moderator: The next question is from the line of Girish Bakhru from OrbiMed. Please go ahead.

Girish Bakhru: Good morning, Just the first question, a clarification on this 145 centers number, which includes, of course, the PH centers. 12 are collection centers, right? Earlier, this was not part of the mix.

So just wanted to get a split of spokes, hubs and collection centers in this.

Sivaramaraju: So Girish, out of these 18 centers, 95% of the revenue coming from these 6 centers. So that is the reason we just talked about these 6 centers, 3 are hubs and 3 are spokes, and the rest 12 centers are collection centers.

Girish Bakhru: Yes, that I'm aware. So total hubs in the network would be how much now and how much spokes?

Suprita Reddy: Our entire network.

Sivaramaraju: Entire network. So closely around 35 hubs, and the rest are spokes. In 145, 35 are hubs.

Girish Bakhru: Understood. And when you talk of, of course, 5 more hubs, one being the flagship, one that you will launch in Pune, with your assessment of Pune market, is this flagship something that may have a potential to reach to the level of Himayatnagar or Punjagutta? Can you give some clarity

on that?

Suprita Reddy: Definitely, it should Girish, if we're going to be investing in creating a state-of-the-art center like that. But in terms of the time, I may not be able to give you clarity on that because I've not opened a single hub after the PH acquisition. But given probably a few years, it will definitely reach the Punjagutta level because it's going to be having a PET CT and state-of-the-art lab with most of the tests being performed in Pune itself.

And also with this comes out building a large team. They only have 3 hubs as we

speak now. So

we need to build out on a large team of consultants for both pathology, radiology and the other facilities. So I would definitely -- I'm very confident it will reach Punjagutta level, but probably not confident in giving you those time lines right away.

Girish Bakhru: Understood. But like Hyderabad, of course, has been a very strong market for you and you actually continue to show double-digit growth there. Relatively, Pune can be faster growth market initially?

Suprita Reddy: Yes. Initially, yes, because we don't see a very significant integrated diagnostic chain like -- you would see a lot more in our core geographies. In Pune, I would definitely say the growth would be faster. But like we told you, we need to open up a couple of hubs to get a better understanding of the market to give you a better clarity.

Girish Bakhru: Understood. And just last one on the wellness, 14%, of course, this number is slowly increasing. You had clarified in the past that there is largely no radiology in wellness, right? Except for echo, USG and probably...

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 15 of 18

Suprita Reddy: Yes ultrasound, X-ray and some of the very high-end packages have some amount of high-end radiology like a CT and MR, but that should be relatively very low when we look at this entire 14% number.

Girish Bakhru: And when corporates are signing with you, they are not taking high-end packages?

Suprita Reddy: No, mostly because see, the age group in a corporate would be between that 35 to 45, and it's the active workforce, right? So they wouldn't be needing that kind of high-end imaging, in fact.

This is more for older people. We've not seen that come as a request from any of the large corporates till now.

Girish Bakhru: Thank you.

Suprita Reddy: Thanks Girish

Moderator: The next question is from the line of Dheeresh K Pathak from WhiteOak. Please go ahead.

Dheeresh K Pathak: Hi , Thanks for the opportunity. I don't have a question. I just want to more like comment and ask. So from our point of view, we would like you to invest in management bandwidth and open more hubs than what you have guided for because I think the unit economics are quite good in building a low base. I think there is an opportunity to be more aggressive on competition because I heard few questions around margin compression as we open hubs. That is not of concern to us. And I just want to see if you have any comments in that direction.

Sunil Chandra: Yes Dheeresh, in fact we would be happy to do that. But again, as we have mentioned multiple times, there are constraints in operational scaling up. So we are going at the pace at which we feel that the Company can manage that growth.

Dheeresh K Pathak: And so what I wanted to ask was that if you can invest at an organizational level, increasing the bandwidth so that you can add more hubs per year.

Management: Yes. So again, fully understood. Capital is not a constraint. It's always about people and getting...

Suprita Reddy: It's also finding the right talent with the right wavelength, right, Girish. It's skilled manpower.

70% of our ops run on skilled manpower. As we speak, we do different things. That's also the reason why we do a lot of skill development programs and all that. But building that is not as easy as probably we speak. So that's something that we're building. That's why we got from 4 to 6, 6 to 10. And if we feel we are confident, we'll definitely be adding a lot more hubs.

Dheeresh K Pathak: Thank you so much.

Moderator: The next question is from the line of Naman Bagrecha from IIFL Securities. Please go ahead

Naman Bagrecha: Thanks for the opportunity again. Just one question. I mean, on the PH business, what could be the -- I mean, what are your internal targets in terms of the current base business volume growth -- patient volume growth, excluding the, let's say,

assuming that the -- I mean, excluding the new hubs that you're going to open?

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 16 of 18

Sivaramaraju: So within the existing network, just with 3 hubs and 3 spokes, they get 95% of the revenue. So they're generating close to INR42 crores -- more than INR40 crores plus from these 6 centres.

I think that itself is a very good number for their capacity. So we foresee for next 1 to 2 years from the existing network, the growth will be in single digit, right? And once we start adding the capacity and a few more additional modalities there, that is when we may see some more growth coming from that entire network.

Naman Bagrecha: Okay. Okay. So maybe more of a low double-digit -- I mean low double-digit number, including the...

Suprita Reddy: It's a single digit number, Naman, because although like Siva said, its existing network of the 6 centres because you'll also have to take into account the capacity issues of those centers. Those are centres that have already reached full capacity. Until and unless we add and declutter these centres, we will probably not be able to grow footfalls in the existing centres. It's not because of any other reason, it's because of a capacity issue.

Naman Bagrecha: Okay. No. So what I was saying is that with the new hubs opening, that could be more of a low double-digit number.

Suprita Reddy: Absolutely, new hubs opening, like I told you, we will definitely see a faster growth than we see here. I think double-digit number is what we would be looking at. But like we said, we would need at least one has to open, and we look at that happening probably in the next after 2 quarters, right? So we'll be able to give you guidance on that then.

Naman Bagrecha: Alright. Thanks

Moderator: The next question is from the line of Sriram R, an individual investor. Please go ahead

Sriram R: Thanks for the opportunity. Just want to know, do you track patient wait time or patient turnaround time? And also, can you elaborate on the efforts that are taken to improve customer experience?

Sivaramaraju: Yes, Sriram. So of course, right, customer experience is our priority, right? So we do track patient wait time. And generally, we have high wait times for high-end modalities like MRI, CT. For a simple blood test etc., I think it's generally done in less than 10 minutes. And sometimes in few of our old centers, we have a wait time for our billing -- at billing counters in the morning, we generally experience 20-25 minutes of wait time.

So in order to improve the customer experience, we have launched the digital app and also e-commerce website where the patient can book tests online, come to the center directly, drop the blood sample and go back, right? And also in the coming to centers for MRI, etc., if the wait time is high, we generally try to send that patient to nearby Vijaya center if we have one more MRI in 2 to 3 kilometers radius, right? We generally try to send direct that patient to the center so that they can get the scan faster.

Suprita Reddy: So turnaround time is something that's also a regulatory requirement as per your NABL and NABH. So we track this patient as soon as they enter, gets registered in one of the centers till Vijaya Diagnostic Centre Limited

May 09, 2024

Page 17 of 18

the report is released through the app or through a WhatsApp message, Sriram. Like Siva said, there have been multiple ways that we try to declutter these centers.

Now supposing we have a center, like I would give you an example, in one of our mature centers in Hyderabad where we were seeing a footfall of 200 and the wait lines would be unending, we said we will add 2 more collection centers, what we call type E center where people who have only pathology could actually access those centres, they're not coming to this long wait of this centre. We have the app to do a booking. We have e-commerce. We

encourage customers with

pure pathology to do home collection. Our call centre always tells them that we'll send somebody. So for a pure pathology routine specialty test, Vijaya's TAT would not be more than 6 hours as we speak today. In high-end imaging, we would be the only center in India, where even if something like an MRI epilepsy protocol is done, if the test is performed, the report would be released within 3 hours of the test being performed. The only difficulty is getting the test to be performed is when we actually look at sending customers to different centres so the wait time itself is shortened and the experience is a little better for them.

Sriram R: Okay. But the trajectory, let's say, in your legacy centres, how has it fared? I mean, 3 years before and now, are you seeing some sort of difference?

Suprita Reddy: Absolutely. In fact, 2 years back, when we moved from our older legacy software to web-based software itself, we saw a lot of improvement in TAT. Then we also saw that when we started, there was a time I wouldn't know the exact year, we started close to about 10 to 15 type E centres to declutter these centres. We saw an improvement in TAT. Today, our main centre in Himayatnagar with close to 800-900 footfall, you will see only a 10-minute waiting for a bill to happen. Whereas probably 3 years back, that would take half an hour.

Sivaramaraju: And Sriram, I would like to share one data point, right? If you see maybe in 2019-20, when we were doing close to 400, 450 MRI CTs per day, we used to release 75% of the reports within 3 hours TAT. Otherwise for MRI CT, generally in many centers, it's like 12 hours, and you went -- in hospital if you do it, it is 24 hours for the reporting. And today, with close to 900 plus MR, we are releasing 85% of the reports within less than 3 hours. There will be outliers because of the difficulty in scan, complex case, etc. But 85% of the reports at that scale within 3 hours, I think is a very good TAT.

Sriram R: Okay, that's great to hear. Thank you so much and all the best.

Suprita Reddy: Thank you

Moderator: The next question is from the line of Amey from JM Financial. Please go ahead

Amey: Thank you for taking up my follow up question. I just had one question or rather wanted to have view of ma'am on the emerging trend basically. So the point-of-care systems, which we witnessed during the times of COVID, when we saw a lot of PCR testing happening. Now companies are trying to expand this thing into other disease platforms as well. So how do you see this change coming in? And is it really a threat to...

Suprita Reddy: I'm sorry. I'm not able to hear you very clearly. If you could repeat it would be...

Vijaya Diagnostic Centre Limited

May 09, 2024

Page 18 of 18

Amey: Sure. What I was asking, we saw during the times of COVID the point-of care system that emerged. We saw PCR testing happening for the COVID, etc. Now companies are trying to leverage this platform into the other diseases profiles basically. So you see that thing as a threat to diagnostic companies like us? Or how do you see this POC or point-of-care system evolving over a period of time?

Sunil Chandra: So basically, point-of-care is not new. It has been around for a long time. And you have to differentiate between POC and PCR. Where PCR is considered as confirmatory gold standard kind of a test, whereas point-of-care is usually done more from a screening point of view. So whether it is in COVID or in other indication, the market is very different for both. Somebody who gets a point-of-care will probably need to go and again and get a confirmatory test. And usually in the diagnostics space, we are focused on giving -- using technologies where the accuracy and sensitivity are fairly high. So I'm not sure, although point-of-care has been talked about a lot.

Suprita Reddy: It also has a limitation Amey, in term

s of number of tests that you can do in point of care. And

like Sunil said, that's mostly done for emergency testing. That's why you see it in more of the ambulance services and emergency services. And they will have to be confirmed and retested with a confirmatory test.

Amey: Got it. So as in that market is expected to stay with the diagnostic labs, basically, what you mean to say, rather than those testings happening at the centres?

Suprita Reddy: Yes.

Sunil Chandra: And just to add, PCR itself, we started PCR in 2000. So we were doing other -- maybe we were doing tuberculosis testing or HIV or hepatitis. When COVID came, it just happened that...

Suprita Reddy: PCR suddenly became -- came into the limelight and became a superhero. So it's been an old method. It's a confirmatory testing method for a lot of retro diseases.

Amey: Sure. Thank you so much ma'am.

Moderator: Thank you. That was the last question for the day, I now hand the conference over to management for closing comments.

Suprita Reddy: I would like to thank everyone for attending this call. I would also like -- I hope we have been able to answer all of your questions. Should you need any further clarifications or like any other information about the Company, please feel free to reach out to us. Thank you.

Moderator: Thank you. On behalf of YES Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

August 13, 2024

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on August 06, 2024 .

We are enclosing herewith the Transcript of the Earnings Conference Call organized on August 06, 2024, post declaration of the Unaudited Financial Results of the Company for the first quarter ended June 30, 2024.

Please take the information on record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: As above

To,
Listing Department
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25th Floor, Dalal Street
Mumbai - 400 001
BSE Scrip code. 543350
Page 1 of 14

"Vijaya Diagnostic Centre Limited
Q1 FY'25 Earnings Conference Call "
August 06, 2024

MANAGEMENT : MR. SUNIL CHANDRA – EXECUTIVE DIRECTOR –
VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. NARASIMHA RAJU – CHIEF FINANCIAL OFFICER –
VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. SIVARAMARAJU – HEAD, STRATEGY AND
INVESTOR RELATIONS – VIJAYA DIAGNOSTIC CENTRE
LIMITED

MODERATOR : MR. BHAVESH GANDHI – YES SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Vijaya Diagnostics Q1 FY'25 Earnings Conference Call hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavesh Gandhi. Thank you, and over to you, Mr. Gandhi.

Bhavesh Gandhi: Thank you. Good afternoon, everyone. So Bhavesh here from YES Securities. I welcome you all for the Q1 FY'25 Earnings Conference Call of Vijaya Diagnostics. At the outset, I would like to thank the management for giving us this opportunity to host the call.

From the management team, we have Mr. Sunil Chandra, Executive Director; Mr. Narasimha Raju, Chief Financial Officer; and Mr. Sivaramaraju, Head Strategy and Investor Relations. Also, I would like to add, due to unforeseen circumstances, Ms. Suprita Reddy, the MD and CEO, will be unable to join on the call.

With that, I would now like to hand over the call to Sunil sir for his opening remarks. Over to you.

Sunil Chandra: So thank you, Bhavesh, for hosting the call. And good morning, and welcome to everyone on this call. I would like to begin by presenting the key highlights for the period, after which we will take you through the operational and financial highlights of the quarter ended 30th June 2024.

I'm very happy to share that we began this fiscal with another strong quarter, achieving a remarkable year-on-year revenue growth of 29.1%, of which an impressive 19.6% growth was achieved organically. The growth was largely driven by both footfall as well as test volume, and our B2C share stood strong at 93%, with wellness contributing to 13.4% of our total revenues. I'm also happy to share that our new hub center at VIP Road, Kolkata has completed its first year of successful operations, achieving breakeven within just three quarters. This marks a significant milestone in our growth journey, and we are all geared up to make the most of the opportunities that Kolkata market has in store for us.

Also to consolidate our operations and capitalize on both the brands, Vijaya and Medinova. Medinova is the subsidiary of Vijaya Diagnostic. We are operating a center in Southern Kolkata. So we have recently filed for the merger of Medinova into Vijaya. This merger will help us to optimize compliance as well as other operational costs.

As part of our expansion plan, we are also excited to share that we are commencing operations at our new 10,000 square foot state-of-the-art hub facility in Ongole, which is in Andhra Pradesh, on August 8. This facility, which is equipped with an automated lab and advanced radiology

Vijaya Diagnostic Centre Limited
August 06, 2024

equipment, including a 3.0 Tesla MRI and a 160-slice cardiac CT, will offer a comprehensive range of integrated diagnostic services to customers covering three districts of Prakasam, Bapatla and Palnadu in Andhra.

Additionally, I would also like to inform you that our expansion plan for the next two years is on track. And as we speak, we have finalized leases for nine hub locations across our home states as well as adjacent geographies, Pune and West Bengal. And these hubs are all scheduled to commence operations over the next 18 months.

With this, I would like to hand over to Raju to take you through the operational and financial highlights for this quarter, and we'll be taking questions after his presentation.

Narasimha Raju: Thank you, sir. Good afternoon, and a warm welcome to everyone joining us on the call today. I will briefly take you through the fi

nancial performance and key developments for the current quarter ended June 30, 2024. The consolidated revenue for the current quarter stood at INR156 crores as against INR121 crores in the corresponding quarter of the last year, delivering a robust year-on-year revenue growth rate of 29%.

I'm delighted to inform that the year-on-year growth, excluding PH Pune, the organic growth rate is also quite impressive at 20%, that is from INR121 crores to INR145 crores. And this robust revenue growth was again driven by volume growth of 20% and footfall growth of 17%. Now coming to PH Pune's performance for the current quarter. The revenue is INR11.4 crores, which is in line with our expectations. Coming to the geography-wise split, the Hyderabad region

contributed 71% and rest of AP -Telangana contributed 18%; and the newly acquired geography, Pune, contributed 7% out of the total consolidated revenue.

Like the previous quarters, the revenue growth was driven by both radiology and pathology segments, reflecting the robustness of our B2C focused integrated business model. The B2C revenue stood healthy at 93%. Our radiology business stood at 38%, slightly higher than 37% in Q1 of last year. The revenue per test was INR462 and revenue per patient footfall was INR1,621 during this current quarter.

Coming to EBITDA. EBITDA for the current quarter stood at INR61 crores as compared to INR48 crores in the corresponding quarter of last year, registering a year -on-year growth rate of 27%, in line with the revenue growth of 29%.

Excluding PH Pune, the year -on-year growth rate in EBITDA is 17%, again, in line with revenue growth. The EBITDA margin was also healthy at 39% in the current quarter in spite of expansion activities going on. The profit after tax for the current quarter stood at INR31 crores and the PAT margin was also healthy at 20%, and the surplus cash reserve at the end of this quarter are INR212 crores.

As informed already, during this current quarter, the Board of Directors have considered and approved a scheme of amalgamation, wherein our listed subsidiary, Medinova, would merge into the company from April 1, 2024, which is the appointed date for this merger. Since this is Vijaya Diagnostic Centre Limited

August 06, 2024

Page 4 of 14

already a subsidiary, there is no material impact on the consolidated financials on account of this proposed merger.

Coming to the expansion. The company is on track of creating new hub centers at Pune and Kolkata regions through a careful expansion strategy, and this expansion will be funded from internal accruals.

To conclude, I would like to say that we continue to hold our position as largest B2C integrated diagnostic chain, supported by a healthy balance sheet and impressive return ratios.

That's all from my side. I would now request the moderator to open the line for the Q&A. Thank you.

Moderator: The first question is from the line of Amey from JM Financial.

Amey: Thank you for taking my questions and Congrats to the management on good set of numbers.

First question I have is on the volume growth, which has been in high teens for last few quarters.

So is it possible for us to give some breakup in terms of how much of this volume growth will be coming from the existing units and how much would be coming from, let's say, the hubs which you have added over the last two years or one year basically?

Sivaramaraju: So, Amey, basically, if you see, right, in last two to three financial years, we have added a good capacity, right, if you take FY'22, '23, '24, I think roughly including our mini spokes we added about close to 50 centers. But the positive part here is that even if you bar the centers that we opened in FY'23 and '24, if we take the capacity that we had till end of FY'22, the growth from the older centers, which are older by two years, they have delivered a growth of almost close to

12% to 13% in terms of revenue, whereas the rest of the growth has come from the centers that we opened in FY'23, '24, in the last two years.

Amey: Sure. And do you expect that this 12% growth would continue for some time? Or do you expect it to taper down over the following years?

Sunil Chandra: Amey, so, obviously, we foresee that the growth will be strong, and we hope that it will continue.

As of now, what's a good trend is that we are adding growth from new centers, and our existing centers are also continuing to grow. So it's a good sign that it will continue.

Amey: No. The question I have is basically, if at all if the growth is expected to come down, do we need to be more aggressive in terms of adding more capacity?

Sivaramaraju: So, I think, Amey, if you actually see, if you take last five years of history, right, barring COVID, and if you see the current capacity that we have, the center that we added until FY'22 and the rest of the centers that we added after FY'22, still there is room for growth from these existing centers. I think at least for the next one, two years, these centers will continue to grow. But like any other retail business, if you take in long term, I think center addition will be one of the main factor for delivering this double-digit growth.

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 5 of 14

Sunil Chandra: And also, Amey, I mentioned in my talk also that we have finalized and we are working on nine hubs right now. So there is a pipeline for growth also from the new centers, which will open

over the next year or 1.5 years.

Amey: Got it. And the second question I have on the Ongole region, sir. Is it possible for you to give some color on the market dynamics there? And like do you expect the mix of pathology/radiology to be similar in these Tier 2, Tier 3 towns? And will it have some impact on the margins? If you can give some color on the margins?

Sivaramaraju: So again, Amey, Ongole, if I have to compare within our existing network, it is quite similar to Tirupati and Rajahmundry that we have launched in the last 18 months. So basically, like now in Andhra, if you see, you have about, say, 26 districts after bifurcation. But otherwise, Ongole earlier was one of the largest district.

Basically, it's a health care hub for three districts present in Andhra. And if you geographically also see, you Guntur on the one side and you have Nellore on another side. But between 100 kilometers, so from all these villages, you will see the customers coming for their health care needs to Ongole.

And it's a place where you already have corporate hospitals like Aster DM, you have KIMS already present there. So coming to super-specialty doctors like Neuros, Oncos, Orthos, there are about more than 150 doctors practicing in this geography. So this is a geography which is similar to Tirupati and Rajahmundry.

And coming to the mix, generally, across geographies, there's a requirement for both pathology and radiology. We don't think that the mix will change much in this geography, and since it's going to be a hub, ideally at maturity, the mix will be roughly around 50-50 from both pathology and radiology.

Amey: Sure. And just last question I have on the cost side. The cost of equipment has gone up sequentially. I believe it must be because of the new addition. But do you expect it to get absorbed over next following quarters? How should we look at from the margin perspective?

Narasimha Raju: So, Amey, if you look at the margins, okay, the healthy margins are there, like almost close to like 39% and 39.2% exactly for the current quarter as compared to 39.8% in the last year Q1, okay? Generally what we have seen is that in the Q1, there will be like a 0.5% to 0.6% dip will be there compared to the full year average, okay? So even if you look at the cost, okay, movement from the Q4 to Q1, there's not much movement

in the cost, except the employee cost,

which has increased by 11.5% from Q4 to Q1 on account of the annual increments, okay, that happen every year.

Apart from that, considering the expansion activities that are going on, okay, you might have seen, in the last year, we added almost close to like six centers consisting three hubs and three spokes. And currently also, we are planning almost close to like nine centers, we've signed the leases. So we've started recruiting people, okay, across different functions, and also we recruited key people in the corporate functions as well. So on account of this, this employee cost has

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 6 of 14

increased. And if you look at Q1 of the last year to the current year Q1, okay, you might look at almost close to like 30% to 31% increase in the employee cost.

And also in the other expenses as well. But primarily, one of the reason is that almost 10% of that increase is coming on account of the PH consolidation. Because PH was not there in the last year Q1. It got consolidated mainly from the Q4 of the last year. And also like 4% to 5% of the cost, okay, increase is attributable to the new centers that got opened in the last year post the Q1. So otherwise, the increment approximately in the cost is like 15% to 15.5%, which is mainly on account of the annual increments.

So what I expect is that going forward, the EBITDA margins will continue to be in the range of 39% to 40%, okay? For the full year, what I expect is around 40% EBITDA margins we will expect.

Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: So just wanted to understand on the PH thing, right? We've changed the brand name now to Vijaya PH. Has that adversely impacted us or we're not seeing any impact because of the brand change?

Sivaramaraju: So Rishi, basically, the brand change happened on April 1. So there are actually two changes that we have done. One, the brand change, and also the systems, right? The entire billing and all the back-end systems got now aligned to parent company on April 1. So what we have seen is some dip in revenue in the month of April.

I would not say it's because of the brand change, it's more because of the system changes.

Generally, whenever you do that transition, you have some hit. But subsequently, in the month of May and June, we are seeing the revenue coming back on track. And July was a great month for PH like for any other diagnostic center.

Rishi Mody: So if we were to compare PH's revenue in this quarter versus in the last year same quarter, what

has been the growth rate? Like if you want to split it, say, June, how much was the decline, or flattish; and then May and June, what was the pickup; April, what was the hit; and then July, what has continued? If you can just give an understanding of how PH is shaping up?

Sivaramaraju: Yes. So if you see year-on-year, it's more or less flat, Rishi, because we did not do any price increase. At the same time, there is no capacity expansion.

Narasimha Raju: These are all five to six years old.

Sivaramaraju: Yes, yes, if you basically take the main six centers, they're operating at least from the past five, six years, right? And like we told you, in the month of April, there was some hit because of this entire transition that happened. So there was a dip in the month of April. I can get back to you with the numbers month-on-month. I don't have it handy. But in the month of June, we have seen a single-digit growth in terms of revenue when we compare year-on-year.

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 7 of 14

Rishi Mody: Okay. Got it. Second, I wanted to understand what is the hub and spoke expansion plan for FY'25?

Sivaramaraju: So FY'25, right?

Rishi Mody: Yes.

Sivaramaraju: So again, Rishi, like last year, this year

also we're going to focus more on hubs, because we are opening up new geographies like say, Pune, adding the capacity in Pune and Kolkata and a few of our existing geographies like Tier 2 markets, right? So the concentration will be more on hubs.

You will see more spokes coming in from FY'26, because we added Rajahmundry, Tirupati, and a few other centers in the last one, two years, which are ramping up and they may hit maturity maybe in next one, one-and-a-half year. And also these new hubs coming in these larger markets like Kolkata and Pune. So this year, you will see lower number of spokes. But next year is when you'll see more spokes adding up to these hubs.

Rishi Mody: Okay. And what's our target for hub addition for the year? I think Raju mentioned nine hubs? Is that correct?

Sunil Chandra: Yes, Rishi. We mentioned that we have already signed leases for nine hubs. And these are across both Pune as well as Kolkata, and also some of the adjacent geographies in our home market.

So these are all going to be operational within the next 12 to 18 months, yes.

Rishi Mody: Okay. Got it. Raju, just the final. On the accounting front, what's the impact of Ind AS 116 for the quarter?

Narasimha Raju: So Ind AS' impact on the quarter, on the PBT level, it is approximately the PBT is lower by 2.5%. And if you look at, at the PAT level, it is approximately 1.2% lower. So we reported Ind AS PAT of 20%. Had we followed Indian GAAP, it would have been 21.2%.

Rishi Mody: Okay. Got it.

Narasimha Raju: 1.2% is the gap between Ind AS and Indian GAAP at the PAT level.

Moderator: The next question is from the line of Dheeresh from WhiteOak.

Dheeresh: Just following up on the last question. Can you give the absolute, in crores, the rental after EBITDA, the cash impact of rental?

Narasimha Raju: So Dheeresh, so the rental is approximately like 7% to 7.5% of the top line. I'll give you the exact number, but it's approximately 7% to 7.5%.

Dheeresh: 7% to 7.5%, no that is good enough, okay. And just on this Calcutta hub, which broke even. So from the day we started, till the day we broke even, how much opex burn, if you have that handy, like how much opex burn did the hub incur?

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 8 of 14

Narasimha Raju: So I don't have the exact number, Dheeresh, but what I can tell you is that today if you look at it, we completed like one year for the Kolkata. And for the other hubs also, we completed almost like 6 to 7 months for most of these hubs, okay? So all these hubs are generating a positive EBITDA.

And if I look at it compared to the company level EBITDA of 40%, the drag on the company level, it's approximately like 0.3% to 0.4%. In terms of the number, it's approximately like INR40 lakh or something on a top line of INR156 crores, which is like a 0.3% drag on account of the hubs which got opened in the last 1 year, okay? That's the impact.

Dheeresh: No. Maybe I'll take it up later. What I wanted was that Kolkata hub, since the time it opened, till the time it broke even, what is the opex burn that a hub, a good hub, which ramps up pretty nicely, what is the opex burn that it has from the time of commissioning to the time it breaks

even?

Sivaramaraju: So I think specifically for Kolkata hub, we'll get back to you with the exact number, Dheeresh, but roughly it would be in the range of for the first nine months, if you take the opex burn, it will be in the range of maybe, say, around INR 1.5 crores for the first timer, but we'll get back to you with the exact number. We don't have that handy, but we'll get back to you.

Dheeresh: Understood. And can you just maybe double click more on the new hub locations? You mentioned how much in Pune, how much in West Bengal, which cities, if you can explain?

Sivaramaraju: So out of the nine, we have two when we say nine, these are basically hub locations, we are

not talking about spokes. So out of these nine hub centers, we signed two in Pune, they are signed leases, and three in West Bengal and four in our home markets and adjacent geographies.

Dheeresh: Three in West Bengal will be Kolkata, right?

Sivaramaraju: So one is a district headquarter, which is closer to Kolkata.

Dheeresh: Okay. And the capex requirement remains the same, INR12 crores to INR15 crores per hub, like that?

Narasimha Raju: Per hub, it is INR12 crores to INR14 crores, Dheeresh. And in case of hubs where we are coming up with advanced 3 Tesla MRI, and also like high-end cardiac CT like 160-slice CT, the capex requirement might be in the range of INR18 crores to INR19 crores. Otherwise, for a typical hub with 1.5 Tesla MRI and then 32-slice CT, it is INR12 crores to INR14 crores.

Moderator: The next question is from the line of Sumit Gupta from Centrum.

Sumit Gupta: Just want to get sir, over the next three to four years, how do you see the geography mix going forward? So let's say, Pune contributing around 7% right now. Hyderabad and rest of AP - Telangana contributing nearly 90%. So how do you see this mix changing forward over the next three, four years?

Sivaramaraju: So Sumit, maybe we'll not be able to quantify percentages, but if you actually see on ground, the aim is to grow faster in markets like Pune and Kolkata, right? So a majority of the capex is also Vijaya Diagnostic Centre Limited
August 06, 2024

Page 9 of 14

going to these geographies. While Hyderabad is growing at a higher percentage, in double digit, right; even today, Hyderabad for us is growing at double digit, but because the capex is going to be incurred in new geographies, maybe three, four years down the line, organically what you may see is today, we are almost roughly at 72% Hyderabad is around 72% of our total revenue. Maybe that may come down to, say, something like 65%, right, because the newer expansion is happening outside Hyderabad.

Moderator: The next question is from the line of Anshul from Emkay Global.

Anshul: I had a question on the EBITDA margins. Would we continue to see contraction from current levels wouldn't we continue to see the contraction from current levels given that we are aggressively expanding in new geographies and adding aggressively nine to 10 hubs in the next 12 to 18 months?

Narasimha Raju: So Anshul, so historically, if you look at it, our expansion, almost all the hubs got the EBITDA breakeven at either like superfast like Tirupati in one quarter or like Kolkata in like three quarters, okay, not beyond like one year. So we are quite confident that the hubs that will come up in these 2 regions, that is Kolkata and Pune also, we'll be able to achieve the P&L EBITDA breakeven over a period of like one year time, not beyond that. So I don't think there will be any material impact, okay, on the EBITDA margins currently that we're having, okay? So only like 0.3% to 0.4% here and there might happen, but what I am confident is that between 39% to 40% is a sustainable EBITDA margin in spite of the aggressive expansion that we are focusing in the next 18 months.

Because if you look at, in the last year, we opened like six centers, three hubs and also three spokes, including Tirupati, if you consider, which got opened in February 2023, like 4 major hubs. The drag on account of these new centers and the current EBITDA of 39.2% was hardly like 0.3% to 0.35%. That's why I'm quite confident that there won't be any material drag on this current margins of 39% or 40%.

Sivaramaraju: So Anshul, only in case like, say, the timing of the hubs are such that we open, say, three or four hubs in one quarter, right. So you may see some drag coming in the quarter, but then subsequently in the next quarters, as the revenue ramps up, right? So at a year level, whenever we're seeing at a year level, we don't see much impact.

You may see in maybe one or two

quarters, it's the timing of multiple hubs, they open up in 1 quarter.

Anshul: Sure. Sunil sir, my concern was precisely that we are opening we might commission almost 6 hubs this year, and majority of them would probably happen in Q3 and Q4, which would result into this drag, but you're foreseeing that the other hubs would ramp up and sort of take care of

the drag that these new hubs create. Is my understanding correct on that front?

Sunil Chandra: Yes, Anshul, this is Sunil. So even traditionally, every year, we have been opening hubs. So if you look at even our past numbers, even with the years where we have opened four or five hubs, the drag has not been so much, as Raju was explaining to you, because there are also hubs which are ramping up at the same time, and the existing centers are also growing. So we don't see a significant impact this year just because we are opening new hubs.

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 10 of 14

Anshul: We're opening new hubs especially in the noncore geographies. Both of these factors according to you all wouldn't lead to margin contraction significantly is what you're saying?

Sunil Chandra: Pune, I think, see we have acquired PH, right? So we are operating under that umbrella, Vijaya PH now. And we are seeing growth across the existing centers, but there is capacity issues, which is why we are opening these new centers in Pune. So I don't see a big issue in Pune. And in our core geographies, anyway, we've always had breakeven in less than one or two quarters. So we don't see a significant impact.

Anshul: Got it. Just one last bookkeeping question from my end. Would you be able to divulge the revenue per patient in the wellness vertical, in the wellness segment?

Sivaramaraju: So basically, I think so Anshul, we get roughly around INR2,200 to INR2,300 per patient. Because when we say this wellness, generally, retail wellness, the ticket size is beyond, say, INR2,500, INR2,700. But you do also have corporate wellness, which are low ticket items. So, at a company level, we are at around INR2,200, INR2,300.

Moderator: The next question is from the line of Pranav Chawla from Antique Broking.

Pranav Chawla: I just wanted to ask, on the PH side, we have seen a slight sequential dip in revenue per patient as well as revenue per test. Is there something to read into this?

Sivaramaraju: So I think there is no significant fall in the revenue per test. But more or less, I think revenue per test and footfall in fact, the revenue per footfall went up. The reason being, right, like I told you, earlier also we had this issue at Vijaya, right, when we were using the old IT systems. If a patient is going to multiple branches, we used to bill the patient, like suppose if a patient has to go to two branches, we used to do two bills, which was counted as two patient footfall. The same issue we had with PH, which after now transitioning to the new systems, that got rectified. So in fact, the revenue per footfall, I think, slightly went up. Otherwise, there is no drop in revenue per footfall.

Pranav Chawla: Okay. That is very helpful. And what would be the split of radiology and pathology in PH?

Sivaramaraju: It's roughly around 55% to 60% comes from pathology and the rest from radiology.

Pranav Chawla: And wellness?

Sivaramaraju: So wellness in PH is slightly higher than the company level. They are upwards of around 17%, 18% is what they get from wellness. Because there you have good number of corporate tie-ups.

Pranav Chawla: We have already introduced the packages that we have on the Vijaya level in PH as well? Or that is yet to happen?

Sivaramaraju: So on the retail side, more or less we have the same packages now, but PH gets most of their wellness revenue from corporates. Because these are slightly when compared to the company level realizations, they are slightly

lower because of their corporate business.

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 11 of 14

Pranav Chawla: So despite all of this, PH, if I'm not mistaken, you highlighted the margins for this quarter would be around 43%. So any particular key driver that you want to highlight for sequential expansion in the margins for PH? If I'm not mistaken, last quarter was around 40, 41 odd percent.

Narasimha Raju: Yes, even now, even in this quarter, margins for the PH were higher than 40%, almost close to 41%, even in Q4 and also in Q1. Only thing, in the revenue, there's a slight dip from INR11.7 crores to INR11.4 crores, because what we have seen is that a slight dip in the month of April, okay, because of a couple of changes that Siva explained that happened in the Pune, okay? So otherwise, there's no major dip in the business, and also no major change at the EBITDA margins level. It's in the range of 41% approximately.

Pranav Chawla: And what would be the revenue, PH, last time same quarter, 1Q FY'24?

Narasimha Raju: Approximately similar, because at the year-end, okay, you remember, approximately INR44.5 crores was the full year revenue. So last year Q1 to the current Q1, it's approximately flat.

Pranav Chawla: Okay. And sir, just one last question, if I can squeeze in. What was the revenue split between Hyderabad, the other markets, and Kolkata last year 1Q?

Sivaramaraju: So it was at 80%, because that time we didn't have PH. So it was around 80%.

Pranav Chawla: And rest of AP -Telangana?

Sivaramaraju : It was about close to 17%. So 16% basically.

Narasimha Raju: 3% was coming from Kolkata and Gurgaon put together. Out of the 97%, 80% was Hyderabad.

Moderator: The next question is from the line of Ashutosh Parashar from Mirabilis Investment Trust.

Ashutosh Parashar: Thank s for the opportunity, congrats on great set of performance , continued out performance within the industry, so my question was on the expansion that we have taken over the last couple of years. So we have seen the operational breakeven for the Labs happening quite quickly in one to three quarters. So just wanted to understand what is driving this faster breakeven? Is it due to more contribution from the radiology business during the initial phases of operations of hubs, or some other reason for that?

Sivaramaraju: So basically, Ashutosh, one thing is like all these geographies that we have launched, like let it be Tirupati, Rajahmundry, and Kolkata, these are markets which are mature. You have business.

It's only that you went there and introduced some newer technologies in that market, right?

And like although Vijaya is strong on both pathology and radiology, the advantage that we have, right, pathology is a business where in spite of not having capability, you can still send the sample to the headquarter and get the sample processed, but radiology is something which happens at the site, right?

Because of our advanced radiology advantage, initially, in the initial like first five, six months, we see higher revenue coming from advanced radiology. And then slowly, pathology takes on. Because of these newer technologies and availability of all the services, right?

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 12 of 14

In radiology what also happens is, two diagnostic centers may have same MRI and CT, but you should also have the doctor who can report the scan and also you should have a technician who is capable of doing the scan. Because of our network of 250 -plus doctors, right, and also we spend a lot of time on L&D, I think we are able to get that high -end cases, which the other players have not been able to do in these geographies. So in the initial months, like you rightly said, it will be advanced radiology. And then slowly, the name gets built and you also get the pathology volumes.

Ashutosh Parashar: And sir, how d

oes the mix between the radiology and pathology business pan out in a typical hub, say, in the first year versus four, five years later? What is the mix change?

Sivaramaraju: So generally the trend that we have seen, at the time of breakeven, which is like sixth month or ninth month of operations, so roughly around 60% to 65% of revenue would be coming from advanced radiology. It's not the same for all the hubs, but generally, this was the trend that we have seen.

But over a period of 2, 2.5 years, if you see, this mix will come to 50 -50. You see 50% coming from the entire radiology and 50% from pathology. But in the initial 1 year, you see, within radiology also, you see advanced radiology dominating.

Ashutosh Parashar: Got it, sir. Just one more question is how many labs currently are incurring operational loss, which have broken even currently, the number of labs?

Sivaramaraju: I think as of now we have only one hub which is yet to break even, which we launched in almost end of November last year, which we're expecting that center to breakeven maybe in August or September. Other than that, I think all the other hubs are contributing to positive EBITDA.

Ashutosh Parashar: This will be the lab in Karnataka, right?

Sivaramaraju: Yes, Gulbarga. So that's the sector that we launched at the end of November, which we are expecting the breakeven to happen either in the month of August or September.

Moderator: The next question is from the line of Bhavesh Gandhi from YES Securities.

Bhavesh Gandhi: Yes. So one or two questions. One is on the realization per patient, which I think is at 5% Y-o-Y. So how much of this is due to the mix change or more of wellness and higher tests, and how much is I presume we have not taken any price hike. So is all of the realization due to the mix change?

Sivaramaraju: So there are basically two reasons, Bhavesh. So one, if you see, last year to current year, last year, generally at PH, because it's in Pune, right, the entire business comes from Pune, the realization for test and footfall are higher when compared to Vijaya stand -alone. So that's one of the reasons why you're seeing the revenue per patient going up.

But if you basically see the price increase, I think even during the current year, Q1 to Q1, if I consider the organic business, the impact of price increase is less than 1% for this current quarter.

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 13 of 14

So there are two reasons. One, because of PH, and also because of number of tests per patient going up.

And again, within PH, because they have three hubs. So the mix, basically, what you see is, in a hub, the number of tests per footfall are higher than compared to a spoke. And because PH has got three hubs and three spokes, because of that mix, they have higher tests per footfall. So because of these two reasons, you are seeing the higher realization per patient, but otherwise, the price increase is less than 1%.

Bhavesh Gandhi: Got it. Secondly, more of a kind of broader position in terms of two new markets, Kolkata and Pune. So in terms of margin trajectory that we envisage in Kolkata, how would that be vis-à-vis Vijaya what it is doing today? And secondly, how will you rate Pune market, since you are on an expansion plan now, how would you rate it in terms of margin potential there? Will it be similar to Kolkata and our core markets of Hyderabad?

Sivaramaraju: So Bhavesh, again, firstly, if you see, the pricing of tests other than MRI, if you take CT-led majority of the tests, the pricing when compared to Hyderabad, Kolkata is slightly higher. And Pune being, again, the Tier 1 city, it's almost more or less equivalent to Hyderabad.

Sunil Chandra: Bhavesh, Sunil here. See, obviously, we have chosen these markets because we see a potential in terms of both business as well as a profitable growth. So I can't say that one is better and one

is worse. I think both are good markets. Kolkata also we are expanding. Pune also, after PH, we are adding new hubs. We are adding new centers. So both will see good growth for us.

And the expectation is that the margins that we see will be in line with the margins we have always looked at, which is around that 40% margin. So we see there is no challenge in getting those kind of profitability margins in both these markets.

Bhavesh Gandhi: Okay. Just wanted to understand, is the volume growth number, is it broadly similar to the value share if you disclose for Hyderabad, Pune and Kolkata? And the volume breakup, will it be similar to that? The value share or the revenue share?

Sivaramaraju: So Bhavesh, I did not get your question. Is it you're asking about the growth of volume in the individual geographies?

Bhavesh Gandhi: Yes, yes. So would Hyderabad volumes be that ratio would be kind of leading, and Pune is flat, so maybe just a capacity constraint. So would that be the pecking order Hyderabad, Kolkata and then Pune?

Sivaramaraju: So again, Bhavesh, I think it's not a right comparison at this point, because Pune we just acquired and expansion is underway, right? So we've not set up any new centers. And coming to Kolkata, we earlier had only one center. Now, obviously, because we added the second center, definitely, the growth is in double digit. But for now, whatever growth you are seeing, it's predominantly because of Andhra and Telangana, right? So if we are growing at that 16.6% patient volume growth, it's predominantly from Andhra and Telangana and again from Hyderabad.

Vijaya Diagnostic Centre Limited

August 06, 2024

Page 14 of 14

Bhavesh Gandhi: Okay. Last question from my side. If you see some of the periods so far, footfall, excluding PH, for us has been typically growing above the early teens, like 13%, 14% kind of a trajectory.

What we have seen in this quarter is I think an acceleration of about 17% kind of a growth. So is this the outcome of the hub additions that we have done over the last few years? And kind of is this the new norm for volume growth in terms of patient footfall on a stand-alone basis?

Sivaramaraju: So generally, in the earlier years, we used to see a dip from Q4 to Q1. Generally, Q2 and Q4 are your stronger quarters and Q1 and Q3 are slightly weaker than compared to Q2 and Q4. But yes, this year, we have seen sequential growth of 1% and year-on-year growth of higher double digit.

Like we told in the opening remarks of the call, right, so the growth has actually come from both the existing and the newer centers. So if you bar three years and four years CAGR because of COVID, if you take five years versus two years CAGR, right, the existing centers also have grown at a double digit.

It's basically the growth across centers. But definitely, yes, the newer centers are delivering a higher growth. But otherwise also, if you take the older centers, they have delivered almost close to 12% to 13% of growth.

Moderator: Ladies and gentlemen, that was the last question for today's call. I now hand the conference over to the management for closing comments.

Sunil Chandra: Thank you, and I would like to thank everyone for attending this call on behalf of our entire management team at Vijaya. And should you need any further information about our company, please feel free to reach out to us. And thank you once again for attending this call.

Sivaramaraju: Thank you.

Narasimha Raju: Thank you.

Moderator: On behalf of YES Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

November 12, 2024

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on November 07, 2024

We are enclosing herewith the Transcript of the Earnings Conference Call organized on November 07, 2024, post declaration of the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 2024.

Please take the information on your record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: as above

To,
Listing Department
National Stock Exchange of India Limited ,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
NSE Symbol : VIJAYA To,
The Corporate Relations Department
BSE Limited ,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street
Mumbai - 400 001
BSE Scrip code : 543350
Page 1 of 17

"Vijaya Diagnostic Centre Limited
Q2 FY'25 Earnings Conference Call "
November 07, 2024

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VIJAYA DIAGNOSTIC
CENTRE LIMITED
MR. NARASIMHA RAJU – CHIEF FINANCIAL OFFICER –
VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. SIVARAMARAJU – HEAD, STRATEGY AND
INVESTOR RELATIONS – VIJAYA DIAGNOSTIC CENTRE
LIMITED

MODERATOR : MR. BHAVESH GANDHI - YES SECURITIES LIMITED

Vijaya Diagnostic Centre Limited
November 07, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Vijaya Diagnostics Limited Q2 FY '25 Earnings Conference Call hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Bhavesh Gandhi from YES Securities. Thank you, and over to you, sir.

Bhavesh Gandhi: Thank you. Good evening, everyone. This is Bhavesh here from YES Securities. I welcome you all for the second quarter earnings conference call of Vijaya Diagnostics Limited. At the outset, I would like to thank the management for giving us this opportunity to host the call. From the management team, we have Mr. S. Suprita Reddy, MD and CEO; Mr. Narasimha Raju, Chief Financial Officer; and Mr. Sivaramaraju, Head Strategy and Investor Relations. I would now hand over the call to Mr. Reddy for her opening remarks. Over to you, ma'am.

Suprita Reddy: Thank you, Bhavesh, for hosting the call. Good evening, and a warm welcome to everyone on the call. I will begin by presenting the key highlights for the period, after which, we will take you through the operational and the financial highlights of the quarter ended 30th September 2024. I would like to begin my address on a positive note by highlighting that for the past 8 consecutive quarters, we've been consistently performing better than our growth guidance. This quarter marks a significant milestone for us with an impressive 32% year-over-year growth, of which 23% was delivered organically. This achievement reflects our confidence in our integrated business model and concept of a dense network. The encouraging part is that the growth was primarily volume driven, with contributions coming both from our existing and newly launched centers, which are breaking even more quickly while maintaining a strong B2C shift.

I'm happy to share that we have successfully transitioned our network to a new AI-powered path as part of our digital strategy, and this upgrade will allow us to further leverage the skillset of our specialist radiologists, improving both customer and clinician satisfaction. Additionally, it will also enable radiologists to focus on reporting cases that align with the areas of expertise and interest. I'm also happy to announce that we successfully launched operations at our hub center in Ongole this August, and the response over the first 2 months has been highly encouraging. We now expect the center to break even ahead of the initially anticipated timeline of 2 to 3 quarters.

Additionally, we are starting operations of another state-of-the-art facility in Nizamabad tomorrow. This center is equipped with advanced technologies like a 3 Tesla MRI, CT scan and automated lab and other basic radiology modalities. We have enhanced a spoke center in Gurgaon, transforming it into a fully equipped hub with the addition of an MRI and CT machine. This upgrade allows us to offer a comprehensive range of services, from basic blood tests to advanced imaging like MRIs all under 1 roof, making it on par with any other hub center that we established in a new geography. Regarding the updates of Pune and Kolkata, we have Vijaya Diagnostic Centre Limited
November 07, 2024

Page 3 of 17

finalized few leases across both these regions. Work is currently underway, and we expect that these centers to be operational within the next 2 to 3 quarters.

As part of our expansion strategy, we have identified Bangalore as an additional Tier 1 location and plan to enter this market soon through organic growth. We have been evaluating this market for

the past 2 years, considering both inorganic and organic opportunities. Bangalore is largely dominated by semi-branded integrated chains, each with a presence in only 2 to 3 locations across the city. Given this, we are very confident that the market holds significant potential for us, and we believe we can create a dense network in the years to come.

To conclude, I would like to highlight that with a combination of a well-planned strategic expansion and the robust strength inherent in our model, we are very confident that we are well positioned to capitalize on the growth opportunities from the ever-growing demand in the diagnostic sector. With this, I'd like to hand over to Raju to take you through the operational and the financial highlights.

Narasimha Raju: Thank you, Madam. Good evening, and a warm welcome to everyone on the call today. I'll quickly take you through the financial performance and key developments for the current quarter and half year ended September 30, 2024. The consolidated revenue for the current quarter stood at INR183 crores, reflecting a strong revenue growth rate of 32% year-on-year and 17% quarter-on-quarter.

And this robust revenue growth, just like the previous quarter, was again driven by volume growth of 30% year-on-year and footfall growth of 24% year-on-year. I'm delighted to inform

that the year -on-year organic growth, excluding PH Pune, is remarkable at 23%, which is the highest growth reported so far.

And this strong growth is driven by volume growth of 22% and footfall growth of 18%. I'm extremely happy to inform that the business from Hyderabad, which is a core geography with many mature centers, has grown at 18.5% year -on-year, which clearly demonstrates the strength of Vijaya's brand in a core geography.

Coming to PH Pune's performance for the current quarter, the revenue is INR12.2 crores, which is in line with our expectations. Coming to the geography -wise revenue contribution, Hyderabad region contributed 73% , rest of AP Telangana was 17% and Pune with 7%. Like the previous quarters, the revenue growth was driven by both radiology and pathology segment, reflecting the robustness of our B2C focused integrated business model.

The B2C revenue stood healthy at 93%, and our radiology business stood at 35%. The revenue per test was INR463, and revenue per patient footfall was INR1,616 during this current quarter. EBITDA for the current quarter stood at INR76 crores as compared to INR57 crores in the corresponding quarter in the last year, reflecting a year -on-year growth rate of 33 % , in line with revenue growth.

Excluding PH Pune, the year -on-year growth rate in EBITDA is 24%, again, in line with the revenue growth. The EBITDA margin was healthy at 41.5% in the current quarter, with an improvement of 20 basis points year -on-year and 230 basis points quarter -on-quarter. The profit

Vijaya Diagnostic Centre Limited
November 07, 2024

Page 4 of 17

after tax for the current quarter stood at INR42 crores, and the PAT margin was also healthy at 23%.

I will now summarize our performance for the half year ended September 30, 2024. The consolidated revenue is INR339 crores as against INR260 crores in H1 of last year, reflecting a year-on-year growth rate of 30%. And excluding PH, the growth was 21%. EBITDA stood healthy at INR137 crores as against INR105 crores in H1 of last year, registering a year -on-year growth rate of 30%. EBITDA margin stood healthy at 40.5%, and the profit after tax was INR74 crores with a margin of 22%.

Coming to the update on the capital investments in the current period. We have successfully started 2 hub centers, 1 in Ongole Tier 2 location in AP, and second was an upgradation of spoke 2 hub in Gurgaon with advanced radiology equipment of MRI and CT. Considering the growing demand for oncology testing and advanced radiology, we have added PET/CT in Tirupati and a second MRI at ou

r Kurnool geography. The company is on track of adding new centers at Pune and Kolkata through a careful expansion strategy, and this expansion will be funded from internal accruals.

To conclude, I would like to say that we continue to hold our position as the largest B2C integrated diagnostic chain, supported by healthy balance sheet and impressive return ratios. That's all from my side. I would now request the moderator to open the line for the Q&A. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amey Chalke from JM Financial.

Amey Chalke : The first question I have basically on the growth. We have delivered around 22% organic growth for the quarter. I understand it is led by seasonality, but I believe even in seasonality, this kind of growth, we have not seen earlier. Does that leave some scope to increase our growth guidance organic growth guidance for the year from mid -teens to towards high teens?

Also, if you can explain the reasons for high volume growth apart from the PH contribution, which has delivered more than 20%?

Siva Rama Raju: Yes. So like you rightly said, there is some seasonality. But at the same time, if you see last year also, from Q1 to Q2, I think we have delivered roughly about a 15% growth, and we have delivered 17% this year. Right? So and like we discussed in the earlier call, I think that's the beauty of having a dense network and also being integrated.

And also, I think the shift from post -COVID, the shift from unorganized to organized. Like if you see the ground reality of healthcare industry today in any of these larger markets. It could be Hyderabad, Bangalore, Delhi, Mumbai or any other geography. So now hospitals, if you see multiple chains that are present in these geographies operating for a long time , now they are talking about creating dense network in the geographies they are very strong. And they are all growing, right? If there are 4 players in 1 geography, all the 4 players are growing. I think that's the beauty of the model, and Vijaya being known for the quality and having the talent. With the

Vijaya Diagnostic Centre Limited
November 07, 2024

kind of effort that we are putting and the kind of the network expansion we are doing, that's where we are able to generate these volumes.

The shift is happening from unorganized to organized. But coming to seasonality, it was almost like a similar quarter that we had in the last year. And on the growth guidance, Amey, like we always said, we are confident of delivering double-digit growth of, say, 15% to 16%. But obviously, the efforts are to achieve that growth guidance.

Amey Chalke : Sure, sure. The second question I have is on the Gurgaon and Bangalore. Both the places, we are showing intent to grow presence organically. So if you can elaborate on our plans in both these regions for the next 2 to 3 years? And also, as you grow in these other regions, the new regions, do you expect to deliver similar profitability? Thank you, and I will join the queue.

Suprita Reddy: So Amey, Gurgaon is an old center. Like we told you, it was a sector that we tried out a long time ago, I don't remember the exact time, as a wellness concept. And it's a large center with almost about 12,000 area footprint. And since we are integrated in all of our other centers and this center was the only center of not doing only wellness and we had the space available, we wanted to upgrade it and bring it to the level of any of our most sophisticated and updated centers in terms of technology.

And that is the reason why we have made sure that it is also integrated. And it's been a mature center now. We see a lot of repeat customers coming back to that center and that's the reason why we wanted to make it more whole and fulfilled in terms of the customer experience itself. And in terms of

expansion in Gurgaon, immediately, we do not have any plans of doing that.

But when it comes to Bangalore, like we mentioned, being dominant in the South, the largest player in the South and the 3 top cities probably known for their healthcare at Chennai, Bangalore and Hyderabad. And with now that we have other centers and the concentration of business from Hyderabad coming to its 70s, we said we have more room to explore new markets, and that's the reason why we were able to probably give some time to this market, understand this market and we feel that just like Calcutta, we'll be able to grow the dense network in this particular city, the Tier 1 city and the wellness and the integrated business makes sense to us. Like I mentioned in the speech, there are a lot of chains there, integrated is not new to Bangalore, and they are all 2 to 5 center chains. So we said there's more than enough room to grow, and we would like to take up that route organically rather than inorganically. And that's not something that we would probably say we'll do about 5 centers in 1 year. It's over a period of time that we would like to invest and make sure Bangalore is a good market for us to grow in.

Moderator: The next question is from the line of Anshul from Emkay Global.

Anshul: My first question is on the samples for patients. Now this metric is growing 25% plus in the last 3 quarters now. Is wellness the only reason driving this samples per patient number? And how sustainable is this growth number? Do we see this settling over here wellness is only 13% of our business. Again, do we see that also growing?

Siva Rama Raju : Yes. So Anshul, so basically, if you see pre-PH, right, we were at somewhere around 3.3. The compression that we are seeing is like last year we were only Vijaya. Now, Vijaya with PH. And Vijaya Diagnostic Centre Limited
November 07, 2024

PH has got 3 hub centers and 3 spoke centers, right, where you see the higher test per footfall at a hub center. So that's the major reason why you are seeing the change. I think more or less from now that test per footfall should be somewhere around 3.4 to 3.5.

So it all depends on the combination of hubs and spokes, like if you have 2 years of a period where you'll open more hubs, you may see that growing. And whenever you add up spokes, you see that getting diluted. It all depends on the mix of the centers. Wellness, to a certain extent, yes. Earlier, we were at 10% -11%, now, 13%. But otherwise, we don't see major change in test per footfall going forward.

Anshul: Okay. Any specific plans for growing the wellness business?

Suprita Reddy: Not specifically, Anshul. We mentioned, wellness has been part and part of the history of Vijaya. We've always been doing it. It's integrated. So a package is more meaningful because it will involve some amount of radiology and pathology does not past work. So we don't make a conscious effort, but it's also sometimes just like your fevers are seasonal, even health and wellness is seasonal.

So you see an up and down, but more or less, it will remain in that 13 to 14 is what we think that is an achievable number. And we don't try and upsell packages in Vijaya. So if somebody who comes in walks in with a need or a want of getting a wellness package done is the one we actually serve.

Anshul: My second question is on our capex guidance, which were driven post the Q4 results of about

INR220-odd crores, INR230-odd crores in the next years. Does that whole set considering that we have done INR40 crores of capex in H1? Will it be more back ended? How many hubs are you planning to commission in FY '25 section?

Narasimha Raju: So Anshul, as we communicated in the previous calls, okay, we are planning to add at least like 10 to 12 hubs across these 2 financial years. Out of that, 2 hubs are already ready, like 1, we already launched, Ongole, okay and the other 1 i

s tomorrow at Nizamabad, similar hub centre

and a larger area. So another 10 more centers apart from these 2 hubs will get opened in these 2 financial years, FY '25 and FY '26.

So the capex guidance of approximately like INR200 crores on these new centers remains same. And in the first 6 months, as you rightly told, the capex on the new center is approximately like INR40 crore.

Anshul: Got it. So I believe we had initially given a guidance of 10 centers in the next few years, but we are upping it to probably 12 centers. My question is our internal accruals are cash flow generation seems very robust. Would we be able to add Bangalore in this by somewhere in FY '26 itself? Can we go slightly more aggressive on this on the expansion considering our balance sheet is supporting it? We have seen incremental signs of organic growth coming in as well for our tested model.

Suprita Reddy: Absolutely, Anshul. Like we mentioned, it's not the capex that drives us to grow. It's the geography, the interest and then probably also the people. So like I've mentioned, we will be

Vijaya Diagnostic Centre Limited

November 07, 2024

Page 7 of 17

looking at Bangalore. We don't have anything concrete for me to confirm on this call today. But definitely if something comes up, you will be seeing a few centers coming up in this region by FY '26.

Anshul: Sure, many, many thanks for your time. All the very best for the remainder of the year.

Moderator: The next question is from the line of Sumit Gupta from Centrum Broking Limited.

Sumit Gupta: Sir, what are the PH margins for this quarter?

Narasimha Raju: 40%.

Sumit Gupta: 40?

Narasimha Raju: Yes, yes. For the PH margins.

Sumit Gupta: Yes, PH margins. So like going forward also, like so on the standard basis, like over it comes out at around 41.5% to 42%. So going forward also in the second half, how do we see it panning out on the standard user?

Narasimha Raju: So if you see the 41.5% is at the consol level, Sumit, okay? So since we are adding new centers like, okay, like in Pune also, a few centers, the work keeps happening. So as we mentioned earlier, in any 1 quarter, say for example, 2 or 3 major hubs get opened. So for example, like a Q4, okay, or Q1. So in those quarters, there might be a slight drag because of these new centers because they take -- typically, these hubs take at least like -- outside geographies that take like 3 quarters to break even.

So, because of that, if 2 or 3 hubs get opened in a similar period, that quarter, margins might be like 1% or 2% here and there, okay, might be impact might be there. But what I look at it is, okay, for a full financial year, I'm fairly confident that 40% EBITDA margins will be maintained.

Sumit Gupta: Okay. So point one, like I want to understand more about like 40% is financed. Is it like strong operating leverage won't be likely to play out. So can it be surpassing 40% margin guidance? Just want to understand on that as well, like strong operating rates getting played out. However, obviously, there are some new additions. But what I see is those will not be able to like more like offset the strong leverage at the existing centers will do. So just wanted to understand on that part.

Narasimha Raju: So definitely, the operating leverage plays out, okay? That's the reason why you see the improvement in the EBITDA margins, okay? Okay, like almost close to like a 230 basis points improvement is there from Q1 to Q2, definitely because of the fixed cost operating leverage play. And as you know, we continue to invest, okay, in technology, okay, digital marketing, okay? So continuous efforts are there, okay, to invest in various channels.

So that's the reason. Apart from that, okay, on account of these hubs also, even though if there is a drag, is there like a 1% and 2%. I expect that the operating leverage play, okay, might take care of that. And then on a s

ustainable basis, okay, what I'm fairly confident is with 40% EBITDA margins will be achievable.

Vijaya Diagnostic Centre Limited

November 07, 2024

Sumit Gupta : Okay. And sir, Gulbarga has breakeven?

Narasimha Raju: Sorry?

Sumit Gupta : Gulbarga City.

Siva Rama Raju: So, Gulbarga, this month, we are going to complete 1 year. And this is 1 center which took us 4 quarters like the guidance of 3 to 4 quarters. This center took us 4 quarters. But generally, how we announce breakeven is we'll wait out and look for another 1, 2 months and then on the break even. But yes, Gulbarga is going to break even this month.

Sumit Gupta : And sir, lastly, on the CAGR side, sorry for the repeat. So you guided for INR200 crores, right?

Narasimha Raju: INR200 crores approximately at 10 hubs spanning across these 2 financial years, Sumit.

Sumit Gupta : Okay. So out of this, how much is the equipment?

Narasimha Raju: So, equipment accounts to approximately like 75% is equipment, okay? And then the rest is towards infrastructure, plant and machine others, and then you have the software, computers, etc. So, but the main radiology equipment accounts for almost close to 75%.

Moderator : The next question is from the line of Abdulkader from ICICI Securities.

Abdulkader: So just wanted to understand your thought process of entering into Bangalore and the expansion in Gurgaon. So what I understand is basically, the health care market of these 2 cities are much different as compared to where you are currently present into. So just if you could share your strategic rationale for selecting these 2 cities and considering the network hospitals which are located in these 2 cities, those are quite having an integrated diagnostic model.

So how do we compete against those? And in terms of breakeven, where you're talking about a 3 months break -- sorry, 3 quarters breakeven for your operational hubs, do you see a similar kind of a breakeven model to happen here as well?

Siva Rama Raju: So in the past, like in the over many calls when we've been asked why don't you open 15, 20 or 25 centers in a year. It was always smart about the capital because about the people, right? So basically, we said we are comfortable opening 15 centers a year. It's because this business, the key for success is the team, right? Which we have realized very early. And from past 2 to 3 years, what we were doing is, let's take any market, even today when we acquired Pune or when we launched Kolkata .

We are from past 2, 3 years, we are trying to identify people within the company and also, we are getting talent from mid -level to senior level, right, across core departments like operation, sales, projects because these are the key departments for our success of the business, right? And we are training them internally, right? And it's always the bandwidth, which will allow us to grow.

So 10 years back, I think we were comfortable launching 2 centers and launching markets within Andhra Telangana. So 5 years back, we thought we are comfortable launching West Bengal.

Vijaya Diagnostic Centre Limited

November 07, 2024

And then we also 2 years back, we thought we are comfortable doing 1 acquisition. So today, with the kind of bandwidth and the team that we have, we are comfortable launching 1 more market while choosing the market, right?

So today, if you take India, it can be an any state capital, right? I think integrated plays, at any initial stage, you have very few players like I think hardly few players who have got that network in integrated play. But which is required. Again, in Bangalore, if you see, there are multiple integrated players operating in each of these micro markets. So again, comparing this to a hospital. So I think this model works well where you have a very good doctor strength, right? When you have a lot of super specialty hospitals is where you have

the super specialist doctors.

I think no other market today has the highest density than Hyderabad. And if we are able to compete in Hyderabad with any of these hospitals and able to make INR480 crores of revenue per year. We don't see any challenge in having -- getting into Bangalore market. And again, Bangalore is a developed market. Like ma'am said, right, Bangalore, Chennai, Hyderabad, these markets are known for health care facilities for a long time.

So out of the options available, we thought Bangalore is a market which will be feasible for us.

And we also have people within a team who can take care of this market.

Suprita Reddy: To answer your question, it's not every geography is unique. So if you say Andhra and Telangana, Hyderabad might work differently versus the Rajahmundry center or a Karimnagar in Telangana itself. So when we try to push ourselves out of the comfort zone and when you're trying to probably replicate what you're good at and mastered over the last 40 years, I don't think whether it's Chennai or Bangalore, Kolkata, makes a difference.

I think the difference comes in probably 4 quarters or 5 quarters of breakeven. But the confidence of absolutely breaking even and making the center a success is what probably allows all of us to

look at a new geography and confidently move on and take that step forward. And that's exactly what we did in the East. And if we took almost 6 years when we took a loss-making company, we acquired it. It took us a long time to clean it up, break it even.

In spite of that, we said we will try and we will grow in the East and we started the VIP road center. And if that could do well, I think that's also a booster. And probably to say you're out of your comfort zone doesn't matter where you are as long as you have a customer base that understands you, educated, there's affordability. And that's probably working well for us.

So I don't know, maybe 5 quarters from now, I might say we'll go into Chennai too, but today, we're saying we're going to try Bangalore.

Abdulkader: And appreciate that confidence. Just then on your hub centres that you opened. So also when we talk about an integrated model. So on day 1, do we introduce the entire offering, that is, both pathology or radiology?

Suprita Reddy: How we operate it, we do not do it phase-wise when a center opens. That's also why we need that incubation period of 90, almost 120 days. Because you will have the center that will open up to a customer right from a complete urine exam to an MRI 3 Tesla or in certain cases, even a

Vijaya Diagnostic Centre Limited

November 07, 2024

Page 10 of 17

PET/CT. So if you look at Tirupati, we added a PET because we saw the response. But on day 1, it was a fully automated lab with an ultrasound TMT M ammo, all the way up to 3 Tesla MRI.

And it will be the same tomorrow in the center that we're opening in Nizamabad.

That will offer an MRI, that will offer high-end cardiac imaging and will offer lab facilities, all in 1 go. And also to answer a question asked by someone else previously, what happens is when we open hubs in regions outside of the core geography. Even though there's leverage, what happens is we tend to take on staff to be able to train them and get them ready to operate the center. So that cost gets added a little bit, but that will probably play out in the quarters to come, the second quarter. But you are prepared on day 1 to be able to do any of these tests in that particular center itself.

Abdulkader: Thank you for answering my question. Thank you.

Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: So just on the gross margin front, right, we've seen a dip in this quarter. Is it something structural? Like is it a one-off? Or because normally, what we've seen in other diagnostic companies will start as your packages business increases,

your gross margin is increasing for at least the PAT players. So just wanted to understand, is that not the case for us?

Narasimha Raju: Sure, Rishi. Raju here. As you said, okay, the material consumption has slightly moved up, okay, year-on-year from 11.8% to 12.6%. It's a combination of 3 factors. One is the test mix. And the second one is that depends upon the pathology-radiology mix. As you know, radiology has slightly lower material consumption compared to pathology. And if you look at the growth in this current quarter.

On a stand-alone, they will be excluding PH, you have seen 23% growth, okay? So across these 2 segments, the growth is there, but there's a slightly higher growth is there on the pathology segment. I remember like okay, 24% or 25% growth is there on the pathology trend, okay?

Actually, like a 2% lower number is there in the radiology. So the movement you have a more pathology revenue, slightly, the consumption will go up.

And the third point is the wellness, okay? Whenever the wellness segment goes up slightly, there is an impact on the material consumption, a few basis points. So, if you look at it in this current year, it is 13.7%, slightly increase is there as compared to the last year. Approximately in this current year, excluding PH, we're done at INR22.5 crore wellness.

So it's a combination of these 3 factors, Rishi. That's the reason why there's a movement from 11.8% to slightly to 12.6%. But what we have generally budgeted and then communicated is that generally, it ranges between 12% to 12.5%. And this was the case, Rishi, even in the past year. I think in the previous years also, you've seen that gross margins moving by 50 bps between the quarters.

Rishi Mody: Okay. So I just wanted to follow up there because Dr. Lal in the recent call, right, they said that their packages business has become gross margin accretive for them. We have been expanding the gross margins for the last few quarters. So just I know you're saying that the packages

Vijaya Diagnostic Centre Limited

November 07, 2024

Page 11 of 17

business is gross margin dilutive. So just wanted to understand where is the gap in my understanding?

Narasimha Raju: So Rishi, it depends, right? So for example, if we are at, say, 13.7% today, and if we are at that level, I'm still growing at a higher percentage. Then with volumes, you may see the gross margin or you may be getting some advantage on gross margin. And also, you do price increases, right, is when also you'll see some for the same package, if we increase the price, right, you will see some gross margin addition there.

But if you in the last 2 to 3 years, we have not taken any price increases, except that 1%, 2% at a broad level for a few tests, which we have done. So that's 1 of the reasons why we are not seeing the gross margin improving. I think this is a combination, generally packages, at least for Vijaya, gross margin dilutive and EBITDA accretive, right? But if you generally take the price increases when you see the gross margin moving.

Rishi Mody : Okay. All right. Got it. Second, you see that you've given the guidance on the hub addition. Any guidance on spoke addition over the next couple of years?

Siva Rama Raju: So Rishi, again, like, as we are focusing on these new markets like Pune, Kolkata and then Bangalore, right? And in Pune also, we have signed 1, and we are also looking for a few more spokes, right? But I think these 2 years, FY '25 and '26, you will see more of hubs. And then the subsequent years, you'll see more of spokes coming in.

Narasimha Raju: And Rishi, one spoke, the work is almost completed in Pune. We're just waiting for the approval. I think we might receive the approvals in this month, so we might launch it in December month. These hubs are getting established, right? Simultaneously, the work will start in terms of the spokes.

Rishi Mody : Right. I understand the

bandwidth being used up for the hubs in the new geographies. But utilizing the hubs that we have invested in the last year, which is like the Tirupati one, Rajahmundry one and through spoke investments in those regions, is that going to happen or we don't have the bandwidth for that right now?

Suprita Reddy : Rishi, it's not about the bandwidth. It's also about looking at the concentration of people in and around that 150, 200 kilometers. When you have some amounts, if you look at Rajahmundry as a market, you still have a lot of development going on in terms of probably large, high-rise buildings and group society kind of residential complexes, right?

Until an analyst that comes in, your spoke won't play out because the spokes generally bring in business that is more into pathology. And also tests that require fasting. Until housing develops in that particular area, probably, going and putting in a spoke is not going to play out as expected. Even though when we see that happening, we would not back out.

It's not about the bandwidth. All of these geographies that we have mentioned has a different team working on them. It's not just a Hyderabad-based team. So we have a separate team that's sitting in Kolkata, overlooking the Kolkata expansion. Likewise, in Pune. So it's not about that. It's just about these Tier 2 places playing out and that residential, what the visibility that you

Vijaya Diagnostic Centre Limited

November 07, 2024

Page 12 of 17

would see in a metro city coming up there is what we're waiting for. We see that coming. You will see a spoke getting added there immediately.

Siva Rama Raju : And just to add, Rishi, and also these centers are not yet mature. Like, for example, if you take Karnoor right? We have 1 hub with 5 spokes in that geography. Right? So Rajahmundry and Tirupati are still growing. These centers have not yet hit that maturity. So maybe I think 1, 2 years down the line is when you will start seeing spokes coming in these geographies.

Rishi Mody : Okay. Got it. Last, I just wanted to understand now we are entering -- we are focusing on 4 new geographies outside of AP Telangana. We've got Pune, we got Kolkata and now we're entering Bangalore and maybe even increasing our interest in Gurgaon. So just wanted to understand, like, firstly, you did mention for store openings, you have the bandwidth. But in terms of operational bandwidth, do we have that? Or are we going to rely on external talent?

Suprita Reddy : The more execution in our B2C business. The more the number of executors, the better the experience. So if you ask me, probably your mid-level to the senior level is what basically empowers us to do that. So that is a level that we've invested in the last 2 to 3 years. You would have seen if we had 4 or 5 cluster managers would have become 14 to 15 cluster managers, multiple AD P operations, multiple GMs.

So those roles are increasing. Probably, we just don't worry them out, but those are the ones who actually make sure the operations run at what we would want to on ground zero. And that's the reason why the confidence that we'll be able to do that both in Pune and Kolkata because that's the size of the team that we're investing in, training in. And those are the ones who actually run the show in those geographies.

So I don't think -- I don't look at that as a challenge. But yes, finding the right set of people like you know and like everyone else knows, it's a challenge today. And when we see that opportunity, we do not let it go by. Gurgaon, we absolutely have no interest in expanding. Like

I've mentioned to you, it's an old center, the only center in the network which did not have high - end imaging. A lot of time, the teams also said , why the step motherly treatment. And that's the only reason why we said let's actually it's been quite some time. Give it a revamp, make it look better, invest in some technolo

gy and make it probably to a level of what we would call a Vijaya Diagnostic down south in Gurgaon too. So that's not something that we should be looking at as interest of growth. But definitely, yes, Bangalore, Pune and Kolkata is what we're investing in.

Rishi Mody : All right. Okay. That's helpful.

Narasimha Raju: Thanks, Rishi.

Moderator: The next question is from the line of Dheeraj , an Individual Investor.

Dheeraj: Yes. Actually, I wanted to know the how much is the percentage of outsourced diagnostics you are giving to others?

Vijaya Diagnostic Centre Limited

November 07, 202 4

Page 13 of 17

Siva Rama Raju: I think it will be less than 0.5% of our total.

Suprita Reddy : 0.3% also, maybe.

Dheeraj: Okay. And what is the major steps are you taking to reduce the consumption percentage?

Suprita Reddy : Which consumption leverage?

Dheeraj: Consumption margin, gross margin. Consumption cost.

Narasimha Raju: So Dheeraj , the currently, the gross margins of the company are at 87% to 88%, which are already the industry -leading margins, okay, for us as compared to any other peer group. A couple of reasons why we are able to enjoy these industry -leading gross margins in the ra nge of 87% to 88%, one is the dominant share of revenue coming from B2C segment, whe re we're enjoying the full MRP.

And the second thing is we're having the integrated diagnostic facilities across our network. And also, our cost structure is also efficient. Okay? Since we are a market leader, we are able to unload the better reagent materials pricing, better pricing on the filing for the radiology, et cetera. So we are enjoying these industry -leading margins. So going forward as well, it will be in the range of 87% to 88% gross margin.

Dheeraj: And more that I want to know is a percentage of B2C and B2B business which we are getting.

Suprita Reddy : 95% to 96% will be B2C, and probably 3% to 4% will be B2B. We are a B2C driven company.

Dheeraj: It's a very good number. And 1 more thing, when are you starting the business in Niza mabad?

Suprita Reddy: Tomorrow morning.

Dheeraj: Yes. And what will what is the capex cost has been incurred in Nizamabad to open?

Suprita Reddy : I'll let Raja answer that.

Narasimha Raju: So approximately INR14 to INR15 crore s there. I don't have the exact number, but it is in this range. Because we are going to invest in good technology, the high -end 3T MRI we're investing. And also high -end CT scan machine, we're investing. And also all the basic radiology modalities will be there. And with a very good infrastructure built on almost close to 8,000 to 9,000 square feet facility.

Dheeraj: How much is the bank borrowing of it?

Narasimha Raju: We don't have any bank borrowings. As of now, we're a debt -free company. And the surplus cash balance is approximately INR225 crores.

Dheeraj: Thank you.

Moderator: The next question is from the line of Pranav Chawla from Antique Stockbroking.

Vijaya Diagnostic Centre Limited

November 07, 202 4

Page 14 of 17

Pranav Chawla : Congratulations on the great set of results. So I was just going through your presentation. Can you just elaborate why Kolkata has been so lumpy for us? If I see the revenue in the previous quarter, overall INR6 crores. Now it has fallen down to almost INR5 crores. So any particular reason? On a sequential basis.

Siva Rama Raju: Yes, yes. So basically, I think every 1 of us are aware, right? So we had some unfortunate events in Kolkata in Q2. Because of that, there were multiple strikes. And even because of this Bangladesh issue, for some time, that market has suffered. So that's the only reason why almost for 20, 25 days, the business got hit in this market. Otherwise, specifically, if you see the VIP road center, it's still growing. We had a very good October, and even the current November month run rate is pickin g up well.

Pranav Chawla : Corre

ct. So does this impact our future plans for Kolkata in the near term? If I'm not mistaken, we have 1 more hub coming up in the fourth quarter.

Siva Rama Raju: No, nothing. So I think these are all more of temporary issues. So in fact, we have signed more leases in Kolkata. You only see the center addition happening in the next 1, 2 years, more centers coming in next stronger.

Pranav Chawla : And sir, any update on Medinova integration? Are we reaping benefits of this in this quarter or they are yet to come?

Narasimha Raju: The formal major process approvals are pending as of now. Okay? We have received a few points from the stock exchange because both are listed companies, right? So, we need to get the clearance from the stock exchanges and SEBI first, which is supposed to be received last month, but there is some delay from the authority side. So once we get those approvals, then petition will be moved to the NCLT. Then from there, the process will take at least like 5 to 6 months, okay? Because there will be shareholders' approval, et cetera. So we expect the whole process might get completed sometime around like May or June month.

Pranav Chawla : Okay. And 1 last question, if you may allow. Is primarily what is driving our Hyderabad market growth? Because I think we for the past couple of years, we haven't been able to grow at this 18 - odd-percent rate. Suddenly, we are at 18%, 20% growth rate for this market. Any particular reason for it?

Siva Rama Raju: So, I think even in the past years, we are growing in double digit. And like we said in the earlier call, we have added a very good capacity from FY '19 to '23, until '23. And in between because of COVID, these centers took time to ramp up. Apart from that, the best part here for us is that both the existing and the new centers are performing, right? Like we said, it's a B2C brand. We are seeing the direct walk-ins growing. I think it's because of the capacity and the dense network that we have. We are able to see this kind of a growth. But otherwise, even in the past years, we were growing at, say, 12% to 14%.

Pranav Chawla : And what would be our market share in Hyderabad?

Siva Rama Raju: So this market size is slightly tricky. If we have to get the exact numbers because different companies giving different numbers. But understanding the market, what we guess is that we'll

Vijaya Diagnostic Centre Limited

November 07, 2024

Page 15 of 17

be less than, say, 20% of the diagnostic market. That, again, I guess, based on multiple factors that we know in the market. But to be very frank, we don't have the exact numbers.

Pranav Chawla : And what is the contribution of flagship centers?

Narasimha Raju: So flagship generates roughly around INR60 crores, so INR5 crores per month. Right? I think at the current run rate, I think at the time of IPO, it was roughly around 15% was the contribution.

Today, I think it's about 10% of our monthly less than 10% of our monthly revenue.

Pranav Chawla : Okay. Thank you so much, sir.

Moderator: The next question is from the line of Deven from Marcellus Investment Managers .

Deven: Yes. Raju, what's the impact on EBITDA and PBT for Q2?

Narasimha Raju: The EBITDA, at the PAT level, it's approximately INR1.6 crores from this current quarter, which is like 0.9%. The PAT margins would have been higher by 0.9%. In the current quarter, we reported 23%. Had we followed Indian GAAP, it would have become 23.90%. In absolute number, it's approximately INR1.6 crores for the current quarter.

Deven: Okay. Got it. And secondly, sir, in your opening remarks, you mentioned that you've transitioned to some AI power pack for your entire network. So can you elaborate a bit more on this? What exactly is this and what sort of benefits should we expect on this ?

Suprita Reddy : Like we said, we have a large team of more than 200 to 250 radiologists who work across all these centers

rs. So the thing is when we have a large team, their expertise and their interest defer into different modalities. And what this AI pack basically does, it connects all of our doctors plus also our science cases, depending on the skill set of these doctors, which creates a more specialized expertise report.

Even to the customers, beneficial because if we have a pediatric radiologist. Then what will happen is all the pediatric radiology cases get assigned to these pediatric radiologists. Like a cardiac case will only get assigned to a radiologist who is subspecialized in cardiology. Two things happen. One is we'll be able to churn out a report much faster. And this will be of the highest quality because you are actually investing in a doctor who's specialized in that submodality reporting this case.

And this entire system is based on a web-based platform. It has AI capabilities. So it basically lets the doctor know whatever information he needs to know before, and it's a first come, first serve-based software. So the TAT is monitored automatically instead of us intervening manually to do that. It's basically to enhance the entire customer experience and keep the reporting at the highest quality possible.

Deven: Because the throughput for radiologist will increase because of it.

Suprita Reddy : It will also increase, and we'll also make sure that there is no attrition in the radiology base because they tend to do various cases and also what they enjoy at the same time.
Vijaya Diagnostic Centre Limited
November 07, 2024

Page 16 of 17

Deven: And if throughput increases, do we also then see some benefit in professional fees that we pay to radiologists?

Suprita Reddy : So we have different models of our professionals working with us. We have people who come in for a few ads versus data, a few people who come in on target models. So it completely depends on various models, whether a consultant wants to come in.

Siva Rama Raju: And many of these doctors who and who were the throughput is high, generally, they're on incentive model. So basically, the more scans they report, the more they earn. So I don't think it will get any benefit on professional fee front. It's more on...

Suprita Reddy : The productivity front and the experience front and probably the professional satisfaction for the consultant himself.

Moderator: The next question is from the line of Anshul from Emkay Global.

Anshul: If you could just, I think it'll be a various composition to guide us about how many center how many hubs can be commissioned in Pune and Kolkata in H2 '25?

Siva Rama Raju: So Anshul, I think in this year, we have already opened 2 hubs, right. Rather than naming the region because these depends on multiple things, right? The landlords giving us on time, all the work happening on time, all that. So, we would say we'll open at about 6 at least 6 hubs in this year. We already we have opened 2 hubs, right? And we have upgraded 1 more hub in Gurgaon, right? Other than this, you'll see another 3 to 4 hubs across it can be any region, across these regions coming up in this year. Or maybe early Q1 FY '26.

Anshul: Okay. So in total, about 4 or more hubs until probably Q1 '26, wouldn't that be correct?

Siva Rama Raju: Yes, correct.

Anshul: Great. And our guidance of breaking even in these hubs outside our core geography of about 3 to 4 quarters remains the same?

Siva Rama Raju: Yes, 3 to 4 quarters, yes.

Anshul: And if I heard ma'am, correct, in your opening remarks, you said on goal, have we break even within 2 to 3 quarters itself?

Siva Rama Raju: Yes, we'll be able to break even within 2 to 3 quarters. Less than 2 to 3 quarters.

Moderator: The next question is from the line of Dheeraj , an Individual Investor.

Dheeraj: Sorry to ask you 1 more question. Whether are you planning to split the shares in the future? Are you planning to issue bonus shares?

Na

rasimha Raju: Currently, there are no such plans. But if anything relating to the share capital reorganization, it will be with the Board of Directors. Currently, there are no such plans.

Vijaya Diagnostic Centre Limited
November 07, 2024

Page 17 of 17

Moderator: The next question is from the line of Bhavesh Ghandi from YES Securities.

Bhavesh Gandhi : One question from my side on the Bangalore plan. So you mentioned that there are 2 to 5 kind of chains, integrated chains operating in Bangalore and for a new concept to the city. So, and you have also mentioned about being organic. So any thought why an inorganic would not have made sense? I mean, what were the reasons that you found since you've been observing the market for 2 years?

Siva Rama Raju: So, Bhavesh, we have evaluated both the options. And then we found organic route will create a better will work better for us, both in terms of financials and also rather than taking somebody with a 3 to 4 centers who are operating in micro market. We want to open more centers across the city with the brand new centers. And then that will also make financial ...

Suprita Reddy : It's not that we did not look at the inorganic route. Just the way that we looked at Pune, we also invested a lot of time into looking at a lot of opportunities that came away in the entire Southern region. But there are a few things that like we always tell you in an inorganic opportunity, we look at probably the mindset, the wavelength, the compatibility between both the businesses running, whether it's a B2C business or a B2B business over the only radiology focused centers where probably their government work was more. A lot of reasons that probably we did not think added value. And that is the reason why we did not take that route.

And the second one was pricing, which we always have to keep make sure that the investors' money is also looked at when we go, and we try to invest into an opportunity where it does not make sense to us. And when we invested about 2 years of our time and looked at the market in multiple opportunities like this, that we had more than enough knowledge to go the organic route

and there's no hurry.

We will take a time out, but we'll probably build it out organically. That's the only reason. There's no other reason. Even now, if there's something that comes up our way which interest us in that particular region, we will definitely look at it. We will not say that we are going the organic route, so we're not going to take that. But I think the priority here is whether both the businesses will work seamlessly together.

Bhavesh Gandhi : Got it. That's it from my side.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

Suprita Reddy : So I thank everyone for joining this call today. For any information or clarifications, we would love to answer you. You can get in touch with us. Thank you, everyone.

Moderator: On behalf of YES Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 17, 2025

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on February 12, 2025

We are enclosing herewith the Transcript of the Earnings Conference Call organized on February 12, 2025, post declaration of the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31, 2024.

Please take the information on your record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: as above

To,
The Listing Department
National Stock Exchange of India Limited ,
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
NSE Symbol : VIJAYA To,
The Corporate Relations Department
BSE Limited ,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street
Mumbai - 400 001
BSE Scrip code : 543350
Page 1 of 17

"Vijaya Diagnostic Centre Limited
Q3 FY25 Earnings Conference Call "
February 12, 2025

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VIJAYA DIAGNOSTIC
CENTRE LIMITED
MR. NARASIMHA RAJU – CHIEF FINANCIAL OFFICER –
VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. SIVARAMARAJU VEGESNA – VICE PRESIDENT
OPERATIONS – VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. DHIREN GALA – ASSISTANT GENERAL MANAGER
– INVESTOR RELATIONS – VIJAYA DIAGNOSTIC
CENTRE LIMITED

MODERATOR : MR. RAGHAV VEDANARAYANAN – JM FINANCIAL

Vijaya Diagnostic Centre Limited
February 12 , 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '25 Earnings Conference Call of Vijaya Diagnostic Centre Limited hosted by JM financial. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghav Vedanarayanan from JM financial. Thank you and over to you sir.

Raghav Vedanarayanan : Thank you, Darwin. Good evening, everyone. I Raghav Vedanarayanan on behalf of JM Financial, welcome you all to the Q3 FY '25 Earnings Conference call of the Vijaya Diagnostic Centre. At the outset, I'd like to thank the management of Vijaya for giving us this opportunity to host the call. I'm looking forward to having an insightful interaction on the quarterly earnings and the outlook here onwards.

Today for the company, we have Ms. Suprita Reddy , Managing Director and CEO; Mr. Narasimha Raju , Chief Financial Officer; Mr. Sivaramaraju Vegesna, Vice President Operations; and Mr. Dhiren Gala, Assistant General Manager, Investor relations.

I now hand over the call to the management for their opening remarks. Over to you.

Suprita Reddy: Thank you, Raghav for hosting the call. Good evening, and a very warm welcome to everyone.

I will begin by sharing the key highlights for the period, after which we will take you through the operational and the financial highlights for the quarter ended 31st December, 2024.

I am pleased to begin my address on a positive note, highlighting that we have delivered an impressive growth, achieving a remarkable 27% year-on-year revenue growth, out of which 20% is driven organically through volumes across both the radiology and the pathology segments.

This accomplishment is a result of the strong performance of our new centers, as well as the dense network that we have built successfully over the years in our core geography.

Our Tirupati Centre, a 2-year-old hub centre in our core geography of Andhra has been performing exceptionally well since its inception. Building on its success, we have recently installed and upgraded this facility with a PET-CT machine in response to the growing healthcare infrastructure and enhanced oncology treatment capabilities in this region. We anticipate that the demand will gradually increase over time, supported by the catchment area of neighboring districts.

Vijaya Diagnostic Centre Limited
February 12 , 2025

Page 3 of 17

I'm also delighted to announce the launch of our first spoke center in Pune at Pimple Saudagar, under the Vijaya PH brand name, following the acquisition of PH Diagnostics. Looking ahead, I'm excited to announce that we will be commissioning 6 new hubs across Pune, West Bengal and Bengaluru over the next 3 months. This will bring our total hub addition to 9 over the 12-month period, marking a significant milestone in Vijaya's history.

To be precise, we will be launching two hubs in each of Pune, Bengaluru and West Bengal region. Additionally, we have also finalized three more leases for hubs in West Bengal, which will be set up in the next 3 to 6 months to come. To drive the next phase of growth, we have strengthened our leadership team by promoting both internal talent and also making key lateral hires.

Since talent is the k

ey to our success, we will continue to expand the team by bringing in both strategic resources in information technology as well as other key business and support functions, to further enhance our capability. As you all are aware, in the past 2 years, we have made significant investments in IT to improve customer experience and engagement, as well as to boost business efficiency.

I'm happy to share that these systems are now stable, and we plan to continue investing in additional technologies and also the CRM in the near future to further enhance our experience

and operational efficiencies. In conclusion, I would like to highlight that with a combination of strategic hires and a very focused expansion strategy, we are very confident in our ability to replicate the success of building a dense network beyond our core geography, positioning us to capitalize on the growing demand in the diagnostic sector.

With this, I'd like to hand over to Raju, to take you through the operational and the financial highlights.

Narasimha Raju: Thank you, Madam. Good evening, and a warm welcome to everyone. I'll quickly take you through the financial performance and key developments for the current quarter and 9-month ended December 31, 2024. The consolidated revenue for the current quarter stood at INR 169 crores, reflecting a strong revenue growth rate of 27% year-on-year. And this strong revenue growth, just like the previous quarter was driven by test volume growth of 27% year-on-year. Our patient footfall also grew by 19% year-on-year.

I am delighted to inform that the year-on-year organic business, excluding PH Pune, grew at an impressive 20% year-on-year growth rate with entire such growth attributed to the test volume growth of 20% year-on-year. Coming to PH Pune's performance for the current quarter, the revenue stood at INR 11 crores, which is broadly in line with our expectations of annual run rate of around INR 47 crores.

Coming to the geography-wise revenue contribution, Hyderabad contributed 72%, rest of AP & Telangana contributed 18% and Pune contributed 6%. Like the previous quarter, the revenue growth has been driven by both radiology and pathology segments, reflecting the robustness of our B2C focused integrated business model. The B2C revenue stood healthy at 93%. Our Vijaya Diagnostic Centre Limited

February 12, 2025

Page 4 of 17

radiology business stood at 37%. The revenue per test was INR 460 and the revenue per patient footfall was INR 1,616 during this current quarter.

EBITDA for the current quarter stood at INR 67 crores as compared to INR 52 crores in the corresponding quarter in the previous year, reflecting a year-on-year growth rate of 28%, in line with the revenue growth. Excluding PH Pune, the EBITDA year-on-year grew by 22%, again, slightly higher than the revenue growth. The EBITDA margin stood healthy at 39.7% in the current quarter with an improvement of 30 basis points year-on-year. The profit after tax for the current quarter stood at INR 35 crores, reflecting a growth of 36% and PAT margin also stood healthy at 21%.

I will now summarize our performance for the 9-month period ended December 31, 2024. The consolidated revenue for the current 9-month period stood at INR 508 crores as against INR 393 crores in the corresponding previous year, reflecting a year-on-year growth rate of 29%, with 21% growth being organic contribution. EBITDA stood at INR 204 crores as against INR 158 crores in 9 months of last year, registering a year-on-year growth of 30%. EBITDA margin stood healthy at 40.2%, and profit after tax, PAT was INR 108 crores with a margin of 21%.

Coming to the update on the capital investments, three hub centers have already been commissioned in the 9-month period ended December 2024. Now the company is on track of commissioning 9 more new hub centers in the next 6 months. Hence, we foresee a slight impact

act

on the existing EBITDA margins in the near term. However, this is expected to normalize once the business ramps up across these new hub centers.

To conclude, I would like to state that we continue to hold our position as the largest B2C integrated diagnostic chain with strong brand recall and comprehensive portfolio supported by healthy balance sheet, industry leading margins and impressive return ratios. That's all from my side. I would now request the moderator to open the line for the Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We have the first question from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta: Sir, can you give a breakup of the overall center count, now that it has increased by two like sequentially, two more centers have been added. Can you give a breakup, how many are in Hyderabad and rest of AP Telangana?

Sivaramaraju: So overall in the network, we have about 149 centers, Sumit. About 127 centers are in Telangana and AP, and the rest of the centers, basically 18 centers in Pune, and we have 2 in Kolkata and 1 in Karnataka and 1 in NCR.

Sumit Gupta: And sir, regarding this so Gulbarga will breakeven, right, in this quarter?

Dhiren Gala: Yes. Gulbarga has achieved breakeven in this quarter.

Sumit Gupta: And Ongole, can we expect that to break even this quarter or next quarter?

Vijaya Diagnostic Centre Limited

February 12, 2025

Page 5 of 17

Sivaramaraju : Yes, Ongole in the next 2 months, Sumit. It's been 6 months now. In the next 2 months, it's almost closer to breakeven. So in the next 2 months, we expect Ongole to breakeven.

Sumit Gupta: And sir, the overall, like the volume growth have been really good. So going forward also over the next 2 to 3 years as you expand, can we expect more volume growth? Or can we or should we expect it to remain at the same level?

Sivaramaraju : So, like we always said, Sumit, see, the value growth will be about close to 1.5% to 2%, the rest of the growth would be coming from volume.

Sumit Gupta: So the magnitude of volume growth, shall we expect this to remain at the current levels, test volume growth? Or should we expect it to increase?

Sivaramaraju : Sumit, the guidance from the company is that we intend to grow at a 15% year -on-year, right, out of which you can expect about close to 13% volume growth and rest the value growth.

Sumit Gupta: Okay sir. Thank you.

Moderator: Thank you. We have the next question from the line of Anshul Agrawal from Emkay. Please go ahead.

Anshul Agrawal: So just as a clarification, so we have only in terms of our guidance of hub additions, we have only added Bangalore to the number. So we were initially planning to add 12 hubs in '25, '26. Now we plan to add 14, which is an inclusion of Bangalore. Would that be correct?

Narasimha Raju: No, Anshul. The guidance was to add 12 hub centers across these two financial years across multiple geographies. So this 12 includes 2 from Bangalore.

Anshul Agrawal: Correct. So 3 we have already added, 9 we are adding, 11 is what we'll be adding in entirety of FY '26. I'm just trying to understand that?

Narasimha Raju: Just let me clarify, Anshul, 3 we have already added in the current 9 -month period; 6 more hub centers will be added in the next 3 months. Out of these 6, 2 will come in Pune, 2 will come in Bangalore, 2 in Kolkata. After this, three more will come in Kolkata, which will take 6 months from today.

Anshul Agrawal: Okay. There's another two addition in rest of AP and Telangana ?

Narasimha Raju: Yes. So those two , the leases are under finalization in AP and Telangana, okay? Once the lease execution is completed, then we'll start the work civil works on

Suprita Reddy: Two quarters, after two quarters, Anshul.

Sivaramaraju : Most probably that will come in FY '26 itself, but maybe in Q3 of FY '26.

Anshul A

gawal: So basically, 14 hubs in all in FY '25 and '26 basically, that's all I'm trying to understand ?

Narasimha Raju: Yes, correct.

Vijaya Diagnostic Centre Limited

February 12 , 202 5

Page 6 of 17

Anshul Agrawal: Great. Second question that I had was basically, how are we executing so fast in the Bangalore region, is what I wanted to understand. I believe in Pune, we had an inorganic we had an acquisition and then we took almost 10, 11 months to start up the first spoke. But in Bangalore, we are planning to add two hubs within 6 months. So is it because we understand the region better? Is the market more lucrative? I just wanted to get your sense around this ?

Sivaramaraju : So Anshul, like we always said two things that are key to this business, are people and the right location when we start with hub, and we need the right location because we are a B2C brand. So in Bangalore, we are lucky that we could find the right locations faster. And with whatever experience that we have got from Kolkata and Pune, right, executing the projects, sometimes it will take time because you have to find new vendors where you'll have to undergo the entire procedure of negotiations, etc. With this experience, we work parallelly when we are looking at locations in Bangalore. This helped us basically executing both the sites faster.

Anshul Agrawal: And would these locations be near to corporate hospital chains or how is the location?

Suprita Reddy: No, Anshul. Like we mentioned earlier, we always look at dense residential net, probably a society, affordability, more of medical colleges rather than corporate hospitals. See, we are into diagnostics, OPD facilities where most of our tests have to be done in morning with fasting. So we would rather be closer to a place where our customer lives rather than where a customer goes to, to probably, go back for a check up.

So all of our locations in all of these geographies, the base would be more of a residential society in an area, a dense residential network growing around. It is what drives us to finalize on a location.

Anshul Agrawal: Our target for breakeven in this geography would be similar to Kolkata within four quarters?

Suprita Reddy: I would say four to be a little more conservative, since it's a new geography. And like I've mentioned earlier, we're building a team and also elevating people within the team. So, I'm just giving it a little bit of time to get comfortable and grow, not that I think similar to Kolkata would be a good stand to take on this, immediately at the moment, since we haven't opened the center in Bangalore.

Anshul Agrawal: Perfect. Just one last question, if I can squeeze in. Raju sir, does this materially alter our capex plans for the next 1, 1.5 years, apart from the 2 hub additions that we are planning, the PET -CT machine that we have onboarded in Tirupat hi, how does our capex plan look like for the next year?

Narasimha Raju: So the capex plan will not change materially, Anshul. As we guided earlier, for 12 hub centers, we budgeted INR 200 crore s capex, and we estimate that within INR 200 crores , we'll be able to complete these 12 hub centers. And also, we have successfully squeezed in even the Kurnool renovation also, okay, within this INR 200 crore s capex budget.

And for a better capital allocation strategy, we have negotiated for a pay -per-use model for the PET-CT that we have installed in Tirupat hi. So that will not come under the capex allocation in the PET -CT. So, we are able to commission these 12 hubs, including Kurnool renovation within

Vijaya Diagnostic Centre Limited

February 12 , 202 5

Page 7 of 17

the INR 200 crores capex. And the additional two leases that we are talking about in AP, Telangana, that will be in addition to this INR 200 crores.

Sivaramaraju: And just to add, Anshul, Kurnool is renovation plus addition of extra MRI, so it's both wit

hin

the INR 200 crores.

Anshul Agrawal: Got it. Many thanks.

Moderator: Thank you. The next question is from the line of Raghav Vedanarayanan from JM Financial.

Please go ahead.

Raghav Vedanarayanan : Two quick questions from my side. One is a broader strategy question on how we decide which markets to enter, like once we select a geography, say, the South, how do we decide in South, which places do we target?

Sivaramaraju: So Raghav, it's

Suprita Reddy: Raghav, it was not probably choosing of a geography down south. The core geography was always one state, AP, which got separated. So we typically call it core geographies and 2 states.

And that's been where we've learned our experience of growing and build ing up the company.

So it's something like we've mentioned earlier, we were looking at inorganic growth in certain geographies. And we spent a lot of time, effort on understanding Bengaluru when it came to that inorganic, but we, I think, fi nalized on going ahead with PH in Pune.

So because of the deep understanding of Bengaluru market and close proximity to Hyderabad, we chose to build out another geography with the addition of the team. And we thought we were ready to take on one more geography, but grow it gradually organically rather than take it the inorganic way. That is the reason why Bengaluru happened.

Otherwise, it's AP and Telangana down south, and we do not typically look at the other states as of core interest as of the moment, which are probably Tamil Nadu or Ker ala, those are not of our interest at t he moment. Our areas of interest at this moment are east because of West Bengal, Pune since we acquired PH, Bangalore because of close proximity to Hyderabad and our core geographies.

Raghav Vedanarayanan: So you had completed saying the strategy of how you all prefer organic and more towards closer to South and then third was sir had started.

Sivaramaraju: Okay. So Raghav, what I was saying is, if you see Bangalore it's a huge health care market.

Almost all the large hospital chains in India are present in Bangalore, right? But coming to diagnostics, there is a lot of integrated play, but you have semi -branded chains with 3 to 4 centers each with about INR 50 crores to INR 60 crores of revenue. So there's a lot of demand, but you don't have a single large player. That is where we see the opportunity.

Raghav Vedanarayanan : So, to this, do we see incremental competition in maybe in our core markets or in the new markets from, say, larger hospital chains that do provide both radio and patho services?

Vijaya Diagnostic Centre Limited

February 12 , 202 5

Page 8 of 17

Sivaramaraju: No, Raghav. That's never the case. Generally, we don't directly compete with hospitals because for a hospital, it's more for capital consumption. You, in fact, for multiple reasons, see patients coming out from a hospital for their OP diagnostics for multiple reasons. And the market is not just about the corporate large hospitals. You have boutique hospitals, smaller ones without high - end medical eq uipment and then you have a lot of doctor clinics who cannot invest in this kind of technology. So there's a huge market for that.

Raghav Vedanarayanan : Next question is do we see any impact on the USD/ INR depreciation now or going ahead?

Narasimha Raju: Yes, Raghav, we have been monitoring this USD/INR. Unfortunately, the rupee has depreciated to almost close to like INR 87.5. And there can be two impacts, Raghav. One is we procure our

reagents and the kits, from reputed vendors like Siemens, Beckman Coulter. Of course, they import it and then they supply it from the Indian arms. Even though our billing is INR, but indirectly, we are exposed to the exchange risks. So even though we have long-term contracts with them, there is a chance that few of the vendors might come to us and then ask for a negotiation, considering the USD/ INR going to INR 8

7.5. But

even if it happens, we'll do a negotiation and then the impact, if any, on the material consumption might be somewhere like 0.2% to 0.3% on material consumption that is on one side.

The second impact can be on the procurement of the radiology equipment, such as MRI and CT. So, there is a chance that these equipment suppliers might come back and ask for a revision in the price considering this USD/ INR going to INR 87.5. But we'll have to wait and watch. I cannot comment any impact on the capex as of now because I hope rupee should appreciate soon.

So, the conclusion is the impact, if anything if it comes on the P&L due to reagents consumption, it can be in the range of like 0.2 % to 0.4 % because in overall pie your metal consumption for our company ranges between 12% to 13% on an average, 12.5%. Even if you consider a 5% increase, it will come to like a 0.3% impact on the EBITDA side.

Raghav Vedanarayanan: Understood. Thank you so much.

Moderator: Thank you. We have the next question from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta: So USD/ INR depreciation has been answered. So I just wanted to ask what was the PH EBITDA margin for the quarter? Was it nearly 40%, the trajectory?

Narasimha Raju: So the YTD 9-month period margin was approximately 39%, Sumit. For the current quarter, it was 36% because of two reasons. One is because of the seasonal impact, the current quarter revenue was INR 11 crores compared to INR 12 crores in the Q2, that is one. And there was a one-off expenditure also was there amounting to INR 12 lakh to INR 13 lakh. Because of these couple of reasons, the Q3 margins were 36%, but the YTD 9-month period margin was 39%.

Sumit Gupta: And going forward, do you see it increasing? Like how is the trajectory over like over the since the acquisition been how do you see it panning out over the next 3 to 4 years?

Vijaya Diagnostic Centre Limited

February 12, 2025

Page 9 of 17

Sivaramaraju: So, Sumit, on the PH base business, if you see, we are more or less at the 38% to 39% EBITDA margin. But since now the expansion is going to happen in the Pune region, and we are going to come up with larger hubs and the base revenue is only INR 45 crores to INR 47 crores with an EBITDA of 40% is close to, say, INR 20 crores EBITDA at a year level, right? You may see some margin drop because of these new centers. But otherwise, on the base business, post-acquisition, it is in the range of 38% to 40%.

Sumit Gupta: So, like when you're expanding so I want to understand more on the PH business point of view only. How do you see like over the volume growth, what is the kind of growth that you expect in PH business?

Sivaramaraju: So, on the base that we have, you may not see much growth because these are all mature centers, right?

Suprita Reddy: The capacity issue, like we've mentioned earlier, Sumit, these are old centers in terms of infrastructure. They cannot have additional people waiting. Technology is about 8 to 10 years old. So until and until new centers are added, new additional large centers are added, you will not see an additional growth coming into PH.

Until these new centers stabilize and we build a team to probably create a dense network like our core geography, there will be a dip of 1% to 2% over the next few years, until this stabilizes and there's a network that's created in that region.

Sumit Gupta: Understood. Thank you for the answer.

Moderator: Thank you. The next question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: So, first, I wanted to understand, you mentioned that the Tirupathi hub, you all have put up a PET-CT, which is on a pay-per-use model. Now is this something which is new to the industry where these OEMs are offering a pay-per-use model or like and secondly, if it's something which has been started up, is

it available to every player, say, a new player who comes in or it's people

who have achieved a certain scale or something on those lines? If you just help me understand?

Narasimha Raju: So, Rishi, this pay-per-use model, if you ask me, is it the first time? No. It is there in the market, but it will not be offered to everyone. Because here, the supplier is taking a risk of deferred credit. So, for example, the equipment is INR 10 crores. Under this model, you'll keep paying it every month based on a minimum number of cases.

Say for example, like, 8 cases in the first year, they will agree like next year, like 10 cases, etc. So, it will not be offered to a small player. Vijaya being the market leader and we have a lot of business with these equipment suppliers, they could offer it at a very good in-built ROI rate. So, small players cannot get this. But to answer your question, it is there in the market, pay-per-use model.

And generally, it doesn't work well for the MRI and CT, Rishi. It works well for the PET-CT because the realization from the patient is close to like INR 17,000 to INR 18,000 from the Vijaya Diagnostic Centre Limited

February 12, 2025

Page 10 of 17

patient. And then, for PET-CT, generally, once you see that ramp-up within a period like 4 to 5 years, you see a good EBITDA margin, close to like 50% margins you enjoy from this machine.

So that's how this model is working out well.

Sivaramaraju: So basically, Rishi, for MRI and CT, even if you take pay-per-use indirectly, it will be like taking a loan from a bank. So they'll charge the interest to the equipment when they supply it on pay-per-use. And because we are cash-rich, we generally don't take on pay-per-use. Only in this case, PET-CT, even the equipment vendor was promoting digital PET. So we got it for a slightly lucrative price. So that is the reason we are trying out. But otherwise, we don't intend to take this model for other equipment.

Rishi Mody: Second, I wanted to understand, today, like if I look at your FY '25 costs, right, given that we've done decent double-digit SSG on your centers, normally, when we look at other, say, fixed cost businesses, largely fixed cost businesses, there's a decent operating leverage that comes through when you have such high SSGs, which has not been the case here for us. We've done like 30 bps, 40 bps for the full year in terms of EBITDA margin expansion.

So just wanted to understand, are there some costs which have been upfront here or is there something where our inefficiency and hence, going forward we'll be looking at improving the cost structures?

Narasimha Raju: So, Rishi, even in our cost structure, since there are fixed costs there. So there is an opportunity for the operating leverage, which played out even in this current quarter. If you see without PH, our revenues grew by 20% and EBITDA grew by 22%. So, the additional 2% increment in the EBITDA was due to the operating leverage.

And also, as you know, in this quarter, there is an impact of these 3 new hub additions is there. And also there is a 0.3% impact on account of the new GST design. So generally, we expect like 3% to 4% on account of operating leverage. But in the current quarter, you could see only 2% because of a couple of these reasons, like new hub centers coming in and also like a 0.3% on account of the new GST regulation, which came in the Q3.

Rishi Mody: What is this new GST regulation? If you could just give some information on that?

Narasimha Raju: So, Rishi, there was a new circular, on the GST front applicable from October 1, 2024, which says that if the company is taking a premises on lease, from an unregistered GST vendor, say, for example, for INR 1 lakh monthly rent you have taken. The other party is not liable under GST, even then company has to pay 18% and reverse charge mechanism to the government. So, even

though we pay them just INR 1 lakh, we'll have to pay INR 18,000 to the government under reverse charge mechanism, which becomes a cost to the company because we are not entitled for an input tax credit on the INR 18,000. So that becomes a cost in the P&L, which was approximately like 0.3% in the current quarter.

Rishi Mody: But going forward, whomever we have leased the property from I know a lot of it's from individuals, but are we going to get them to get a GST number and hence this 0.3% will go away in the future or this drag of 18% extra rental cost will remain going forward?

Vijaya Diagnostic Centre Limited

February 12, 2025

Page 11 of 17

Narasimha Raju: So, this drag of this 0.2% to 0.3% will continue, Rishi. But, on the overall rental expenditure, close to like 80% to 90% was already built in, in the GST because most of the property owners are under GST. That was already coming in the P&L. Only this 0.3% is only for a few property owners who are not under the GST bracket as of now. These are the small leases for a few spokes.

Sivaramaraju: And also, Rishi, in addition to that, if you see from the past 2 years, we're investing on technology, right? For example, we migrated our servers from physical to cloud. All this also will come up with additional recurring expenditure on a monthly basis. So whatever leverage that we were getting because of this growth is at least taking care of the additional expenditure of strengthening IT systems, strengthening the team, all this. So that's also one of the reasons

why you do not see operating leverage playing out on the EBITDA.

Rishi Mody: And any start-up costs for Bangalore or, say, Kolkata, Pune, which are sitting here in terms of team or marketing or whatever, which might get spread out as your network densifies. So basically, what is your expectation of margin expansion if your SSGs remain, say, 10%, 15% going forward into FY '26?

Sivaramaraju: So for at least 1 year till the time we launch Bangalore and expand our network in Pune and Kolkata, because we'll be spending on branding and the initial launch marketing activities. For 1 year, we should not expect any operating leverage playing out. Post 1 year is when because even by then we'll have this network stabilized in these geographies is when you'll start seeing the margins expanding.

Rishi Mody: Okay. All right. Got it. Thank you. That's it from my end.

Moderator: Thank you. The next question is from the line of Harish Bihani from Kotak AMC. Please go ahead.

Harish Bihani: Ma'am, my question is that in terms how should one think about business development in terms of hub addition over and above what we have already announced?

Suprita Reddy: Sorry, Harish. I didn't get your question at all.

Harish Bihani: I'm saying that in terms of hub addition that we have already announced, over and above that there will be some business development that you would be doing in terms of identifying the locations. How should we think about that in specific geographies, specific micro market that we are looking at?

Suprita Reddy: Like I mentioned, Harish, I think there's enough on the plate of Bengaluru getting added now. So additional locations there, your Kolkata market plus Pune market and adjacent geographies to these markets, is what we would be focusing on. Like we've mentioned, as we speak, there are another three, four leases getting signed in one of these geographies at any given point of time. We've still not looked at adjacent geographies for West Bengal or Pune also. So, we would be looking at that.

Vijaya Diagnostic Centre Limited

February 12, 2025

Page 12 of 17

So I think every quarter, I will be able to give you a better picture on how many more centers would come in because now we will also be looking at adding additional spokes in Pune once these three hubs, that we've just mentioned open up, which create

some capacity relieving that will happen in Pune itself.

Sivaramaraju: So, Harish, basically, in these geographies like Bangalore, Pune and

Suprita Reddy: Kolkata.

Sivaramaraju: Kolkata, we'll continue scouting allocation.

Suprita Reddy: It's not a onetime exercise, Harish. It's a daily probably see, we have multiple schemes even internally. Like if I look at our own core geography of Andhra and Telangana, we have suddenly an incentivization program that we run for our internal staff. Saying that, do you feel that there is a requirement of a spoke center in one of the areas that you guys come in from? When we get 20 locations, that's when we also go and look at those locations and see if it makes sense to open a spoke there.

So it's just not companies or brokerages that are looking for spaces. It's also our internal team members, customer feedback on a daily basis, call center gets not less than about 20 calls saying, why don't you open a spoke here? Why don't you open a hub here? These are various ways in which we actually finalize the location. So I think we will probably be zeroing in on the best possible location, and then that's also the reason why we don't let an opportunity go by.

Harish Bihani: But then you are not putting this cap on any particular number. You will be opportunistic

Suprita Reddy: Not at all, not at all.

Harish Bihani: You will be opportunistic in terms of location?

Suprita Reddy: Even though the CFO is sitting right here, and he would say we have a cap on the number of centers, if we look at opportunity from the operational side, we will. We will not we will say we will do an additional hub, put in additional efforts, open one more hub or 5 more spokes. But if it makes sense to us, we will. We will grow.

Harish Bihani: Makes sense. And by next quarter, in terms of spokes also, we'll get more clarity?

Suprita Reddy: Yes, absolutely.

Harish Bihani: And in terms of people

Sivaramaraju: The centres that we have put in the table on the presentation are just the ones which got finalized till now.

Suprita Reddy: Yes, something that's not signed off, we would not want to announce or let that's also the reason why we don't announce that number, but you will see an additional number of spokes coming in, in the next few quarters.

Vijaya Diagnostic Centre Limited

Harish Bihani: Makes sense. What I was trying to understand is that in terms of margins, it's do you think that it's good to sacrifice margins in the near term about 100 bps, 200 bps so that we can grow longer term?

Sivaramaraju: So, Harish, basically what we were saying is like so at a 3 years near -term 3 years . So the guidance is that you want to grow at 15% CAGR. But sometimes what may happen is if we find good more good locations, we may prepone the capex . You may see higher growth coming in faster. But the commitment from our side is that over a 3 -year period from now, we'll grow at 15% CAGR. So now we're closely at say, INR 680 crores. So, we are confident that we'll cross INR 1,000 crore s number in the next 3 years to come.

Harish Bihani: Sure, Siva. But in terms of margins, how should one think about from a medium term near -term and medium term?

Sivaramaraju: Margins only very near term, maybe one, two quarters when we are opening multiple hubs at once because the timing has come such that we are opening multiple hubs in two quarters.

Suprita Reddy: So Harish, I don't think there will be a large impact, maybe a 1% to 2% impact over the overall period when more of these hubs tend to open at the same time. Otherwise, we are confident of that 40%. But 1% to 2% of probably you will see a dip when two or three hubs simultaneously open in 2 or 3 geographies. A couple of quarters.

Harish Bihani: And ma'am, in terms of the home market, is there any data point that suggests that we have gained market s

hare? Is the market i tself growing in double digits o r is there some data point that can help us understand that we are gaining market share in the home market?

Sivaramaraju: So, we don't have any data point, but what we hear from the ground, if you basically s ee Andhra and Telangana. So we are growing at a faster pace than the other players. So if you see player number 2 to 10 when compared to other players, we are growing at a faster CAGR on this base. So what we feel is that year -on-year, we are gaining market share in our core geographies, but we don't have any number in hand.

Harish Bihani: And why it is happening and why are you sure that will continue?

Sivaramaraju: So basically, Harish, I think it is because of multiple things. One, the brand that we have created over years and the dense network. We are available across city, across multiple geographies. So once like for any brand, right, when it is present across mu ltiple geographies within one state, you get to be you tend to get stronger day -by-day.

And also, the kind of technologies we invest, no other player in this geography would be able to invest. So it is a mix of the talent, like the radiologists, et c, doctors, the brand that we created, the kind of technology we are introducing, it is and the trust that we have created because of all this. I think this is allowing us to get stronger year -on-year.

Harish Bihani: Sure. This is helpful. All the very best. Thanks.

Vijaya Diagnostic Centre Limited

February 12 , 202 5

Moderator: Thank you. Th e next question is from the line of Surya Narayan Patra from PhillipCapital. Please go ahead.

Surya Narayan Patra: Congrats for good set of numbers. My first question is on the pathology side. In fact, we have been growing almost in the similar rate like the radiology growth. But in terms of the profitability and all that, from that angle, what I was trying to understa nd is, is there a scope of improving the profitability of pathology business, let's say, by changing the mix of the test or something like t hat o r anything of that sort can be possible because the industry nowadays is also kind of moving towards very specialized targeted therapy -oriented test.

So here, what is our thought process and whether this kind of initiative can improve our profitability sometime down the line?

Sivaramaraju: So, nothing immediate on that front because basically, if you see since we are a B2C customer and generally, what happens is specialty testing is more on B2B front. On B2C front, if you see, right, 80% of the business in pathology is about routine and semi -specialized and very little of specialized. So because, as on date in India, if you want to do very high -end specialty work, so basically, you'll have to take it from hospitals via B2B route. So I don't think in the near term, this would hel p us any way in improving the margins.

Surya Narayan Patra: Just an added point to the margin aspect. See, we have seen a kind of very stable and strong gross margins for our business over the long period of time now. So is there any monitorable for gross margin improvement, any factor that can bring in incremental improvement to the gross margin?

Narasimha Raju: Surya, we have been consistently delivering the industry -leading gross margins in the range of

87% to 88% last 7 to 8 quarters. So it's a combination of how the pathology and the radiology segments are playing around. Like pathology is contributing close to like a 65% or 64% and radiology 35% or 36%. Generally, on the radiology front, material consumption is lower as compared to pathology.

In case, in the coming quarters because of opening more hubs, generally, what we are seeing is that, when we start a hub initially, the revenue contribution from radiology is generally higher in the initial couple of years, and slowly the pathology will take over. So in the period where

radiology contribution is more from the new hub center, there is a possibility of improvement in the gross margin. But I don't think it will be a material change. It might be like a 0.2% to 0.5% in the overall pipe might make a difference because of opening like 10 to 12 hubs in the overall 12-month period.

Surya Narayan Patra: And just last one point, sir. what is your now experience after the upgradation of the Gurgaon center? And can Delhi or NCR would be a kind of an area for spreading out of our business there?

Suprita Reddy: Yes, Surya. Like we've mentioned, Gurgaon was a center that we started a few years ago as a wellness center. And because of its continuous customers coming in from central government and other companies being in a dense residential network, we've only upgraded the facility to be Vijaya Diagnostic Centre Limited
February 12, 2025

Page 15 of 17

an integrated facility. Putting in an MRI into that center was not with a thought process of expanding into the NCR region or Gurgaon or New Delhi.

It was the only center in the entire network, which was a center which spanned over about 8,000 square feet with only ultrasound and wellness, and we wanted to make it integrated in nature, and it's doing reasonably well. And there is no absolute strategy around that in terms of growing in that particular geography. It is an old center. It's a mature center, and we've upgraded it to keep in pace with what we keep our centers in our core geographies. That's the only thing.

There's nothing more that we would be doing in the Gurgaon center.

Surya Narayan Patra: Sure. Yes. Thank you ma'am. Wish you all the best.

Moderator: Thank you. The next question is from the line of Abin Benny from Emkay Global. Please go ahead.

Abin Benny: So just wanted to understand that given the wellness segment has been robust with around 14% contribution to the top line, what would be the outlook for this segment for Q4, given that we would assume largely that people would be going for such packages in this quarter for the benefit team's and everything? If you could just highlight a bit on that?

Sivaramaraju: So basically, post COVID, what we are seeing is, right, the awareness has basically gone up, on the preventive packages. And also, we have a team, corporate marketing team who would approach corporates for their wellness. So because of these efforts, you're seeing the wellness growth.

But as such, we cannot guide exactly on the wellness because it's, again, preventive in nature.

But generally, what we have seen in the past is in Q4 was always wellness the wellness revenues slightly higher in Q4. So we expect the same thing to happen in this year as well. But we cannot guide you on any number.

Suprita Reddy: The wellness is doing exceptionally well this year because pre-COVID, it used to be around 8% to 9%, which has gradually grown over the years with customer, probably, awareness. You're doing about 12% to 14% on a base of our size is itself a very large number. And typically, you tend to look at the last quarter for tax exemptions and a lot of other schemes coming in from corporates.

But saying so that 13% to 14% itself is a very large base. So probably we would not be able to guide you exactly on a number. But even if we do that number, I think that would be an exceptional number to keep going for the next few quarters to come.

Abin Benny: Also, if you could just mention about what's the net cash position right now?

Suprita Reddy: One second, I'll let Raju get it you.

Narasimha Raju: It's approximately about INR 200 crores surplus cash treasury balance we are having, Benny.

Abin Benny: Okay, sir. Thank you very much.

Vijaya Diagnostic Centre Limited
February 12, 2025

Page 16 of 17

Moderator: Thank you. The next question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: So, m

a'am, in terms of the growth outlook, which we provided for the business from a 3 -year perspective, in terms of 13% volume growth and 2% realization growth leading to mid -teens overall revenue growth, do you think there is some sort of a conservatism built in those numbers given the fact that the number of hub additions now for us are significantly higher than what we used to do in the past? So if we look at FY '22 to '24, we added only seven new hubs. And now we are talking about potentially adding 12 new hubs over a period of 15 months. So with the kind of hub additions which we are seeing, would our growth be higher than mid -teens for what you are guiding?

Sivaramaraju: So, Rahul, basically, see, what we believe is in sustainable

Suprita Reddy: Rahul, we're setting hubs in the core geographies. And all of these hubs that we are talking about, like I've mentioned, 2 hubs each in Bengaluru, 2 in Pune, 2 in West Bengal. If you look at that, PH, of course, is an old brand built on trust, has a clientele, known company. But Bengaluru is an absolutely new state for us. And again, West Bengal, we've started off with Vijaya brand, one center VIP Road and then you're looking at 2 new.

So if you would say we are being a little conservative, yes. But the 7 hubs that you looked at and the growth is from the core geography versus 2 of new geographies, so we are guiding you accordingly. But does not mean that probably we will give you that 13 plus 2 is not what we're saying. We are guiding you on those numbers to make sure that we overachieve and probably do well. But these are different geographies and I would not have a base number to give you a firm commitment on. That's the only thing here.

Rahul Jeewani: And in terms of, let's say, scaling up in some of these new markets like Bangalore in the past when we added this new hub lab in Kolkata, we were able to achieve EBITDA breakeven within a 12-month period. So do you think that the EBITDA breakeven for some of these newer hub centers?

Suprita Reddy: Yes. I would say, yes, for both Bengaluru and the PH new centers is the 1 year is a good time period to consider.

Rahul Jeewani: And just one bookkeeping question from my end. Sir, can you talk about your pre -IndAS EBITDA margins as well for the 9 -month period?

Narasimha Raju: Yes. Rahul the pre -IndAS margins are close to 33.5% because the rent component is close to 6.5%. So currently, the IndAS margins are 40%. So pre -IndAS will be 33.5%. There's a positive impact on the PAT side as well. Currently, you have seen that the PAT margins are close to 21%, 20.9%. Even the PAT margins will be improved by at least like 1% if you consider the pre-IndAS. So instead of 21%, it will be 22% will be the profit margin if you consider pre-IndAS.

Vijaya Diagnostic Centre Limited

February 12 , 2025

Page 17 of 17

Rahul Jeewani: So 6.5% impact at an EBITDA level and 100 basis points positive impact will be there at the PAT level?

Narasimha Raju: Yes. That's correct.

Rahul Jeewani: Yes. Thank you sir. That's it from my side. Thanks sir.

Moderator: Thank you. Ladies and gentlemen, as we have no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Dhiren Gala : I would like to thank everyone for attending this call. Should you need any further clarifications or any other further information from the company, please feel free to reach out to us. Thank you.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

May 15, 2025

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on May 12, 2025

We are enclosing herewith the Transcript of the Earnings Conference Call organized on May 12, 2025 , post declaration of the Audited Financial Results of the Company for the fourth quarter and financial year ended March 31, 2025.

Please take the information on your record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: as above

The Listing Department
National Stock Exchange of India Limited ,
NSE Symbol: VIJAYA The Corporate Relations Department
BSE Limited ,
BSE Scrip code: 543350
Page 1 of 18

"Vijaya Diagnostic Centre Limited
Q4 FY '25 Earnings Conference Call "
May 12, 2025

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VIJAYA DIAGNOSTIC
CENTRE LIMITED
MR. SIVARAMARAJU VEGESNA – VICE PRESIDENT
OPERATIONS – VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. DHIREN GALA – ASSISTANT GENERAL MANAGER
– STRATEGY AND INVESTOR RELATIONS – VIJAYA
DIAGNOSTIC CENTRE LIMITED

MODERATOR : MR. AMEY CHALKE – JM FINANCIAL

Vijaya Diagnostic Centre Limited
May 12, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Vijaya Diagnostic Centre Limited Q4 FY '25 Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the

listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Amey Chalke. Thank you, and over to you, sir.

Amey Chalke: Thank you. Good evening, everyone. I, Amey Chalke, on behalf of JM Financial, welcome you all to the 4Q FY '25 Earnings Conference Call of Vijaya Diagnostics. At the outset, I thank the management of Vijaya for giving this opportunity to host the call.

I'm looking forward to have an insightful interaction on the quarterly earnings and the outlook here onwards. Today from the company, we have with us Ms. Suprita Reddy, Managing Director and CEO; Mr. Sivaramaraju, Vice President, Operations; and Mr. Dhiren Gala, Assistant General Manager, Strategy and Investor Relations. I now hand over the call to the management for their opening remarks. Over to you, ma'am.

Suprita Reddy: Thank you, Amey, for hosting the call. Good evening, everyone, and thank you for joining us today. I will begin my address with the updates on our expansion plan. I'm happy to announce the successful launch of 6 hubs in the last 2 months, 2 each in Pune, Bengaluru and West Bengal. Additionally, the execution of 3 more hubs in West Bengal is progressing as planned and expected to commence operations within the next 3 to 4 months. We have also finalized leases for 2 hubs in Tier 2 locations of AP and Telangana, which is scheduled to become operational in H2 FY '26.

With the recent launch of two very large state-of-the-art hub centers and 2 spokes in Pune, combined with our investment in cutting-edge technology, we are confident that this will enhance the visibility of the Vijaya PH brand in the Pune market. We are now well positioned to establish a distinct identity and gain strong traction in this region going forward.

We have ventured into Bengaluru market with the launch of operations at both our hub centers in April. Given the strong potential of the market, we're actively looking at a few more strategic locations for our hub expansion to strengthen our presence in this region.

In continuation to updates on the leadership team, we have recently onboarded a CTO who comes with 25-plus years of experience in leading technology-driven companies and his addition strengthens our capabilities and is likely to help fast track our IT initiatives. In addition, we have also made a few more mid- to senior level hires across business functions to support our parallel expansion into new geographies.

Now I quickly take you through the financial performance for the current quarter of the 12 months ended 31st of March 2025. The consolidated revenue for the current quarter stood at INR173 crores, reflecting a growth of 12% at a consol level and a 13% growth being driven organically, once again, majorly driven only by test volume.

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 3 of 18

EBITDA for the current quarter stood at INR69 crores as compared to INR63 crores in the corresponding quarter in the previous year. The EBITDA margins stood healthy at 39.8% in the current quarter. The profit after tax for the current quarter stood at INR35 crores with a margin of 20%.

Coming to the full year performance. The consolidated revenue stood at INR681 crores, reflecting an impressive year-on-year growth rate of 24% with a 19% growth being organic contribution. EBITDA stood at INR273 crores registering a year-on-year growth of 24%. EBITDA margin stood healthy at 40.1% and PAT was INR143 c

rores with a margin of 21%.

After a strong performance in FY '25, we had a promising start to the new financial year with a notable increase in both the footfall and revenues across our network.

Moving forward, our key areas of focus would be stabilization of the newly launched hubs and building strong brand equity in these new geographies, commissioning additional new hubs in West Bengal and core geographies, investments in technology and strengthening our talent pool across critical departments.

With that, I would like to conclude my address and request the moderator to open the line for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Anshul Agrawal from Emkay.

Anshul Agrawal: So, I have a few questions. First question, is there any particular reason why our gross margins have contracted despite strong growth in wellness in the current quarter?

Sivaramaraju Vegesna: Anshul, actually it is because of wellness because I think wellness has contributed 15% of our revenue. And generally, wellness - whenever wellness grows, you see some contraction in gross margin, right, because this wellness is at a discounted price. So that's one of the primary reasons. And yes, to a certain extent, not a significant value. Some value has increased because of the increase in the input cost.

Anshul Agrawal: Okay. What I wanted to check was, is this on the back of any rupee depreciation, which could reverse in the coming quarters? Or should we structurally consider this to be the new normal in gross margin?

Sivaramaraju Vegesna: So you should structure it to be the new normal, right? And it is majorly because of wellness. And since there is an increase in the input cost, like we were discussing in the last 2, 3 quarters, right? So, we expect there will be increase in the cost not just for the rupee depreciation but for multiple other reasons that's happening in the international trade.

So that is the reason there is an increase. But with wellness, generally in Q4, generally, we see the higher contribution coming from wellness. But again, if wellness comes to 14%, then the gross margin will improve a little bit.

Anshul Agrawal: Got it. My second question is on the hubs that we had commissioned in November at Nizamabad.

So have you broken even in Nizamabad and Ongole?

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 4 of 18

Sivaramaraju Vegesna: Ongole, yes, we have broken even and in fact, two months back, more or less from the last three months, revenue is crossing the breakeven number. In terms of Nizamabad, soft launch happened in December that we...

Anshul Agrawal: Is it just me or I can't -- the voice is echoing at Siva's end?

Suprita Reddy: So, Nizamabad was launched formally in December, Anshul. And what just happened also is Nizamabad was only functioning with high-end imaging and for almost 2 to 3 months because it was awaiting the PCPNDT License. It has still not come in fact. And we still anticipate that as promised, it will break even in the first year from whenever we started operations. And Ongole has broken even a couple of months back.

Sivaramaraju Vegesna: Yes. And Nizamabad also, Anshul, so it is almost closer to breakeven. So maybe in a quarter's time, that should break even.

Anshul Agrawal: Great. Do we have any targets, ma'am or Siva for the new hubs that we have commissioned in Pune, Bangalore for breakeven?

Suprita Reddy: So, the Pune centers, we've opened the two centers that is Ambegaon and Kalyani Nagar.

Ambegaon has become operational from April. Kalyani Nagar, even though it is ready and can start operations, we are waiting on starting off because the team is under training, and we're starting to build a team for Pune separately.

So, probably another week to 10 days, you will see Kalyani Nagar open for operations. Both

h of

these centers, as mentioned earlier, will break even in a year of opening. Likewise, for Bangalore and Kolkata.

Sivaramaraju Vegesna: So like we guided before, Anshul, all the centers outside of...

Suprita Reddy: Outside of Telangana and AP, we normally take a buffer of two months or three months, that's why one year is what we say. But even though the target is to get them up and running in the first few months itself.

Anshul Agrawal: Perfect. So, the breakeven targets are intact. A question on the Bengaluru market. So what will be our go-to-market strategy here? Because this seems like a more corporate hospital-friendly market versus probably Pune. And any comments on pricing out here? Will it be similar to what we charge in Kolkata or Hyderabad? How should we look at it?

Suprita Reddy: Anshul, if you ask me, this market probably is not at all like Pune. Pune is more the corporate kind of market. And Bengaluru has a lot of stand-alone integrated centers. You look at the largest lab players been Anand for ages now. So, there are independent players region-wise, also keeping the traffic, the congestion and all of that in mind.

So, these two centers that we've chosen, in fact, are in two different corners of Bangalore. It's also to test out whether our go-to-market strategy in Hyderabad works likewise in Bangalore.

And I should definitely say that it's looking very positive. Both are running, both are operational.

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 5 of 18

We're very confident on a 1 year breakeven here. And the pricing is more like Hyderabad and definitely not like Pune or West Bengal.

Anshul Agrawal: Great. One more question, ma'am. While with the bunching up of these new hubs, can we expect a steep dip in margins in FY '26 with a possible recovery in '27?

Sivaramaraju Vegesna: So, like we said before, Anshul, so first 2 to 3 quarters till the time these centers breakeven and like we also said, there are three more hubs that are going to come in Kolkata in 4 to 5 months' time and then two in Andhra and Telangana, we should see some dip to the extent of 1% to 2% on the EBITDA front. But as we move forward, these centers will start contributing to the

revenue and then the next set of centers will come. I think by the end of FY '26, we should be back to our regular margins.

Anshul Agrawal: Got it. Just one more, if I can squeeze in. Given the nature of lease accounting and due to these hub additions, do we expect depreciation and amortization expenses to outpace the growth by which our network is expanding in the next 2 years, 3 years?

Sivaramaraju Vegesna: For the first 2 to 3 quarters, at least you'll have that. And I think once the centers break even, I think we'll be more or less sorted. But for the first 2 to 3 quarters, you'll have that.

Moderator: Our next question comes from the line of Alekhya from Athena Investments.

Alekhya: So my question is, as we see hub additions, so what's your capex plans in FY '26?

Sivaramaraju Vegesna: Yes. So, as we just said, so we are already have opened five centers, like even though there are six centers, one center technically fell at the end of March, so which was accounted in the last financial year. But considering the other five that we've opened now and then five more which we are going to open, you should roughly see a number closer to, say, INR145 crores to INR150 crores kind of a capex for this financial year.

Alekhya: So, do we have any plans in entering into dialysis kind of businesses?

Sivaramaraju Vegesna: No. As of now, we are purely into only diagnostics.

Moderator: Next question comes from Chirag from Keynote Capitals.

Chirag: I would like to know what is the mix of revenue for FY '25 in pathology? Could you just differentiate between routine and specialty test?

Sivaramaraju Vegesna: So first, coming to radiology and pathology, it is more or less i

n the same. Like across the

quarters, we are seeing pathology, anything between 62% to 65% and radiology from 35% to 38%. So, at a year level, more or less it was in the same mix.

Coming to routine and specialized, like we always say the definition differs across player to player, right? But considering our own definition of specialized and routine, within radiology, 35%. So, 20% is from advanced radiology and 15% is from the basic radiology.

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 6 of 18

But again, within basic radiology, you have a few advanced tests. But going by our definition, I'm telling you these numbers, right? Coming to pathology, out of 65%, close to 15%, 20% is specialized and the rest is routine. But again, this definition differs from player to player.

Chirag: It would be great if you can just explain your definition

Sivaramaraju Vegesna: So basically, anything that comes in volume that we do on a daily basis, like you are fasting thyroid, lipids, hormones, everything.

Suprita Reddy: Yes, all of that comes under basic for us. And anything above upwards of an AMH or fertility panel, histopathology, all of that gets categorized as special.

Sivaramaraju Vegesna: Because few players even consider thyroid hormones as specialized, but we consider them to be basic.

Chirag: Fair enough. Fair enough. My second question is related to understanding are we still on the trajectory to think that we would be growing at 15%, 16% CAGR growth for the next few years?

Sivaramaraju Vegesna: Yes, absolutely, yes.

Chirag: And this is a mix of volume and 1% or 2% value growth, correct?

Sivaramaraju Vegesna: Yes, 1% to 2% of value growth and rest is volume.

Chirag: Fair enough. And could you just give some comment or highlight how things are panning out in the industry at this moment? What kind of growth the industry has? And because of capex, are we outpacing the growth? Could you just highlight that point?

Sivaramaraju Vegesna: So, coming to the growth of the industry, again, different research reports gives different numbers. So, the number that we keep hearing, which we are not very sure is about 11% to 12% is something that we hear from multiple research firms, right?

Definitely, if you see the last one year of growth for Vijaya, it is not just the new centers of the capacity addition even the older ones, we have seen double-digit growth from even the older lot, right? I think coming to Vijaya, the best strategy, even if you take for Hyderabad or the outside Hyderabad, right, one thing is the centers that we are launching are breaking even ahead of our time line of our targeted time line.

And also the existing centers within Hyderabad, while every year, we think that Hyderabad gets mature, but within Hyderabad, we are inching market share year-on-year. If you take player #2, #3, #4 of Hyderabad, they are not growing in spite of we not adding any capacity in the last two years in Hyderabad, they are growing at a much faster pace than them.

I think it's the capacity that we have built, the quality that we are delivering, the name we have built, right? So, these are helping us to grow at a faster pace and also because you have the entire gamut of diagnostic services.

Vijaya Diagnostic Centre Limited

May 12, 2025

Chirag: Right. Just one more question from an understanding perspective of industry. Apart from brand and accredited labs, what are the ways for a company like Vijaya who make sure that they keep on gaining market share into a newer region? Is it just to do with the technology? Or is it something else too?

And secondly, being a leader in Hyderabad, I just wanted to understand what is the way for us to keep defending the kind of market share, we have from the players who have been in the market plus some of the pan-India players are focusing to get into southern markets now as they are trying

ing to tap the new market. So just wanted to know how can we make sure to defend our market shares?

Sivaramaraju Vegesna: See, so basically, if you see, right, so there are 3, 4 important basically parameters for our business, right? One, we have to make the customer who is paying us happy. It's basically they're coming for a diagnostic service with trust. But at the same time, the way you maintain your centers. One, you're giving them very good infra, right, then the technology, then the kind of doctor talent you have because all this will help us in churning out a quality report. So ultimately, when this report goes to a clinician, even a clinician has to trust the report, right? So, when you are basically taking care of everything and then pricing it the same like the market, I think that is something which we were doing for years and that allowing us to gain that market share year-on-year, right?

And it is basically you have everything under one roof. That is basically the differentiator for Vijaya. So that's one of the reasons when we are venturing into geographies, newer geographies. Like if you take the example of Tirupati, even though it is part of Andhra, Telangana, it is much closer to Chennai.

And by the time we went into Tirupati, there were already about 7 to 10 MRI machines, right? What made us stand out because you're giving quality. To give quality, you need equipment and doctors, good doctor talent pool and technicians, right? The kind of infra you're providing, nobody else in the market is providing that. On top of that, you're not charging anything extra. You're just matching the market, right?

This is allowing us to basically gain that name, and you have everything. You have a few players in radiology, few in pathology, but we are delivering both. So it's a convenience for the patient. So, I think since you're able to take care of all these things, that is allowing us to grow at a much faster pace.

Moderator: Our next question comes from Sumit Gupta from Centrum.

Sumit Gupta: So, what volume growth can we expect from the addition of the new hubs like incremental volume growth?

Sivaramaraju Vegesna: So Sumit, whenever we add hubs, so initially, the trend that we have seen in the past is that we start off very well with advanced radiology and slowly the other volumes get built, right? So basically, what we expect is that the growth in this current financial year, again, some 3% to 4%
Vijaya Diagnostic Centre Limited
May 12, 2025

of the growth from the new centers because we've just launched these centers and the existing centers will give us the rest of the growth.

So, you should but since again, these are dominated because of the advanced radiology. If these centers give us a 4% contribution to the overall growth, you may expect the volume to be somewhere around 2% to 3% in the current financial year because they may do a good number, but the volume initially will be lower. It is because of the advanced radiology they pick up and then slowly the other volume gets built.

Sumit Gupta: Okay. And sir, regarding the EBITDA on the stand-alone basis and like it is nearly flat on a sequential basis and just 7% growth on a Y-o-Y basis. So, like majority of the growth is coming from the PH side. So, I just want to understand that. And what were the margins this quarter for PH?

Dhiren Gala: The margins for PH during this quarter were close to 29%. And if you look at this quarter and including last quarter, we had stated that there is a GST regulation, right? So, because of that, the impact has been close to 0.3%.

Sivaramaraju Vegesna: So basically, Sumit, this quarter, even for PH, if you look the number will look slightly off because there is one off expenditure, which we charge to the P&L otherwise, the margins were closer to 35%. And this was because in Pune, the expenditure has started in these new c

enters,

right? So, we have taken people, training, all that is hitting the P&L, but the revenue has not

actually started.

So, if you exclude that one -off expenditure and if you see the EBITDA for Q4, it was close to INR 35 crores. In the earlier quarters, it was about INR 39 crores to INR 40 crores, but because of the incremental cost on hiring of new talent for these new upcoming centers, you have seen that because the balance sheet size itself is very less, it generates only about INR11 crores, INR12 crores.

Now all of a sudden, we've added 2 hubs and 2 spokes, right? So, I think we should give 2, 3 quarters' time to see the actual EBITDA for Pune. And coming to company level EBITDA, Sumit, I think because we have also added resources at corporate level, right, we have taken multiple digital IT initiatives, right?

Where we have moved servers from physical to cloud and some significant investments we have done on digital marketing, which was not the case earlier, right? In spite of incurring all these expenditures, the EBITDA is intact because of the leverage that we are getting from the existing network.

Sumit Gupta: Right. So, going forward, for PH in particular, the margins would decline? Or like how should we see the trajectory of PH?

Sivaramaraju Vegesna: Yes. So optically, it will look slightly off Sumit, because truly as on date there are six centres. You see 95% of the revenue coming from six centres...

Sumit Gupta: I'm sorry, sir, you're not audible. The voice is muffled so...

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 9 of 18

Sivaramaraju Vegesna: Right. So, what I was saying, Sumit, so basically, if you see Pune, right, 95% of the revenue comes from six centers, three hubs and three spokes, right? And all of a sudden, we've added two hubs and two spokes. That means we have increased the capacity almost close by 70%, 75%, right?

So obviously, initial days, the cost will kick in, but the revenue will take some time, right?

Optically, if you see PH as a stand-alone center, PH as a stand-alone company for next 2, 3 quarters, optically, the EBITDA will look low. But otherwise, I think we have to wait for that 1 year where these centers will start breaking even.

Suprita Reddy: Once these centers stabilize and also the hub stabilize and then you're probably going to see normalization happen then.

Sumit Gupta: So, by FY '27, we can see stabilization and improvement in margins as well as returns?

Sivaramaraju Vegesna: Yes. But if you see Vijaya Company as a whole, it will not impact much. Like we said, for this year, in the first 2 to 3 quarters, you may have that hit of 1% to 2% on account of all the six subs starting at a time.

Moderator: Your next question comes from the line of Gaurav T from Antique.

Gaurav T: Any reason for the lower year-on-year growth for the quarter on the revenues? We've been growing upwards of 20%, excluding PH, be it test volumes or overall revenues. However, this quarter, growth has slowed down a bit. So any insights into that?

Sivaramaraju Vegesna: Yes. So, if you see like at, let me write this out, at the earlier level, I think excluding PH organically, we've grown by close to 18%, right? And yes, Q4 was slightly soft. In fact, within Q4, if you basically break up the three months, one month which has pulled down entire average. So, February is one month where we have grown only in a single digit, which has pulled down the entire quarter's average...

Gaurav T: Sorry, sir. Again, it's not very clear. I'm not following you clearly.

Sivaramaraju Vegesna: So basically, in Q4, Feb was 1 month, which was softer, right, which has pulled down the entire quarter average. So, we have grown only by a single digit. Generally, Q2 and Q4 for health care are the better quarters, right?

And generally, what we have seen in the past is that Feb in spite of being only 28, 29 days doing a

better revenue than Jan that was the trend in the past. But for different reasons, the season was slightly off. Sometimes health care is all about seasonality, and that happened only in the month of Feb.

So, while we try to see reasons for that, but we don't have any concrete reason why general season was low and it was also attributed to the festivals and the other events that happened across India. But otherwise, if you see again from April, right, post Q4, the numbers are intact.

Suprita Reddy: There is an incremental increase in both footfall, revenue across all of the centers in Hyderabad and rest of Telangana. So, Feb was a month which was also odd to us. But like Siva has

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 10 of 18

mentioned, it was purely seasonal and a lot of factors affecting it. It was also a time when there was a lot of travel, the Kumbh Mela and lots of things happening. Feb did not see numbers coming in through the month.

Gaurav T: Sure. If we look at overall FY '25 revenue growth, regional split and outside of Hyderabad and Andhra Pradesh, Telangana, the noncore markets, excluding PH, we're seeing revenue growth of only 5% for FY '25, which kind of is low given our penetration and all the other initiatives we are taking. Were there any one-offs in this as well, probably Kolkata and 4Q or some other reasons?

Sivaramaraju Vegesna: No, Gaurav, in fact, so if you see other than PH, even other than Hyderabad if you take rest of AP, Telangana and even for that matter, Kolkata, if you club all that together excluding PH and excluding Hyderabad, it is upwards of 20%, the growth rate.

Dhiren Gala: The revenue contribution from new centres is 5%.

Sivaramaraju Vegesna: Contribution is 5%, yes.

Suprita Reddy: The growth is upwards of 25% almost.

Gaurav T: Okay. Maybe that's comfort. So, we're adding largely hubs this year. We expect they would break even in three to four quarters. Any insights what can be the planned expansion for FY '27, significantly higher number of spokes and significantly lower number of hubs there?

Suprita Reddy: It also depends on the geography because if you look at Bangalore, you've opened two hubs in two extreme corners of the city. And until Bangalore gets a minimum of seven to eight hubs, you cannot connect them with spokes. So, Bangalore would probably take longer to open up spokes compared to East India.

Kolkata will definitely see a lot more spokes come up in '27 because we have already opened three now VIP plus two more, and we're opening another three coming up. So, another two hubs will give Calcutta a chance to open up spokes in '27. Pune, of course, you will see a lot of spokes coming up from now on. After stabilization of these two new hubs that have opened, that's when we will start opening the spokes in Pune.

And in rest of AP, probably you will see more of hubs coming in because after separation, there are about three or four more markets that we've not gone into. So those are the four key primary markets that are of interest where we will go in and open those hubs.

Gaurav T: Sure, sure. Coming to gross margins, are you sharing the split for gross margins for radiology and pathology for Q4?

Sivaramaraju Vegesna: No. Basically, we show it as a single number, Gaurav. But generally, what we see in radiology is like closer to 10%, right? So 90% gross margin.

Dhiren Gala: 90% to 91% is the gross margin for the radiology segment. And generally for pathology, it is anywhere between 86% to 87% ..85% to 86%.

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 11 of 18

Sivaramaraju Vegesna: It doesn't change much actually.

Gaurav T: Got it. Last if I may, just last question on the balance sheet. On the other current financial assets and other current financial liabilities, I'm seeing quite a large increase year-on-year. What would be the nature of

this?

Sivaramaraju Vegesna: So basically, capital creditors. So, if you see, we have opened, say, three hubs in the last financial year. And also, in fact, we have added a few of the advanced radiology equipment in our existing centers like Gurgaon and we have added one more MRI in Kurnool. We have added a cardiac CT in Tirupati.

So basically, with our vendor, we have a deferred payment option as part of our negotiation, right, where we'll be due for that payment in the next two to three quarters. So that's the reason you see capital creditors of, I think, close to INR 75 crores. Yes, that's the reason. So, you see the net cash, right, on the balance sheet, you look the cash is about close to INR280 crores. But if you remove capital creditors and if you see the net cash, it's close to INR200-plus crores. It's purely a part of negotiation, that's all.

Gaurav T: That's helpful. Thank you. All the best.

Moderator: Thank you. Our next question comes from Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: I might have missed this, but what is the exceptional expense that you have recorded in this quarter?

Sivaramaraju Vegesna: It's basically on account of this merger of Medinova with Vijaya.

Rishi Mody: Okay. All right. Apart from that, on the Hyderabad front, right, so I see we have 10% growth and our wellness business has come to a 20% growth Y-o-Y. Just wanted to understand, is there like I think you said some Kumbh Mela thing, but apart from that, anything else that flows into that number?

Sivaramaraju Vegesna: So, in terms of wellness, Rishi, there are two reasons here. One, if you take Pune as a geography,

right , slightly , wellness share is high in Pune. In the last year, it's not fully consolidated. It was only consolidated for three months. This year, we have consolidated for the full year. There is a slight effect because of Pune because in Pune, with the corporates all being present, the wellness portion is upwards of 15% that we do there.

And other than that, naturally, with the kind of efforts that we are putting digitally all that, the wellness share in the current financial year across the quarters have inched a little bit for us in the core geographies, not only just in Hyderabad, even in the Tier -2 geographies of Andhra and Telangana.

Rishi Mody: No. So , I meant that till Q3, we were growing healthily organically at 20% plus, 25% plus that's come down to 20% in EMI in that insurance -led quarter. So that's why I'm just checking whether there's anything which is structural in that or it's just something which we...

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 12 of 18

Sivaramaraju Vegesna: I think it's the same reason, Rishi. Overall, we have seen the season to be dull. It is across the modalities. And also, if you see March, right? So basically, the entire festive season, which was supposed to be a bit of April has come into March, the entire season of Ramzan and then you had Ugadi, everything within March. So , we are guessing that because of these reasons, the season was slightly dull.

Rishi Mody: Okay. All right. And on the Pune piece, Q4 versus Q4 last year, given the split of revenue that you all have provided, my numbers come out to be a decline on a Y -o-Y basis. Now some decimal here and there, it might be different, but it's not grown is the point. So just wanted to understand what like is it something which is intentional? And if it is, what's happened there?

Sivaramaraju Vegesna: So, it was again conscious decision. If you see at the overall year, I think we are at the same with a marginal growth. But in Q4, like you rightly said, there is a dip in the revenue of, I think, close to 5%, right? Majority of which, I would say, almost of it is into because of B2B. We have to consciously close a few B2B tie -ups because those were not...

Suprita Reddy: We are actually

doing a lot of aggregator business, Rishi, and we also gave it some time to understand that market and what kind of business is actually coming in. And when we're actually only making sure that tests are coming in, payments were becoming an issue, it was a conscious decision to hold off some clients, wait and see. And that's, I think, the minimal dip that you're seeing, but that's a conscious decision that we've taken.

Rishi Mody: Okay. So now if we are reducing the B2B spend, should we assume that margins in Pune can go beyond that 39% levels that it has been?

Suprita Reddy: You've also heard me saying that Pune, the organic six centers that we acquired have capacity issues. So , there are two reasons for this. One is a conscious decision of an aggregator business coming in at a lower cost and not getting paid. I'm creating capacity probably for a B2C client to come in. That is one bit we'll have to wait and watch this quarter.

And the second one is definitely try to increase the direct walk -in and create some capacity in these geographies since we're not adding new centers in these places where they already exist.

Both of these centers that we put are in areas where there's no presence of PH earlier.

Rishi Mody: Okay. All right. Great. That's it from my end. Thank you.

Moderator: Thank you. Our next question comes from Chirag from Keynote Capitals. Please go ahead.

Chirag: Thank you for the follow up. I wanted to know what is the breakup for the number of centers, 151 centers that we have. Could you divide it in the number of geographies?

Sivaramaraju Vegesna: So, basically you see across so in...

Suprita Reddy: Pune, has about 16 no, not 16, now it has become 18.

Sivaramaraju Vegesna: 18 centers in Pune, then you have two in Kolkata according to as on 31st March. So you have about...

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 13 of 18

Dhiren Gala: 127 centers in AP and Telangana combined.

Sivaramaraju Vegesna: And then one in Karnataka and one in Gurgaon. This is as of 31st March.

Suprita Reddy: 31st March. Okay.

Chirag: So earlier, we used to give it Hyderabad and rest of AP and Telangana. Could you just divide that?

Dhiren Gala : Hyderabad is closer to 95 centers. So , the rest are from other than AP and Telangana.

Chirag: Got it. My second question is, what are our thoughts related to branding spend for the coming years? Is it like an absolute number in your mind, any ballpark or would it be variable with the revenue that we are doing ?

Suprita Reddy: It depends on the geography also because if we are looking at geographies where we're opening centers in Calcutta, I don't think digital works in places like Krishnanagar and Barasat, which are typically outskirts of Calcutta, whereas Pune, you will see a lot of digital spend happening. It depends on the geography, the clientele, the age group, even in Hyderabad, amongst these 95 centers, there are different ways of marketing that we try to do. There are certain areas where we only market wellness. There are certain areas where we do a lot of diabetic camps. So it depends on the geography probably cannot put an exact number to it, but it depends on where we're going.

Chirag: Fair enough. And last one from my side. Could you let me know what is the size of our phlebotomist team? And how much revenue we do from home collection?

Sivaramaraju Vegesna: So in home collection, 2.6% is the revenue that we get from the home collection at an overall revenue, which will be almost close to 4% of our pathology revenue. Coming to phlebotomies, we have close...

Suprita Reddy: There are two teams, if you're asking, the home collection team is completely different from our in-house phlebotomy team. In-house phlebotomy team...

Sivaramaraju Vegesna: 600 plus.

Suprita Reddy: It is almost yes, more than 600. We wouldn't know the exact number. And home collection team would be around...

Sivaramaraju Vegesna: 35 to 40 people.

Chirag: Fair enough. Thank you.

Moderator: Thank you. Our next question comes from the line of Harshal Patil from Mirae Asset Capital Markets. Please go ahead.

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 14 of 18

Harshal Patil : Good evening, sir and thank you for the opportunity. Sir, just have two questions more from an understanding perspective. Sir, you've been mentioning about commissioning quite a lot of hubs recently in the past two months and a few lined up over the next two to three months. So sir, my question was basically, at what point in time after setting up the hubs, would you probably take up or start thinking about setting up the spokes in those respective areas?

Sivaramaraju Vegesna: So again, like ma'am just said, so it depends on the geography, right? So in Kolkata, we already have two hubs present and then we just launched 2 more, and we're going to launch another three. It all depends on the geography. So now Kolkata from next year will give us a chance to put spokes because already two centers got stabilized. Whereas for a geography like Bangalore, we just ventured into that market. We launched two hubs in two different corners of the city. We'll have to add a few more hubs. So, you'll see spokes only after 2 years.

Yes. And coming to Pune, because already it's an acquired network, right, we have launched recently two hubs and two spokes parallelly. It all depends on the geography, right, and our presence in that geography.

Harshal Patil : Sure. Got that, sir. Sir, just second thing would be with respect to our growth thing. So we've been alluding to like 1% to 2% of growth going ahead, probably driven by pricing action or volumes. I believe that would be more based on an assumption of a favorable case mix that would drive the growth.

So that's one thing. But if I have to kind of just analyze about the revenue per test over the past two years has been almost like kind of a flattish thing that we are reporting. So, is there a contemplation of any pricing action apart from the inflation or the case mix that would be driving the overall revenue per test or something like that?

Sivaramaraju Vegesna: So basically, like you rightly said, it's a function of earlier, at least in the last 2, 3 years it's a function of more of case mix and very little bit of pricing. But the only reason why you are seeing the average realization per test to be flat was because the capacity that we have added in the last 2 to 3 years was more in Tier -2 locations where the pricing is slightly lower than what we see in Hyderabad.

But going forward, you are seeing the capacity building in cities like Pune, Bangalore and Calcutta, where the pricing is more or less in line with Hyderabad, slightly 5% here and there when compared to Hyderabad. And coming to the price increment, yes, definitely, this year, we'll take a price increment.

But again, only if you see it will not be more than 1%, 2% of the total revenue. But since like we also mentioned the input cost of a few of the consumables have increased, that's the reason we have seen a slight dip in gross margin. We will take pricing increase on a few tests, but at the overall...

Moderator: Sorry to interrupt. Sir, there is a magnetic disturbance coming from the line again.

Moderator: It's still there. Sir the disturbance is still there. What I will do is I can disconnect and I can reconnect your line. Just give me a moment. Ladies and gentlemen, please stay connected while

we reconnect the management. Ladies and gentlemen we have the line for the management reconnected. Yes, sir. Please go ahead.

Sivaramaraju Vegesna: So, is it clear now?

Moderator: Yes, sir. It is clear now.

Sivaramaraju Vegesna: So basically, we are going to take

a certain price increase, but it will be close to 1% to 2% of our total revenue. It is not a major increase, and it is only for some certain tests.

Harshal Patil : Okay. Got that, sir. So , sir, ideally, the price increase of 1% to 2% would be complementing the possible changes due to case mix also? Would that be a right assumption?

Sivaramaraju Vegesna: So case mix more or less will be the same. Only it's because, yes, you have opened more hubs, you may see a slight increase in average realization per test because of the advanced radiology.

But otherwise, in terms of the actual case mix in the existing centers, that may not change much.

Harshal Patil : Okay. Thank you, sir. That's it from my side. All the best.

Moderator: Thank you. Our next question comes from Heeru Tejwani from Motilal Oswal Financial Services. Please go ahead.

Heeru Tejwani: Yes, good evening management of Vijaya. Superb result, I must say, for last quarter. So , my questions are three. First, any future guidance that you would like to give on FY '26 keeping into mind that you already delivered good results in the last year. Second, I see a lot of like obviously, 72% of the geographical contribution comes from Hyderabad. So , when you are saying that now you have opened six hubs in Kolkata, Pune and Bangalore, will this number stay same or it will maybe increase or decrease?

And the third is any specific digital investments or infrastructure that you have set up because other diagnostic centers and other peers are actually moving on a lot of digital investments. So how do you see that? Anyone can answer, thank you.

Sivaramaraju Vegesna: So first, coming to the geographical mix. So, because like you rightly said, we are doing significant investments outside Andhra and Telangana. And definitely, these investments will grow at a much faster pace than the existing as well. You will see while Hyderabad is still going to grow in terms of contribution, you will see Hyderabad coming below 70% with the investments that we are making outside Hyderabad.

And coming to the digital initiatives or the digital marketing bit. So , in fact, like all the other players, in fact, we started investing in. And in fact, we are also going to get one new CRM in place, which will get implemented in this current financial year. So that's the first project that our CTO is taking on.

You will see this digital spends also growing slightly in the current financial year and going forward as well. And then coming to our guidance, so like we always say consistently because since we have done these investments, so next 2 to 3 years, we are confident that we'll be able to grow at that 15% plus CAGR.

Vijaya Diagnostic Centre Limited
May 12, 2025

Heeru Tejwani: Okay. Sir, one last question. What is the ratio of corporate and B2C? You'll have tie-ups with corporate as well in Hyderabad and other locations in retail. So I mean...

Suprita Reddy: Overall level, our B2C business is about 93% to 94%.

Heeru Tejwani: Corporate is lesser there .

Sivaramaraju Vegesna: Yes, corporate and other B2Bs are about 7%.

Heeru Tejwani: Okay. Great. Thank you, management. Thanks. All the best.

Moderator: Thank you. Our next question comes from. The line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: Yes. Thank you so much. Ma'am, in the initial one of the questions, we said that in Pune, basically, we had cut down some of the B2B contracts because of the profitability issue. But going ahead, like whenever we, as a diagnostic company enter into newer geography, there is always a tendency as a new player to add more B2B contracts to increase the utilization. So , for us, is that a bit different like we would continue to focus on B2B from day 1 itself?

Suprita Reddy: Amey, there are key differentiators between other diagnostics and Vijaya has always been that we do focus on

B2C. We invest in infrastructure, larger facilities with both advanced and basic imaging with basic and advanced labs because you want to make sure that you offer everything under one roof.

And then you also want a direct contact with the customer who walks in. And PH, when it comes to PH is an acquired company, was already a mature 25 -plus year old company with a 95% B2C. It basically had the same equals as what Vijaya believed in. But certain old customer base is probably that PH would have had as B2B clients.

There were payment -related issues where there was a realization coming in. Now when we come in, it was only December that we took over PH to understand that, probably send out enough number of reminders and then we realize that those payments are probably not going to come is when we take a call that we do not want to service them anymore.

That's the slight dip that you're seeing. Even in the main company, the 7% of what we were mentioning, it can probably be a corporate, can be a B2B client, can be somebody I'm servicing in a hospital. These all come anything that the customer is not coming in, we categorize as B2B. So, if you ask me any new geography, whether it is Bangalore or Calcutta, the strength of Vijaya is to showcase what it can offer to a customer who walks into the center. I would not like to be an aggregator or a distributor model where I would like to pick up a sample and probably generate a lab report and go through a third party.

So that's also the reason why you will see a lot of initiatives that are done by our direct marketing group who go into societies, give out privilege cards, invite customers to come into the centers because seeing is believing. Technology has to be looked at first, doctors have to be probably spoken to. That's going on top of the mind, you will come back to the customer.

Vijaya Diagnostic Centre Limited

May 12, 2025

Page 17 of 18

So, building that relationship is typically what we get that one year or two for breakeven.

Otherwise, there are multiple ways in how we can probably fast forward that. But no, we would like to take that time, bring them into the center, showcase what we can do, invest that time into a conversation and build that brand out and that's how the model has been has worked out well and we also plan to continue to do it that way. It's a tried and tested model.

Amey Chalke: Sure. And so then basically, despite Pune being a corporate hub for many of these companies, you would try to avoid those kind of corporate contracts ?

Suprita Reddy: We do not avoid . See we service all of the corporates. We have a separate tariff for a corporate.

When it comes through a corporate, it either comes through a corporate directly or through a TPA. You will also see a lot of B2B business categorized such as a small unorganized player, a lab opening up and probably collecting a sample at a full MRP and then deciding to give it to three players depending on the price that they give. That is not the model that we typically believe in or we do.

What we do is we absolutely would want every corporate to come in because they would come in to get their entire annual health check done. They're going to be probably looking and touching all of the touch points in that center. So corporate business is something that we, in fact, have people engage in, go meet different corporate HRs. There's a separate team that does it. And all of that falls into the 7% that you're looking at. It does not come into this B2C.

Amey Chalke: Sure. The second question I have is on the wellness test package. Like is this package anything different than what generally a standalone pathology offers? Do we have any advantage being an integrated player here?

Suprita Reddy: Absolutely. Like we would have mentioned earlier, now everybody's lifestyle is different. Somebody who probably has a very lazy lifestyle comes in for the che

ckup in an integrated

player, not just with us, any integrated players where you will get to do a stress TMT by a cardiologist.

If he's a smoker, chest x -ray, if they have gastric issues, ultrasound, all of these tests, which I mentioned are part of a simple master health checkup where you are meeting a cardiologist, you're meeting a radiologist, you're meeting a general physician, you're correlating both of these results with pathology, with radiology and cardiology in one single package.

That's also a reason why a lot of large corporates prefer to go ahead only with integrated players with a wide network because you would want to be closer to where they live.

Sivaramaraju Vegesna: So Amey, if you see our website, right, you have multiple packages starting in Hyderabad, starting anything between 1,900 up till, say, 15,000, 16,000. So , all these packages have some amount of radiology and cardiology in it. We don't have any single package with only pathology.

Amey Chalke: Got it. And you are seeing that share growing basically in the overall revenue pie. So generally, when we see this with the standalone pathology player, their commentary is because the share is growing, GM might be affected, but overall EBITDA margins are improving because of that.

So, do we see a similar trend for us as well?

Vijaya Diagnostic Centre Limited

May 12, 2025

Sivaramaraju Vegesna: So generally, with wellness, that's the case, Amey. So gross margins will get affected, but then the rest of that directly flows into the EBITDA. So, it's the same center, which is also servicing this customer. So that will be the general case. Whenever wellness increases, the gross margin will reduce, but it will help EBITDA.

Amey Chalke: And sir just third last question. We are sitting on like INR 200 crore's cash. I understand we are spending, but still the operating cash is going to be significantly higher than our capex, which we have planned up. So we will have a good enough cash even after 2 years or 3 years. So inorganic expansion still remain into a focus area or you think that because organically, it's too much right now, the amount of organic expansion we are doing?

Suprita Reddy: Inorganic acquisitions has always been on the top of the mind. Like we've told you, there are certain factors that probably even let us evaluate that asset, whether it's a B2C, whether it is able to match our vision and the geography of interest, a lot of things. We've always been open to looking at assets, discussing if it comes in a reasonable valuation. So, if everything falls into place, we're more than happy to take up anything that comes in these areas where we're already there, not a new geography again.

Amey Chalke: Sure. Thank you so much. I will join back.

Moderator: Thank you. Our next question comes from the line of Niraj Shah from Perpetuity. Please go ahead.

Niraj Shah: Can you give me the guidance for revenue, EBITDA margins, capex, debt and yes, that's all?

Sivaramaraju Vegesna: So, Niraj, like we just said, the guidance is about that high double digit of 15% plus for the next three financial years. And coming to the capex, since we are opening about close to 10 hub centers in this current financial year, so it will be somewhere around INR140 crores to INR150 crores on the capex.

And coming to EBITDA, like again, we just opened six hubs, at the same time and we are going to open five more in this current financial year. For some two to three quarters, you'll see some drag on EBITDA till these centers start becoming closer to either breaking even or closer to breakeven. So we are expecting a drag of 1% to 2%. So that's the guidance for this current financial year.

Niraj Shah: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that concludes our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

losing comments.

Dhiren Gala: I would like to thank everyone for attending this call. Should you need any further clarifications or any other information about the company, please feel free to reach out to us. Thank you.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

August 02, 2025

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on July 28, 2025

Referring to our letter dated July 28, 2025, we are enclosing herewith the Transcript of the Earnings Conference Call organized on July 28, 2025, post declaration of the Unaudited Financial Results of the Company for the first quarter ended June 30, 2025.

Please take the information on your record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: as above

The Listing Department,
National Stock Exchange of India Limited
NSE Symbol: VIJAYA The Corporate Relations Department,
BSE Limited
BSE Scrip code: 543350

Page 1 of 17

"Vijaya Diagnostic Center Limited Q1 FY'26 Earnings
Conference Call"

July 28, 2025

MANAGEMENT : MR. SUNIL REDDY - EXECUTIVE DIRECTOR, VIJAYA
DIAGNOSTIC CENTER LIMITED
MR. SIVARAMARAJU VEGESNA - VICE PRESIDENT ,
OPERATIONS , VIJAYA DIAGNOSTIC CENTER LIMITED
MR. DHIREN GALA - ASSISTANT GENERAL MANAGER,
STRATEGY AND INVESTOR RELATIONS , VIJAYA
DIAGNOSTIC CENTER LIMITED

MODERATOR : MR. AMEY CHALKE – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Vijaya Diagnostic Q1 FY'26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand over the conference to Mr. Amey Chalke from JM Financial Institutional Securities Limited. Thank you and over to you, sir.

Amey Chalke: Thank you, Pari. Good evening, everyone. I, Amey Chalke, on behalf of JM Financial, welcome you all to the Q1 FY'26 Earnings Call of Vijaya Diagnostic.

At the outset, I thank the Management of Vijaya for giving this opportunity to host the call. I am looking forward to have an insightful interaction on the Quarterly Earnings and the Outlook here onwards.

Today, from the company, we have with us Mr. Sunil Reddy – Executive Director, Mr. Sivaramaraju – Vice President (Operations), and Mr. Dhiren Gala – Assistant General Manager (Strategy and Investor Relations). I now hand over the call to the Management for their opening remarks. Over to you, sir.

Sunil Reddy: Thank you, Amey. This is Sunil Reddy – Executive Director. Thank you for hosting the call. So, good evening, everybody, and thank you all for joining this call.

I will begin by sharing the business updates, followed by the financial highlights for the quarter ended 30th June 2025.

I am pleased to begin my address on a positive note, highlighting that we have delivered a strong year-on-year revenue growth of 20.4%, with our Hyderabad market's contribution returning to double-digit growth this quarter. The strong performance was largely driven by volume and change in the test mix. I am also happy to state that all the new hubs, which we have started in Pune, Bangalore, and West Bengal, are up and running with steady footfall. We remain optimistic about achieving breakeven across all centers within the 12 months, with one hub center in Bangalore on track to reach breakeven even earlier than the estimated timeline. I am also pleased to share that our Nizamabad hub center in Telangana has achieved breakeven within two quarters of its operations.

Looking ahead, we will be commissioning three hubs in Q2 of FY'26 across our core geography and in West Bengal. The other two hubs in West Bengal are also on track to be operationalized in the second half of FY'26. Earlier calls, we have mentioned that we will be doing 10 hubs in this financial year. So, just keep in mind that I am just giving you updates on that and we are on track to do that.

Vijaya Diagnostic Center Limited
July 28, 2025

Page 3 of 17

I will also take you through the financial performance and key developments for the current quarter:

The consolidated revenue for the current quarter stood at Rs.188 crores, reflecting a strong revenue growth of about 20.4% year-on-year. The revenue growth was driven by a test volume growth of 17% year-on-year and change in the test mix. And the patient footfall also grew by 14% year-on-year.

Coming to EBITDA:

We delivered a healthy margin of 39.1%, underscoring the strength of our business model. And this is in spite of the drag from the launch of multiple hubs during the current quarter. The strong growth momentum in our core network drove meaningful operating leverage, which helped us in delivering strong margins and also the PAT margin is very healthy at 20.4%.

Coming to updates on capital investments:

As discussed earlier, we commissioned a total of five hubs, and one spoke in the current quarter. And again, the background is that in this year, we planned 10 hubs in the financial year. So, already five hubs have been

done.

To conclude:

We are encouraged by the positive reception our brand has received in newly operational hubs in new geographies. And also our existing network continues to witness growing footfalls as Vijaya steadily gains market share driven by our integrated offering with comprehensive portfolio under one roof. We are well positioned to capitalize on the evolving diagnostic landscape where increasing awareness is driving greater emphasis on brand, trust, quality, and wellness.

That's all from my side. And I would now request the moderator to open the line for questions

and answers. Thank you. And thank you, Amey, for hosting the call.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nancy Yadav from Allegro. Please go ahead.

Nancy Yadav: Hi, sir. Thank you for the opportunity and congrats on a great set of numbers. I just wanted to get two numbers. Could you tell me the net cash number for the quarter end?

Sivaramaraju: So, the cash position as on 30th June is about Rs. 270 crores. And if you take the net cash after the capital creditors, it is about Rs. 220 crores.

Nancy Yadav: Okay, understood. And sir could you also give an idea of the shift in lease liabilities from the previous quarter?

Vijaya Diagnostic Center Limited

July 28, 2025

Page 4 of 17

Sunil Reddy: We didn't get the question, Nancy. Could you repeat that?

Nancy Yadav: I am just trying to ask the lease liabilities number itself.

Sunil Reddy: Lease liabilities?

Sivaramaraju Vegesna: So, we have an addition of five hubs in this quarter, Nancy, out of which two hubs the rental started in the last quarter itself. So, if you see the actual movement, I think it is about a crore.

Increase in liabilities is about a crore.

Nancy Yadav: All right, understood. Thank you so much, sir. All the best.

Moderator: Thank you. The next question is from the line of Anshul from Emkay Global. Please go ahead.

Anshul: Hi, thank you for the opportunity. So, a couple of questions. First, on any reason for this strong momentum in a seasonally weak quarter? Is it because monsoons have come in quicker than anticipated? Or was there any pent-up demand from Q4? Any particular reason for this strong volume growth in the quarter?

Sunil Reddy: No, I would say it's just, I think, a function of the brand. In the home market, what has happened is that we are seeing all centers getting more footfalls and more business is shifting to us from maybe the unorganized sectors. And as you can see, the new centers are all outside of Hyderabad.

So, the, I mean, people like you have expected that this would be a drag on business and EBITDA, but that has not happened. Bangalore is doing well, Nizamabad is doing well.

Whatever we have opened in Kolkata is doing well. So, by god's grace everything is doing well.

Anshul: So, you're calling that there's no one-off as such because of any particular reason, and this growth momentum could continue for the remainder of the year as well?

Sivaramaraju Vegesna: We don't know the extent, so it can be only just 1%-1.5%, which happened in the initial days of April, right, from April 1 to 10. But otherwise, what we have seen in the quarter is across these three months, we have seen with the average daily revenue went up from May to April and from June to May. So, while we don't want to comment anything on the exact number going forward, but then it's basically for the last 7 to 8 quarters, except one quarter, I think we were doing fairly well, growing more than 17%-18%.

Anshul: Got it. That's useful. And to allude as a follow-up question to what Sunil sir was saying that, if you could quantify the drag because of the newly commissioned hubs in the current quarter, I am trying to understand, there's hardly any margin dip in the current quarter despite commissioning these hubs. If you could just quantify the drag?

Sunil Reddy: Yes.

So, basically, Anshul, that is what I was saying, that there is no drag. All the hubs have actually done well. The new hubs in new geographies have done well. So, because of that, there is not much of a drag on the margins or the revenue.

Vijaya Diagnostic Center Limited

July 28, 2025

Page 5 of 17

Sivaramaraju Vegesna: So, yes, like sir said, the drag was much lower than what we expected because these centers are doing well. And also because of the leverage that we are getting from the growth from the existing network that helped us keeping the margins intact at 39.1%.

Anshul: Just one clarification on this, Generally, when hubs reach, say, about 50% of their potential or slightly lower than that, we used to break even. Does that still hold true or very difficult to fathom whether within the first two months itself, the ramp-up has been so strong?

Sivaramaraju Vegesna: So, basically, again, it depends from hub to hub, Anshul. But generally, the hubs will breakeven when they reach 33%, one-third of its capacity. And again, like sir said, so basically the drag initially that we expected was slightly higher number, but it was only close to around 1%-1.2%.

But again, because of the operating leverage, the operating leverage played well and that basically took care of this 1.2% of drag.

Anshul: Got it. And all expenses of these commission hubs would be in Q1, right? There would not be any...?

Sivaramaraju Vegesna: For certain hubs, it is only half quarter because we started centers in Kolkata and also the centers like Kalyani Nagar, they started only in the month of May. So, you know, it's only like about

close to 1 to 1.5 months of the operational expenditure.

Anshul: Got it. Just one more question from my end. Have we started finalizing plans for hub additions in FY27? How does FY27 look like and any guidance on CAPEX numbers for both FY26-27 would be useful?

Sivaramaraju Vegesna: So, basically, like we always do, we are scouting for locations across these geographies that we have mentioned, both in our core geographies and also Bangalore, Kolkata, and Pune. So, maybe we will be in a better position to answer this question by the next call because still we are in talks with the landlords and we are still scouting for few more locations. So, maybe by next call we will have an answer, Anshul.

Dhiren Gala: Anshul, for FY'26, the guidance is the overall CAPEX for the newer centers would be around Rs. 150-155 crores and replacement CAPEX would be anywhere between 2%-3% of the overall topline.

Anshul: Thanks, Dhiren. I have other questions. I will fall back in the queue. Thank you so much.

Moderator: Thank you. The next question is from the line of Manik Bansal from Master Capital Services. Please go ahead.

Manik Bansal: Hi, sir. Thank you for the opportunity. My question is, like, what is the strategic rationale behind not participating in the PPP model at the National Health Mission that is gaining a lot of traction right now?

Vijaya Diagnostic Center Limited
July 28, 2025

Page 6 of 17

Sunil Reddy: So, we have discussed this in many calls earlier. PPP is not something new. And we have looked at it on many occasions earlier. So, there are two factors to PPP. One is that when you do business with governmental PPP models, the CAPEX remains the same, but your price realization drops. And secondly, the receivables become sometimes a problem. So, we have chosen as a company, our business model is that we stay away from PPP. It's just a choice of the company.

Manik Bansal: Okay, but if we look at on realization front, there are some labs that are operating on pay basis, like they collect from the patients itself. So, there is no case of getting reimbursement from government.

Sivaramaraju Vegesna: No, it's always a mix. And it also depends on the tender. There is no such contract which says only on cash mode, right. So, even across geographies, different PPPs, you have

ve a mix of both

cash and credit. Okay, but like sir mentioned, so the ARP is dropped and it requires different, like sir said, it's a choice that company we want to focus on B2C. If you have to do business, there are multiple channels B2B, B2C and PPP. It was a conscious call that we want to focus on B2C and grow B2C.

Manik Bansal: Okay, thank you. Thank you so much.

Sivaramaraju Vegesna: Yes, just to add to that, I would much rather open a center opposite the government hospital and do B2C business rather than doing PPP inside the government hospital.

Manik Bansal: So, sir, why is that? If you can just elaborate a little?

Sunil Reddy: Like we said, it was more of a choice, right, because of the receivable issues and also the CAPEX remains the same and the realizations drop. Our strength is like scaling up our model in B2C and the focus of the company and the management is to grow that part of the business.

Manik Bansal: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Siddhant from Tusk Investment. Please go ahead.

Siddhant: Good evening, sir. So, my first question is regarding the old center volume growth, what sort of growth are we seeing in the industry in terms of the old centers?

Sivaramaraju Vegesna: So, in fact, if you see the centers which were opened two years back, right, if you take the entire set, right, so they have grown at a CAGR of say 11%, which contributed, in terms of revenue, it has contributed almost close to 15% plus, right. But in terms of volume, they've grown close to 11. In terms of patient footfall, they've grown about 11%. And also in the test, if you see number of tests, they've grown roughly around 13% in the old centers.

Siddhant: So, that means that if revenue has grown by 15, then we are seeing the volume plus the price mix, so like 3%-4% has been the price hike?

Vijaya Diagnostic Center Limited
July 28, 2025

Page 7 of 17

Sivaramaraju Vegesna: Not the price increase. So, if you actually see, because since we have opened, a few of the hubs, even in the last 2 to 3 years, we have done a lot of hub addition, right? It is basically because of the hub addition, right? And if you also see the mix, revenue mix of this quarter, radiology was at around 39%, whereas pathology was 61%. And again, out of radiology, it was predominantly because of the advanced radiology. So, the price effect is only about 1.5%. The rest is because of the test mix that happened during the quarter.

Siddhant: Okay. So, basically, the old center volume is anywhere between 11% to 12% volume growth?

Sivaramaraju Vegesna: So, test volume is still at 13%, that 15%-16% of growth was delivered by that 13%, 13%-14% of the volume growth. Test volume growth.

Siddhant: This we are talking about the old centers only?

Sivaramaraju Vegesna: Old centers, yes. Overall at a company level, 20.4% growth was on account of 17% test growth and 14.4% footfall growth.

Siddhant: Right. So, sir, going forward, like how like this number should we project, like the old center or industry growth, will it be in the similar range or can we expect this to go up?

Sivaramaraju Vegesna: So, generally see, when we guide 15%, right, so we always say 15%, when we guide 15% of revenue growth, I think that that will be backed by about 13% of volume growth. So, out of which 9% to 10% of the growth would be coming from the existing centers and the rest is from the new centers.

Siddhant: So, that 9% to 10% will be the thing going forward also. Like we are not expecting that to increase?

Sivaramaraju Vegesna: Yes.

Siddhant: Okay.. And sir we are aggressively entering the West Bengal market, especially in Kolkata and other parts of West Bengal. So, what sort of growth are we seeing in this region versus like Telangana and Andhra Pradesh?

Sunil Reddy: So, Siddhant, firstly, we are not entering, we have fully entered into West Bengal. We have centers in West Beng

al which are fully operational, both in South Kolkata as well as in VIP

Road, Krishna Nagar, Barasat. So, we are fully there, right? And these centers are doing well, they are ramping up well.

Sivaramaraju Vegesna: So, still they are in the ramping up stage. So, if you see in terms of growth, it will look like close to 70-80 whatever percentage, but they are ramping up, still in the ramping up phase.

Siddhant: No, I just wanted to understand, like we are entering the Eastern market. So, how is the growth overall in the Eastern market, like versus our home market, which was Telangana and AP? So, Vijaya Diagnostic Center Limited

July 28, 2025

Page 8 of 17

we have entered Eastern India, so what sort of growth are we targeting or we are already seeing in Eastern India? That's why we have shifted our base or maybe we are wanting to target this market as well?

Sivaramaraju Vegesna: No, Siddhant, so actually, more than personally, we should see in qualitative terms. Like if you see the earlier, like pre-2021, we had only one center, which was Medinova, right? On that base, you are seeing now we started adding multiple centers. So, what we are basically seeing is to, at least in the next 2 to 3 years, it is like opening of more and more hubs, followed up by spokes.

And how do we ramp up Rs. 50 to Rs. 100 crore kind of revenue in this geography? Is the target more than in percentage terms, in the absolute terms, how do we go to 100 crore revenue, surpass that number in the next 3 years is basically the focus as of now. And for us to open more and more centers, the centers that we have launched are doing well. Earlier Medinova did well and then we launched VIP Road. It did break even within nine months and afterwards also we are seeing good traction at the center. And even in the recent centers, it's hardly been just 2 to 3 months, and the numbers are encouraging. So, that is the reason why we are looking for more and more centers in this geography.

Siddhant: Okay, sir. And sir in terms of margins, like what will be our margin profile be for like a new center, like for 0 to 1 or 0 to 2 years versus a mature center more than 3 years, what will be the margin profile?

Sunil Reddy: Are you asking about east or specifically about?

Siddhant: Overall, like even if like any general 0 to 2 years of operational of a new center, what will be the margin versus a mature center, which is a 3 plus?

Sunil Reddy: Well, we have declared an EBITDA margin, Siddhant. So, why would you want us to break that up?

Siddhant: Just to see how, like in terms of projection, like how fast it is getting ramped up, like are we making losses in the first year versus second or third year when we open a new center?

Sunil Reddy: No, but see, again, when we say that we are breaking even on a center in 2 or 3 quarters, that basically means that we are not making losses on a new center. So, beyond that...

Siddhant: So, there is no guidance, okay.

Sunil Reddy: I cannot give that guidance. It would be wrong for me to give that guidance because it will be sensitive and it will be information for my competition. I do not want to give that guidance.

Siddhant: Okay, sir, I will get back into the queue and thank you so much.

Moderator: Thank you. The next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Vijaya Diagnostic Center Limited

July 28, 2025

Abdulkader Puranwala: Hi, sir. Thank you for the opportunity. My first question is with regards to PH or Pune as a cluster. So, if I recall it correctly, we had added a couple of centers in last quarter Q4 and I think the revenues still are growing at a mild 3%-4% from this particular geography. So, any color as to how the ramp-up has happened at those new hubs and going ahead, how should we look at Pune as a territory for growth?

Sunil Reddy: So, as Mr. Ahmed, I think we have acquire

d this company PH and of course, they were the number one diagnostic brand in Pune when we acquired. But the only small constraint was that all of the centers were running at almost full capacity. So, that is the reason why even in earlier calls, we mentioned that we have to add new centers to kind of increase growth. And that is what we are doing. We are adding new hubs and new spokes in Pune right now. In terms of how to add color, if you have any suggestions, please give us suggestions. We are happy to listen to you.

Abdulkader Puranwala: I recall that you are adding hubs. So, just wanted to also understand that the two new hubs you added in Q4, any color there as to how the ramp-up has happened?

Sivaramaraju Vegesna: So, we added only one hub in Q4 and the second hub we just opened in the month of May and the full-fledged operation just started at the end of May. So, the one hub that we opened in Q4, like we mentioned in the previous call also, it took 1 to 2 months' time when compared to the other hubs. But now if you see, there is traction even in the Pune market. And we have seen an uptick in the revenues from the past 1.5 months at Pune. So, we will be able to give you more updates in the next concall.

Abdulkader Puranwala: Sure, sir. Got it. And, sir, just one more, if I may. On the EBITDA margins, so earlier we had guided that there would be an impact of, say, close to 100 bps to 200 bps margins this year because of new hub addition. Now that, you know, I think the operating drag is not that very significant. Is there any revision to the guidance that we had given earlier?

Sivaramaraju Vegesna: We are not revising the guidance. It will still be 1%-1.5% because there are five more hubs which are going to open in the next two quarters. So, as of now, and even in the Q1, like we said, few of the hubs, it was only 1.5 months of operations. Right. So, at a year level, still we want to maintain that guidance of 1%-1.5%, the EBITDA margin around 38-38.5% at a full year level.

Abdulkader Puranwala: Understood, sir. Thank you. And I will get back to you.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Yes. Hi. Good evening to the team. So, my question was on the IndAS impact, if you can please quantify for depreciation, write-off used assets and for interest, leased liabilities for this quarter?

Vijaya Diagnostic Center Limited

July 28, 2025

Dhiren Gala: So, the IndAS impact for this quarter is around 1%, around Rs. 1.8 crores. So, out of that, the interest impact would be around 0.92 and depreciation will be 0.95. So, overall around Rs. 1.8 crores will be the impact for Q1 FY26.

Lokesh Manik: Okay. That's it from my side, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital (India) Private Limited. Please go ahead.

Surya Narayan Patra: Thank you for the opportunity, sir. Congrats for the great set of numbers. My first question is about, let's say, if I see the revenue per patient for the quarter, in the slack quarter it is looking like the best so far. So, what is driving this? Is it some kind of mixed change within pathology or radiology? What is driving this? In fact, since last, if I see some 20-odd quarters, there is a consistent expansion in the revenue per patient and this quarter it is looking like the best ever. So, what is helping this achieving this number?

Sunil Reddy: Thank you, Mr. Surya. So, actually, so it is the, I would say, the strong brand and the trust that we have from our customers. What has been happening is that even in existing older centers, we are seeing strong growth and even though we are opening newer centers, new hubs and spokes are being opened, the growth in older centers is resulting at a consolidated level, the numbers are looking very strong. By the way, we have always

been very conservative in giving our guidance. So, I would say we are conservative and we are also very lucky.

Surya Narayan Patra: Correct, sir. So, also on the, if I just see the revenue per center also, that has also been very, very consistent and in the slack season, we are seeing one of the strongest kind of revenue per center number, although we have added new centers and which are not fully operational. So, something is really helping. What is that? I am not able to figure it out.

Sunil Reddy: Firstly, are you comparing us with pure pathology centers or non-pathology centers?

Surya Narayan Patra: No, I am saying just revenue per center only. On a broader basis, I am looking at it. So, I am

seeing one of the strongest number this quarter. So, although it was a kind of relatively slack period and new centers has been added. So, is that there is a conscious focus or approach that we are adopting to improvise our revenue per patient and that is how ultimately this center numbers are, revenue per center or revenue per patient, those numbers are getting inflated or getting improved?

Sunil Reddy: Okay. There are two factors. One is firstly, this is not slack season. Typically we look at Q3 or maybe part of Q4 as being slack season. So, anyway, that is different. But also if you look at the mix, radiology has been slightly higher in this quarter, right?

Surya Narayan Patra: Yes, that is clearly visible. 39%.

Vijaya Diagnostic Center Limited

July 28, 2025

Page 11 of 17

Sunil Reddy: Yes. So, what happens when radiology is higher is your average revenue per patient will automatically move up, right? Because the test costs are higher. That is what you are seeing.

Surya Narayan Patra: Yes, exactly. So, I think this is the best number in terms of the radiology contribution for the quarter that we are witnessing. But in terms of the scope and opportunity for the radiology's progression in terms of revenue share, if we see, what is the maximum potential scope in terms of the radiology's revenue share to the overall company's revenue?

Sivaramaraju Vegesna: So, Surya, firstly, see the advantage of the model itself, like we discussed over multiple calls, is that we are B2C integrated and creating that dense network in the geographies that we operate.

Even if you take the Hyderabad market, which is almost 70% of our revenue, in this market itself, time to time, we have expanded the network, right? And there's not a large gap between player number one and player number two in this market, right? And with the awareness that is getting created over branded healthcare play, which we have, to a certain extent, we have seen in hospitals, right? And also many other things are playing out. If you see the wellness share last year, Q1 is about close to 13.5% versus 14.2% now. If you take home collection as a channel, earlier we were at 2.5% of our overall revenue, now we are close to 3.2% to 3.3%. And also the revenue that we are getting through digital means. There are multiple things that are working well for the company. And the advantage of becoming B2C player with dense network is that you get stronger year-on-year in the geographies that you operate, right? So, that which will allow you to inch the market share. So, that's what I think we were, to a certain extent, we were seeing every year for the last 3 to 4 years, if you see, know, Hyderabad is still playing well for us, right? And, as a market, Hyderabad healthcare market is still growing at that double digit, I think, and Vijaya being the strongest player with the trust that we have from our patients, I think that will allow us to grow in that double digit at least in the near future.

Surya Narayan Patra: Okay. One point about the wellness, sir. See, there is a kind of, you are delivering one of the fastest growth compared to anybody in the industry. So, far as wellness is concerned, what is really helping you here? It is a kind

of enhanced focus towards the packages, the number of packages that you offer, or it is the kind of that having package covering both radiology and pathology, what is helping you to achieve a faster growth in the wellness compared to the overall market wellness growth trend?

Sivaramaraju Vegesna: It's a mix of both, Surya. It's basically the focus of the company and also the awareness that's been created in the market, and the coverage that we have increased to offer to our corporate customers. So, it's a mix of all the three.

Sunil Reddy: Also, Surya, just to be clear, when you look at any of the larger diagnostic players, and you look at wellness in absolute terms, the numbers are not going to be very big. So, any incremental change, if you really look at it in absolute terms is not very big, right? So, we are getting more because of probably patient awareness is higher, our digital marketing is doing better. If I add 1 or 2 crores more in a quarter, that will look better.

Vijaya Diagnostic Center Limited

July 28, 2025

Page 12 of 17

Surya Narayan Patra: Towards the base?

Sunil Reddy: Yes. In percentage terms, you will see a significant number, but don't go too much by the percentage terms. Look at the absolute numbers.

Surya Narayan Patra: Sure, sir. Just last one point, sir, from my side. Can you just tell me the number of the six center addition during the quarter, which all the area that you have added?

Sivaramaraju Vegesna: So, we have added two in Pune, one obviously Ambegaon in the far end of Q4. And the second one was Kalyani Nagar. Then two in Kolkata, in West Bengal. So, one in Barasat, Kolkata, and then Krishna Nagar, a district two hours away from Kolkata. Then we added two in Bangalore, which is Yelahanka towards your Hebbal and one in HSR.

Surya Narayan Patra: Okay. Sure, sir. Thank you. Wish you all the best.

Sunil Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta: Hi, good evening. So, I have a few questions. First is, like from the newly opened hubs, how much incremental volume growth can be expected over the next 2 to 3 years?

Sivaramaraju Vegesna: Sumit, I think our guidance is always consistent from the time of IPO days. The guidance would be 15% plus of revenue growth backed by volumes, which will be about close to 13%. And 1.5% to 2% would be the change in the price. So, we would like to stick to that. Obviously the effort that we are putting is to surpass that, but then the guidance we want to be consistent on our guidance.

Sumit Gupta: That's fine. Just I was looking from the newly opened hub. So, how is the traction that you are getting in, let's say, Bangalore and with respect to West Bengal market also, how is the competitive scenario shaping up?

Sivaramaraju Vegesna: So, like we told, Sumit, competition scenario is the same always, right? It is only that, every company has their own strength. And in terms of the kind of equipment, quality, people, many other things that we have. And Bangalore, like we discussed earlier, there's a lot of, again, branded healthcare play in terms of hospitals. And when you see in integrated diagnostics, you have very limited, you have more number of players with only 2 to 3 centers each operating at different pockets. That is where, and with the strength of radiologists that we have, we definitely would leverage that strength. And all these factors are helping us to get that faster traction in these geographies.

Sumit Gupta: Understood. And with respect to wellness, what's the margin like wellness generally means? I understand it's small with respect to on the quantum side, but the margin front, how much is it?

Vijaya Diagnostic Center Limited
July 28, 2025

Page 13 of 17

Sivaramaraju Vegesna: We should not actually, we don't track that separately. At a gross margin level, obviously, you will have some impact. But i

f you see wellness is that extra business that you do other than your need-based business. Just by adding one footfall to a branch is not going to increase your fixed cost at that branch. It is only the variable cost, which is like ~30% of our total cost is variable and ~70% of our total cost is fixed in nature. So, at EBITDA level, it doesn't matter much, but yes, at a gross margin level, you will have lower margins on wellness.

Sumit Gupta: Right. So, going forward also, we can expect this 14% kind of contribution to stay at this level, or we can see some increase?

Sivaramaraju Vegesna: So, it keeps changing between quarters, but at a year level, maybe I think...

Sumit Gupta: No, on a blended basis.

Sivaramaraju Vegesna: Yes, blended basis, 14% to 15%

Sunil Reddy: Typically, Sumit, earlier in fact it used to be about 11% to 12%. So, 14 is actually at the higher end of the band.

Sumit Gupta: Okay. Yes, I was asking because this has increased around 150 bps. So, going forward also, we can expect this trend to continue or stabilize. So, you're saying stabilization around 13%-14%?

Sivaramaraju Vegesna: Yes, at this range, yes.

Sumit Gupta: Understood. Thank you. All the best.

Sivaramaraju Vegesna: Thank you.

Moderator: Thank you. The next question is from the line of Harshal Patil from Mirae Asset Capital Market. Please go ahead.

Harshal Patil: Good evening, sir. And thanks for the opportunity. Sir, just one clarification, you did earlier say that out of the revenue per test increase, about 1% to 1.5% would be largely attributable to some price increases. So, I presume that this would be ideally done in some select pocket or some select category of tests for this quarter. So, would that be the right assumption?

Sivaramaraju Vegesna: So, every year we take select tests of select geographies, right? It is not across the test menu, it is across a few tests, your understanding is right.

Harshal Patil: So, going ahead, I believe like further price hikes, or something should be possible or shouldn't be possible? I mean, considering that we have taken for some select tests only.

Sivaramaraju Vegesna: So, as of now, see, if you ask me, yes, it is possible. But in this particular financial year, we have no plans of increasing the pricing further. Generally, we do in Q1 of every financial year.

Vijaya Diagnostic Center Limited
July 28, 2025

Page 14 of 17

Harshal Patil: Okay, that helps. And sir just second question. In our core markets, Hyderabad, we have been really going strong in terms of test volumes and the reason you alluded to rightly was market share gains. I presume this would be more from the unorganized sector. So, just extrapolating this and wanting to understand like the new centers which we have been commissioning, they're also kind of gaining some good traction and we have been reporting some good growth numbers. So, apart from the underlying demand, is there also this market share gain theory working around

or not?

Sivaramaraju Vegesna: So, Harshal, definitely right. So, because if you see Hyderabad, like we said, we don't have numbers in hand, but definitely we are gaining some market share because competitors are not growing at this pace. And in all the other geographies, the new geographies, like Pune, Kolkata, Bangalore, all these are new geographies where we just started growing. So, definitely, as we progress, at least for the initial years, we will be gaining some market share every year in these new geographies.

Harshal Patil: Okay. That helps. Thank you and all the best.

Sivaramaraju Vegesna: Thanks.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Thank you again for the opportunity. My question was on pathology. So, for sourcing, what is the model that you employ? Is it CAPEX driven where you purchase the equipment and then the consumables or

it is a rental reagent model that many peers follow in the market? Which model do you follow out here?

Sivaramaraju Vegesna: It is a reagent rental model.

Sunil Reddy: Mostly for routine lab testing, it is always on reagent rental. Only on the more specialized lab testing, we end up buying the equipment.

Lokesh Manik: Okay. And the repair and maintenance cost would be on the OEM or this would be on our books?

Sivaramaraju Vegesna: If it is reagent rental, it is with the OEM, not on our books. If you purchase it, then it will be on your books.

Lokesh Manik: Great. Thank you so much, sir. That's it for my side.

Moderator: Thank you. The next question is from the line of Gaurav from Antique Stock Broking. Please go ahead.

Gaurav: Hi. Good evening. Congratulations, sir. On the gross margin trajectory, we were seeing some softer margins, you know H2 of last year. And this year also, given the FOREX, etc., we were

Vijaya Diagnostic Center Limited

July 28, 2025

Page 15 of 17

expecting some input cost pressures and some gross margin decline. But gross margins have actually expanded this quarter. So, anything that has changed, we have not taken pricing hike as well. So, any structural change and what should be the gross margin guidance for this year?

Sunil Reddy: See, in our business, especially in a B2C model, you have to understand that price changes are not easy to do. So, it only happens occasionally when our input costs go up. And if you look at input costs, in the recent times, there have been a few input costs due to which certain tests, certain specific tests, yes, we have increased prices. But across the board, we have not increased prices. So, as Siva mentioned earlier, we have got growth basically because of volume and footfall growth.

Sivaramaraju Vegesna: And if you see the test mix, Gaurav, so 39% is radiology. Whenever radiology revenue goes up, you will see higher gross margins because the material consumption radiology is much lesser than what you see in pathology.

Dhiren Gala: Also, Gaurav, within radiology also, the advanced radiology component has gone up with the new hubs coming up during this quarter. And also, if you compare it with Q4, the wellness proportion has reduced a bit. So, all these factors have resulted in higher gross margins for the quarter.

Gaurav: So, we have always seen the radiology business growing faster than the pathology business. So, the gross margin trajectory on an annual basis should keep on improving, generally, directionally, since the radiology is growing faster and share will keep on growing?

Sunil Reddy: No, necessarily, Gaurav, because at our scale, the proportion of radiology and pathology will not change significantly. Maybe on a quarterly basis, you might see a 1% or 2% change because we have added some hubs. And next quarter, we may add more spokes. So, that 1% or 2% will change. But beyond that, you will not see a big change. And so you are not going to see a big change in the mix between radiology and pathology.

Gaurav: Understood. Second question that I have, so Q2 is generally the best for a pathology business. And, one month has passed into Q2. Any indication you can give us how is the acute season shaping out this quarter?

Sivaramaraju Vegesna: We have to still wait, Gaurav, because to be very frank, the season, the general Q2 season where you see a lot of fever related testing all that, they just started picking up. So, initially, we thought this time it was early monsoon, but then actually the monsoons are slightly delayed in the geographies that we are operating in at least.

Gaurav: Okay, sir. I will join back the queue. Thank you so much and all the best.

Sunil Reddy: So, don't take that as a negative. Don't take that as a positive. We cannot comment on anything right now.

Vijaya Diagnostic Center Limited

July 28, 2025

Page 16 of 17

Gaurav: Sure, sir.

Moderator: Thank you. The next question is f

rom the line of Siddhant from Tusk Investment. Please go ahead.

Siddhant: Hello. Sir, is there any capacity constraint per center in terms of volume or revenue like beyond which it is not possible to grow?

Sivaramaraju Vegesna: It actually depends from center to center, Siddhant, because sometimes you see capacity constraint on radiology on few of the equipment. But again, it depends like we have spokes which are about from 1,800 square feet to 3,300 square feet, 3,500 square feet. Each center have a different capacity. So, it's definitely every center I think beyond a point will have capacity constraint, but then difficult to generalize and give you a number.

Sunil Reddy: Right now, largely, Siddhant, we don't have that in our network. To some extent in Pune, we did have that. We acquired PH, we did have some capacity constraints. But as you know, we are adding new centers in Pune just to address that. So, beyond that, there are no capacity constraints currently.

Siddhant: Right. But it will be very difficult to actually put like quantified in terms of volume or revenue?

Sivaramaraju Vegesna: It's because like within the spokes, like we told earlier, so within the spokes, we have a spoke generating Rs. 6 crore revenue a year. So, ideal spoke will generate Rs. 2 crores- Rs. 2.5 crores.

But we do have spokes, which are generating about Rs. 6 crores- Rs. 6.5 crore per year as well.

So, it is slightly difficult to quantify that number, Siddhant.

Siddhant: Right. Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Amey Chalke from JM Financial Institution. Please go ahead.

Amey Chalke: Yes, thank you so much. So, I have one question on management bandwidth, considering we are now moving aggressively outside AP, Telangana, like in three regions, East India, Bangalore, Karnataka, as well as Maharashtra. So, how are we looking to expand our team and what steps we have taken on that?

Sivaramaraju Vegesna: So, in fact, over the last four quarters, we have added a lot of lateral talent, which we also have given the disclosures in the previous quarters. In fact, in Pune recently we added an AVP Sales & Operations. And also, we have strengthened the sales team by taking people from the relevant industry. So, time-to-time, I think if you see the geographies, both Pune, Kolkata, and Bangalore, we have the team which is already in place. And time-to-time, we are adding, you know, mid to senior level management as and when required.

Amey Chalke: So, are we going to have like regional heads or currently it is been operating out of Hyderabad?

Vijaya Diagnostic Center Limited

July 28, 2025

Page 17 of 17

Sivaramaraju Vegesna: So, we have regional heads reporting into Hyderabad corporate, the policies, everything, the way we operate, everything is similar across geographies. But all the three geographies, Pune, Kolkata, and, Bangalore, we have regional heads.

Amey Chalke: Sure. And the second question I have is on the inorganic expansion. I understand we are organically expanding very well. But we also have a good amount of cash. So, what's our plan over there? Are we going to look to expand in the core regions or it will be largely outside the core regions?

Sunil Reddy: So, Amey, if JM can give us a good acquisition opportunity, we are very happy to acquire.

Sivaramaraju Vegesna: So, we are on the look for acquisitions as and when we get the right opportunity, that's a continuous process. So, as long as that falls, when we have all the boxes ticked in terms of valuation, quality of the asset, other integration aspects, we will be happy to do that.

Amey Chalke: Sure. Thank you so much. I will join back the queue.

Amey Chalke: Thank you. As there are no further questions, I now hand over the conference over to management for closing comments.

Dhiren Gala: I would like to thank everyone for attending this call. Should you need any further clarification

or any other information about the company, please feel free to reach out to us. Thank you so much.

Sunil Reddy: Thank you.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Nov 2025

November 07, 2025

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on November 04, 2025

Referring to our letter dated November 04, 2025, we are enclosing herewith the Transcript of the Earnings Conference Call organized on November 04, 2025, post declaration of the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 2025.

Please take the information on your record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: as above

To
The Listing Department,
National Stock Exchange of India Limited
NSE Symbol: VIJAYA To
The Corporate Relations Department,
BSE Limited
BSE Scrip code: 543350

"Vijaya Diagnostic Centre Limited Q2 FY'26 Earnings
Conference Call "

November 04, 2025

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, VIJAYA DIAGNOSTIC CENTRE
LIMITED
MR. SIVARAMARAJU VEGESNA – VICE PRESIDENT
(OPERATIONS), VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. DHIREN GALA – ASSISTANT GENERAL MANAGER
(STRATEGY & INVESTOR RELATIONS), VIJAYA
DIAGNOSTIC CENTRE LIMITED
MODERATOR : MR. AMEY CHALKE – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

Vijaya Diagnostic Centre Limited
November 04, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to Vijaya Diagnostic Q2 FY'26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amey Chalke from JM Financial. Thank you and over to you, sir.

Amey Chalke: Thank you. Good evening, everyone. I am Amey Chalke and on behalf of JM Financial, I would like to extend a warm welcome to all of you to the 2QFY26 Earnings Call of Vijaya Diagnostic Centre.

At the outset, I would like to thank the management of Vijaya Diagnostic for giving us an opportunity to host the call. We look forward to having an engaging and insightful discussion on the company's quarterly performance and outlook.

From the company, we have with us today, Ms. Supriya Reddy – Managing Director and Chief Executive Officer; Mr. Siva ramaraju – Vice President (Operations), and Mr. Dhiren Gala – Assistant General Manager (Strategy and Investor Relations).

With that, I will now hand over the call to the Management for their opening remarks. Over to you, ma'am.

Supriya Reddy: Thank you, Amey, for hosting the call. Good evening everyone and thank you for joining the call.

I would like to begin by sharing an Update on our "Operational and Financial Performance for the Quarter and the Half -Year ended September 30, 2025":

The consolidated revenue for the current quarter stood at Rs.202 crores, reflecting a revenue growth rate of 10.2% year -on-year and 7.2% quarter -on-quarter. This growth was primarily driven by an 8.3% year -on-year increase in the test volume.

Our EBITDA margin for the quarter ended stood strong at 40.6%, reflecting the resilience of our business model with a minimal drag and an encouraging performance from the newly launched hub centres this year.

PAT margin was also very healthy at 21.5%.

Moving to the "Half-Yearly Performance":

Vijaya Diagnostic Centre Limited

November 04, 2025

Consolidated revenue stood at INR390 crores, reflecting a healthy year -on-year growth of around 15% in line with our guidance.

EBITDA was INR155 crores, translating to a margin of 40%, while PAT stood at around INR82 crores with a margin of 21%.

Vijaya commenced Q3 FY26 on a very positive note, witnessing a notable increase in footfalls and revenue across the network.

Regarding the merger, we have received the NCLT approval order in October for Medinova Diagnostic Services Limited with the company, effective April 1, 2024.

I am also happy to share that our Yelahanka Hub Centre in Bengaluru achieved break -even within just two quarters of operation, well ahead of the projected one -year timeline. This strong performance underscores the growing demand of high -quality integrated diagnostics in the region.

Our HSR Layout hub centre is also progressing well and is on track to reach break -even ahead of the plan.

Building on this momentum, we have finalized the lease for our flagship centre at Bannerghatta, Bengaluru. This upcoming facility will feature an automated lab and advanced radiology infrastructure, including PET -CT with cardiac CT.

Moving on to "Other Expansion Update":

I am pleased to announce the successful launch of our Hub Centre in Kasba, Kolkata during this quarter, marking a third hub centre launch in West Bengal this year. Two additional hubs in the state are on track to be commissioned in Q3 FY26.

The hubs that commenced operations in Krishna Nagar and Barasat last quarter are progressing well and are expected to achieve break -even ahead of the estimated

time.

In line with our strategy to strengthen our presence across our tier-2 locations within our core markets, we have operationalized two new hub centres at Nandyal in AP and Khammam in Telangana. We have also begun to see an uptick in volumes across both existing and new centres in Pune PH over the past two months.

To conclude:

Vijaya Diagnostic Centre Limited

November 04, 2025

We are encouraged by the strong response to the Vijaya brand in the new markets and remain committed to expanding our network through new hubs and spokes across the regions that we operate

in.

That is all from my side. I would now request the moderator to open the line for Q&A. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session and whoever wishes to ask a question may press "*" and "1" on your touchtone phone. If you wish to remove yourself from the question queue you may press "*" and "2". Participants are requested to use handsets while asking a question.

Ladies and gentlemen, we will wait for a moment while the question queue is assembled. The first question is from the line of Nancy Yadav from Allegro. Please go ahead .

Nancy Yadav: Hi ma'am. Congratulations on a great set of numbers. I just wanted to clarify a number. Could you just tell me the net debt or net cash number for September end?

Dhiren Gala: The surplus cash as at 30th September 2025 is around Rs.235 crores, excluding the deferred capital creditors' balance. The actual cash balance is around Rs.295 crores.

Nancy Yadav: Sorry, so this is excluding the ?

Dhiren Gala: Deferred capital creditors ' arrangement for our capital equipment vendors.

Nancy Yadav: Understood. Thanks a lot.

Moderator: The next question is from the line of Anshul from Emkay Global. Please go ahead.

Anshul : Hi. Good evening.

Dhiren Gala: Hi, Anshul. Good evening.

Anshul : Great. First question is on our Q2 performance. While this is a seasonally strong quarter, I understand even for the industry this was slightly muted. But anything particular to call out in the current quarter why our performance has sort of dipped?

Dhiren Gala: So, Anshul, yes, entire India had a great monsoon. But what we have experienced in the regions where we are present is that because of the continuous rains, there was lower incidence of monsoon - related diseases. And that is why there was a little bit of muted growth. Secondly, a little bit of growth was also impacted during last week of September because of the festive season coming slightly early this time around. And also , thirdly, we are also looking at a higher base where last year we grew at 23% year -on-year. So, these three put together resulted in slightly lower growth this time around.

Having said that, we have time and again stated that we need to look into this business from a full -

Vijaya Diagnostics Centre Limited

November 04 , 2025

year perspective and not just the quarter. So , I think, as ma'am stated, we are looking at good increased footfalls across our network at the start of Q3 . So, we are hopeful for a good Q3.

Sivaramaraju Vegesna: And just to add, Anshul, to what D hiren said, if you actually break down the revenue and see, we still grew at a higher double -digit in radiology. So , the radiology revenue growth was about 16%.

The drag actually happened in pathology because last year we had a lot of dengue and malaria -related cases, which was not the case in the current financial year. Because of the base effect and also generally monsoons are very like Q2 is very strong, but this time we did not see the fever -related testing. So, that was one reason why the growth is slightly muted. But otherwise, if you see on the radiology segment, we still grew at 16%. And the early Q3, the numbers are slightly encouraging. We are back on track as per our guidance.

Anshul : Got it. While ma 'am did allude that Pune region seems to be d

oing well, but any insights or any color

that, whether we expect quicker, faster than expected break -even just like in Bangalore or Kolkata?

Suprita Reddy: For Pune, probably I would stick to our timelines and we are little conservative there on the timelines, because it is something that we acquired. I have told you that we had a lot of cleanup that we have been doing. It was a conscious decision to make sure that we let go of certain clients because of payment issues, all the debtors, all of that, right? So, if we actually look at Pune, like I have mentioned, there is an uptick there in the last two months. It is looking positive. So, I would still give it the time that we have mentioned earlier, and we are very confident that Pune will also grow. But Bangalore, because it was a new geography, Anshul, I had said a year, and it has broken even much earlier. So, that is kind of encouraging for us to open a lot more hubs than probably what we have mentioned. So, Pune, we will stick to our guidance that I have given earlier, and Bangalore, you will be seeing a few more hubs coming in.

Anshul : Got it . Very clear. Just one last question from my end. Gross margins seem to have contracted despite radiology growth being strong on a QoQ basis. Again, could you help me understand the reason for this?

Dhiren Gala: Gross margins, if you just compare year -on-year, they have actually increased from 87.2%, I think, to around 88%, and that is largely because of the hub additions which we have done in the past one year.

Sivaramaraju Vegesna: And also, Anshul, there is slight increase in the input costs from many of the vendors, which we still did not take any price hike for that, since there is also a reduction in the GST, right? Maybe in the coming quarters, we will see the benefit again. So, yes, in the current financial year, because of the dollar fluctuation, etc., there was a slight increase in the input costs from the vendors. That is one of the reasons why you see the slight contraction from Q1 to Q2.

Vijaya Diagnostics Centre Limited

November 04 , 2025

Dhiren Gala: Also, Anshul, what happened in Q2, in absolute terms, although the growth for the pathology segment was lower, in absolute terms, the pathology number is higher. So, that is why you see a little bit of contraction when you compare quarter-on-quarter, Q1 versus Q2.

Anshul : Got it. Very useful. Many thanks. I will rejoin the queue.

Moderator: The next question is from the line of Aksha from Investec Capital. Please go ahead.

Aksha : Hello, sir. So, I have two set of questions. One is, what has been the growth rate on an organic basis and inorganic basis? And second question is, of late we are seeing a number of players like Redcliffe, Tata 1 mg launching testing packages for the GLP weight loss management program. So, any color on these? Thank you.

Sivaramaraju Vegesna : So, organically, whatever growth that we have 10.2% is on organic growth, right? If I have to exclude

PH and see, you will see maybe 50 bps more growth if you see on a standalone basis.

Dhiren Gala : And on the GLP front, yes, we have been hearing a lot of reports that the impact is expected to be positive. But the magnitude of impact is something which we are yet to assess and we will kind of see how things evolve. Most of the parameters which are included in the GLP drug package, especially before the treatment are already part of few of our existing comprehensive wellness packages. So, once we hear and experience demand picking up, then we will definitely be ready with the packages exclusive for GLP for pre, during and post treatment phase.

Suprita Reddy: So actually, we do about close to almost over 10,000 walk-ins a day. And in the last few months with all of this going on about GLP -1, we have not seen a single request come in either from a customer walk-in or a consultant or probably a CME that would

have been conducted for us from any of the endocrines or the doctors to actually say what goes into a package. So, all of these packages that we see in the market today are varied in kinds of testing. So, there is something that they have come up with. So, we would like to give it some time, understand this, get some guidance from the specialists and the clinicians and then probably look at how we would want to address this.

Aksha: Okay, ma'am. That was useful. Thank you.

Moderator: The next question is from the line of Krishna Raj from Equity Health Management Private Limited. Please go ahead.

Krishna Raj: Thanks for the opportunity. So, my first question was the revenue per patient of Vijaya is far higher compared to the national players. I just wanted to understand what is it Vijaya is doing different than

Moderator: Your line is breaking. Would you please come to the network area so that we can hear you clearly?
Vijaya Diagnostic Centre Limited
November 04, 2025

Krishna Raj: So, my question was, the revenue per patient of Vijaya is higher compared to the national players. I just wanted to know what is that Vijaya is doing different from the peers that we have a higher number, and also what are the factors that would drive revenue per patient?

Suprita Reddy: So, Krishna, the basic fundamental difference is that we are a 95% over B2C company with a mix of both radiology and pathology in a ratio of almost 60:40, with all of our patients actually walking into our facilities. If you are saying national players, I am assuming that some of the other labs mostly do B2B samples and have B2C customer bases in their co-geographies. Because of the radiology and pathology mix and being a direct B2C-driven company the per revenue mix per patient is higher. So, that is the key differentiator here. And I am sorry I did not get your second question.

Krishna Raj: What would be the factor that would drive the number higher going forward?

Dhiren Gala: So, that will be a function of the hubs and spokes. The more number of hubs we open, definitely the advanced radiology proportion will be higher and that will lead to an increase in revenue per test and secondly, increase in realization across tests. But if you see historically, we have just done 1%-1.5% of price increase every year. So, these are the two factors which will help increase revenue per test.

Krishna Raj: My second question was same as the previous participant asked. So, opportunity for diagnostics do you see more number of volumes that can come in when the patent of the weight loss drugs goes in from next year?

Sivaramaraju Vegesna : Sorry, can you repeat, Krishna? I think, like we said, we have to wait and see, but otherwise, yes, any

new change that comes will ideally be a positive for diagnostics because if somebody is undergoing a new treatment, to check the effectiveness of treatment obviously they have to undergo more testing. But to comment on the real numbers, I think we have to wait and watch for now.

Krishna Raj: Thank you. That is it from my side.

Moderator: The next question is from the line of Abdul kader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala : My first question is with regards to the slowdown that we have witnessed in the Hyderabad market in terms of our revenues going in low single digit. So, anything to read here or this is mainly on account of the seasonality what you just spoke about?

Sivaramaraju Vegesna: Abdul, like we said, it is about the seasonality because if you see again within the radiology, we still grew at more than 16% at a company level. So, the slowdown happened in the pathology segment

and last year in the base organically we grew at 23% where pathology was dominating because of fever-related testing which was not the case in the current year. And, like Dhiren mentioned, it specifically happened in the

month of August and the last 10 days of September because of the festive season coming early. Like we said in Q4, you also have seen Q4 slightly lower than the number that
Vijaya Diagnostic Centre Limited
November 04, 2025

we guide, but at a year level always we are performing better than our guidance. So, that is the reason we always say we have to see this business at a year level, but we are very confident in the coming quarters we will do better than what we are guiding.

Abdulkader Puranwala: Okay. So, sir just next on your guidance, so are we holding on to the 17%-18% top line growth and EBITDA margin guidance of 38%-39% for the full year?

Dhiren Gala: Abdul, right from our IPO days our guidance has remained the same. We are comfortable guiding at 15% CAGR over the next three years. Obviously, every quarter you might see maybe we deliver 16%-17% or sometimes 14%-13% as well. But as far as our comfort is concerned we are comfortable at 15% although we have time and again stated internally the work is going on to deliver a better growth number. And in terms of EBITDA, for this financial year if you remember we guided about 38%, but because the new centres are performing well in the last quarter, we delivered about 39.2% and this at H1 level it was about 40%. So, I think more or less for the financial year we will be surpassing the guidance on the EBITDA margin.

Abdulkader Puranwala: Understood sir. Thank you. I will join back the queue.

Moderator: The next question is from the line of Devendra from Marcellus Investment Managers. Please go ahead.

Deven: So, my question was regarding Pune. So, I can see the revenue has declined in this quarter despite adding four centres in the last two quarters. So, anything you can share about that? And also if you can share any numbers on how the new hub centres in Pune are ramping up?

Sivaramaraju Vegesna: So, Devendra, if you see the last two quarters, yes, right, from Q4 revenue dip was actually coming down. So, if you actually see Q2, similarly the way that happened in Hyderabad, if you see Q2 of last year, Pune did really well, because again monsoon-related testing. This year in spite of pathology not growing much, because Kalyani Nagar just opened in the month of end of May and the real operation started from the month of June, like I said, full-fledged operation started from the month of June. So, this centre, like ma'am mentioned, took some time. We started seeing uptick in numbers only from the last two months. Because you are seeing quarter as a whole, yes, there is a dip of 2% in revenue, which was 5% in the last quarter, and about close to 7%-8% in Q4. So, I think, two quarters from now is when you will see the actual growth coming from Pune. But quarter-on-quarter we are getting better. Like we said, it was a conscious call that we have to clean up by letting go of few of the clients. And coming to the new centres, Ambegaon which was opened in I think early April, so, that centre, we are very confident that it will break even within less than one year... maybe it may happen by 10th month is what we feel right now. So similarly, Kalyani Nagar which started full-fledged operations in the month of June, I think by next June we are confident that it will break even.

Vijaya Diagnostic Centre Limited
November 04, 2025

Deven: Okay. Understood. And when do you plan to resume new Centre addition in Pune?

Suprita Reddy: Sorry?

Deven: When do you plan to resume new Centre addition in Pune?

Suprita Reddy: I would like to wait definitely on adding a few more hub centres. Spokes in fact, as we speak, I think the team is looking at certain locations and you will see certain spokes come up. But hub addition, probably will take some time. We are going to wait for both of these centres to actually settle down and only then look at adding any more hubs in

Pune.

Deven: Okay, understood. Thank you.

Moderator: The next question is from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.

Hitendra Pradhan: So, my question was related to the GST input that you mentioned earlier. So, are you observing any cost related to the GST reform?

Suprita Reddy: Mr. Pradhan, the business itself is a GST-exempt business, and on top of that, if you look at our pricing, we have always been growing only with volumes, not with an increase in price. And if you look at advanced and high-end radiology, there has not been an increase in price for over almost five to six years. So, we will have to look at this and then probably see what the impact is and then take a call. So, we are basically always saying that we would like to grow on volumes and not on price increase. So, there has not been other than a 1%-2% price increase on all of these tests, mostly related to lab over the years. So, we will definitely have to give it some time.

Sivaramaraju Vegesna: And like we told you, so there was a certain parameter where the input cost has gone up, but still we did not increase the pricing of the test here.

Hitendra Pradhan: Okay, understood, sir. Thank you.

Moderator: The next question is from the line of Shivam from Elara Capital. Please go ahead.

Shivam : So, ma'am, I have just one question. So, basically in your opening remarks, you have mentioned that you are focusing more hubs in the Bangalore because of achieving break -even faster than the expected timeline. So, just wanted to know that have you finalized any numbers on that or how are we looking at the Bangalore market as a whole?

Suprita Reddy: Bangalore market as a whole, we have mentioned earlier, you will be seeing about four to five hubs in total coming , out of which , two hubs have already come up. So, you will see another three , out of which Banner ghata has already been finalized , it is a state -of-the-art centre . It will be the flagship

Vijaya Diagnostic Centre Limited

November 04 , 2025

centre for Bangalore with an advanced PET -CT, with a cardiac MR , it is a full -fledged centre . You will also see a couple more hubs come , and we are simultaneously looking at adding spokes also in our core geographies and in the Bangalore and the Kolkata markets as well. Overall, our guidance of the four to five hubs and ten to twelve spokes, you will see probably by this year end as guided earlier.

Shivam : Understood, ma'am. So, that addition will likely to be continued in FY27 also going forward?

Suprita Reddy: Yes. This is for the next financial year.

Shivam : Okay. Just one more question on my side. So, what was the CAPEX number that we are expecting for the second half of FY26?

Dhiren Gala : The CAPEX number would be Rs.160 crores and we have actually incurred majority of the CAPEX by H1FY26. So, that will be the CAPEX number , and then for FY27, the CAPEX is likely to be anywhere between Rs.100 to Rs.120 crores.

Shivam : That is it from my side. Thank you.

Moderator: The next question is from the line of Karan Gupta from ACMIL. Please go ahead.

Karan Gupta: Yes, hi. First question is regarding the industry as a whole. We have seen the couple of quarters good growth . So, what is now the industry competitiveness -- any price cutting from the competitors to get the market share and all these things?

Sivaramaraju Vegesna : So, I think on the industry competitiveness, there is not much change, right? So, we are seeing different types of competition from standalone players, from pathology chains to the new -age players, right , and also the discounted players. I do not think, at least for the last three -four quarters, I would say it is status quo. So, it is similar competition that we are seeing from the markets that we are operating in. Right? And coming to the market share, etc., these numbers are something that we also

g

et from many firms, but we are not sure about any exact number , because different research firms have different projections, right? But overall, if you see, at a country level, they say that this diagnostic market is expected to grow at 11 %-13%, right and whereas we are growing slightly at 15%-17%. So, again, we will have to wait and see for these numbers because every year they publish slightly different numbers with 1 %-2% here and there. But otherwise, on the competitiveness, I do not think there is much of a change that any new competition that would have come in the last four quarters.

Karan Gupta: Okay. Okay. And for this direct -to-customer channel, we have 93% kind of share. So, in the future, do we think that we are diluting this maybe some percentage will go to B2B side? This kind of change in its strategy to build for the market share and growth or because we are sticking with this B2C channel?

Vijaya Diagnostic Centre Limited

November 04 , 2025

Dhiren Gala: No, Karan. We have been focusing on B2C. 92% is B2C. So, we do not foresee significant dilution in that proportion going forward as well.

Karan Gupta: Can you share of the repeat patients from the existing network hospitals , because obviously you are connected with the hospitals and they are referring to you , any metrics that you can share?

Suprita Reddy: Karan, we are unable to hear you. There is a lot of disturbance.

Karan Gupta: Any metric that we can track that the hospitals are referring the patients to you , so, repeat patients numbers or anything , obviously, the hospitals are referring patients to you guys in the B2C side , so, anything?

Suprita Reddy: Hospitals do not refer patients to us , Karan. A customer who is basically walking into a hospital probably decides , because in India , diagnostics is an out -of-pocket expense. The customer decides where he would like to go, pay and get his test performed. The customer who is actually undergoing the test , decides that he would like to come to us. Hospitals do not send these cases to us. The cases that the hospitals send to us are called corporate tie -ups, which we do have with 100 -150 kind of bedded nursing homes and that is something that they send , that does not come in this B2C portion that we are talking about. This is a customer base where the customer is choosing to walk into one of the Vijaya Diagnostic and get his test performed.

Karan Gupta: Okay. Thank you.

Moderator: The next question is from the line of Vivek from Emkay Global. Please go ahead.

Vivek: Hi everyone. Good evening. I have a few set of questions. I just wanted to understand personally on the total growth front. Like you said earlier in the call that the growth outlook is looking better so far. Can you explain it in terms of the operational metrics like how do you see the volume and the realization panning out in terms of the growth when you say the growth is looking better? Is the growth uniform across the geographies where we operate or is any one particular geography driving the growth?

Dhiren Gala : If you look at this quarter year -on-year, the volume growth has been close to 8.2 -8.3% and the realization growth has been around 1.8%. But if you look at our overall guidance or our yearly number, out of the 15% revenue, around 13% is volume growth and 1.5 -2% is the realization growth.

Sivaramaraju Vegesna : Coming to your other question, if you basically see , significant investments are going into outside Hyderabad . While Hyderabad continues to grow , we are investing in Bangalore, Kolkata, West Bengal and Pune, you will also see the higher growth in volumes coming from these geographies , because a lot of investments are going into these markets.

Vijaya Diagnostic Centre Limited
November 04 , 2025

Vivek: Understood. So, just in terms of these geographies, firstly, coming to the Bangalore geography, what do you see the c

ore factors contributing to the Bangalore growth and how do you see the growth panning out in Bangalore ? Firstly for Bangalore , then I will ask for other cities.

Sivaramaraju Vegesna : We just launched Bangalore six months back , so ideally for the first 1 -1.5 years , obviously we would

grow by volumes because there is no scope of taking any price increase in the first 1 -1.5 years , because we just started our operation. So, obviously , it is the volume growth that will drive the revenue in Bangalore , and as and when we open more and more centres , you will see more growth coming from this market. Similarly in Kolkata, there was one centre , other than Medinova, there was one centre on the name of Vijaya and we just launched three more centres and we are going to launch two more centres . So, for the next at least 1-1.5 years, the growth actually will be driven by volume not by price as we are putting more and more hubs in this geography. Similarly , in Pune, after taking over PH, we just launched two hubs and 2 spokes and we are looking for a few more spokes. Even in this geography, we will not take the price route, it will be the volume route. Overall , if you see in Hyderabad as well, we are being present for more than 45 -years in this market . Our concentration was never on price , it was always on the volume. So, I think in the near -term maybe like 1 -2 years the growth whatever you see across these markets would be volume and not by price.

Vivek: Okay. So, just two questions on this side . Firstly, I understand realization is not what you are looking for in terms of growing your revenues, but do we see any price hike in the near -term? And secondly, just wanted to understand in terms of the break -even timelines in each of these cities right, the non - Hyderabad cities , could you throw some light on that as well?

Suprita Reddy: Any new geography , Vivek, kind of a guidance that we give on a break -even is one year because it is a new geography, it also takes a little bit of time to stabilize. These two centres have broken -even earlier, does not mean that the guidance would change, it is going to be one year. And in terms of price increase in the future, that would probably depend on a lot of things, like Siv a mentioned earlier, if there is too much of impact on the input pricing because of this dollar fluctuation , then there is not going to be any other route than to probably take a slight increase. But we are waiting and holding onto that for the time being because we have always wanted to be affordable and the lowest in the markets that we operate in and in the landscape that we are in. So , we will not be able to probably give you a confirmation whether there will be an increase in pricing, we will just have to wait and watch. Also , what happens is an importing of the equipment. Sometimes there is a certain margin that we can stay around with , but if there is too much of increase in the equipment cost itself, then obviously there is going to be a little bit of differentiation in the pricing in that particular market.

Vivek : Understood. So, what you said in terms of breakeven that usually across cities, it is one year, right?

Suprita Reddy: Yes.

Vijaya Diagnostic Centre Limited
November 04 , 2025

Vivek: During that time period, what is the impact on the P&L side of things in terms of whenever we launch a new centre , if you could throw some light on that ?

Sivaramaraju Vegesna : So, it all depends on the number of centres and the geographies that we launch. Like we said, we estimated the drag for the current year because the plan is to launch 10 hub centres . We estimated a drag of 1 % to 1.5% , but if you actually see because the centres are performing better than expected, the overall drag is less than 0.5% and still we are able to deliver that 40% margin. It all depends on the timing and the number of centres that we launch

ch. But if it is like one centre per quarter, you may not see much drag on a consolidated EBITDA number.

Vivek: So, this drag that you say of 0.5%, this is for which period , and how many number of centres that

have opened?

Sivaramaraju Vegesna : That is like in the last nine months, we opened close to 10 centres . All the 10 centres put together and these centres came in during different times ; one centre opened in the month of May, two in June.

Suprita Reddy: And also irrespective of the time , Vivek, what happens is these were all hubs and not s pokes and we were also basically looking at that drag because we said we will hire in advance and train , because these were all different new geographies that we will have to find and then operate and because of that also Bangalore probably took over very quickly and started doing well , because these people were already well trained in Hyderabad in one of the bigger centres . So, it depends on the number of hubs and the timing that they would open in.

Sivaramaraju Vegesna: And also when we talk about the break -even rate, we put rent as part of our expenditure , but EBITDA

that you see on the P&L that we publish is because of the Ind AS effect, your rent is part of depreciation and interest. So, when we say there is a drag in the absolute terms, you may not see the similar drag on the EBITDA that we described.

Vivek: Could you please repeat the part that you said about the rent and where it is included in the P&L? I guess my voice broke in between.

Sivaramaraju Vegesna: According to this Ind AS 116 standard , the leases get capitalized as a long -term asset and then depreciation and interest are charge d to the P&L. But when we talk about break -even of one year, we include rent as an expenditure and then we say that we have broken -even. So, let us say if the actual drag is 1% you may not see that on the EBITDA that we report , because rent is below EBITDA as per the standard .

Vijaya Diagnostic Centre Limited
November 04 , 2025

Vivek: Understood. Any outlook from your end on the margin side of things for FY27 ? And also , I see in your presentation that you have highlighted H1 like how many hubs you are planning to launch , could you throw some light on the second half of FY 27 as well along with the outlook on margins?

Sivaramaraju Vegesna: Since we are going to open two more hubs ... we just opened two hubs in the last month one in Nandya l and one in Khammam and we are opening two more in Q3 of FY26 . Considering all that we are still confident that we will be closer to 40% EBITDA for the next half which would be anything between 39.5% to 40% EBITDA.

Vivek: And for FY27?

Dhiren Gala : For FY27 also because the overall CAPEX would be anywhere between Rs.100 to Rs.120 crores which is lower than FY26 , the EBITDA margin is likely to be around 40% .

Sivaramaraju Vegesna: Because by that time many of the centres that we have put in the current year will break -even, so you

will see a slight increase in EBITDA margin.

Vivek: Got it. I guess you had said this earlier , but if you could provide your projected CAPEX for FY 26?

Dhiren Gala : Yes, so FY26 the CAPEX for the new centres is around Rs.160 crores.

Vivek: This is in the second half, right?

Dhiren Gala : No, no, for the entire FY26 . For the new centres , Rs.160 crores and I am saying that we have incurred majority of the CAPEX by H1 itself.

Vivek: Okay, got it. That is it from me. Thank you.

Moderator: The next question is from the line of Surya Patra from PhillipCapital. Please go ahead.

Surya Patra: So, my first question was on the growth side. So, in fact on the radiology growth this quarter we have seen around 20% growth which is really strong I believe considering the kind of national holiday s, festive season what we have seen in this quarter. So, what has really helped it or do you think it is a normali zed

performance despite the relatively weaker season?

Sivaramaraju Vegesna: So, firstly the growth year -on-year is about 16% + on the radiology and like you rightly said , yes, to certain extent the growth was impacted by the national holidays , but at the same time , if you see in the last nine months to one year, we opened more than 10 hubs and you have seen centres like Bangalore and Kolkata performing well , and like we say whenever we open or launch a new hub for the first year the revenue is generally dominated by radiology. In the first six months in fact the

Vijaya Diagnostic Centre Limited

November 04 , 2025

advanced radiology dominates , it will be like 70% of the total revenue being contributed by that hub.

Inspite of a dull season , you still see the revenue growth from radiology at 16% +.

Surya Patra: Yes, got it. So, can you just clarify the kind of centre mix ? See, in fact , Hyderabad it is 95 , rest of Andhra and Telangana it is 33 ,22 Pune, Kolkata around 7 and balance is 2 ?

Dhiren Gala : Kolkata is 5 at the moment . We will be opening 2 in Q3 so that will add to 7 that will be by the end of the year. Bangalore is 2 as of now.

Surya Patra: Okay, fine. So, in fact here in case of Pune, see , the revenue per centre if I see , so we have been obviously seeing a kind of a steady progress , but it is still much lower compared to the kind of a

normalised revenue per centre what we have in the other places. So, is it because of the lower number of hubs that we are having in Pune and whenever that hubs will be added then subsequently the revenue per centre will improve, when we can see improvement to the normalised level and what are the triggers for that?

Sivaramaraju Vegesna: No, no, not because of that. So, Pune is an acquired asset and when we acquired Pune having three hubs, three spokes and the rest of the centres are pure collection centres. Where out of the 20+ centres that we have now, only we have five hubs, five spokes and the rest of the centres are collection centres, where all the centres contribute only 5% of Pune's revenue. So, ideally in Vijaya Centre we do not have only collection centres but since it is an acquired asset, we acquired this collection centre as part of the acquisition. So, that is the reason if you divide the revenue with the centres and see it will look like it will be lower than the company's average. But otherwise if you see Pune, if you see the old network only on the hubs and spokes is more or less in line with what we have in our core geographies.

Surya Patra: Okay. Regards Bangalore entry, so obviously that we are looking at the kind of population density of Bangalore and we have already successfully penetrated there with two centres in Bangalore. So, could you give some sense given the kind of success story what we have already built here in Hyderabad, so over a period of let us say three years, how big and how substantial or how successful this Bangalore can be for Vijaya?

Sivaramaraju Vegesna: So, Bangalore is going to be a very long-term play. So, even in Hyderabad I think we took lot of time to come. Obviously, yes, I understand considering the current bandwidth and the teams and the capital that we have and because of Bangalore giving us the right pay and there is lot of vacuum for a branded diagnostic centre. So, like ma'am said, we already finalised one flagship centre and looking for two more hubs. I think by end of FY27, which is like one, one and half year from now, from two hubs we may move to five hubs and parallelly like ma'am said we will be looking for spokes. But again even if you see our earlier conversations on Kolkata, right, when we said two – three, but we finalised about seven hubs now. As and when the opportunity, we will look out for the locations, as and when Vijaya Diagnostic Centre Limited
November 04, 2025

the opportunity comes, we will be

taking these properties on leases. It is sometimes about finding the right property in the right location. That also matters when you are a B2C business. So, that way if you see, it is going to be long-term plan, but at least you will see two hubs becoming five hubs by end of FY27.

Surya Patra: Okay. Can you give some sense about the competitive scenario in Bangalore, whether you are facing more competition or it is not that so if you consider your home market that is Hyderabad?

Suprita Reddy: All of the markets are competitive, ... none of the markets are non-competitive, the landscape remains the same, and in Bangalore because it works like Hyderabad, you have a lot of chains, smaller localised chains that have four to six branches integrated in nature, but probably also considering the kind of traffic and chaos and the lifestyle of Bangalore itself, every region has a player and we were pretty strategic in probably choosing our locations in Bangalore. A lot of study went into how we would go to the market and which locations we would choose, where there was no 3 Tesla, there was no cardiac CT, there was some differentiation that we took. We wanted to give it some time to build out the business and that worked well and that is how we are also going to be looking at newer areas in Bangalore. All of the markets including Calcutta, there is intense competition, but we are a differentiated player, we do not keep changing what we do, we are good at what we do and that is specialised advanced radiology with pathology work.

Surya Patra: Thank you, ma'am. Just last one point regards the pathology. We have obviously seen a kind of relatively weak season against a strong season last year. Also rain was one of the factors. So, is it fair to believe that the acute season of the Q2 got shifted to Q3 and hence one should anticipate a relatively stronger Q3 than the normalised trend?

Suprita Reddy: I should say that we had a healthy season and we should be happy about it and not say I would anticipate and be optimistic about a sick season, so I am not assuming that. I am thinking we will have a normalised Q3 as usual and that is also a reason why we said we are confident about that 15% on overall year level growth. So, we should be happy that we were healthy and there is a lot more water in India.

Surya Patra: Sure, ma'am. Thank you and wish you all the best.

Moderator: The next question is from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta: Hi, good evening. I just want to understand on the market share aspect in the core markets of let us say Hyderabad and how the trend has been in terms of volume share or overall market share in radiology and pathology segment?

Vijaya Diagnostic Centre Limited
November 04, 2025

Sivaramaraju Vegesna: So, Sumit, like we said, we do not have any recent reports. The reports that we are basically tracking

are two years old . If you go by the reports , the numbers will not change as of now . So, we still feel that we are less than 15% of the overall Hyderabad market including hospitals , maybe if we remove hospitals then we will be slightly higher , and the other markets , we are at very nascent stage , so market share , because Kolkata we just entered , being two years , and Bangalore is a very recent entry . But we do not have any reports from the past two years either in FY24 or '25 for us to comment on the market share .

Sumit Gupta: Okay. But in the radiology segment we are going to be having higher market share , right , in let us say Hyderabad market ?

Sivaramaraju Vegesna: So, again , Sumit , so basically if you see all the old reports , they go generally at a country level or a state level . Volume wise there may be a lot of difference , but in terms of revenue , if pathology is about 50 -55%, radiology is considered to be 45 -50% right , but whereas for us , pathology

y is about

65%. So ideally , in that scenario if you see our radiology share , it will be lower than pathology share for also the other reasons because in Hyderabad all the competitors if you take player number two to 10-15, everybody is integrated in nature , right? And we have few hubs with lot of spokes whereas many of the other integrated players are more in hubs where the radiology revenue dominates for them , right , and also there is lot of pricing differential in terms of radiology when you see in hospitals , because with all these factors ... even though we do not have anything concrete in hand , we feel that radiology share will be slightly lower when compared to pathology .

Sumit Gupta: Understood. Thank you .

Moderator: The next question is from the line of Rishi Modi , an individual investor . Please go ahead .

Rishi Modi: Suprita, a few quick questions for you and then I have some for Dhiren which I will take it offline .

On the Pune front , right , you just mentioned your Bangalore broke even kind of early because it was the Hyderabad team leading the operations ...

Suprita Reddy: Sorry, I am not able to hear you now .

Rishi Modi: So, I was saying you mentioned in Bangalore , break -even was partly attributable to your Hyderabad team leading the operations there . Pune , from what I understand , is a newer team now . Just wanted to understand would similar Hyderabad team , be relocating to Pune or you have hired some locals and how confident are you? I am just trying to understand the dynamics.

Suprita Reddy: Actually, Bangalore was not a Hyderabad team moving there . Entire Bangalore team spent probably close to three months in Hyderabad getting trained to be able to handle and run that geography . So, that is also reason why in the last quarter we said , there will be a slight drag , right . When you are Vijaya Diagnostic Centre Limited

November 04 , 2025

opening eight to ten hubs you will also need that level of staff to be trained in your core market to be able to operate in these different geographies . So, the entire Bangalore team , even though the centres were opened within probably Yelahanka and HSR 10 days apart , the team was appointed almost four months earlier and sitting in Hyderabad actually , in one of the centres . Pune was an acquired centre and Pune saw lot of people actually go from Hyderabad to help them settle down unlike Bangalore , since it was an existing network with almost 20 -plus years of legacy there . So, these are two different things . And Pune is something that we will want to probably train the existing team , we cannot move them to Hyderabad , and Pune also had a lot of business that they did on their terms when they were running it . So, now streamlining those processes , probably cleaning it up , getting certain things into place , even though we have changed the back -end ERP and all of the systems , getting the actual operational workforce to think and align to the central team takes a little bit of time . And there is a large team that actually spends time in Pune doing all of this and that is the reason why we opened two hub centres which we had guided earlier and said we will give it some time to stabilize , and once that is done we will see a lot more centres opening up . And the older centres in Pune , to grow , have capacity issues . They are all 3 ,000 to 4 ,500 square feet centres , where you will see the entire load coming in the morning because of the fasting requirements . So, there is no other way to grow the old existing centres and at the same time , I will have to add newer spokes which is what we are doing and also aligning the team to think as per the central team requirements , in fact the lab team spends a lot of time from Hyderabad and Pune even today .

Rishi Modi: Alright . So, may be a matter of two, three quarters when we start seeing some double digit growth?

Suprita Reddy:

Absolutely.

Rishi Modi: Second , I wanted to understand there has been a bit of attrition at the KMP level within the group over the last year, year and a half I would say . I just wanted to understand now with some sort of I do not know , I would not call it vacuum but some space created in that KMP layer , how does that –

Suprita Reddy: Rishi , you very well know how attrition has been in every level in our industry but if you see actually the CTO is kind of unfortunate to see that he is exiting , but he comes with a lot of extensive experience in the IT industry itself . So, when he was coming in itself , even though , however vocal and transparent you are, sometimes it is their core interest . So, today I think probably he feels that AI is something that he is interested in and when intent is to learn and grow and that appetite is in

their own field , then nothing much that probably I could do . So, that is definitely very unfortunate. Siva is family , so it does not matter whether he is here , Siva came in about seven, eight years back. He has played multiple roles , multiple hands , done different things . So, I do not know how I will fill Siva's vacuum but at the same time a lot of people you have been seeing at different layers and we have always told you and the team that we hire whenever we see good talent that will continue but there is a lot of mid -level and senior mid -level teams that we have built over the years . So, they are Vijaya Diagnostic Centre Limited
November 04 , 2025

all there . Not too much to worry about , but he is family now , that is something I cannot probably say anything .

Rishi Modi: I understand that , but if I have to think of it this way at least till last year we had the confidence that opening 15 centres was now more of an easier job and maybe the team can move to say a 20 centre per year addition , do you think now that -

Suprita Reddy: Rishi, probably the KMP that we are talking about were never part of the growth strategy because it is more of probably handling the operational and the IT strategy right? So, the technology bit was something that we have been time and again saying that we would like to invest and grow it and that is when we said we will bring in a CTO of that kind of caliber . So, we will continue to do that. We will bring in somebody in that position as soon as possible and that is a separate thing that we would look at . And if you say 15 centres was easy , then I would not say it was very easy then it would not be easy now also, but 15 centres is something that we are very confident about. I was hoping that probably we will get to a level where we do a little more than that . We do the spokes and the entire year of your FY25 and '26 was about adding the base of hubs and Vijaya has never seen addition of so many hubs earlier. So, once these stabilize and break -even , we will see a lot more in FY27-'28, '28-29 room , probably to see a lot more spokes coming in . And none of these departures would probably make an effect in that growth plan for sure. There is definitely talent that is required . We will continue to keep taking people, adding people irrespective of whether we have people on board . So, that should not be probably a worry for anyone to say that there is a gap there, there is a vacuum there for growth, definitely no.

Rishi Modi: Okay, got it. That is encouraging to hear. Thanks . Dhiren, I will reach out to you offline for some numbers.

Dhiren Gala : Sure, sure. Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached to the end of the question -and-answer session. I would now like to hand the conference over to Ms. Suprita Reddy for closing comments. Please go ahead.

Suprita Reddy: I would like to thank everyone for attending the call. Should you need any further clarifications or any other information about the company , please feel free to reach us. Thank you.

Moderator: On behalf of Vijaya Diagnostic and JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

February 1 9, 2026

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on February 13 , 202 6

Referring to our letter dated February 13 , 2026, we are enclosing herewith the Transcript of the Earnings Conference Call organized on February 13, 2026 , post declaration of the Unaudited Financial Results of the Company for the third quarter and nine months ended December 31 , 2025.

Please take the information on your record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Hansraj Singh
Company Secretary & Compliance Officer
M. No. F11438

Encl.: as above

To
The Listing Department,
National Stock Exchange of India Limited
NSE Symbol: VIJAYA To
The Corporate Relations Department,
BSE Limited
BSE Scrip code: 543350
Page 1 of 13

"Vijaya Diagnostic Centre Limited
Q3 FY26 Earnings Conference Call "
February 1 3, 202 6

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECT OR AND
CHIEF EXECUTIVE OFFICER – VIJAYA DIAGNOSTIC
CENTRE LIMITED
MR. ANKIT SHAH – CHIEF FINANCIAL OFFICER –
VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. SIVA RAMA RAJU – CHIEF OPERATING OFFICER –
VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. DHIREN GALA – ASSISTANT GENERAL MANAGER
– STRATEGY AND INVESTOR RELATIONS – VIJAYA
DIAGNOSTIC CENTRE LIMITED

MODERATOR : MR. AMEY CHALKE – JM FINANCIAL

Vijaya Diagnostic Centre Limited
February 1 3, 202 6

Moderator: Ladies and gentlemen, good day, and welcome to Vijaya Diagnostic Q3 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amey Chalke from JM Financial. Thank you, and over to you, sir.

Amey Chalke : Thank you. Good evening, everyone. I'm Amey Chalke and on behalf of JM Financial, I would like to extend a warm welcome to all of you to the third quarter FY '26 Earnings call of Vijaya Diagnostic Center. At the outset, I would like to thank the management of Vijaya Diagnostics for giving this opportunity to host the call. We look forward to having an engaging and insightful discussion on the company's quarterly performance and outlook.

From the company, we have with us today Ms. Suprita Reddy - Managing Director and Chief Executive Officer; Mr. Ankit Shah - Chief Financial Officer; Mr. Siva Rama Raju - Chief Operating Officer and Mr. Dhiren Gala - Assistant General Manager, Strategy and Investor Relations. With that, I will now hand over the call to the management for their opening remarks.

Over to you, ma'am.

Suprita Reddy : Thank you, Amey, for hosting the call. Good evening, and thank you all for joining us on the call today. Firstly, I'm happy to share that we have delivered our highest ever quarterly revenue of ~INR 205 crores in Q3 FY '26, reflecting strong execution across the organization. I would like to congratulate the entire team for delivering robust performance across both the top line and the bottom line.

Before I move to a detailed business update, I would like to welcome Mr. Ankit Shah, who has joined us as our Chief Financial Officer. Ankit brings over 20 years of experience in finance, including more than a decade in the healthcare sector, along with a proven track record of leadership. We are confident that his expertise will strengthen our financial governance, improve operational efficiency, support M&A initiatives and contribute to a sustainable long-term value creation.

I'm also very happy to welcome Siva back as our Chief Operating Officer of the company. I don't think he needs any introduction as you all know him very well. We wish him success in this new role. I would also like to welcome Mr. Sai Prasad as our new Chief Technology Officer; and also Dr. B. Kiran as our Lab Director.

In addition, we have strengthened our clinical and corporate functions with key strategic hires and will continue to invest in talent, as we believe, that building the right leadership and capabilities is critical to our sustained success. With these additions, I'm confident that the team will be instrumental in driving our next phase of growth.

Vijaya Diagnostic Centre Limited

February 13, 2026

Moving to the business update. I'm pleased to start on a very positive note as we have delivered a robust year-on-year revenue growth of approximately 21.4%, supported by volume growth of nearly 15% in Q3 FY '26. Revenues also surpassed Q2 in absolute terms, which is notable given that Q3 is typically impacted by festive and seasonal softness.

This performance underscores the resilience of our integrated business model with a very balanced growth across both radiology and pathology. Radiology benefited from the strong execution driven by our hub expansions over the past few years and the strong reception of the Vijaya brand in new geographies.

Pathology growth was primarily led by the Wellness segment, fuelled by rising demand for

or both

preventive health services, favorable seasonality and the ongoing network expansion. Turning to PH, we delivered a year-on-year growth of approximately 8%, primarily driven by network expansion.

Our two new hubs are ramping up steadily and are on track to reach breakeven within one year, in line with our guidance. During the quarter, we further expanded our network with the successful commissioning of two new hub centers in Phoolbagan and Diamond Harbour, bringing our West Bengal hub footprint to 7.

We also commissioned 2 new hubs in our core markets of Khammam and Nandyal, reinforcing Vijaya's commitment to making world-class diagnostic services more accessible. I'm very pleased to share that 2 hubs launched in Q1 FY '26 in West Bengal, Krishnanagar and Barasat have achieved breakeven within just 3 quarters, ahead of the expected 1-year timeline. This

highlights the strong demand for quality integrated diagnostic services in the region. Looking ahead, our key focus areas will be stabilizing the newly launched hubs, commissioning multiple spokes across our network, continuing to invest in the latest technology to enhance the customer experience and strengthening our brand presence in these new geographies. With that, I will now hand over to Ankit to walk you through the operational and the financial highlights.

Thank you.

Ankit Shah : Good evening, everyone, and a very warm welcome to everyone joining us on the call today.

Thank you, ma'am, for the warm welcome. I'm delighted to be joining the organization at a time when the company has delivered such strong performance and built strong momentum. The timing presents a great opportunity to build on this success, further strengthen our financial foundation and support the next phase of sustainable growth alongside the leadership team.

I will quickly take you through the financial performance and key developments for the current quarter and 9 months ended December 31, 2025. The consolidated revenue for the current quarter stood at ~INR 205 crores, reflecting a strong revenue growth rate of 21.4% Y-o-Y. And with strong revenue growth, just like previous quarter was driven by test volume growth of 14.7% Y-o-Y balance growth of 6.7% was largely on account of change in the test mix.

Coming to the geography-wise revenue contribution for the quarter, Hyderabad contributed 68%, rest of AP and Telangana contributed 19%, Pune 6%, West Bengal 3% and rest of the geographies contributed 4%. Like the previous quarters, the revenue growth has been driven by Vijaya Diagnostic Centre Limited

February 13, 2026

Page 4 of 13

both radiology and pathology segments, reflecting the robustness of our B2C focused integrated business model.

The B2C revenue stood healthy at 92%. Our radiology business stood at 37%. The revenue per test and revenue per footfall stood at INR487 and INR1,756, respectively, during the current quarter. EBITDA for the current quarter stood at ~INR 86 crores as compared to ~INR 67 crores in the corresponding quarter in the previous year, reflecting a Y-o-Y growth rate of 28.2%.

The EBITDA margin stood healthy at 41.9% in the current quarter with an improvement of 221 basis points Y-o-Y. The profit after tax for the current quarter stood at ~INR 43 crores, reflecting a strong growth of 22.3% and PAT margin also stood healthy at 21%. I will now summarize our performance for the 9 months ended December 2025.

The consolidated revenue for the current 9 months period stood at ~INR 595 crores as against ~INR 508 crores in the corresponding previous year, reflecting a Y-o-Y growth of 17.1%. The EBITDA stood at INR 241 crores as against ~INR 204 crores in the 9 months of the previous year, registering a Y-o-Y growth of 18.1%.

EBITDA margin stood healthy at 40.6% and profit after tax was at INR 125 crores with a margin of 21%. Coming to the update on capital investment in the current p

eriod, we have largely

utilized our capex plan for FY '26 with an overall capex outlay of INR 159 crores till date, inclusive of the replacement capex. For FY '27, the capex outlay for the new center is estimated to be between INR 100 crores to INR 120 crores. That's all from my side. I would now request the moderator to open the line for the Q&A session. Thank you.

Moderator: The first question is from the line of Anshul Agrawal from Emkay Global.

Anshul Agrawal : Many congratulations on the strong quarter. First question is on the Hyderabad region. Like you -- I think ma'am alluded that PH or Pune region has grown by 8%. Could you quantify the growth in the Hyderabad market on a Y-on-Y basis?

Dhiren Gala : Anshul, the growth in the Hyderabad market was close to 15% on a Y-o-Y basis. And this was equal across pathology and radiology.

Anshul Agrawal : Got it. And if I'm not mistaken, we have not added any hub centers in Hyderabad in the current -- or in the last two or three quarters. So this is purely organic as in like-for-like growth in the region?

Siva Rama Raju : Yes, from the existing capacity.

Dhiren Gala : This is from the existing capacity.

Anshul Agrawal : Would you be able to allude as to what has caused this strong growth in the core region?

Dhiren Gala : I think during this quarter, the season has been favorable for us on the pathology side in specific.

And what we have seen is whenever the season is favorable, Vijaya not only outpaces the industry growth, but also incrementally gains market share from the competitors. Also, there was a spillover which we saw from Q2 to Q3 because of extended monsoon season. And also, Vijaya Diagnostic Centre Limited

February 13, 2026

Page 5 of 13

we did benefit from pre -festive season this time around. So , all these factors have led to a strong growth of 15%, especially in the Hyderabad region and overall as well.

Siva Rama Raju : In fact, that is one of the reasons, Anshul, why we say health care being seasonal. It is always, I would say, better to look at a full year level rather than seeing quarter -on-quarter. So , we had a very good Q1, slightly softer Q2 and then a very good Q3.

Anshul Agrawal : Sure, Siva. So , the growth on a 9 -month basis for the Hyderabad region would also be somewhere around mid -teens?

Siva Rama Raju: Yes.

Anshul Agrawal : Okay. Clear. Second question was on our hub expansion plans for H1 or rather full year FY '27. While I understand you guys have presented only for the half year period, would it be possible to share your thoughts around what could be the steady state of hub expansion over the next 2 to 3 years? What I'm trying to understand is we have opened 2 new geographies in the last year, counting Bangalore and probably revamping the Pune cluster. Would we look at more spoke additions in the next 2 years? Or would it be sort of balanced?

Siva Rama Raju : So, FY '27 per se, you'll be seeing about 4 to 5 hubs and about 10 to 12 spokes. But if I take FY '28 and '29, I think you'll see an optimal mix of spokes and hubs because like you rightly said, we added 3 new geographies, Bangalore, Pune and Kolkata. At the same time, by FY '28, what also will happen is the existing hubs will stabilize. By then we'll be adding a few spokes. And then we will take on the next set of hubs. So , FY '27, it will be more of spokes. In FY '28 and '29, you'll see an optimal mix of both hubs and spokes.

Anshul Agrawal : Got it. And again, if I understand this correctly, spokes would largely be sort of margin accretive within 2 quarters' time, et cetera, even in the non -core region?

Siva Rama Raju : Yes, it will take two to three quarters. So the breakeven may happen within two quarters. The margin, the positive EBITDA will -- the spokes will contribute to the positive EBITDA maybe in the third or fourth quarter.

Anshul Agrawal : Got it. And any color on what could be the peak

revenue potential from a spoke, again, ballpark

number, even in the non -core region, would it be very similar to a spoke center in Hyderabad?

Siva Rama Raju : It will be in the range of -- in Hyderabad, we have spokes ranging from INR 1.5 crores to even INR 6 crores , INR 6.5 crores . But then if you see in these new regions, what we expect is these spokes will contribute anything between INR 1.5 crores to INR 2.5 crores of revenue at maturity.

Anshul Agrawal : And maturity would be after 12 months?

Siva Rama Raju : About 1.5 years, 18 months.

Dhiren Gala : 18 to 24 months.

Anshul Agrawal : 18 to 24 months. Okay. Great. Just one last bookkeeping question. Maybe I might have missed it in the opening remarks. What would be the net cash position as on December?

Vijaya Diagnostic Centre Limited

February 13, 2026

Page 6 of 13

Dhiren Gala : The net surplus cash as at 31st December is INR 260 crores . The total cash is around INR 305 crores , but we always exclude deferred capital creditor balance. So , the surplus cash is around INR 260 crores as at 31st December.

Moderator: The next question is from the line of Amey Chalke from JM Financial.

Amey Chalke : So, the first question I have is basically , we have added several hubs during this year. And still in terms of margins, we have been able to expand margins fairly well. We have delivered something like 42% margin. Even for 9 months, the margins look good. So , like going ahead, like what stops us from adding more hubs if there is no impact as such of expansion in terms of our margin performance or we don't have any restrictions or basically the constraint on the capital side, then what stops us from adding more hubs going ahead?

Siva Rama Raju : So, Amey, so the expansion plan, if you see internally, we are not saying that we'll add only 4 or 5 hubs because of the margins. It is more about, last 2 - 3 years, there's a good capex cycle that we have done. We have had multiple hubs across regions, right , so it is more in terms of the ground level operational challenges and also sometimes we have to give the hubs to stabilize before we take on a few more hubs.

And we keep adding the team locally so that like if you take Pune, right? So , we have acquired an asset and then we added 2 hubs and spokes. We have to give that geography some time for these centers to stabilize. And we also on the ground have to stabilize the operations, add more and more bandwidth and then take on the next round of growth.

The similar concept, if you see it worked well for us in Hyderabad, right . There was a phase when we added hubs then 2 - 3 years of spokes. And then again, we have taken the next set of hubs. The decision -making is not on the margins, it is more on the operational and addition of bandwidth and stabilizing things on the ground.

Amey Chalke : Sure. Got it. And the second question I have, like for -- this quarter has been good, but even for 9 months, our volume growth has been around 13%. So, is it possible to give how the distribution is in the core and non-core markets for volumes?

Dhiren Gala : In the core markets, it has been close to 10% to 11%. And in the non-core, it has been close to 2% to 3%.

Amey Chalke : Sure. And for -- even for mature hubs, are we seeing a good amount of volume increase in core markets?

Siva Rama Raju : So, a few of these hubs, which have hit the capacity, we see anything between 2% to 4% of volume growth. But at the same time, in Hyderabad, even in a few of the mature assets, we are seeing about 10% to 12% of volume growth. So that is the reason, still Hyderabad as a cluster, is growing at 15% for the last few quarters.

Vijaya Diagnostic Centre Limited

February 13, 2026

Page 7 of 13

Amey Chalke : Sure. And last question I have on the GLP -1. What plans do we have for the -- like because from March onwards, we should see GLP generic launches to

start happening and the other --

basically, the innovative products are already there in the market. Have we come up with some plans for the GLP -1 opportunity? And how do you see it impacting volumes as well as revenue per test going ahead?

Siva Rama Raju : Amey, to be very transparent, so as of now, we are not seeing much of inquiries, but we have all the tests that are required, which will be part of this package. They are more routine in nature, right? So, I think maybe in next 1 or 2 months, like you said, once the demand picks up, we'll also be ready with our own package. Maybe we'll be able to share more information by the next earnings call.

Moderator: The next question is from the line of Abin Benny from JM Financial.

Abin Benny : So, my questions are more towards the cluster-wise performance or rather the newer ones that we have added. So, to the Kolkata one, West Bengal, the new ones that we added have already broken even within much before the time line that was anticipated. So, any color on the overall trend that we are going to be looking here because the breakeven has been happening much before than anticipated. Last time it happened in Bangalore also. So, what is the change in outlook on this specifically for West Bengal? And coming to Bangalore, of the asset that broke even last quarter, how is that ramping up?

Suprita Reddy : There's no strategy change in this Abin, because we would still say that we would give it about 12 to 14 months in any geography outside of Hyderabad. It's probably -- I think like I said and congratulated the team, they've been working an extra mile in these centers, for Bangalore and Kolkata, that have broken even in the third quarter itself. But that does not probably lay ground to say that we would be able to replicate that across any new geography that we open a new hub in.

Like I mentioned, Kolkata also opened 2 more centers right now, increasing the footprint to 7. We will have to wait it out, and I would still say, we would be confident about the 12 to 14 month timeline in any geography outside of Hyderabad. And when it comes to Bangalore, both the centers are ramping up well. And in fact, that's a region where we would like to add a few more spokes and hubs also. And I'll probably be able to give you a little more light in the next call, but they're doing extremely well, both the centers.

Abin Benny : Sure, ma'am. Ma'am, also in Bangalore, are we -- like nearer to Bangalore, are there any Tier 2 or Tier 3 new markets underpenetrated that we might be looking at? Any expansion plans in that Karnataka market?

Suprita Reddy : There are a lot of markets, but at the moment, our concentration is going to be on the city itself. And there's a lot of room for us to actually open up hubs and join the dots to be able to open up the spokes in your FY'28, FY '29. So, the focus is going to be opening more hubs in Bangalore

Vijaya Diagnostic Centre Limited

February 13, 2026

Page 8 of 13

and a few spokes going along with that. That will give us room to grow further at probably a faster pace in FY '28, FY '29. So, you will see the city being covered first. The priority is not on Tier 2, Tier 3 in Karnataka as of right, immediately.

Abin Benny : Sure, ma'am. Coming to Pune ma'am, what is -- like right now, it's growing at -- the PH is growing at 8% Y-o-Y. So, any color on -- apart from network expansion about the other drivers in terms of demand or pricing, any growth levers that might be coming into picture that can lead

to an incremental growth here?

Suprita Reddy : So, both these centers, after we've acquired the asset PH, the 2 new hubs that we've opened, those are ramping up well. We're seeing a growth there. Traction is happening. This is when the brand visibility is getting created. And we'll have to give it a little more time, and it's only going to see a further traction probably in the few quarters to

come. So, it's on track and probably will continue to do the same in Pune as well.

Moderator: The next question is from the line of Anshul Agrawal from Emkay Global.

Anshul Agrawal : Just one question on competition. Incrementally, we are hearing even large organized pathology chains sort of venturing into radiology/advanced radiology. Just wanted to get your thoughts around any disruption that we may sort of witness from standalone chains or organized chains in our core cluster or any other clusters that they might sort of venture into?

Siva Rama Raju : So Anshul, so I think especially in diagnostics, we keep hearing two things. One is the disruption and the consolidation. I think these are like the objects that we see in the side mirror, right. They appear to be closer, but they're very far away. So, I think both consolidation and disruption, they will take it -- it'll take its own time.

And like you rightly said, these players, we also heard that they're starting up with advanced and basic radiology. But I think that they're at a very initial stage where they're doing a pilot in their home geographies. And I think this business -- healthcare is a business where I don't think it will be prone to disruption.

While technology, all that will allow us to improve the quality, right. And then players like Vijaya, we are already equipped with that kind of quality and the kind of the track record that we have and the expertise that we have. I think we'll always have the edge over the other players.

Suprita Reddy : The differential factor, Anshul, would be anybody starting a chain with radiology or being integrated probably would start off typically with a wellness segment. But when you look at radiology per se in Vijaya, it's a lot of work that comes in a second opinion, as specialized work.

This is not just to do with your wellness segment.

That is also the reason why you see the hubs actually ramping up faster, break-even happening faster because the work speaks for itself, and that's when your -- the system that we brought into place, the tele-radiology system, is creating that operating leverage, giving you the profitability that you're seeing today is because you have specialized doctors sitting across all of these regions, and still being able to deliver a very high-end report even in a Tier 2 geography.

Vijaya Diagnostic Centre Limited

February 13, 2026

Page 9 of 13

So probably that's a key differentiator to drive and ramp up all these centers irrespective of whether being in a Tier 2, Tier 3 or the city itself. And the work that comes in is just not wellness driven. So, it's a lot more. That's also the reason why you see the PET CTs ramping up quickly in both Tirupati and Vizag. So, it's a different kind of model itself.

Anshul Agrawal : Very clear, ma'am. I think what I guessed was in addition to the high-end equipment, I think the moat lies in the radiologist network.

Suprita Reddy : It lies in all of them, Anshul. If you look at it, the radiologists, cardiologists, your nuclear medicine specialists, it's all a team that is doing work together, which is integrated. Both pathology, radiology are talking to each other. You're giving an end conclusion, a final report to the customer before he walks out. So, the time that is getting saved on the final diagnosis and treatment also is way shorter. So, if we take Rajahmundry, for example, probably they would have had to come to the city, spend 4 days. We're able to deliver this report in 4 hours sitting in Rajahmundry.

Siva Rama Raju : And that's also one of the reasons why you are seeing the faster break-even even in the newer geographies.

Anshul Agrawal : Clear. Second question was on the increase in realizations on a per footfall or a per test basis, where I understand it could be because of case mix, as you guys pointed out. I wanted to understand, would this be sustainable as sort of

these hubs ramp up and then probably we'll have more of pathology share of revenues come in? Do you expect realizations to again trend down going forward? Or would they be maintained in your view? I suppose you haven't taken any tariff hikes in the current quarter?

Siva Rama Raju : Yes. Anshul, you're right. So, the tariff hike that we have taken was, I think, in Q1, right and it's about 1.5% of the revenue growth. Like you rightly said, as the hub stabilizes, you'll see more pathology work coming in, and you'll see the average realizations coming down. But at the same time, year-on-year, you'll see about close to 1% to 1.5% of tariff increase, right. So, I think that will be able to take the hit of the ARPPs diluting because of pathology increase. So, I think the ARPPs will be in the range, plus or minus, 3% to 4% from where they are now.

Anshul Agrawal : Got it. Just a question following up on that. Would this then sort of help us to sort of expand our EBITDA margins , because we'll obviously not have the drags from the new hubs as we are just planning to set up more spokes in the future and operating leverage kicking in, any thoughts around what -- or how could EBITDA margins expand from the current levels?

Siva Rama Raju : So Anshul, definitely from the existing network, obviously, because these centers are breaking even much ahead of what we have thought, there will be a leverage coming out of these centers. But at the same time, still we want the guidance to be at 40%. The reason being we are also doing significant investments on to talent and also on a few IT initiatives, digital initiatives to improve the customer experience.

We are going to come up with a very high -end CRM and many other investments into digital apps, like maybe it can be a logistic app and multiple other internal apps. So that -- and we have moved all our core applications to cloud, which is also coming with an incremental cost. So,
Vijaya Diagnostic Centre Limited
February 13, 2026

Page 10 of 13

considering all this, we still want to guide margins at 40%. But like you rightly said, if you see at a center level EBITDA, there will be a leverage that would be coming because of this faster breakeven.

Anshul Agrawal : Got it. And depreciation levels, we've obviously seen them shot up because of hub expansion. Would depreciation sort of stabilize at the current quarterly run rate?

Siva Rama Raju : It should, except for that incremental hubs and spokes that are going to come in the next financial year. And in fact, I think with Ind AS, what also happens is if you see last 3 to 4 years, we have added so many hubs. And all these are 15 -year leases, right . Once you cross 5 years of lease period, you'll see the interest portion on Ind AS 116 coming down as the liability goes down. So yes, for the next 1 to 2 years, what we should see is the current depreciation plus the incremental -- the depreciation on account of the incremental capex.

Anshul Agrawal : Sure. Would you be able to share the pre - Ind AS EBITDA margin and the impact on PAT as well because of Ind AS in the current quarter and the 9 -month period?

Dhiren Gala : Anshul, EBITDA would be roughly around 34% and on the PAT, it would be closer to 22%.

Siva Rama Raju : PAT would be higher than what we have reported.

Anshul Agrawal : Correct. This is for the 9 -month period or Q3?

Dhiren Gala : Yes. This is for the 9 -month period.

Anshul Agrawal : 34% EBITDA Margin and 22% PAT margin. Perfect.

Siva Rama Raju : Yes.

Moderator: The next question is from the line of Gyaan Thakker from Edelweiss AMC.

Gyaan Thakker : Congratulations, ma'am, for good set of numbers. Considering we have a good cash balance, what is your M&A strategy going ahead?

Suprita Reddy : As we mentioned earlier in the earlier calls, M&A is always an option, but probably again to find the right asset, which is B2C nature, geography that

we are probably comfortable in is something that we always look out for. And also what comes with it is the valuation has to be reasonable and make sense to all of us. So , we're always on the lookout. I have nothing to share as good news as of now. Let's hope for the best. And we're always on the lookout. So , I think we're open to that.

Moderator: The next question is from the line of Amey Chalke from JM Financial.

Amey Chalke : So, I have one question on the new geographies where we are entered like Kolkata or Pune, how the competitors have reacted to our entry? Are there any changes in their behavior in terms of pricing discounts, etc?

Vijaya Diagnostic Centre Limited
February 13, 2026

Page 11 of 13

Siva Rama Raju : Amey, nothing as such. So , if you see Pune was an acquired asset, right . And then we have added centers. And in fact, if you see in integrated next to us, I think our competitors have, I think, hardly one or two -- like if I take the next two, three competitors in that market, they hardly have 1 or anything between two to three centers. So , we did not see any reaction as such. And at the same time, even in other geographies like Kolkata and Bangalore, I think like we don't react immediately, and we have not seen the competitors also reacting on our growth.

Amey Chalke : Sure. And in terms of our pricing strategy, are we at par with some of these competitors or we are still at discount because we are the new player?

Suprita Reddy : We might be at par or a little discounted. There will be a mix, Amey, in certain cases.

Siva Rama Raju : But it will be in the range of 1% to 2%, not more than that.

Amey Chalke : Sure, sure. And second question I have on the Medinova merger. Are there any synergies we have realized post this merger in terms of volume or cost or anything?

Siva Rama Raju : In terms of cost, but not significant because Medinova is having only one single center, right? So now the backend is one. We'll have some synergy, but not a very significant number.

Moderator: The next question is from the line of Ankit Shah from Canara Robeco AMC.

Ankit Shah : Firstly, I just wanted to understand, so our wellness revenues have been growing pretty well for the 9 months, they are up 20% plus. So , any incremental measures that we are taking to drive this growth? And how do you see this growth continuing going forward?

Suprita Reddy : Yes, there has been significant growth in this segment, Ankit. In fact, it's been growing. It was at about 12%, 13%, 14%, it's almost reached 15% now. I think it's also because of people just being a lot more health conscious, being aware. And you're looking at a lot more newer geographies, including Tier 2 geographies, where we see this wellness segment grow, which was not the case, say, probably a couple of years back. Post -COVID, this is a positive change that I see from Tier 2 and Tier 3 geographies.

And in terms of probably what Vijaya is doing, yes, there's been a lot of effort that's going into digital initiatives, in fact, region -based wellness education. And we're seeing a traction from that, and we would continue to do that going forward also. So we would definitely look at this segment growing in future.

Dhiren Gala : Also, Ankit, in terms of the corporate wellness, what we have seen is more companies are offering preventive health checks. So , that is also creating a steady revenue for diagnostic players. And that's where we have seen good growth in the corporate packages as well.

Ankit Shah : And do you expect the share to continue to grow?

Moderator: Ankit. I'm sorry, we can't hear you.

Vijaya Diagnostic Centre Limited

February 13, 2026

Page 12 of 13

Ankit Shah : Is it better?

Moderator: Yes.

Ankit Shah : So, I was asking, do you envision any cap for this share of revenues or it can grow much further even north of 20% share? Any thoughts on that?

Suprita Reddy : It

could definitely grow north of 20%. And it also depends on your geography expansion, right . So, the number of spokes , in fact, it's an advantage for Vijaya because even the smallest spoke can do a full master health checkups . So irrespective of whether the expansion is in spokes or hubs, you will see an expansion in the wellness segment also.

Siva Rama Raju : So, pre-COVID, you were getting 8% of our revenue from wellness. So , 5 years from then to now, so from 8% has become 15%.

Suprita Reddy : 15%.

Ankit Shah : Got it. And secondly, I just wanted to check, until now , we have presence in 3 additional regions in addition to our core markets. Any plans to scale up in any newer markets or even the Gurgaon geography where we have some presence? So any new regions we are looking at right now?

Suprita Reddy : At the moment, Ankit, I think our hands are full and we would prioritize and concentrate on the geographies that we're working in. We do not have any plans of looking at other geographies, if not for some, probably a good M&A opportunity that comes in, which is large in size and forces us to enter that geography. Otherwise, organically, hands are full. Would stay put with these geographies that we would work in.

Siva Rama Raju : At least for the next 2 to 3 years.

Moderator: We have the next question from the line of Abin Benny from JM Financial.

Abin Benny : First one, ma'am, so given the current dollar fluctuation and the GST changes that have taken place, how do we look at the input cost for our current expansion for FY'27 and other EBITDA items that might be impacted because of this?

Dhiren Gala : So, Abin, on the pathology front, all these contracts for rental reagents, these are long term in nature. And over the last couple of years, if we have to look into the volume commitment, I think we've met volume commitments. In fact, we've surpassed as well. So, we don't foresee any major changes happening on the pathology front.

And on the capex front, yes, there has been a little bit of an impact because of the USD -INR breaching INR 90, but then there has been a GST benefit also from 12% to 5%, which has more or less offset the negative impact on account of this increased capex. So , net-net, the impact even on the capex front also has been minimal.

Abin Benny : Got it. And also in your opening commentary, you had mentioned that the growth was also led by seasonal impact and a lot of spillover from this last season, right? But given that Q4 will be

Vijaya Diagnostic Centre Limited

February 13, 2026

a more non -flu season and there is not much of seasonality in general to be expected, what might be the levers that will be leading to the growth here?

Siva Rama Raju : But it was the same case last year as well, Abin. So I think overall, even for Q4, we expect to surpass the guidance of 15%.

Abin Benny : Okay, sir. And any color on the ramp -up of the wellness segment in Q4 because I believe that this is the time when more corporate packages and more of the people will be testing for their overall body checkups, right? So , any improvement that we are looking at here?

Siva Rama Raju : Yes. Generally, in the past as well, we have seen incremental revenue coming from wellness in Q4 that to post mid -of -- it generally picks up from mid of February until back end of March. So similarly, we are hoping that the wellness share as a percentage of revenue in Q4 will be slightly higher than what we have seen in Q3.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Dhiren Gala : I would like to thank everyone for attending this call. Should you have any further clarifications or any other information needed about the company, please feel free to reach out to us. Thank you.

Moderator: Thank you. On behalf of JM Financial Institutiona

I Securities Limited, that concludes this

conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 13, 2026

Dear Sir/Madam,

Sub: Transcript of the Earnings conference call organized on May 08 , 202 6

Referring to our letter dated April 30 , 2026, we are enclosing herewith the Transcript of the Earnings Conference Call organized on May 08 , 2026 , post declaration of the Audited Financial Results of the Company for the quarter and year ended March 31, 2026.

Please take the information on your record.

Thanking you.

Yours faithfully,
For Vijaya Diagnostic Centre Limited

Ank it Shah
Chief Fi nancial Officer

Encl.: as above

To
The Listing Department,
National Stock Exchange of India Limited
NSE Symbol: VIJAYA To
The Corporate Relations Department,
BSE Limited
BSE Scrip code: 543350
Page 1 of 19

"Vijaya Diagnostic Centre Limited
Q4 FY '26 Earnings Conference Call "
May 08, 202 6

MANAGEMENT : MS. SUPRITA REDDY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VIJAYA DIAGNOSTIC
CENTRE LIMITED
MR. ANKIT SHAH – CHIEF FINANCIAL OFFICER –
VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. SIVA RAMA RAJU VEGESNA – CHIEF OPERATING
OFFICER – VIJAYA DIAGNOSTIC CENTRE LIMITED
MR. DHIREN GALA – ASSISTANT GENERAL MANAGER ,
STRATEGY AND INVESTOR RELATIONS – VIJAYA
DIAGNOSTIC CENTRE LIMITED

MODERATOR : MR. AMEY CHALKE – JM FINANCIAL

Vijaya Diagnostic Centre Limited
May 08, 202 6

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '26 Earnings Conference Call for Vijaya Diagnostic hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amey Chalke from JM Financial. Thank you, and over to you, sir.

Amey Chalke: Thank you and good afternoon, everyone. I'm Amey Chalke and on behalf of JM Financial, I would like to extend a warm welcome to all of you on the fourth quarter FY '26 Earnings Call of Vijaya Diagnostic Centre Limited. At the outset, I would like to thank the management of Vijaya Diagnostic for giving us the opportunity to host the call.

We look forward to having an engaging and insightful discussion on the Company's quarterly performance and the outlook. From the company, we have with us today Ms. Suprita Reddy, Managing Director and Chief Executive Officer; Mr. Ankit Shah, Chief Financial Officer; Mr. Siva Rama Raju, Chief Operating Officer; and Mr. Dhiren Gala, Assistant General Manager, Strategy and Investor Relations.

With that, I will now hand over the call to the management for their opening remarks. Over to you, ma'am.

Suprita Reddy: Thank you Amey, for hosting the call. Good afternoon and thank you all for joining us on the call today. As we complete our fifth financial year since listing, I would like to first thank all our shareholders and the research houses for their continued trust, confidence, and support throughout our journey.

Over these 5 years, we have accomplished several important milestones. We have doubled our centers from 81 to 162, expanded our footprint from 2 states to 6 states, and successfully acquired PH Diagnostics in Pune, which majorly aligned with our ethos. Like we have consistently stated over the years, the core principles and DNA of the company remain unchanged.

Our business continues to be guided by the key pillars: a strong focus on quality and customer experience, continuous investment into technology while ensuring affordability and most importantly, our investment into talent. Our workforce has grown from nearly 2,000 employees to over 3,500 employees over these 5 years, welcoming close to 1,500 new members into the Vijaya Family.

Going forward, we will continue to invest in talent and technology while maintaining a sharp focus on quality, as we always believe that sustainable financial performance is ultimately a by-product of a discipline and a purpose-driven approach.

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 3 of 19

Having said that, over the last 5 years since listing, we have delivered a revenue CAGR of 17%, exceeding our guidance of 15%. Most importantly, this growth has been achieved without any dilution in the EBITDA margin. FY'26 has been a landmark year for Vijaya, with revenues crossing the INR 800 crore milestone, reflecting a strong operational execution across the business. We have also delivered a robust year-on-year revenue growth of ~26.5% in Q4 FY'26, supported by a healthy volume growth of around 18.5%.

This performance was attributable to both pathology and radiology segments, aided by a very favorable seasonal environment, strong momentum in the wellness segment, continued network expansion across geographies and accelerating traction of the Vijaya brand in new markets supported by our differentiated service proposition.

Turning to PH, we delivered a year-on-year growth of 16%, primarily driven by network expansion and favorable seasonality during the quarter. Our Ambegaon center has achieved

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breakeven in 1 year, in line with our guidance. Further, the 2 hubs launched in Q3 FY'26 in our core markets, Khammam and Nandyal, achieved breakeven within just 2 quarters, outperforming our guided timeline of 3 quarters for hubs in our core markets.

Coming to our expansion plan for FY'27, we would be commissioning 4 to 5 hubs and 10 to 12 spokes across the network. We're also coming up with a state-of-the-art, totally automated lab in Panjagutta, Hyderabad with an automated track system, which is expected to enhance turnaround times and operational productivity. Additionally, we plan to introduce advanced Genomic Testing as part of our specialized diagnostic offering.

With this, I would like to once again thank our teams across the network for their commitment to make this a very successful year for Vijaya. We remain confident in our ability to build on

this momentum and continue to create a long-term value for all of our stakeholders.

I will now hand over to Ankit to walk you through the Operational and the Financial highlights.

Ankit Shah: Good afternoon, everyone, and a very warm welcome to everyone joining us on the call today.

I'll quickly take you through the financial performance and the quick key developments for the current quarter Q4 and the financial year ended March 31, 2026.

The consolidated revenue for the current quarter stood at INR 219 crores, reflecting a strong revenue growth rate of 26.6% Y-o-Y. And this strong revenue growth, just like the previous quarter was driven by test volume growth of 18.5% Y-o-Y. Balance growth of 8.1% was largely on account of change in the test mix.

Coming to the geography-wise revenue contribution for the quarter, Hyderabad contributed 67%, rest of AP, Telangana contributed 20%; Pune, 6%; West Bengal, 4%, and rest of the geographies contributed 3%.

Like the previous quarter, the revenue growth has been driven by both radiology and pathology segments, reflecting the robustness of our B2C-focused integrated business model. The B2C revenue stood healthy at 92%. Our radiology business stood at 37%. The revenue per test and revenue per Footfall stood at INR 488 and INR 1,808, respectively, during the current quarter.

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 4 of 19

EBITDA for the current quarter stood at INR 95.5 crores as compared to INR 68.9 crores in the corresponding quarter in the previous year, reflecting a Y-o-Y growth rate of 38.7%. The EBITDA margin stood healthy at 43.5% in the current quarter with an improvement of 379 basis points Y-o-Y. The profit after tax for the current year -- for the current quarter stood at INR 47.9 crores, reflecting a strong growth of 37.5% and a PAT Margin also stood healthy at 21.8%.

I will now summarize our performance for the financial year ended March 2026. The consolidated revenue for the financial year ended FY'26 stood at INR 814 crores as against INR 681 crores in the previous financial year FY'25, reflecting a Y-o-Y growth of 19.5%. EBITDA stood at INR 337 crores as against INR 273 crores in the previous financial year, registering a Y-o-Y growth of 23.3%. EBITDA margin stood healthy at 41.4%, and the Profit After Tax was INR 173 crores with a margin of 21.2%.

Coming to the update on capital investment in the current period, the overall capex outlay has been INR 169 crores, inclusive of replacement capex. For FY'27, the capital outlay for the new centers, including the lab, the new automated lab, is estimated to be INR 140 crores to INR 150 crores. That's all from my side.

I would now like to request the moderator to open the lines for the Q&A session.

Moderator: Ladies and gentlemen, we will now begin the question and answer session. Our first question comes from the line of Surya Patra with PhillipCapital. Please go ahead.

Surya Patra: Yes. Thanks for the opportunity, sir, and congratulations for the great se

t of numbers. Since it is

the fourth quarter, very consistent performance has been observed in case of the wellness segment wherein, consistently around 30% growth that has been maintained, so I just wanted to understand what would be mix between pathology and radiology when we talked about wellness and what should be contributing incrementally to this kind of growth?

Siva Rama Raju: So, Surya, all our packages have a mix of both radiology and pathology. So, while we don't have the very exact number because it's a bundled package, from corporate wellness to retail wellness, it's a mix of both radiology and pathology. But if you see more or less, they'll be mostly at 50% - 50% proposition.

And it is also based on -- if you see our retail packages, which are there on the website, from lifestyle to full-body health check-up, you have a mix of both pathology and radiology even what we are seeing the trends that we are seeing from the corporates, right, whenever they are empaneling for their employee health checks, they are asking us a mix of both pathology and radiology tests. So that's the trend that we are seeing across the packages.

Surya Patra: Or is it fair to believe that whatever the mix that we are seeing for the overall business, that is the mix also for the wellness business that one should think?

Siva Rama Raju: So, it depends. When it comes to corporate wellness, it purely depends on the client requirement. But in terms of retail, yes, it's more or less maybe in the similar range.

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 5 of 19

Surya Patra: And in terms of the growth, what we are seeing that even Hyderabad, which has been considered to be a mature segment, in that we are seeing around 20% growth, one of the strongest growth that we have reported this quarter. Anything specific that is contributing and how sustainable is

the growth momentum in Hyderabad?

Siva Rama Raju: So, like we discussed in the past, whenever we have a good season, we have that kind of revenue in the market, so, Hyderabad, like we discussed in the previous calls also, we feel the market is mature, but then we see the market growing at a similar pace or a little bit in a better pace, both across hospitals and diagnostics.

And especially like ma'am mentioned in her opening remarks, I think the 3, 4 key pillars, is strong focus on quality and we being the largest player and being in the industry for more than 40 years in the market, I think we are inching market share as and when there is a favorable season, we are inching the market share.

And we are growing better than our peers. So even in terms of network expansion and also if you see the service addition, et c., in the diagnostic market, we are growing better than our peers on this space. It is because of the 3, 4 things. One, we are available across the city. Second, we have the wide range of services, both in pathology and radiology. Third, we have very high-end technology, and lastly, we have very good talent in terms of doctors and technical staff.

While maintaining all this, we are not charging anything extra. So more or less, we match the market rates, maybe 2%, 3% here and there.

I think that, over the years, if you see it's not today's scenario, maybe like a few percentage here and there. Over the years, in Hyderabad, we were growing in double digit. And even in the near time, in the current financial year also, we are planning to add a few more spokes in Hyderabad. There are many new markets, new pockets that have opened up in Hyderabad. So, we foresee that even in the near future of 2 to 3 years of term, we will still grow in double-digit in Hyderabad.

Surya Patra: And in terms of capex for investment per annum, we have seen obviously in the recent years because of our geographical diversification, some capex intensity that we have seen. But we are now talking about si

milar kind of capex momentum even in FY'27.

So practically, what is the thought process here because obviously, the cash flow comes in operation if you see, has been obviously becoming stronger and stronger. So, is it fair to believe that the capex momentum also simultaneously will become stronger and stronger with more and more a newer area penetration?

Siva Rama Raju: You're right, Surya. So, the number that we just quoted is basically the centers which are like where we have taken on lease.

Suprita Reddy: Major executed signed registered lease is something that we would probably announce out on a call. And the capital outlook of what Ankit has given is keeping in mind the entire, 4 hubs of what has been signed and the automated lab and the 10 - 12 spokes that are coming. Like we've mentioned earlier on, last year, you did not see any spokes coming out in Hyderabad or the core markets.

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 6 of 19

And this year, we will be seeing a few spokes around 4 to 5 spokes coming out in Hyderabad in the newer geographies and the new pockets that are coming in the city. So, this is a capex guidance for the executed leases, which is the 4 to 5 hubs and the 10 to 12 spokes. Like I've always mentioned, when there's opportunity, there is not looking back. Now we have 2 or 3 more geographies.

So whether it's going to be Bangalore or Pune or Calcutta, anything that comes across, we will be signing and probably executing it on the similar lines. We'll be able to give you guidance on that once that's executed.

Siva Rama Raju: Yes, yes. So, this guidance for next 1 - 2 years because we have many newer geographies, this guidance, we will revisit every single quarter, and we'll give you more updates as and when we finalize more centers.

Surya Patra: Okay. Just last one point from my side. See, in your opening remarks that you mentioned over the last 5 years, the growth in terms of the center addition that we have seen similar is the business growth that is what we have seen, so that is, it is a volume-led growth only that we have seen practically in a way.

So is there any scope of premiumization to play in the near future that you think or and simultaneously as you are mentioned also that Genomic that is the new area of opportunity for you, what is the incremental business that you are thinking out of this or what is the target market that you are identifying for the Genomics? Because right now is smaller one and the competition is significant.

Siva Rama Raju: Genomics is a long-term play. I don't think we'll see any significant revenue coming in the next years.

Suprita Reddy: There are a few departments in lab, Surya, irrespective of volume, say, histopathology, high-end IHC testing, Genomics, these are all specialized testing and especially being a 92% B2C-driven

player, we kind of look at the load building up and then decide to add it. So, histopathology has now been there for more than 35 years and a very large department in the lab. So, we've started Genomics and we will slowly grow it through the same medium of walk-ins, B2C and then add panels as what is required as per the market needs.

So what we see in Kolkata might be very different from what Pune would want. But it will be one central lab in Hyderabad, trying to cater to all of the 6 geographies that we are operating in. So, it's just the beginning. So it's something that we would like to build out and then make it profitable in the years to come. I can't give a number on that right away.

Siva Rama Raju: And the focus for the next 2 years will be on center addition and volume-driven growth. While we may have that 1% - 1.5% of realization growth, but the major focus for the next 2 to 3 years is capacity addition and volume-driven revenue growth.

Surya Patra: Sure. Yes, thank you, sir. Wish you all the best.

Vijaya Dia

gnostic Centre Limited

May 08, 2026

Page 7 of 19

Moderator: Thank you. Our next question comes from the line of Rajat Baldewa with Kizuna Wealth. Please go ahead.

Rajat Baldewa: Yes. Hi, sir. Thank you for giving me the opportunity and congratulations on a good set of numbers. So, my first question would be like in Q4, the EBITDA margin came in 43.5%, which is 380 bps Y-o-Y expansion. But when you strip out the operating leverage on the fixed cost base, the other expense line grew 21% in Y-o-Y in Q4. So what specific cost levers drive this margin outperformance? Can you throw some color on that?

Siva Rama Raju: So, it's basically the operating leverage in the existing network. So if you see our business, except few costs like consumables, doctors, etc., it's more a fixed cost business. So whenever you see a jump in the revenue growth, obviously, that will flow down to EBITDA. And also the other point is all the new hubs that started, majority of the new hubs have broken even faster than the expectation.

So, it is a mix of both the operating leverage and the break-even of new centers that have led to the 43.5% margin. But at the same time, if you see, the company is now also focusing on adding more centers, getting into Genomics and also investing on to technology and talent.

So, in fact, in many of the newer geographies, we are developing the second in line because we feel the talent is important for us to scale the centers there. So, this incremental cost will be for this financial year. But in terms of the guidance, we are with growth while opening new centers, we'll still be delivering 30% plus EBITDA margin.

Dhiren Gala: One of the reasons why the EBITDA margins were closer to 43.5% this time around was due to Hyderabad geography growing at 20%. So there was a huge operating leverage came due to that. And overall, if you look at the OPEX burn also for the entire year for all the new centers which commenced, it is roughly about 0.8% versus what we had envisioned before the start of the year, of roughly about 2% -2.5%.

So these 2 reasons helped in improvement in the EBITDA margin. Having said that, I think going forward, because of you can say, we would be slightly conservative in giving our margin guidance of 40%. But we are pretty confident of delivering more than that in the future.

Rajat Baldewa: Okay. Great, sir. And sir, the last question on the revenue per test, which has been a jump by 4.3%. So even though your pathology, radiology mix is quite similar in FY'25. So is it because of wellness share increase or what's the reason?

Dhiren Gala: No, that is largely because of the new hubs ramping up. So all the new hubs in Bangalore, West Bengal, now they are ramping up quickly. So that is just because of the change in the Test Mix because in the first year, it is still driven largely by radiology. So that's why you're seeing that higher number.

Rajat Baldewa: And sir, what's the volume growth in terms of core geography and non-core geography?

Dhiren Gala: Yes. So, when it comes to Hyderabad for Q4 Y-o-Y, the volume growth is roughly about 18.5%.

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 8 of 19

Moderator: Thank you. Our next question comes from the line of Anshul Agrawal from Emkay. Please go ahead.

Anshul Agrawal: Hi. Thank you for the opportunity. Just hopping on the margins guidance. I understand we want to be conservative. But if I just look at the mix of assets that we are commissioning in FY'27, which are more spokes than hubs, would it be fair to assume margin accretion in FY'27 would be sharper than the accretion we have witnessed in FY'26 itself?

Siva Rama Raju: So Anshul, if you see the full year, I understand in Q4, we have delivered 43.5%, but if you see for the entire full year, it was around 41.5%. So, like if we are opening, let's say, 12 spokes and 4 hubs, yes, more or less,

we may end up in the similar range. But let's say, like we also said there are more hubs in pipeline. If we can close a higher number of hubs and we open in FY'27, then maybe the drag will be slightly higher than what we are talking now.

So, keeping all this in mind, what we feel is, also taking both the investments on to technology and talent into consideration, we feel that we'll be able to comfortably deliver more than 40%.

And like Dhiren said, while the guidance would be 40%, we'll try to deliver a better number than that.

Anshul Agrawal: Sure. Next question I had was we already have a cash balance of almost INR 280-odd INR 300-odd crores. And I think by the looks of it, assuming the capex that you have just outlined, we should be able to add another INR 150 crores to INR 200 crores odd number in the next year as well. Any plans on deploying this balance for any inorganic expansion? And how does management think about this deploying this cash on books?

Suprita Reddy: Anshul, like we've mentioned earlier, anything that comes to us in terms of an inorganic or a merger and acquisition, JV, whatever it might be, if it is in the same value system and it is B2C - driven, even if it's pure pathology or radiology and ethos matches, we're more than happy to look at that asset.

And then comes the valuation reasonability there also. So if something comes up, there's almost close to about 8 to 15 assets that come to us on a yearly basis. But we are very, very conscious about what we bring on to the table to the Board and to our shareholders because it needs to add value.

And that probably that look is going to be out even for the future. And also like Siva mentioned, these are only executed leases for this year of, say, that 3 to 4 hubs. And if an opportunity comes up, like I mentioned, 2 to 6 states. So if, say, we get an opportunity to add another 4 or 5, we would definitely go ahead doing that.

So, you could also see additional deployment of Capex happening accordingly and with hubs also comes spokes. So that's the reason why we are only probably committing on the number of leases that are executed today. And as we go quarter-on-quarter, we will be giving you a quarterly update on what's going to be happening.

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 9 of 19

Anshul Agrawal: Got it. Very clear, ma'am. But there are no plans of adding another cluster for the next 2-odd years? I think you mentioned that?

Suprita Reddy: If you're looking at the numbers and everybody is very happy, the operating leverage playing out today is because of the dense network. So we're saying you have entire Pune and then Calcutta and now already Bangalore is a new baby and with a few more hubs coming there. So, the denser we grow into Calcutta, West Bengal and into Pune, this is probably going to just get better.

Siva Rama Raju: If we have to add then it should be through inorganic route.

Suprita Reddy: It should be large enough for us to say we are ready to take on one more cluster.

Anshul Agrawal: Got it. Clear, ma'am. Just a follow-up question on the answer that you gave. Our current Capex guidance, if I just sum up the bits and pieces of our network addition or the automated lab. Our current capex guidance of INR 140 crores - INR 150 crores, does it not assume any new hubs that you have planned, which have not yet signed the lease on? Because if you could just slightly break up the INR 150 crore capex number in terms of network addition, in terms of IT spend, or maintenance capex, that would be very useful to help us understand this better?

Dhiren Gala: So Anshul, for the new centers, which have been outlined in the investor presentation, which are roughly about 4 to 5 hubs and 10 to 12 spokes, the Capex would be between INR 120 crore to INR 130 crore. And then the additional capex would be on the automated lab in Pune.

Jagutta.

These are only - this capex is for the leases which have been executed.

Having said that, as Siva and ma'am mentioned, there are a lot of projects in the pipeline. So, whenever we get the opportunity, we will definitely revise the capex guidance, but that revision will happen on a quarterly basis.

Siva Rama Raju: Just to add, Anshul, so what we have considered in this INR 150 crores is about close to INR 10 crores to INR 12 crores of replacement capex. It is not just a replacement capex, capex is in the existing centers where we'll add some new modality.

Anshul Agrawal: Got it. And are we planning any flagship hubs in the non-core clusters because INR 120-odd crore for 4 hub-and-spoke seems heavy?

Dhiren Gala: Yes. So, we had announced in Q3 of FY'26 that we'll be coming up with flagship center in

Bannerghatta, Bangalore – JP Nagar , which will have the high -end PET CT, high -end MRI and cardiac CT .

Suprita Reddy: This is a center, Anshul, where the center has equipment which are probably not there in our core markets of Hyderabad itself. So , you will be looking at digital cardiac PET CT coming in there and it's a one of its kind very wide bore Omega MRI, I think there are only a few in India. So this is what Bannerghatta is going to offer and probably it should be ready to go in the next couple of months.

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 10 of 19

So that's something that's ongoing -- and going forward, we'll probably in the coming year, look at bringing in a center like that even in the core market of Hyderabad. So finding that right place , location in Hyderabad, we will do a center like that provided we find the right location.

Anshul Agrawal: Okay. Very clear. Just a couple of more questions, if I may. On wellness , what would be the average realizations of -- in our wellness portfolio for the company, average realizations for us?

Siva Rama Raju: It's in the range of INR 1,800 to INR 2,000 Anshul. So , for Q4, generally, at a full year level, it was more or less closer to INR 2,000. It is because of corporate wellness because corporate wellness , every client has a different requirement. But if you see retail wellness , it will be slightly higher than INR 2,500 is the average realization .

Anshul Agrawal: The reason why I ask this question is incremental wellness incremental contribution from wellness portfolio would not lead to realization per patient improving. Would that be fair to say?

Siva Rama Raju: It will lead to realization per patient improving, but not the realization of test because if you see at the company level, we are at - this quarter, we were at INR 1,800 realization per patient. if we add more wellness packaging, realization per patient will go up, but realization per test will come down.

Anshul Agrawal: Got it. Very clear. Just one last question. I think ma'am mentioned that PH or the Pune cluster has grown by 16% Y oY. That is for the current quarter or for the full year?

Siva Rama Raju: The current quarter. So if you see, Anshul, Q1, Q2, there was a slight degrowth. And Q3, we have seen improvement. So I think Q3, we grew by, I think, 8%, right? And this quarter about 16%. So , we are seeing uptick in revenue both month -on-month (I think he meant QoQ) and year-on-year.

Anshul Agrawal: Yes. And this would be largely on the back of the new center additions we have done, right? Or have we done any capacity bottlenecking in the PH centers that we had?

Siva Rama Raju: So yes, we have a little bit of capacity constraint. But then we have seen growth even in the existing centers, but it is in the low -single -digit, but it's a mix of both .

Anshul Agrawal: Lovely. That's it from my end. All the very best. Thank you.

Moderator: Thank you. Our next question comes from the line of Akshaya Shinde with Centrum Broking Limited. Please go ahead.

Akshaya Shinde: Thank you for

the opportunity and congratulations on good set of numbers. My question pertains to the Kolkata region. The 2 hubs launched in FY'24 were contributing around 3% of revenue. Could you share how these hubs have progressed so far in terms of volume growth, the B2C mix and the breakeven trajectory?

Also , with the new hubs added in FY'26, do you expect similar ramp -up trajectory for this center or could the scale up be relatively faster supported by the higher network density and improving brand presence in the region?

Vijaya Diagnostic Centre Limited

May 08, 2026

Page 11 of 19

Siva Rama Raju: So as of now, we have 7 hub centers in Kolkata, so out of which 3 centers were just opened a couple of quarters back. If you see the old centers, Medinova and the VIP Road, you've seen the growth, right? So , they've grown at very strong rate majorly VIP Road because Medinova again was the old center and it is running at its full capacity. If you see VIP Road, you've seen double -digit growth year -on-year.

And the rest of the 5 centers were added during the last financial year, out of which 2 centers, which were added in Q1 of FY'26, they did breakeven in less than 9 months. The rest of the centers like Phoolbagan, Diamond Harbour, they just opened a couple of quarters back. But , we expect the similar kind of ramp -up to happen at these centers, and we are confident of achieving the breakeven within 1 year of our guided timeline.

So I don't think we should compare with the current base to the next year's growth because of the center addition that happened. But you will see a very healthy growth of revenue in West

Bengal in the next - in the current financial year.

Akshaya Shinde: Also, following the Pune expansion, are there any inorganic opportunities shortlisted for the further expansion in the western region like for the mid to long term?

Siva Rama Raju: Not in Pune as of now. We want to more, go, organically because since we have acquired a brand, now I think it is we feel that it will be better if we expand this brand rather than acquiring one more asset in the same geography.

Akshaya Shinde: Okay. Yes. Thank you and all the best.

Moderator: Thank you. Our next question comes from the line of Kirti Agrawal from Aditya Birla Sun Life Mutual Fund. Please go ahead.

Kirti Agrawal: Yes. Hi. Congratulations on the good set of numbers. I just had a bookkeeping question. What would be your pre-Ind AS margin for FY'26 and for the quarter if you can help me with that?

Ankit Shah: See, by pre-Ind AS you are referring to more of Indian GAAP.

Kirti Agrawal: Yes, just the Ind AS impact of rentals?

Ankit Shah: Yes. So while we don't maintain books as per Indian GAAP, but it should be close to about 35%.

Dhiren Gala: Yes, is 35% for the entire year.

Kirti Agrawal: Got it. Great. That's all. Thank you.

Moderator: Thank you. Our next question is from the line of Rishi Mody with RDM Advisory LLP. Please go ahead.

Vijaya Diagnostic Centre Limited
May 08, 2026

Page 12 of 19

Rishi Mody: Yes. First question I had was on the tech investments that you all are making or you all have made, just is it upcoming or you all have already made these CRM, ERP, and AI in radiology investments?

Siva Rama Raju: So, Rishi, it's ongoing. So we have invested little bit in the last financial year. Over the years, if you see from FY'23 onwards, consistently every year we are either revamping the existing systems and we are also getting more integrations, right, to enhance the customer service and also like if you in terms of the billing software, LIMS, radiology, all that we've done in the last 2 financial years.

When it comes to the CRM and when it comes to the ERP, so we've started the work in the last financial year, but, we'll be launching the

in the current financial year. Apart from that, in

terms of AI, we've onboarded few solutions in Q4, right, fag end of Q4. Like it can be CT KUB or the dental scans.

And we're also in talks with few of the other firms, to see how we can implement for the other modalities like something for lung, liver, and brain. So, this will be an ongoing process. And also, in terms of data security, year-on-year we've we are increasing our spends on that.

And in terms of digital marketing, so digital marketing was something which we started 2 - 2.5 years back. If you see last one financial year, we've almost spent roughly around INR 6 crores to INR 7 crores on digital marketing, where we see that cost, doubling in the current and the next financial year. Because that's one of the channel where we have seen good revenue coming from.

So likewise, Rishi, I think, technology is something that is still evolving. So right for the next 1 - 2 financial years you'll be seeing some investments happening on this front.

Rishi Mody: Right. So this will be an ongoing process now for you all and we should not expect ideally any hiccups in the implementation of this like you mentioned, right, the last time we implemented LIMS and there was some of a hiccup in one odd quarter.

Suprita Reddy: Implementation is not going to be the problem. Especially in radiology, these patches that come for any kind of a specific organ, they're basically patches which have to be layered on to our radiology information software. So they need certain licensing, just like we would need a CE or an FDA some background to bringing in any kind of AI because you're going to be releasing it for retail customers.

So we can't just bring in something without validation. And validation requires certain paperwork, and those are very limited in nature as we speak as of today. So probably something that we can release to customers is not going to be more than 6 or 7. And when these come in, these have to be layered onto the existing software and those are always ongoing. We have 2 or 3 that are done. You will always see two or three happening as and when it gets approved, these get layered on.

Rishi Mody: All right. That's great to hear. Second, I wanted to understand on the Pune piece, right? So great job on getting the revenue growth back on track. And the new team, I think has done a good job

Vijaya Diagnostic Centre Limited
May 08, 2026

on ground. Just if I could get an understanding say the second hub that you all opened, right, the new hub. Is it ramping up faster or is it approaching break -even faster than the first new hub that you all had opened?

Siva Rama Raju: No, Rishi, I think both the hubs have taken similar time because I think both the areas are two different sides of the city. So, if you see both in Ambegaon and Kalyani Nagar, PH never had any presence. So, it was more like a newer within the city it is like a newer geography .

And Kalyani Nagar, the full-fledged operations started in Q2 of FY'26. So even that hub like Ambegaon took time. So we've almost completed 6 to 7 months of full-fledged operations by now, I think 8 months of full-fledged operations by now. I think we'll be taking full 1 year here also for the break -even to happen.

Rishi Mody : Okay. All right. And finally just any favorable seasonality element in our numbers this quarter, like some illness or some seasonal flu or something in our numbers?

Siva: Nothing specific, Rishi. But we've seen growth across both retail diagnostic and also wellness.

So, I think all the all the modalities and all the, you know, all the channels have basically fired.

Dhiren Gal

a : Rishi, overall L ifestyle segment also has shown a good growth during this quarter. So that has also helped in, you know, the overall revenue growth.

Moderator: Our next question is from the line of Sumit Gupta from Antique , please go ahead.

Sumit Gupta : So, with respect to Pune. So it grew 16%. So what would be the volume growth for this quarter in PH?

Dhiren / Siva : So, footfall growth was roughly about 15% during this quarter. Purely footfall growth, Sumit.

Sumit Gupta : Okay. And what is the like, outlook for the PH segment over the next, let's say, three to four years? How should we see this contribution increasing on the two pictures ?

Siva Rama Raju: So for all of these new geographies, Sumit, so like we said, right, quarter -on-quarter maybe we'll have to change our guidance a little bit because, you know, we have - we have the regional heads for each of these regions. And parallelly all these regions are growing. So in terms of finding the new centers etc. the work is happening on the ground on all of these regions. So if you ask us, we're very confident in the next one to two financial years we'll be growing in double -digit. But at the same time, let's say if we find more centers, if we can close on more centers, maybe one geography may be overtaking the other geography. That is something that maybe next two years it will be slightly dynamic between these geographies. But otherwise with the existing network with these two new hubs and two new spokes that we've opened . And also, the effort that is going on to the corporate segment within Pune, we are confident that we'll be growing in double digit for the next financial year as well, at the full-year level.

Sumit Gupta : Okay. So I was asking from let's say not in the near term, but from a medium -term point of view.

So should we see like the kind of traction that you're witnessing in in Pune market is like can we hope to see that continuing?

Vijaya Diagnostic Centre Limited

May 08, 202 6

Sumit Gupta : Basically , the kind of traction that you're witnessing in Pune so, for the medium term, let's say, next three to four years, how should we see Pune geography is evolving? So, like, we will be adding more hubs and spokes . And then the recently opened Ambegaon that has also break - even. So how should we see that panning up, basically the revenue per center improving?

Siva Rama Raju: So, Sumit, I think, especially in Pune, right, that was the only one guidance which did not happen according to our guidance , which we gave three years back , because we thought in Pune in three to five years , we will double our revenue. But then we went very slow. We did not open centers also. We went very slow because after acquiring , we took one to one-and-a-half year to settle in ground -level things like changing software aligning the processes etc. Because before taking on growth that is very important .

You have to imbibe the culture there before you take on growth. So that's one of the reason why you've seen the delay in the growth. But having said that, with whatever effort that we've put in the last two years and with the kinds of teams now we are deploying there , we are very confident that in next three to five years, we'll be easily doubling up our revenue from where we are now.

Sumit Gupta : Understood. So, with respect to revenue per center at the mature stage, let's say in Hyderabad you are nearly around INR 6 crores per year. So like what kind of what is the peak revenue per center which one can achieve? Or is there any problems or if I am missing something ?

Siva Rama Raju: No. No. Even you will see at maturity the revenue from the new hubs that we've

opened, you'll

see, more than INR 12 to INR 15 crores kind of a revenue, similar like any other geography

there. But in the older hubs, because of the capacity constraint, the hubs being smaller, you have one hub which is already even in the older hub one hub which is doing about INR 15 crores. The rest of the two hubs because of the capacity constraint, they're doing more or less close to INR 10 crores kind of a revenue. But otherwise in the newer hubs that we open because the hubs will be more or less similar to what we do in Hyderabad, so you'll see the similar kind of revenue profile coming from these centers.

Sumit Gupta : Understood. And lastly on the Bangalore performance. The two hubs which were opened in HSR and Yelahanka. How are they performing? Like what's the overall traction that you've seen in Bangalore?

Siva Rama Raju: So, we are very optimistic about that geography with whatever results that we've seen in the last two to three quarters. We opened in Q1 of last financial year and like we told, Yelahanka did break -even and HSR is almost close to break -even. So that's one of the reason why we've already finalized one flagship facility there and we also finalized one more location in Rajajinagar , which we've put in on the PPT. And parallelly we're looking for few more hubs in Bangalore. So, we are very optimistic about the Bangalore city.

Sumit Gupta : Okay. Sir, I just want to understand on the sector point of view. Let's say so there are so many hospitals which have come with their own labs across different parts of India. So like in your

Vijaya Diagnostic Centre Limited

May 08, 202 6

Page 15 of 19

geography, like have you witnessed any like competitive intensity increasing which has led to like a bit challenging for you?

Siva Rama Raju: I think, Sumit, so this is there across the geographies, not just the hospital -based labs, you have the other labs, which are purely into diagnostics also. All right, Bangalore also has a very strong pathology diagnostic player. All right. So, but, like the differentiator is the radiology, right? We have both path ology and radiology, and it's a more of an integrated play. And Bangalore is a market like we told you, so it is almost similar to Hyderabad.

But you don't have any large integrated diagnostic player, you have multiple small integrated players, that's where we see the opportunity. In terms of the bed density, bed capacity, right, in terms of the healthcare infrastructure in hospitals, both the c ities are more or less closer. And the one more challenge in Bangalore is the traffic, right, which will also give us the opportunity to add more centers.

Even if you open two h ubs within 7 km radius, like if you see our HSR versus the flagship, it is only hardly 6 - 7 km radius. But I don't think a patient from JP Nagar will be traveling to HSR for their diagnostic needs. So, that is also another opportunity .

So, considering all these factors, we feel Bangalore city will give us that room to add more hubs and spokes, both hubs and spokes. In the next, at least, I think the capital deployment will be continuously happening for the next five to seven years.

Sumit Gupta: So, basically, my question was la rgely on the competition from the hospital -based lab?

Suprita Reddy : Hospitals are basically probably designed to take care of the needs of their in -patients. So, if you look at their labs, which are more or less like back in kitchens, they have to cater to their in - patients. So, and when they run their OPDs, it's also an odd time where customers will have to get their testing done during fasting.

And then they'll have to have some preparation. The pricing is taken into consideration, keeping the entire Capex of the hospital in mind. And insurance is a major factor

there for admissions.

So, if you look at largely the OPD business, the OPD diagnostics, there are fewer people who, basically in India, they need to pay out of their pocket.

And cost is one part of it. And that's why we say we are a differentiated kind of a diagnostic facility. We give importance to the customer experience, the large format centers of the 6,000 to 8,000 sft. They're not having to go to two or three places for their pathology, radiology needs. And at the same time, not compromising on quality and keeping the prices affordable, which would probably be, say, about 20 % to 25 % cheaper than the hospital.

And being in a close proximity to their residential areas, that is why the dense network of Vijaya, that is why the number of spokes to create that density . And these spokes feeding into the hubs. That is the basic nature of how we grow and choose where we want to grow.

Moderator: Thank you. The next question is from the line of Ayush Agrawal from AARD Capital. Please go ahead.

Vijaya Diagnostic Centre Limited

May 08, 202 6

Page 16 of 19

Ayush Agrawal: Yes. Hello, ma'am. Hello, sir. Congratulations on the wonderful performance. I just had two quick questions. That we do not have any significant coverage in North India. So, that is a strategic decision or that is something that we are not looking at all together right now?

Suprita Reddy : So to answer you directly, we're not looking at that right now because like we mentioned, we've grown from two to six states. Hands are full, trying to build denser networks in two new states that we've acquired. So it's a very strategic decision that we do not want to grow in North. We have one single centre in Gurgaon , which is purely a wellness and single center. It's in fact spread across almost an acre of land in 8,000 sft and we tend to leave it like that. We want to do more of corporates and at the point immediately we would not want to grow in that region.

Ayush Agrawal: So, when , just a follow -up question, ma'am. When you say immediately, you are talking for the next 1 to 3 years or 3 to 5 years?

Suprita Reddy : Probably , say another 3 to 5 years is something because , we have Karnataka and West Bengal to look at concentrate and grow with Pune already in that process. So definitely 3 to 5 years.

Ayush Agrawal: Sure. Thank you, ma'am.

Moderator: Thank you. Our next question is from the line of Vivek from Emkay Global. Please go ahead.

Vivek: Yes. Thank you for the opportunity. So just a question on the breakdown of centers by region.

Could you please help me with the numbers in terms of centers for each region?

Dhiren Gala : Yes. So in Hyderabad we have roughly about 95 centers. In rest of AP-Telangana we have 35 centers. In Kolkata we have 7 large hubs. In Bangalore we have 2 centres. We have 1 in Gulbarga . We have 1 in Gurgaon. And the balance in Pune.

Vivek: Okay. And could you also provide a breakdown of your centers in terms of labs -- sorry, in terms of flagship centers, hubs and diagnostic , sorry, spokes?

Dhiren Gala : Yes. So roughly we have about 50 hubs and balance, you know, 112 spokes. And as highlighted in the press release, we have 30 labs which also include couple of mini labs as well.

Vivek: Got it. Got it. Thank you.

Moderator: Thank you. Our next question is from the line of Akash Shah from Investec Capital Services India Private Limited. Please go ahead.

Akash Shah: Yes. Hi, sir. Just one question. So, what would be the indicative number for the maintenance capex for FY27?

Siva Rama Raju: It'll be around INR 10 crores to INR 15 crores.

Vijaya Diagnostic Centre Limited

May 08, 202 6

Page 17 of 19

Dhiren Gala : So, typically , the maintainan

ce capex is roughly about 2% to 2.5% of our topline. So it'll depend on that.

Akash Shah: Okay. And sir, just one more question. Are we seeing any traction in the volumes from the of-take of the recent weight loss drug that has gone generic?

Siva Rama Raju : So, it is slightly difficult to track also, because I think somebody who is onto the medicine, not every clinician is writing the package name. So sometimes it's the list of tests that we come -- we get as part of prescription. So significantly we're not seeing any change on the ground.

Suprita Reddy : In spite of being a majorly B2C driven company, we've hardly seen requests for a proper GLP package come in. So they tend to either choose to go to a physician or an endocrine and it's the doctor's choice of the test that they request. So we would not probably be able to give you that right number. We've not seen actual requests for a GLP package come in yet in the geographies that we operate in.

Akash Shah: Okay. Okay. Because sorry, just to add one line. Because a number of players in the diagnostic space have launched their packages. So just wanted to know your view on it. Anyways, thank you. Thank you.

Moderator: Thank you. Our next question is from the line of Dr. Kartick Bane with the Bajaj Life. Please go ahead.

Karti ck Bane : Thank you for the opportunity. I would like to ask when was the last time we have taken a price hike? When are we taking it next? And how much would that be in terms of percentage?

Dhiren / Siva : We had taken price hike in Q1 of FY26, and it was roughly about you can say [inaudible 0:54:54] realization. So , this year also we'll be taking roughly about 1% to 1.5% of price hike. Maybe in Q1 or Q2, we may take depending on the -- not every year we do the price hike across tests. Every year we pick few tests and then do the price hike.

Karti ck Bane : Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Abin Benny with JM Financial. Please go ahead.

Abin Benny : Hi. Good afternoon. Am I audible?

Suprita Reddy : You're audible, sir.

Abin Benny : Hi, ma'am. Congratulations on the good numbers. I had two questions. First one was regarding the wellness segment. So our wellness segment growth has been really strong. So just wanted to understand that the demand that we are seeing in this, is there any track that we are keeping on the repeat customers and the first-time users? Like any color on that?

Vijaya Diagnostic Centre Limited
May 08, 2026

Page 18 of 19

Siva Rama Raju: So we have the data, but it's too early to comment because we started tracking these numbers. We migrated to newer systems 2 years back and we just started tracking the numbers. While with phone number and also with the unique UHID, we track these numbers, but then I think we should give another two years of time for us to actually see what the recurring customers are. Because they don't come they may come once in a year or once in two years. Not every customer will come once in a year. Right? So, I think we should give two, three more years of time.

Abin Benny : Got it. And in terms of corporates, what is the kind of pipeline or the order books that we are seeing in terms of repeat and also like retention and also the new ones that being added?

Siva Rama Raju: So, few large corporates, yes, we are catering them for last couple of years. But then at the same time with lot of aggregators in place, right, and corporates -- few corporates being price sensitive, we keep seeing the churn. But in terms of the large corporates from the last 2 - 3 years, we are continuously getting orders from them.

Abin Benny : Got it. Just one last question. So in ter

ms of -- so ma'am had mentioned between that the pricing related to Vijaya versus hospitals. But in terms of online players, especially in our core geographies and the newer separately, what are the dynamics that we are seeing?

Siva Rama Raju: So, there is no much impact from online players because for the past five years post-COVID, we've seen different multiple online players. You know, the names have changed. But then if you see as such, we did not see any much impact coming from these players. The only change that we see is many of these are aggregators which have come into wellness business especially for corporate wellness. But they don't have their own labs. What they do is they take the bundled package in terms of insurance and also the wellness and they then they again outsource these diagnostics to Vijaya or any of the other diagnostic players.

Abin Benny : Understood. Thank you very much.

Moderator: Thank you. Our next question is from the line of Ayush Agrawal from AARD Capital. Please go ahead.

Ayush Agrawal: Yes, ma'am. I had one follow -up question. So do we have a plan for the next either 1 to 3 years or 3 to 5 years of ever exploring the franchise side of things?

Suprita Reddy : No, Ayush. At the moment, I would not be able to comment on the future, but all of these centers that we operate today are company -owned and company -operated. And we do not have any kind of, probably an idea on wanting to start franchising right now.

Ayush Agrawal: That is definitely ma'am. I know and very much appreciated that this is being done by the company. I just wanted to ask this as a follow -up question that if in the near future or if in the distant future we wanted to explore the franchise model like others are.

Suprita Reddy : Ayush, not at all. Not at all.

Ayush Agrawal: Okay. Thank you, ma'am.

Vijaya Diagnostic Centre Limited
May 08, 2026

Page 19 of 19

Suprita Reddy : Thank you.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments.

Dhiren Gala : I would like to thank everyone for attending this call. Should you need any further clarification or any other information about the company, please feel free to reach out to us. Thank you so much.

Ankit Shah : Thank you

Siva Rama Raju: Thank you

Suprita Reddy : Thank you.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.